Life Insurance (LICI)

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To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of India Ltd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5 th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumba i- 400001 Mumbai - 400051
Scrip Code: (BSE – 543526 NSE - LICI)
Dear Sir/Madam,
Sub: UTranscript of Conference Call with the Analyst/Investors

Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith the Transcript of Conference Call with Analyst/Investors held on 12 Pth
P
August 2022.
The said transcript is also available on the Corporation’s website and can be accessed from the link: https://licindia.in/Investor -Relations/Financial-Details/Analysts -Investors -Meet/Call -Transcript -of-Analysts -Investors -Meet

We request yo u to take the same on record.

Yours faithfully,
For Life Insurance Corporation of India

(Pawan Agrawal)
Company Secretary & Compliance Officer

“Life Insurance Corporation of India (LIC)
Q1 FY 23 Earnings Conference Call”

August 12, 2022

MANAGEMENT : S HRI. M. R. KUMAR - CHAIRPERSON , LIC
SHRI. RAJ KUMAR - MANAGING DIRECTOR, LIC
SHRI. SIDDHARTHA MOHANTY - MANAGING
DIRECTOR, LIC
SMT. MINI IPE - MANAGING DIRECTOR, LIC
SHRI. B. C. PATNAIK - MANAGING DIRECTOR, LIC
SHRI. S. M. JAIN - EXECUTIVE DIRECTOR (F&A),
LIC
SHRI. DINESH PANT - APPOINTED ACTUARY AND
EXECUTIVE DIRECTOR (ACTUARIAL), LIC
SHRI. K. R. ASHOK - EXECUTIVE DIRECTOR
(ACTUARIAL), LIC
SHRI. SUNIL AGRAWAL - CFO, LIC
SHRI. R. SUDHAKAR , EXECUTIVE DIRECTOR
(MARKETING), LIC
SHRI. HEMANT BUCH - ADDITIONAL EXECUTIVE
DIRECTOR (MARKETING -BANCASSURANCE AND

Moderator Ladies and gentlemen, good day and welcome to LIC Quarterly Earnings Call Q1 FY '22-'23.

We have Senior Management of LIC led by Shri. M. R. Kumar, Chairperson, on this call.

The Senior Management team members on the call along with the Chairperson, are Shri. M. R. Kumar, Chairperson; Shri. Raj Kumar, Managing Director; Shri. Siddhartha Mohanty, Managing Director; Smt. Mini Ipe, Managing Director; Shri. B. C. Patnaik, Managing Director; Shri. S. M. Jain, Executive Director F&A; Shri. Dinesh Pant, Appointed Actuary and ED; Shri. K. R. Ashok, Executive Director Actuarial; Shri. Sunil Agrawal, CFO; Shri. R. Sudhakar, Executive Director Marketing; Shri. Hemant Buch, Additional Executive Director Bancassurance, Shri. Sanjay Bajaj, Head Investor Relations.

Before we hand over the call to the LIC Management, as a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchstone phone. Please note that this conference is being recorded.

We now request the Management of LIC to start the call. And I now hand the conference to Chairperson LIC, Shri. M. R. Kumar, for starting this conference. Thank you, and over to you, sir.

M. R. Kumar Thank you. Good evening, everyone. I am M. R. Kumar, Chairperson LIC. On behalf of the Senior Management team, I warmly welcome you all to the results update call of Life Insurance Corporation of India for the quarter ended 30th, June, 2022.

The results and the presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.

Along with me, I have our Managing Directors, Mr. Raj Kumar, and Madam Mini Ipe. I also have present with me in the call, Mr. S. M. Jain, Executive Director of Finance & Accounts; Mr. Sunil Agrawal, CFO; Mr. Dinesh Pant, Appointed Actuary; Mr. K. R. Ashok, Executive Director Actuarial; Mr. R. Sudhakar, Executive Director Marketing; Mr. Hemant Buch Executive Director Marketing Bancassurance and Alternate Channels; and Mr. Sanjay Bajaj, Head Investor Relations.

Just before I start to provide an overview and detailed highlights of our performance in April to June, 2022 quarter, I would like to share with you that LIC is now part of the Fortune 500 list globally with a rank of 98 in the list. With this, LIC is the highest ranked Indian company in the Fortune 500 list, and it's a great matter of pride for all of us.

Now, moving to the key business, operational and financial highlights for the first quarter of the financial year, '22-'23.

Premium income:
We have reported a total premium income of INR 98,352 crore which is a growth of 20.35% as compared to Q1 of last year. Of this, Individual new business premium income is INR 10,938 crore, Renewal premium income is INR 49,069 crore, and Group business premium income is INR 38,345 crore.

With this, we have not only retained our Number 1 slot in the industry, but also grown our market share consistently since the beginning of the calendar year 2022. Our market share as per IRDAI published data was 63.25% for the year ended March, 2022 and is now 65.42% for the quarter ended 30th June 2022, thereby showing an increase of more than 2% during the quarter.

If we were to split the new business premium* by Individual and Group business, it would translate to INR 60,007 crore for the Individual business and INR 38,345 crore for group business. Therefore, we have a market share of 43.86% in Individual business and 76.43% in the Group business.

Further, the Individual NB premium has grown by 36.04% year-on-year, and Group business has grown by 33.92% year-on-year.

Seen on APE basis, the breakup of our business is as follows .

Total annualized premium equivalent, that is APE, for quarter ended 30th June, 2022 is INR10,270 crore, which is comprised of Individual APE of INR 6,450 crore and Group APE of INR 3,819crore.

Further, of the Individual APE, the par business accounts for INR 5,950 crore, and non-par amounts to INR 500 crore. As you can see, our non-par share of Individual APE is 7.75% and par is 92.25%.

Our renewal book has stayed strong at INR 49,069 crore registering a growth of 8.93% as compared to the same period last year.

The profit after tax for the quarter ended 30th June, 2022 was INR 682.88 crore as against INR 2.94 crore for the quarter ended 30th June, 2021.

Value of new business, (VNB) (Goss) is INR 1,861 crore for the quarter ended 30th June, 2022. Further, the VNB margin is 13.6% as on 30th June, 2022 which was 15.1% as on March 31st, 2022.

Asset under management as on 30th June, 2022 grew by 7.57% to INR 41.02 lakh crore as compared to I

NR 38.13 lakh crores as on 31st March, 2022.**

Our solvency ratio is at 1.88 as against regulatory requirement of 1.5, and our Board mandated requirement of maintaining 1.6.

Now, I would like to inform you about new product launches. In line with our strategy for increasing the proportion of the non-par business without compromising our existing par business, we launched two new non-par products during the quarter to cater to customer requirements, namely LIC’s Bima Ratna and LIC’s Dhan Sanchay. In addition, we launched one Group accident benefit rider, also during the quarter. What is interesting for us is that for the first time we launched this channel specific product, which is LIC’s Bima Ratna and that has been launched only for the bank assurance channel.

During the quarter, we did complete the test runs of our system integration with PolicyBazaar and we have achieved a soft launch.

During the quarter ended 30th June, 2022, we sold more than 36.81 lakh new policies registered a growth of 59.56% over the quarter ended 30th June, 2021.

Individual new business sum assured registered a growth of 60.7% over the corresponding quarter last year.

VNB margin is higher by about 46% as at June 2022 over September 2021, which was the first VNB determination post bifurcation of funds. VNB as at June, 2022, that is INR 1,397 crore is about 88% of post bifurcation September, 2021 VNB, which is INR 1,583 crore. However, slight reduction in VNB margin in Q1, June, 2022, as compared to March, 2022, is largely due to increase in annuity rates and change in product mix in the Group business, where higher proportion of fund based business has been registered, which has relatively lower VNB margins.

** Erratum: “31st March, 2022” to be read as “30th June, 2021”.

 Strategic decisions to increase customer benefits is a conscious decision that drives profitable volumes in a competitive environment, and also for striking the right balance towards the interest of all stakeholders, including shareholders and policyholders.

Going forward during the year, we expect the higher growth in volumes to contribute towards higher absolute value of business. As on June 30th, 2022, the total number of agents was 13,32,782 as compared to 13,26,432 as on 31st March, 2022 showing an increase thereby indicating that our agency recruitment has started to pick up pace again.

On number of policies sold basis, the agency force sold 35,93,940 policies during the quarter ended June 30, 2022 as compared to 22,35,321 policies during the same quarter last year registering an increase of 60.78%.

During the quarter, other channel, that is the Bancassurance and Alternate channels, grew by 96.13% on number of policy basis and 135.36% on new business Premium basis.

Our management expense ratio stands at 14.59% for the quarter ended 30th June, 2022, as compared to 15.85% for the same quarter last year.

With respect to persistency on premium basis, 13 month persistency stands at 75.75% for Q1 FY ’22-’23, as compared to 72.49% for Q1 FY ’21-’22, reflecting an improvement of 3.26 bps.***

Similarly, for 25th, 37th, 49th and 61st month persistency was 67.78%, 64.34%, 60.82% and 58.99%, respectively, for the quarter ended June 30th 2022.

We continue to focus on making our processes efficient, and I must mention here our initiative called Print To Post, a slide on the same you will find the presentation also.

We have outsourced our policy bond printing and delivery of the same to post office and found it very efficient since it has released a large number of man hours and brought speed to the delivery. I'm glad to share with you that we have dispatched 80.5 lakh policies to polic

yholders since Jan 2022, till 30th June, 2022, using this initiative.

To summarize, I would say that LICians have worked extremely hard and our people, including our agency force fought the last two tough years due to COVID, bravely, and started to regain lost market share now. We are dedicated to build further on our technology base, our alternate channels, add and strengthen new partnerships like PolicyBazaar and bring new products to the market, which meets the need to the customer.

Further, we intend to enhance our ESG awareness and activities as we grow the business in a sustainable manner. At the core of all, we have done for the last 65 odd years and going forward, lies the customer care spirit expressed through our “yogakshemam vahamyaham” which means “your welfare is my responsibility” a statement that every -- each and every LICian is very proud of.

Thank you very much, and we are now happy to take any questions that you may have.

Moderator First question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan Just wanted to understand some of the disclosures. Like it is the first time we're putting out on a quarterly basis. So APE, what is the growth, because can't see that in the presentation. So any sense on what's the Y-o-Y, growth should that be like correlated with the WRP growth or something, if you can help? And also what was the margin last year same time, if it's been calculated?

*** Erratum: To be read as “326 bps”.

Life Insurance Corporation of India
August 12, 2022

Page 5 of 12 Dinesh Pant By APE – this is Dinesh Pant. By APE, the growth on quarter-to-quarter base is around 47.6%. And the growth in par segment is over 59.5%, and actually non-par Individual, the growth is significant, around 300% or so by APE, and in Group business is around 23%. And the product mix contribution, Individual par has come down by 8%, and the non-par has gone up by 8%, total mix.

Shyam Srinivasan Dinesh sir, the first number you repeated, what is the growth, 46% is it, if I picked that up right?

Dinesh Pant Yes, this current year quarters, APE is around INR 10,270 crore.

Shyam Srinivasan Last year.

Dinesh Pant Last year's APE of roughly about INR 6, 957 crore. So this translates to growth of 47.6% for the overall business, quarter-to-quarter.

Shyam Srinivasan Mr. Kumar, just last question on the growth in the non-par, so 300 plus percent Y-o-Y basis, so can you outline some of the products that are driving this, what is the strategy? Yes, it's small, like you said, 7% of individual APE, but where can we see this say in 18 to 24 months? And what are some of the strategies around this?

R. Sudhakar This is Sudhakar, Executive Director Marketing, speaking. If I take the percentage of non-par product, it comes to around less than 7% as you said, but the contribution from premium is 23%. So what is driving the non-par businesses is annuities as well as the ULIP, which forms a substantial part of the -- almost 50% of it comes from annuity, and another, almost 30% comes out of the ULIP as premiums.

And if you look at the numbers, then it is almost shared equally between the annuities, ULIPs, term health and savings products. There’s not much of a difference when it comes to percentage of policies which are being sold. It is more or less equally spread among that. So going forward, that increase in the annuities as well as ULIP is something which the organization has been working on. And month-on-month during the first quarter, we have seen the improvement happening. And our expectation is that that will continue.

Dinesh Pant Non-par products are expected to -- non-product margin are in good direct three figures. So as this strategy towards moving to a non-par business increases,

the VNB is bound to
happen. And similarly, within that also, in Group business as well in Individual, annuities can also be drive up. So ULIPs -- see, we also have to consider one factor that while VNB is important, being able to satisfy the requirement of larger Indian population and being able to provide coverage is also going to be there. ULIP do have a lower VNB margin but that still remains a very important part of overall. So -- and our participating business is also reasonably around this averaged VNB figure. So higher V -- moved towards –and we have – as Chairperson was explaining, we are recently in the last, actually two, three quarters files lot of non-par saving products which are picking up now. And that can also be the huge drivers of VNB growth here onwards.

Shyam Srinivasan Good. Just trying to dissect the INR500 crore of non-par APE into the Individual components. I think you have given us a new business premium split, but it’d be helpful maybe going forward if we get like an APE split as well, just to see how that 7-odd percent is splitting out. I know it's small numbers today, but maybe -- at least it tracks the progress on non-par. It'll be useful for us. So that's just one request I'm putting.

If I were to look at the next question, second question is on the margins. I think in the opening remarks, Chairman sir talked about increase in annuity rates, leading to compression and margins. I think you're comparing to fiscal ’22, 15.1% versus the 13.6%. So if you could elaborate that a little bit.

Dinesh Pant Yes. Let’s appreciate the point here is that our annuities have been given good three digit margins, but ultimately as an initial, we have to ensure that the market share also grows. So in the last quarter of last financial year, we had the increase in annuity rate because the markets were in the competitive scenario. In the competition of the markets we saw large gap between us and the other competitors. So as a strategy to get more market share, we benefit for increase, that naturally transfer into reduction in VNB margins.

Now -- but interesting point is that a growth in this annuity segment, in the first quarter has been more than 50%, both by APE as well as by number of policies. And the strategy is to enhance this growth rate so that the overall VNB margin -- we are all aware of that when the benefits will increase, then the margins would come down.

So what we are looking forward is to the high multiple of VNB margins and we see volumes by APE so that the overall VNB amount increases in line with expectations of the planned marketing strategies of our organization. That was one point which was stated by Chairperson.

Other point was about, in the first quarter, we all appreciate that the insurance business is cyclic and the business starts picking up from quarter to quarter, and the heaviest and most fueled quarter is the last one. In the first quarter the product mix is slightly changed. While importantly, as we were stating earlier also, the growth in par of 59% in APE, non-par, growth in Group business was at 23%. But within that, largest growth driver for this first quarter was the fund based business, compared to annuity. Since fund based business has got lower margins, so therefore it did impact the overall VNB margins for the quarter. So that was one of the second reason for which lies decreased VNB.

But as we go from quarter to quarter, next quarter, a larger pickup takes place in saving products, annuity products and other product, we would expect this to come back to that range and from there onwards to the higher level.

Shyam Srinivasan Got it. My last question, just to follow-up on this one, what is your flagship prod

uct in
the annuity space? Where are our rates versus, say, competition? You said you increased rates. So are we now on par or you think rates are moved further on because of the overall interest rate scenario?

Dinesh Pant That's very interesting thing, actually. It's a very dynamic environment and we all know interest rate cycles can be very volatile. And annuity it is a long term business. So we all know profit and losses in the non-par business totally belong to shareholders, and we have to take very calibrated approach at all the times, depending upon the situation, investment opportunity, and our ability to lock points in that context. We want to be competitive, but we do not want to be fierce in competition so that the ultimate aim of the profitability is not lost out.

So we are very vigilant, and you would've seen we have been very dynamic now from last some periods, in taking a review. In fact, this was for the first time possibly after long that LIC increased annuity rates in the last quarter. So we are very open to approach depending on the investment opportunities available and as the investment cycle as they go, looking into annuity rate upwards or downwards, as is required.

Moderator Our next question is from the line of Jayant from Credit Suisse.

Jayant Congratulations on a good set of numbers. I would actually like to follow up again on the non-par product as well. Could you help us give more color on what are the products that is driving bulk of this sales that has come through in first quarter, and also how much was the increase in rates that you took in this quarter? And this was after how many years?

Dinesh Pant If we talk about the products which have been the driver in the non-par side then annuities have been the driver of the growth there. We have seen growth in ULIPs which has been significant growth. And actually -- and then we have also now started getting and developing correction because we recently filed saving products in the non-par, so they were also there, and we are also getting good now traction towards the protection based business. Though the volumes are still not that big, our ticket size is reasonably good there, and we are closely monitoring that also.

So we -- our strategy is that we'll focus -- continue to focus on ULIP because that's a less capital intensive business, but from the VNB point of view, I think Corporation would continue to focus on annuity as well as saving products, along with the Protection based products.

 Jayant Sir, on the annuity products, can you give us a name of the top two products that are selling, and also the average ticket size for annuity overall.

Dinesh Pant Yes, the top two products, we have got one immediate annuity product, which is Jeevan Akshay and in the deferred annuity segment also we have product, which is call Jeevan Shanti.

Jayant And sir, the average ticket size?

R. Sudhakar INR 11 lakh…

Dinesh Pant Around INR11 lakh…

R. Sudhakar For Akshay and INR12 lakh in Shanti.

Jayant Sir, lastly, just one thing I'd asked, how much rate increase did you took in this product in this quarter?

Dinesh Pant In the last quarter? Actually, that's a little price sensitive information. We will not get into it, but that did translate, if we can see from even benefit illustration because what happens when the interest rates are changed, the change in the benefit across the ages is not uniform. It changes from age to age. So typically, it can be ranging depending the – ultimately it is not benefit, which is increased. We take a review on the available investment opportunity, and we review based on that thing.

So there was a revision which was done on that basis. That t

ranslation was almost 8% to 10%, 11% benefits changed across the ages, 7% to 11%, 12% rates were there. So, which changed in the last quarter.

Jayant And this was lastly being sold by the agent network only, right?

Dinesh Pant Largely sold by?

Jayant Agent network.

Dinesh Pant Yes, it is sold by agents also, we have direct online business also coming for that. And it is coming under our pension -- business also, annuity and superanuation , they also take annuities.

R. Sudhakar No, Bank assurance is also…

Dinesh Pant Banca also. So all channels are selling this, but yes, the agents continue to remain the largest.

Jayant So sorry, just lastly on this, after you've moved the rates have you seen better pickup? I mean, what is the lag sort of between volume movement and the rates movement?

Dinesh Pant So as I was explaining earlier, there was almost from -- on quarter-to-quarter basis, when we compare Q1 of last year Q2 -- because Q1 was clearly – actually, last quarter was based on the two rates. We did in between the quarter. But if we compare Q1 of last year versus this year, the growth in number of policies is 54% and 53%. Almost, we can take it 50% plus, though we would want, and we expect to go further.

Moderator Our next question is from the line of Anuj Singla from Bank of America.

Anuj Singla Sir, first question is with regards to the growth on a Y-o-Y basis. You did talk about

funds business driving a significant portion of that, and as from my understanding, this
tends to be lumpy. So if, if we were to exclude the funds business on a Y-o-Y basis, what
kind of APE growth you would've recorded?

Dinesh Pant That would've been much more. We had to really -- slightly work out the figure, but we
can say roughly the APE of fund based -- but we, how many – it's around 90% but we
have to really work out the figure, but that will be definitely in more than 80% or so.

K.R. Ashok 92% or so.

Dinesh Pant 92% or so.

Anuj Singla Just to get the clarity, out of the total APE, what will be the APE from fund based
business in this quarter?

Dinesh Pant Fund based is almost around 38%, total group business out of the constitution, and
38.9…

K.R.Ashok 38.19…

Dinesh Pant 32%, 33% would be – 30%, so to almost maybe one-third.

Anuj Singla One third of ?

Dinesh Pant Around one third of the total APE, roughly I'm giving you the figure, roughly one-third
of the APE. So around INR 3,300 crore plus here and there would be the APE in the
funds business.

Anuj Singla Okay. And so will it be fair to assume that this tends to be lumpy, so this is kind of a
number, which we shouldn't extrapolate for the upcoming quarters as well? And so if we
are projecting from a full year basis, this is something we should exclude from the similar
growth, we shouldn't be expecting for the rest of the quarters. Is that a fair assessment?

Dinesh Pant I'm not sure because ultimately its analyst's call because the point here is, it's very
important for us to consider that this could be certain lines of business where VNB will
be less, there could be certain line where VNB will be more. Definitely, the call for the
Corporation is to ensure high VNB margins here. But we are also -- as I was earlier
telling, focused about being able to sell the needs to the customers, because that's why we
are in this business and that's why LICs expected is so high. Being able to sell them as
per for the requirement, even if the margins are low is going to be important.

And the lumpy, I would not say, because over a period of time, this will automatically
settle down. And what has been same that yes, sometimes it can come in larger volumes.
It may not come in those volumes in

the next quarter. So particularly we saw this
phenomena because we will appreciate that generally in the -- during the year-end, there
are a lot of corporate changes also, which can happen, which can take place and
readjustment happens. So this was a quarter in which we saw greater focus on there. But
we are focusing, corporation is focusing more on high VNB margin based protection
also. So we expect that to settle down on as we go forward the next quarter.

Anuj Singla Okay. And sir, secondly, I think one of the participants already asked about the break-up,
INR500 crore. Is it possible to have a break-up of that in terms of ULIP, term, savings for
APE?

K. R. Ashok This is Ashok. The ULIP is INR137 crore, and the Individual non-par is INR 364 crore.

Dinesh Pant And these are rough figures.

K. R. Ashok These are rough figures.

Dinesh Pant Roughly, we can say, Yes, around 1 – Yes.

Anuj Singla And out of that how much would be savings, non-par savings?

K. R. Ashok That, I think, we'll have to come back to you because we don't have those numbers immediately. We'll come back to you.

Anuj Singla Okay, because we are focusing on non-par savings in a big way. That's a high margin product. So if you can provide some color on that on an ongoing basis that, that will be great for us analysts in terms of looking at how we are delivering on that objective.

M. R. Kumar Okay. Okay. Fine. Got it.

Moderator Next question is on the line of Avinash Singh from Emkay Global.

Avinash Singh Couple of questions. The first one is on your persistency part, I mean, if I look in number of policy terms, the 13 month persistency is 63%. So that roughly suggests that more than a third of policy holders are dropping out just at 13 months renewal. And considering that your book is largely non-ULIP, the 13 months dropping out means the policy holder is going to get a big zero. So I mean, what is going wrong and what are you doing to address this part, because I mean more than a third of policyholder just dropping out after paying the first -- I mean, dropping out at the first year renewal is something that does not look good in the process -- So that's the first question.

And the second question is in terms of your recent launching in the non-par guaranteed product, I mean, if you can give the latest guaranteed rate currently?

Dinesh Pant Yes, that's an issue, important criteria, but like you mentioned about almost one-third dropping out, we have to see -- two, three issues have to be seen here because this method of calculation of persistence is on cohort basis, which has been done. It's not -- if you look into overall persistence of Corporation, it's just around 2% of the best globally, because globally, the persistency is measured as total policy left divided by total number of policies. But yes, it's a concern, but we need to be aware. We have noted or would have noted that Corporation has got large reach in the rural areas and small ticket size policies have been there. And we have seen higher persistent electrician rates in the small ticket size policies.

Conscious efforts have been done recently by the Corporation in reviewing the product. In fact, the large amount of relaxation was being seen in micro based products also. So in the past quarters, we have reviewed that thing and we have already started to see good outcomes coming. But the only point is the steps which have been taken in the recent quarter, you would be able to see the outcomes of that by a year or so. And this is the outcomes of the phase, which were there one year back or so, in fact, effectively one and a half year back or so. So those have been done.

And the review have been done also on

the different products so that the ticket size,
which is done because we know the ticket size, the mode of payment and all those things, there are certain drivers of persistency. So all conscious efforts are being done in that direction. And we expect this persistency to improve.

Also, we also need to need note that when this 63% is considered, the single premium policies are not included. So what happens, single paying policies is an important and big part of our portfolio. So that is taken out of it. And if we go by a premium basis, this persistency figures are much higher at around 75%, 76% or so. So by number of policies, largely due to smaller ticket size policies which gets lapsed.

Avinash Singh And if you can help with the latest guaranteed rate on your two of the new launch in the individual non-par segment over the last quarter?

Dinesh Pant What would you like to know about that?

Avinash Singh I mean, what kind of guaranteed rate you are offering currently in those two products? That is, I guess your Jeevan Ratna and Dhan Sanchay.

Dinesh Pant Bima Ratna and Dhan Sanchay.

Avinash Singh Yes, yes, sir.

Dinesh Pant You're talking about IRR?

Avinash Singh Yes, sir.

 Dinesh Pant To the best of my memory, it goes up to 5% or so, but we have also filed some more products recently. In fact, you will You Know we are trying because interest rate taking view about that. So guarantee addition is the in-built part of it, but we're talking about guaranteed returns because our non-par premium products have guaranteed price in the beginning. For the higher ages, IRRs would be less, for the younger ages IRR will be more depending upon what ages is taken, but they go up to 5% or so, and we can expect some products to be even higher than 5%.

Moderator Our next question is from the line of Ram Kumar Komanapalli, as an investor.

Ram Kumar Komanapalli My question is around the claim rate. How the claim rate was before the COVID, and COVID times and current and future terms? I am asking this question on the non-par ground.

Dinesh Pant Actually claim rates had been very stable before COVID you know what happened in 2020. Within that two years, we did witness certain spikes in this COVID. rate. Now, from the current quarter, we see it to bit settling down towards more normal. It is still not back to pre-2020 figures because we would appreciate that the effects will take some time and there will be some IBMR cases with get reported late also. So those issues are there. So this seems to be settling down. Fortunately the COVID wave is now, or COVID effect seems to be less threatening now, not affecting the mortality. So we are optimistic that over the next year or so, this should settle down to the pre-COVID level.

M. R. Kumar So just to add and use some numbers on the Q1 -- compared to the Q1 of last year on claims by death, so last year, the settlement of death claims was to the tune of INR 7,111 crore, which is for the first quarter of this year, INR5,743 crore. So there is quite a decrease, and it's quite obvious that whatever decrease was there based on COVID has going away now, Q1 to Q1 of the previous year.

Moderator Our next question is on the line of Prakhar Sharma from Jeffries.

Prakhar Sharma Sir two questions from my side. First, generally if you look at the perception among your customers around your participating product, generally is that whatever has been indicated by the agent is more or less kind of achieved and guaranteed because LIC has been a strong platform and delivered over the years. In that context when you put across a product in the non-par space, which is a 5% yield product,

whereas the agents will show the participating products at 6.5% and 7% yield product, how do you expect the consumer to actually absorb given the existing perception around LICs participating product? That is my question one, sir.

Dinesh Pant Yes, actually we have seen across people are -- many policies -- let's appreciate one thing which are measuring today have taken long back, some 15 years, 20 years back. And at that time we all know the interest rate used to be very high. So they have really benefited out of it. Ultimately, we have seen participating products also have got a different thing because there are discretionary benefits which are involved. So up and downside of which both are, to some extent, by the policyholders, certain part is guaranteed. In non-par products, as I've explain to you, there is a cautious side, which we to take in -- in a cycle in which we are there, in which interest rate are going down because a long term commit, we had taken a cautious approach and you would see if you analyze our products -- and we have seen interest rates having picking up for some time. The pricing of these products have also underwent changes, right?

For example, like annuity, I was Selling you earlier that annuity rates, we revised possibly for the first time, upwards. And as we are seeing this direction towards interested rates. From June actually, it was around -- was around 10.5% or so. So there we have -- and we are also pricing these products in a more open manner, and we now use and file methodology being approved by IRDAI also, more dynamic approach or actions are available to control this in this non-par product. So we are now revising all these products also, according.

So even within the non-par product, but let's also appreciate one point that it's not always on the returns that things will be compared. The features of the product and all those

things also will have to be seen, the overall satisfaction of the needs of the customer. Of course the returns are important, but features are also to be considered.

M. R. Kumar Can I add something, this is Kumar here, Chairperson. I think if I get a sense of your question, it was that wouldn't agents be driving more of par where they're possibly seeing a better benefit accruing compared to the non-par fixed benefits. Have I understood that?

Prakhar Sharma Absolutely, sir. That's the point, sir.

M. R. Kumar I got the point. So what we're doing is generally people are got used to selling par. LIC was selling par for a long time, and just for the information, 30, 40 years back, LIC was selling a lot of non-par. Now, customer preferences have driven us to bring more of par products where people can easily sell the product in India, where people -- it's very difficult to talk about life insurance otherwise -- unless you talk about giving some bonus return and things like that.

Now defined benefit non-par is more challenging from the investment point of view and from the persons generating return point of view, but the customer doesn't know that. And moreover, now that we have lost -- rather we have more non-par products than par today, we have simultaneously also started training all the agents down the line, giving them idea about what interest rate scenario is all about. And this is something that they did not understand. We have 13 lakh agents, many of them in Tier 2, Tier 3 cities. So trying to give them a sense that why protection, savings kind of products are far more important from the customer's point of view, rather than the bonus par policies that we've been selling all these years.

And I think we are seeing the traction as you've seen in the numbers. So that is beginning to -- there is an up

take, quite a bit of an uptake there. And going forward, we'll continue to train everyone. It will take some time for us to train everyone, 13 lakh agents down the line, but that is something that is a work in progress. I hope it answers your question.

Prakhar Sharma Yes, sir, it does. Can you give clarity that are the agents commission structures or incentive structures for non-par suitably incentivized to make that change or selling a 1 lakh Rs. premium par product versus a non-par product, just using a number reference, earns them almost the same commission.

Dinesh Pant I think it will -- it is there, but just a commission becoming the driver for the sales and the focus should be – sale should be driven by the needs of the customers and their understanding.

For example, a customer for non-par product, if somebody who has got greater appetite for guaranteed return, whereas a customer for a par product if somebody who's willing to participate in the discretionary benefit. But what we can always share with you is, of course, we have reviewed our commission structure and not just actually for type of sales, that also we have considered, but the aim is that the commission structure should be driver towards higher persistency. So that is something which we value, that something the points from which persistency can increase should go as a reward in the commission structure.

Prakhar Sharma And the second question I wanted to ask is only changes on the annuity product side, would this have made any changes to the way you were thinking of overall margins for the company for the full year, because it's kind of something you did recently, and does that make any impact on the full year margin expectation for LIC? Thank you.

Dinesh Pant What we can share is we expect annuity to be the driver for VNB margin. And in case another reset is there, we would expect the volumes to take care of any loss in the margin. And so that we do not -- the stakeholders, means the policyholder benefit from higher return, but the shareholder should also benefit from higher volumes multiplied by those margins so that there is no compromise on the VNB by amount. That is going to be the underlying driver.

 Prakhar Sharma And sir, just to reconfirm, there’s no bad book repricing here, right? There's no impact on EV from this?

Dinesh Pant Because of this?

Prakhar Sharma Yes, the annuity price change. There's only prospective, not for the retrospective.

Dinesh Pant That's what we said. As long as we are expecting the VNB amount to go up, that's the driver, it should not -- it will not have any adverse impact on the EV because shareholder value -- as long as the VNB increases, shareholder value has to increase.

And repricing of the product benefit should result into higher volumes. If the volumes do not increase in that proportion, then the purpose is lost out. So it's a very calibrated approach deciding on the optimum level of profit margin, where the product remain competitive, acceptable and affordable to the customer but their driver of growth and the overall value for the shareholders.

Moderator Thank you.

Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Kumar, Chairperson LIC for closing comments.

Thank you, and over to you sir.

M. R. Kumar Thank you very much. Thanks for the questions, and we will get back to you next quarter for the next meeting. Thank you so much.

Moderator Thank you very much.

Ladies and gentlemen, on behalf of Life Insurance Corporation of India, that concludes this conference.

Thank you all for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2022

Ref. No.: LIC/SE/2022 -23/113 Date: Novem ber 18th, 2022
To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of IndiaLtd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai -400001 Mumbai -400051
Scrip Code: (BSE - 543526/NSE - LICI)
Dear Sir/ Madam,
Sub: Transcript of Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith the Transcript of Conference Call with Analyst/Investors held on 14th November 2022.
The said transcript is also available on the Corporation's website and can be accessed from the link: https://licindia.in/Investor- Relations/Financial-D etails/Analysts-Investors -Meet/Call- Transcript -of-Analysts- Investors- Meet
This is for your information and dissemination.
Yours faithfully,
For
Life Insurance Corporation of India
(Pawan Agrawal)
Company Secretary & Compliance Officer
 "Life Insurance Corporation of India (LIC)
H1 FY23 Earnings Conference Call"
November 14, 2022
MANAGEMENT : MR. M R KUMAR – CHAIRMAN , (LIC)
MR. RAJ KUMAR – MANAGING DIRECTOR, (LIC)
MR. SIDDHARTHA MOHANTY – MANAGING DIRECTOR, (LIC)
MS. MINI IPE – MANAGING DIRECTOR, LIFE (LIC)
MR. B C PATNAIK – MANAGING DIRECTOR, (LIC)
MR. S.M. JAIN – EXECUTIVE DIRECTOR FINANCE AND ACCOUNTS , (LIC)
MR. SUNIL AGRAWAL – CFO, (LIC)
MR. DINESH PANT – APPOINTED ACTUARY & EXECUTIVE DIRECTOR, (LIC)
MR. KR ASHOK – EXECUTIVE DIRECTOR(ACTUARIAL), (LIC)
MR. P. R MISHRA – EXECUTIVE DIRECTOR INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER, (LIC)
MR. R. K. JHA – EXECUTIVE DIRECTOR INVESTMENT BACK OFFICE, (LIC)
MR. R. SUDHAKAR – EXECUTIVE DIRECTOR MARKETING , (LIC)
MR.H.M.BUCH-ADDL.EXECUTIVE DIRECTOR (MBAC), (LIC)
MS. MANJU BAGGA-EXECUTIVE DIRECTOR (P&GS), (LIC)
MS. ANJUBALA P.-EXECUTIVE DIRECTOR (CRM/CLAIMS/ANNUITIES), (LIC)
MS. RACHANA KHARE-EXECUTIVE DIRECTOR (CRM/PS), (LIC)
MR. SANJAY BAJAJ-HEAD INVESTOR RELATIONS- (LIC)

Moderator: Ladies and Gentlemen, Good day and welcome to the LIC Earnings Conference Call H1 FY2022-23. We have senior management of LIC led by Mr. M R Kumar – Chairman on this call. Before we hand over the call to LIC management.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you

to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
We now request the management of LIC to start the call and I now hand over the conference over to Chairman of LIC Shri. M R Kumar for starting the call. Thank you and over to you Chairman LIC.
M R Kumar : Good morning, everyone. I am M.R. Kumar, Chairperson LIC.

On behalf of the senior management team, I warmly welcome you all to the results update call of Life Insurance Corporation for the second quarter and half year ended September 30th, 2022.The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.

Along with me, I have our four Managing Directors, Mr. Raj Kumar, Mr. Siddhartha Mohanty, Ms. Mini Ipe and Mr. B.C. Patnaik. Senior officials of the Corporation present on this call are Mr. S.M. Jain, Executive Director (Finance & Accounts) and Mr. Sunil Agrawal, CFO from the finance team, Mr. Dinesh Pant, Appointed Actuary & Executive Director and Mr. K.R. Ashok, Executive Director from our Actuarial team, Mr. P R Mishra, Executive Director (Investment -Front office & CIO) and Mr R K Jha, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing) and Mr. Hemant Buch, Addl Executive Director (Marketing-Bancassurance & Alternate Channel) from our Marketing team, Ms Anju Bala Purushottam, Executive Director (CRM/Claims) and Ms Rachna Khare, Executive Director (CRM/Policy Servicing) from our CRM team, Mrs. Manju Bagga, Executive Director (Pension & Group Schemes) and Mr. Sanjay Bajaj, Head (Investor Relations).

Before I provide an overview and detailed highlights of our performance for the half year ended September 30th 2022, H1FY23, I would like to inform two important points to all investors and analysts who have gathered on this call.

FIRST that starting now, we will be able to present all data on a comparable basis with previous year time period.

SECOND that as we had mentioned in our July 15th analyst call, we will be presenting to the markets, our Indian Embedded Value (IEV) this time along with the results and I reiterate that going forward we shall be disclosing the IEV twice a year both as at March 31st and September 30th every year along with our financial results.

Now moving to the key business, operational and financial highlights for the first half of the financial year 2022 -23.

For the half year ended September 30th, 2022 we have reported a Total Premium Income of INR 2,30,456 crore showing a growth of 23.87% over the corresponding period of last year, i.e. September 30th, 2021. The Individual New Business Premium Income for H1FY23 is INR 24,535 crore and for H1FY22 it was INR 21,964 crore. Renewal Premium Income (Individual business) for H1FY23 is INR 1,03,203 crore as compared to INR 97,793 crore for H1FY22. The Group Business premium income for H1FY23 is INR 1,02,718 crore as compared to INR 66,296 crore for the corresponding period of last year. With this we have not only retained our No. 1 slot in the industry but also grown our market share consistently, quarter on quarter since the beginning of the calendar year 2022. Our market share as per IRDAI published data was 63.25% for year ended Mar

ch 2022 and is now 68.25% for the half year ended September 30th 2022, thereby showing an increase of 5% in the last six months.

If we were to split the total premium for H1FY23 by individual and group business, it would translate to INR 1,27,738 crore for Individual business and INR 1,02,718 crore for Group Business. Therefore, we have a market share of 42.31% in Individual business and 80.34% in the group business. As you can see that our market share, on total premium basis, continue to the largest in both Individual as well as Group segments.

Total Annualized Premium Equivalent (APE) for half year ended September 30th 2022 is INR 25,228 crore which comprised of Individual APE of INR 14,643 Crore and Group APE of INR 10,585 Crore. Therefore, on APE basis, the individual business accounts for 58.04% and Group business accounts for 41.96%. Further in the Individual APE, the Par business accounts for INR 13,328 Crore and Non-Par amounts to INR 1,315 Crore. As you can see our Non par share of individual APE is 8.99% and Par is 91.01% for H1-FY23. On a comparable basis, you will recall that our Non-Par share for year ended March 31st 2022 on APE basis within the overall individual business was 7.12% and was 7.75% for quarter ended June 30th 2022. Therefore, we continue to increase the share of Non-Par business within our Individual business, with every passing quarter.

The Profit After Tax (PAT) for the half year ended September 30th, 2022 was INR 16,635 crore as against INR 1,437 crore for the half year ended September 30th, 2021.

At this point, I would like to mention that the current period profit has increased due to transfer of an amount of INR 14,271.80 crore (Net of Tax), pertaining to the accretions on the available solvency margin from Non par to Shareholders account. Further to break up this amount of INR 14,271.80 crore, it comprises of INR 5580.72 for the quarter ended September 30th 2022 besides INR 4148.78 crore and INR 4542.31 crore for the preceding two quarters respectively.
Also, while on the subject of profitability, as a matter of prudence, we have made a provision of INR 11,544 crore for employees retirement benefits, on account of the wage revision which has fallen due w.e.f. 1st August 2022.

Further I would like to inform all of you that we have received an amount of INR 25,527 crore from the Income Tax department and it comprises of Income tax refund amount of INR 18,900 crore and interest of INR 6,627 crore on the same.

Later on this call, the management team present here led by myself will be happy to answer in detail, any questions that you may have on the elements of profitability just explained.

Gross Value of New Business (VNB) is INR 4,836 crore and Net VNB is INR 3,677 crore for half year ended September 30th 2022. Further, the net VNB margin for the half year of FY23 is 14.6% as compared to 9.3% for half year ended September 30th 2021. Further you may recall that for the full year ended March 31st 2022, the comparable VNB margin was 15.1%. Also, for the first quarter ending June 30th 2022, the VNB margin was 13.6%.

The Net VNB margin is higher by about 5.3% as at 30th Sep 2022 over 30th Sep 2021.

Our IEV as on September 30th 2022 is INR 5,44,291 crore as compared to INR 5,41,492 crore for March 31, 2022 and INR 5,39,686 crore on September 30th, 2021.

As you can see, the IEV has increased by 0.85% as on September 30th 2022 over the IEV as of September 30th 2021 and 0.52% over the IEV as of March 31st 2022.

Assets under management as on 30th September 2022 grew by 8.69% over the previous half year to INR 42,93,778 crore as compared to INR 39,50,633 crore as on 30th September 2021.

Now, I would like to inform about our New Product Launches. In line with our strategy of increasing the proportion of the Non par business, we launched three new Non par

products
during the first half year of FY2022-23 to cater to customer requirements, namely, LIC's Bima Ratna, LIC's Dhan Sanchay and LIC's New Pension Plus respectively.

During the half year ended September 30th, 2022, we sold 83,59,029 new policies as compared to 73,61,410 policies in the half year ended September 30th 2021 registering a growth of 13.55% over the corresponding period of last year.

As on September 30th, 2022, the total number of agents was 13,34,811 as compared to 13,26,432 as on 31st March 2022 and 13,43,587 as on 30th September 2021. The market share by number of agents as on September 30th, 2022 stands at 53.36% as against 55.97% for September 30th 2021.

On number of policies sold basis, the agency force sold 80,47,578 policies during the half year ended September 30th 2022 as compared to 70,13,133 policies during the corresponding period of last year registering an increase of 14.75%. Therefore, you can see that more than 96% of our policies for the first half of FY23 were sold by our Agency force. Even on premium basis, a little above 96% of NBP came from our Agency channel for H1FY23.

During the half year ended September 30th 2022, other channels (BAC – Banca and alternate channels) contributed to 1.72% by number of policies and 3.37% by NB premium. For the half year ended September 30th 2021, the BAC (banca and alternate channels) had contributed 1.41% by number of policies and 2.31% by NB premium. Therefore, you can see this channel has grown by approximately 39% on number of policies basis and 63% on new business premium on year-on-year basis.

Our Management Expense Ratio stands at 16.69% for the half year ended 30th September, 2022, as compared to 15.33% for the same period of last year.

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for H1FY23 stands at 77.62%, 73.84%, 67.85%, 64.73% and 62.77% respectively, as compared to 78.77%, 70.91%, 67.60%, 64.81% and 60.57% respectively for H1FY22.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for H1FY23 stands at 65.21%, 61.63%, 54.93%, 52.46% and 51.61% respectively, as compared to 67.69%, 58.27%, 55.35%, 53.67% and 49.38% respectively for H1FY22.

We continue to focus on making our processes efficient and as you are aware that in the previous call on August 12th 2022, I had mentioned to you about our “Print to Post” initiative. I am happy to report and update that we have completed dispatching of 1.22 crore policies to policyholders since Jan 2022 till 30th September 2022 using this initiative.

In our digital initiative through the Agent assisted ANANDA app, we have completed 3,14,955 policies through this App during the six months period ended Sep 30th 2022 as compared to 1,44,645 policies for the comparable period ending September 30th 2021 thereby registering a growth of 118% on YoY basis.

On the claims front, during H1FY23, we have processed 87,65,411 total number of claims which includes Individual and group claims together. On an amount basis during H1FY23, the total maturity claims were INR 72,988 crore and the total death claims were INR 11,665 crores. On a comparable basis for H1FY22, the total maturity claims were INR 78,146 crore and total death claims were INR 21,314 crore. Therefore, the death claims are lower by 45.27% and the maturity claims are lesser by 6.60% on a year-on-year basis.

We are having a committed and trained workforce (employees) of 1,01,313 as of September 30th 2022 out of which 95% are in Branch and Divisional Offices enabling them to be in close proximity to our customers reinforcing our “Feet on street” approach.

Given the business progress you will appreciate that we are firing on all cylinders of changing product mi

x, enhanced digitization, increasing market share, diversification of channels for distribution and new product launches.

While doing all the above, each and every LICian holds close to their hearts, our philosophy of “Yogakshemam Vahamyaham” which means “Your welfare is my responsibility” while discharging their duties to all our stakeholders.

Thank you very much, and we are now happy to take any questions that you may have.
Moderator : Thank you very much. We will now begin the question-and-answer session. The first question

is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee : So, my first question is on the VNB margin walk that you have disclosed so margins are expanded sequentially between first quarter and second quarter now if I compare the VNB margin walk for what you have disclosed in first quarter and what is going to be disclosed now I see that between these two quarters there is a significant impact of change in assumptions that is driving the sequential margins increase while there is a slight negative impact of product mix sales, so if you could give some color on what is this change in assumption that is the first part and the second part is that in terms of product mix I see that share of group has increased while share of PAR has gone down slightly now in the gross VNB margins that you have disclosed the margin for the group products are slightly higher than PAR, so my second question on this is the if the higher margin product is going up slightly or there is a negative impact so that would be my first question if you could take that?
K R Ashok : Regarding the first part the major component of assumption that has changed and that is having a profound impact on VNB is the risk-free rate. The risk-free rate is derived from the market basis and it changes on a frequent basis and the increase in the risk-free rates has actually helped in increasing the VNB margin. Coming to the second part yes, it is true that the group business has shown an increase in the margin overall the reason being that within the group business the annuity increased the proportion of annuities are increased compared to the previous period that has resulted in the increase.
Swarnabh Mukherjee : So, my question is that since the product mix is turning favorable from end of FY22 numbers why do we see a negative impact of product mix that you have disclosed in VNB?
K R Ashok : Actually, if you look at the total volumes that is being done group has done a significant volume, but if we look at the average the VNB for the company as a whole which is the average the group's VNB is less than the average and, therefore, it is actually pulling it down from the 15%

reported as at March, but however because of the internal product mix within the group it has resulted in increase in VNB over what was reported in the previous quarter as at June.
Swarnabh Mukherjee : Actually, sir what I see that in group individually also margin has increased from 40 crores last quarter, so that is where my confusion is. Anyway I will take this offline also if you could give the drivers of EV, so EV has been broadly stable in the last 6 months, so is there any non-operating variance impact which is driving this or any operating variance also if you can throw some color on that?
K R Ashok : Actually, we will be disclosing the AOM which is walk of EV on an annual basis and I think in that next reporting period when we disclose I think it will be more clearer.
Swarnabh Mukherjee : And even if not exact numbers if you can give some qualitative comments on that, that will help us understand please little better?
K R Ashok : Qualitatively actually what is happening is there are some market movements and the impact on market movements actually brings the IEV down and the operating variances including the

unwind plus the VNB increases the top and that has resulted in overall increases.
Swarnabh Mukherjee : And last one a book keeping question if you could share last year is second quarter APE by product line of channels that would be very helpful because otherwise last year first quarter was impacted by the delta wave and hence there is some distortion in the normalized business environment it is difficult to gauge the total performance in isolation, so if you could share that, that would be very helpful?
M R Kumar : We can do that later separately.
Moderator : Thank you. The next question is from the line of Deepika Mundra from JP Morgan. Please go ahead.
Deepika Mundra : Just two questions from me sir firstly if we look at the EV breakup the VIF is down quarter versus March 22 and ANW is actually increased, so can you give the reasons for both because with the VNB accumulation ideally and unwind we should have seen the VIF doing a little bit better, so can you explain both of those two components of EV?
K R Ashok : Actually, you must have heard our chairperson saying that there has been a movement from ASM fund to the profit and loss account in order to make the, use the, capital efficient and that has resulted in the movement between value in force and ANW. Therefore, overall, it does not have much of an impact, but amongst the VIF and the ANW there has been a movement due to these transfers.
Deepika Mundra : And sir any thoughts on the draft commission in expense of management rules put by IRDAI and how LIC falls within that framework?

Dinesh Pant : We have examined the draft regulations which has come from IRDAI and LIC has been, except few lines of business, get well with it and we are sure whatever actually has been proposed now also will make LIC positions more comfortable than existing so we are okay with it. So, I think the draft regulation which is now related to commission etc. on overall basis we expect to be well within that.
Deepika Mundra : So well within the 70% limit?
Dinesh Pant : I am not sure whether the 70% which have been talked about continues because since then our discussions are within the industry and IRDAI and fortunately the draft is still in review stages lot of discussions are happening. So, I am not sure of it at the end of it whether the 70% thing will remain or whether it will be linked to overall, but to our understanding whatever last draft was shared between the industry our position becomes more comfortable than before.
Moderator : Thank you. The next question is from the line of Suresh Ganapathy from Macquarie. Please go ahead.
Suresh Ganapathy : Sir just a two questions first you know of course we do not get the EV breakup but you know sir the market will give valuations only if EV goes up and if your EV is flat since first half of last year even if you record any amount of VNB, people would not give valuations so we need to get the EV growth up, so we are seeing 10,000 crores of VNB addition, but EV is flat then clearly that is a challenge, so we want to know the outlook that what kind of EV growth that one can expect going forward because it is absolutely flat since first half of 22 so that is an outlook questions. The second thing is I am looking at your net earned premium that is up 27%, but your gross written premium is down 4% in the P&L that we have seen now this is net of reinsurance and this number is usually lower than the gross written premium, but this quarter it is 30% higher than GWP the net earned premium, can you explain what exactly is this discrepancy here?
K R Ashok: Regarding the question on IEV we are actually you will be aware that the fund bifurcation effect is performed on IEV and that is one of the reasons that initial growth in IEV is little bit slow, but I think the way corporation is performing we can hope to see better numbers go

ing forward.
Suresh Ganapathy : And the second question sir Net written premium being higher than gross written premium and significantly higher?
Sunil Agrawal : Which number are you referring to?
Suresh Ganapathy : No, so if you look at it the GWP is Rs. 1 trillion in Q2 the NEP is Rs. 1.3 trillion this is a 30% higher number GWP and NEP whereas this number is always lower in the earlier quarters it is before the investment income line item that is NEP?
Sunil Agrawal : It is not there in the presentation anywhere.

Suresh Ganapathy : It is there in your release that you have given the financial result release. Maybe I can take this offline because this is the biggest contributor to your surplus from operations so therefore we thought this line item becomes important?
Sunil Agrawal : Please can you refer which paragraph.
Suresh Ganapathy : Okay I will just have a look at this and come back to you. I just wanted to know this transfer from VIF to ANW what line item will it to go to the P&L where will you reflect it?
KR Ashok : Actually, it is movement from the investment income from the ASM fund and it is little bit did reflected in the PAR business – Non Par business.
Sunil Agrawal : And it will be ultimately residing in the balance in the profit and loss account under reserve and surplus.
Moderator : Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan : Just the first one on the Non-par the vision or strategy that we have to increase it if it is grown for the first half at 75%, individual Non-par I am talking about, sir can you highlight some of the products that are doing well it was 300% last quarter YoY growth maybe there is a base effect there, but it come down to 75 sir just your thoughts on how this particular piece will likely plan out?
Dinesh Pant : In the current year almost if you see the current mix of LIC's product is 20 Non-par (including PMVVY) products and 16 participating products and in the recent past we have launched in fact in the current year itself there have been 5 products (including 1 Group Rider) which have been launched and if you look into this product details they cater to different segments including specific niche segment of banca as well as saving as well as pension segment also. Currently, we are doing very well. The pickup has taken place in all this segment. The large one of the great contributors that we expect to be the pension plus products which we have launched in ULIP product. Plus the saving product and the Non-par also going to lead the growth in VNB margins

as well as VNB and the change in product portfolio mix. So, the strategy we are in fact you would see in the group segment we have added certain riders because rider though seem to be very smaller part of it, but they also can add value to the regular products and the margins there in are very strong. So, the strategy is now I think the growth strategy for the corporation coming to the engine of Non-par products would be all around in fact ULIPs we have now full range of products in the ULIPs and the saving products are also there. So, all of them are getting attraction now and pickup has started in that direction. So, I think all these saving products as well as ULIPs products are good drivers and plus protection products also we are having a relook into. So, entirely it is going to be combination of now the revised marketing strategy as well as the available product basket which is there. We are also expecting some more products to be added to the basket?

M R Kumar : Just to give a perspective on the Non-par saving as at September 22 we are growing at almost 251% and on the annuity Non-par annuity is growing at 7% and the ULIPs have grown at 79%.

Shyam Srinivasan :

251% on Non-par savings you said 7% on Non-par annuity is that what you are saying true?

M R Kumar : True. Annuity because of the base and quite a large base I can give the figures if you want Non-par annuity in terms of premium is 5,833 crores that is growing at 7.15% and ULIP 1,507 crores growing at 79%, Non-par saving slightly slower start, but still it has picked up to almost 200 crores growing at 251%.

Shyam Srinivasan : Sir, whatever you are selling so is there a guaranteed product now that we are selling fully in the Non-par savings?

Dinesh Pant : The Non-par products typically itself means guaranteed that the classic difference between participating and Non-participating products everything therein guaranteed. Though you may have certain features of guaranteed additions, but the benefits in the Non-par products have guaranteed. So, typically all these Non-par products have guarantee.

Shyam Srinivasan : I am just trying to compare versus say competition what are your some of your guarantee for your flagship products where are the guarantees like rough range and also associated in terms of hedging if you could highlight us please?

Dinesh Pant : As far as guarantees are there in some of the products we have recently launched our one product single premium product which is a close ended product where the return IRR to policy holder it's a typical model points can go up to 6% plus. Also there is a range you would appreciate that depending on the age and term that you select and the returns could vary that I am telling you the top end of that could be 6% also which is fairly attractive.

Shyam Srinivasan : What is the name of this product?

Dinesh Pant : LIC Dhan Varsha. So it is a typical 10-year, 15 year product where we are allowing single premium and lot of options are there and so it really works out very well starting from age 3 to age 60 that is the range at which it is available. Another product are also not exactly since it is a close ended product and we still have some other products in the pipeline also so that will continue to work.

Shyam Srinivasan : And the last question is on the gross margins that you share on some of the product lines. We do not have net margins per product, but looks like group business margins have gone up half over half, so can you just walk us through some of the drivers of that?

Dinesh Pant : See what happens in the group business also you would appreciate that there is a mix of business. It ranges from products and typical risk cover to annuity then annuity are higher with the margins. So, within the group also when the product portfolio within the group changes higher

annuity product or protection product would lead to higher VNB margins. So yes, you are right in there that within the group also the margins can move from 10 plus to 12 plus around 2.5% also roughly there is a change because the driver of the growth there has been annuity products we think is the pension products.

Shyam Srinivasan : And would you share some split of the group business between annuity and non annuity?

Dinesh Pant : Exactly at this point of time because right now we are giving on the largest overall line of business wise that is what we can share.

Moderator : Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh : Few questions from my side first you have eluded to the fact that you will not be giving embedded value on a bi-annual basis, but if you can share some light on if you are unwinding

rates are materially different during the first half of the current fiscal compared to the second half of the last fiscal. This is my first question?
K R Ashok : I will answer that. I think you are referring it to the unwind of the EV portion.
Dipanjan Ghosh : Unwind of the embedded value.
K R Ashok : See as I have already mentioned, t

he unwind portion I can give you a flavor of it because we will be preparing and disclosing the analysis of movement on a yearly basis, but now since you have asked what I can suggest is the unwind is the expected experience which is in the interest rate and in the long run we can expect the unwind to be close to the best estimate assumptions which should be between 8% and 9%.
Dipanjan Ghosh : Second question is on the gross VNB margin that your report product size you have launched some amount of new products on the individual Non-par business and if I look at the last one or two halves of the last fiscal or even the last annual numbers it means that your individual non participating gross VNB margins has tapered down a bit, so would you want to shed some color on that it is like something related to product level construct?
K R Ashok : Actually, the major reason for this is the rephrasing of annuities to make it more competitive.
Dipanjan Ghosh : My third question is more on a data keeping question since the time of your listing and the first management report we have not got some color on the global reserve that we have been holding and I understand it is dynamic and we keep some change, but if you want to state any color on that portion of your book?
K R Ashok : Global reserves more or less it does not vary much on a quarter-to-quarter basis. So we can assume that it is more or less at the level of the March 22.

Dipanjan Ghosh : And your COVID-19 reserve which were around 70 to 75 billion will stay around that number?
K R Ashok : Though the claims have started falling we have not yet reduced the COVID reserve. We are still maintaining it and we are continuously reviewing it. So, when the opportunity comes, right when the time comes we will look at it.
Moderator : Thank you. The next question is from the line of Anuj Singla from Bank of America. Please go ahead.
Anuj Singla : Sir first question is with regards to persistency so the persistency for the 13 months is very muted for us and it has declined actually in this half year as well and when I look at the press release there seems to be a 500 basis points decline in persistency from the 13 month in September versus June quarter, can you sir talk about the drivers of arriving at this and is it leading to any kind of operating variance in our EV walk?
Dinesh Pant: See actually the persistency from quarter-to-quarter the can at a time be little variable and because of the type of the business which we sold wherein as far as persistency’s impact on EV walk I am not sure it is not going to be very significant that would not be much significant. However, the corporations has done lot of steps have been taken in the recent times. We looked into a product portfolio and there were certain products which had the challenge in terms of persistency. So, actually within this we had review on two of our large selling products of the corporation in a micro segments and they were modified the ticket size were increased and in recently in last month also some of the products which we found persistency to be a challenge have been revised and the ticket size have been changed, the structures have been changed because few of them were large selling products with some persistency issues and we are very sure that with this sort of correction even this short term persistency correction will happen very fast because that remains the area of very important focus for the corporation.
Anuj Singla : Sir second question is on the group side of business while you did not give the breakup for the group business as such, is it possible to get some sense of what group savings will be contributing to the group business. The reason I asked this question because a lot of growth in this quarter has been driven by group and we understanding that group saving business tends to be lumpy, so

just trying to get a sense of the sustainability of the growth in the group side?

Dinesh Pant : Within group business also the largest contributor is the fund-based business pension business which is a significant contributor for this thing for our group business. Almost I would say that around 60%* would be coming from fund based business, but then almost 40%** or so slightly less than around that is also coming from other lines of businesses including assurance and the annuity. So, it is a fairly because this business has been there for quite long and let us also appreciate at times we are concerned about the VNB margins frankly speaking, but group business has been contributing almost equivalent amount of embedded value as the overall portfolio of our business. So, in that context in context of contribution to VNB group has been contributed significantly after the VNB margins are lower and good thing is that even in the group business as explained earlier because of largest contribution now coming from annuity business, the pension business the VNB margins have also taken upside.
Moderator : Thank you. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.
Nischint Chawathe : I am looking at slide number 34 and this is essentially the breakup of new business premium, is it possible for you to share breakup in terms of APE in a similar manner?
M. R. Kumar : We can do that. As of now immediately we may not have it. We can share with you no problem.
Nischint Chawathe : The other thing is in this EV calculation what proportion of business have you included I mean is it like 92%, 95% have we not been able to model the entire 100% business?
K R Ashok : Sorry you can repeat that question.
Nischint Chawathe : If I go back in the EV that we have calculated in the past you had included around 92% of the business and some part of the business could not be modeled in the EV calculation, so the current EV that we can see for first half FY23 does it model 100% of a business?
MR Kumar : Yes. All the products have been modeled and every time a new product is launched that is also modeled it is all taken it up.
Nischint Chawathe : So, there is no business at the corporation which is currently not part of the Embedded Value?
K R Ashok: It's been captured now.
Moderator: Thank you. The next question is from the line of Neeraj Toshniwal from UBS India. Please go ahead.
* Erratum: to be read as "90%"

**Erratum: to be read as "10%"

Neeraj Toshniwal : So, on slide 21 just wanted your thoughts as you already explained that obviously margin has steped down in the individual Non-par business, but can we further expect it to taper off here because market are getting competitive of annuities and given this competition would be rise in IRR in the Non-par saving as well, how do you think this will even go further down from this level?
Dinesh Pant : Here let us be clear that though we are saying that VNB margins have come down it is not a significant come down from there. You would appreciate that this VNB margins even from any period of review would also depend upon the type of business, the model point, the nature of these because within a product also depending upon which areas or which age groups or which terms it is sold the VNB margins can vary. As rightly said earlier also yes it has to be a right balance between what should be because in a competitive market we have to be careful about what type of corrections and benefits are being offered in the competition. So, it is the right mix and right balance between VNB margins as well as what is available and what is most useful for the policyholders is also going to be of concern. So, this typically, VNB margin would also depend upon what is available in the mar

ket, what is our overall strategy. But largely as we said earlier also not VNB margins corporation is focused on consistent improvements in VNB as a values. So, it is very difficult to say VNB margin will come down or go up because when the products have the margin will pick up that can go up also, but ultimately market will reach because we appreciate because this 100% sort of margins cannot be achieved by any company. So, right balance will have to be there between the benefits which are given and as the benefits increase margins can come down, but then VNB as such a value can go up. So, we are focused on striking the right balance keeping the balance between what is good for the customers, what is good for the shareholders and what is overall good for the company as a whole in overall.
Neeraj Toshniwal : My question is actually how much in the repricing journey how much we have actually achieved and how much we might see in the coming quarters?
Dinesh Pant : I think if we look at the path that is suggestive of it, it was around 9.6% in September 21 it was 15 % in March and slightly it came down to 13. 6 and now back to 14.6. So journey can be seen

and if we compare the VNB values the significant growth is going to be there. We will like to remain focused on that upward journey only from here onwards.
Neeraj Toshniwal : And on the Non-par saving mix if you would like to give an internal targets to kind of you know change our product mix if you can give more color on that how are we planning to over the next to three years?

Dinesh Pant : Right so if you are listening to the earlier responses clearly the growth rate in Non-par products is very nice, but as a overall part of the portfolio they continue to be around 5% or 6% or so. I am talking about individual business while the overall it is 13%.*** So, of course the focus of the corporation if you observe that in the recent past for almost one year we have been filing Non-par products and now because the attraction is developing there. The immediate goal is that within next few years these product portfolio mix in the individual segment could possible turn around to 75-25 sort of proportion from current 95-5 or 93-7 sort of proportions. That is the ultimate goal. Once that happens there could be significant change in the VNB margins also we can just take the weighted average of what the value would be there. So, there could be significant change in the VNB margins as well as the VNB for the corporation.
Neeraj Toshniwal : On the sign up with Policy Bazaar I think now Bima Sugam coming in what would be the strategy to increase the business from the Policy Bazaar platforms or we will look other means and look at Bima Sugam more seriously and get an odd an over there, so what would be your strategy and with the guidelines which came from the government. Any color on that?
Dinesh Pant : Overall the government strategy is to leverage all the channels and scope and platform which are available without naming any because our ultimate goal is that we have to be on the trajectory of growth and naturally in that journey the digital is going to be very important and critical. So, whether available from outside platforms or within our own technology sophistication our corporation is working hard in that direction because we realize that this technology it is not that corporation has not done almost now large part of our business procurement as well as transactions are happening on digital platform. So, we are working on this direction that all the sources of handles of growth in that directions are taken care of that is important for us.
Neeraj Toshniwal : But Sir any particularly any feedback on the Bima Sugam platform?
Dinesh Pant : I think it is a good initiative and we are all examining in what best manner we can leverage that for within our marketing strategy

.
Neeraj Toshniwal : And sir one generic last question on the sensitivity if I see between on slide 18 while the increase on 100 basis point is 1.2% on the VNB and 0.6% on the EV are they used variation on the same decrease of 100 basis points generally we see decrease, but it is quite on the higher side, what kind of mix we have in the portfolio and why such variation?
K R Ashok : I think you are referring to the sensitivity of reference states to embedded value or to VNB. In case of embedded value because of the base the impact on reference rates are not much. At the same time you cannot expect the movement both upside and downside to be the same because of the non linearity in the model itself. In case of value of new business the decrease in the reference rate is around 3.4% which has come down from 4.7% reported in the last period of March 22.
*** Erratum: To be read as “about 30% by APE (including Group Business)”.

Moderator : Thank you. The next question is from the line of Mahek Shah from Emkay Global. Please go ahead.
Mahek Shah : I have two questions I would first like to ask where will the 115 billion wage revision appear in the EV more actually I am sorry if I just missed it and the second question is on the 145 billion transfer from Non-par to shareholder funds, so you have mentioned that 45 billion is pertaining to Q4 of FY22, so any color on how you could change the accounts like when they were already published they are my two questions?
Sunil Agrawal : We are not changing our accounts we are mentioning it as a disclosure of the accounting policy changes that happened during this reporting period and because of that there were certain accretions that have happened in the previous three quarters which has been accounted now and

has been disclosed as a part of the change in the accounting policy and the breakup of all the three quarter figures net of taxes I have mentioned in the disclosures.

Mahek Shah : And sir on the 115 billion wage revision which part of the EV will it appear in like the economic variance or operating variance. I am talking of that?

Dinesh Pant: First of all, it is a clarification that it is not actual wages, it is prudent step on part of the corporation to provide for it so that systematic provisioning can be made. It does not in any way comment upon actual wage revision or any distribution. Secondly, it is a part of the expense only.

Moderator : Thank you. The next question is from the line of Ashish Agarwal from BNP Paribas. Please go ahead.

Ashish Agarwal: I just have one question is that when I look at persistency numbers for 13 months or let us say on Q1 and Q2 basis I can see that there is an improvement year-on-year, but when I look at the press release and persistency has been disclosed on premium basis on H1 23 numbers I see a decline on 13-month level, so what is the reason behind that?

M R Kumar: I think this was answered partly earlier also. I think it depend on the nature of business as 13 months going forward I mean we will see how we can improve it, but it would mean we have looked at the 13 months of the previous year as well and the kind of business or lines of business that we had which is changing lines of business I believe short term there could be some fluctuation like this, but we are confident that the long term that we will be able to improve this substantially.

Dinesh Pant: Typically, it is a relaxation of the cohort of the business done for example as I was explaining to you there were certain products which had lower persistency in the past. The real steps which have been taken for them now will get reflected in the following 13 months persistency because

the current 13 months would be including business done in the past. So, any number coming down today does

not necessarily reflect the steps and decisions of today because as I was explaining four products have been reviewed recently. So, we will see the impact of the same will get reflected as going forward 13 months from quarter-to-quarter will be seen from there. Last thing we are continuously working on how to bring about higher value.

Ashish Agarwal: Just one thing is how is arithmetically how are we calculating because on quarterly levels both quarters Q1 and Q2 if we are showing improvement on year-on-year level then how on half year it is coming down by 1%, so I mean Q1 and Q2 are showing an improvement on 13 month year-on-year level, but half year it is coming down interestingly. So, I mean I am not able to understand that part.

B C Patnaik: Actually, if you see there is two metrics which are very important one is 13 months and other is 61st month. So, 13 months as Mr. Dinesh Pant answered to you there were some products which were seeing lot of lapsation so it is closed down along with some products we should not have been renewed also it did not get renewed. So, it is having that 0.5% what you can call it, but if you see the 61st month persistency it is risen almost to 150 to 200 basis points from 60.57 to 62.77. So, those are the areas of concentration so that large number of policies remain in force for longer period of time and yes on the first-year business when we find something going very wrong we have to take a corrective action that is what is reflected here.

Moderator: Thank you. The next question is from the line of Parkaban Kumarasamy an Individual Investor. Please go ahead.

Parkaban Kumarasamy : This is regarding their transfer of profit from accretion of Non-par account to the shareholders account, is there anything pending for the before period it is actually showing for pre quarter, is there anything pending that needs to be transferred to shareholder account?

Sunil Agrawal : So, bifurcation of the funds happened in the month of Jan and the accretion started when the fund was broken into participating and non participating although it happened effective September, but actually the fund got bifurcated in the month of Jan and since then whatever accretion happened in the Non-par Fund has been taken care by way of this transfer. The future accretions will be regularly now accounted for in the respective quarters.

Parkaban Kumarasamy : What is the dividend policy as a company?

M R Kumar : Dividend policy is something which is decided by the board only and we have not been able to comment on this.

Parkaban Kumarasamy : No prefixed policy like?

Raj Kumar : No prefixed policy. The call will be taken by the board. It is already provided in the relevant sections and the provisions of the act itself.

Moderator : Thank you. Ladies and gentlemen this was the last question for today. I would now like to hand the conference over to Mr. Kumar Chairperson LIC for closing comments.
M R Kumar : Thank you very much for all those who have joined in and thank you Rutuja, thank you management team and my colleagues here. Thank you and all the best to you.
Moderator : Thank you. On behalf of Life Insurance Corporation of India that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

Ref. No.: LIC/SE/2022 -23/152 Date: February 16th, 202 3
To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of IndiaLtd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai -400001 Mumbai -400051
Scrip Code: (BSE - 543526/NSE - LICI)
Dear Sir/ Madam,
Sub: Transcript of Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith the Transcript of Conference Call with Analyst/Investors held on 10th February 2023.
The said transcript is also available on the Corporation's website and can be accessed from the link: https://licindia.in/Investor -Relations/Financial- Details/Analysts-Investors -Meet/Call- Transcript -of-Analysts- Investors- Meet

This is for your information and dissemination.

Yours faithfully,
For Life Insurance Corporation of India

(Pawan Agrawal)
Company Secretary & Compliance Officer

"Life Insurance Corporation of India 9M-FY23
Earnings Conference Call"

February 10, 2023

MANAGEMENT : S HRI. M.R. KUMAR – CHAIRPERSON
SHRI SIDDHARTHA MOHANTY – MANAGING DIRECTOR
MS. IPE MINI - MANAGING DIRECTOR
SHRI B C PATNAIK - MANAGING DIRECTOR
SHRI. DINESH PANT – APPOINTED ACTUARY & EXECUTIVE DIRECTOR
SHRI. K R ASHOK – EXECUTIVE DIRECTOR (ACTUARIAL)
SHRI. MR. SUNIL AGRAWAL – CFO
MR. P. R MISHRA – EXECUTIVE DIRECTOR INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER
MR. R. K. JHA – EXECUTIVE DIRECTOR INVESTMENT BACK OFFICE
MR. ADITYA GUPTA, EXECUTIVE DIRECTOR, CORPORATE COMMUNICATIONS
MR. R. SUDHAKAR – EXECUTIVE DIRECTOR MARKETING
MS. RACHANA KHARE - EXECUTIVE DIRECTOR (CRM/PS)
MR. THIRUVENKATACHARI S. – EXECUTIVE DIRECTOR (CRM CLAIMS)
MS. MANJU BAGGA - EXECUTIVE DIRECTOR (P&GS)
MR. SANJAY BAJAJ - HEAD (INVESTOR RELATIONS)

Moderator: Ladies and gentlemen, good morning, and welcome to the LIC's 9M FY '23 Earnings Conference Call. We have senior management of LIC led by Shri MR Kumar, Chairperson on this call.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. M. R. Kumar – Chairperson, LIC. Thank you, and over to you, sir.
M. R. Kumar: Thank you, Aman. Good morning, everyone. I am M.R. Kumar, Chairperson LIC. On behalf of the senior management team, I warmly welcome you all to the results and performance update call of Life Insurance Corporation of India for the third quarter and nine-month period ended December 31st, 2022.The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.
Along with me, I have three Managing Directors, Mr. Siddhartha Mohanty, Ms. Mini Ipe and Mr. B.C. Patnaik. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director and Mr. K.R. Ashok, Executive Director from our Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. P.R. Mishra, Executive Director (Inv-Front office & CIO) and Mr R.K. Jha, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing) from our Marketing team, Ms Rachna Khare, Executive Director (CRM/Policy Servicing) and Mr Thiruvenkatachari, Executive Director (CRM/Claims) from our CRM team, Mrs. Manju Bagga, Executive Director (Pension & Group Schemes) and Mr. Sanjay Bajaj, Head (Investor Relations).
Just before I start to provide an overview and detailed highlights of our performance for the nine months ended December 31st 2022, I would like to briefly touch upon two issues which may be on the top of mind of some of you i.e. LIC's Adani Group Exposure and the Impact on LIC due to the proposed budgetary changes in taxation of a category of maturity claims for life insurance policies in cases where premium paid is more than Rs. 5 lacs per annum. You will appreciate that while both these topics are pertaining to a time period outside the nine-month period ended December 31st quarter for which we have gathered here today, but still, we will mention our position and views upfront before starting the results explanation.
FIRST on the Adani Group exposure we have provided many details on our investments in a press release on January 30th, 2023. Hope all of you have seen the same. I reiterate that our total exposure to Adani group on a book value basis is less than 1% of our total AUM at book value as at December 31st, 2022.

SECOND is that as we have mentioned in some media interactions post budget, that the impact on us, is minimal, of the recent budgetary announcements on tax treatment of certain category of life insurance maturity claims in case of customers paying more than Rs. 5 lacs per annum. As you will appreciate, we are a very different and unique business both by average ticket sizes which are on the lower side and by product category sales weightages.
Now moving to the key business, operational and financial highlights for the first nine months of the financial year 2022 -23.
For the nine months ended December 31st, 2022 we have reported a Total Premium Income of INR 3,42,244 crore showing a growth of 20.65% over the total premium income of INR 2,83,673 crore for the corresponding 9 month period of last year ending December 31st, 2021. The Individual New Business Premi

um Income for 9M FY23 is INR 38,828 crore and for comparable
9M FY22 it was INR 35,910 crore. Renewal Premium Income (Individual business) for 9M FY23 is INR 1,61,601 crore as compared to INR 1,53,312 crore for 9M FY22. The Group Business premium income for 9M FY23 is INR 1,41,815 crore as compared to INR 94,452 crore for the corresponding period of last year. Our market share by First Year Premium Income is 65.38% (as per IRDAI) for the 9 months period ended December 31st, 2022 as compared to 61.40% for the similar 9 month period ended December 31st 2021. I am sure the market participants have also noted that within these 9 months of current year we had recorded a high of 68.25% market share during the 6 month period ended September 30th, 2022.
If we were to split the total premium for 9M FY23 by individual and group business, it would translate to INR 2,00,429 crore for Individual business and INR 1,41,815 crore for Group Business. Therefore, we have a market share of 40.93% in Individual business and 78.65% in the group business for 9 months ending December 31st 2022. On a comparable basis for nine months ended December 31st 2021 the respective market shares for Individual and Group business were

44.44% and 73.78%. Therefore, we continue to retain the largest share, on a total premium basis, in both Individual as well as Group segments.
Seen on APE basis the break up of business is as follows:
Total Annualised Premium Equivalent (APE) for nine month ended December 31st 2022 is INR 37,545 crore which is comprised of Individual APE of INR 23,419 Crore and Group APE of INR 14,126 Crore. Therefore, on APE basis, the individual business accounts for 62.38 % and Group business accounts for 37.62%. Further of the Individual APE, the Par business accounts for INR 21,206 Crore and Non Par amounts to INR 2,213 Crore. As you can see our Non par share of individual APE is 9.45% and Par is 90.55% for 9M FY23. You will recall that our Non Par share for year ended March 31st 2022 on APE basis within the overall individual business was 7.12% and was 7.76% for quarter ended June 30th 2022 and was 8.98% for 6 month period ended

September 30th 2022. I am sure all of you agree that we are gradually and consistently changing the product mix over the last three quarter wherein the non par share within the individual business is rising steadily. Within non par individual segment, basis dynamic customer demand, and our sales processes, the product category contributions to volume of overall business may vary and in our business presentations post results, we do provide the NBP break up within the non par product categories.
Coming to the profit, the Profit After Tax (PAT) for the nine months ended December 31st , 2022 was INR 22,970 crore as against INR 1,672 crore for the nine month ended December 31st , 2021.
At this point, I would like to mention that the current period profit has increased due to transfer of an amount of INR 19,941.60 crore (Net of Tax), pertaining to the accretions on the available solvency margin from Non par to Shareholders account. The amount of INR 19,941.60 crore comprises of INR 5,669.79 crore for the quarter ended December 31st ,2022 besides INR 5,580.72 crore, INR 4148.78 crore and INR 4542.31 crore for the preceding three quarters,
Gross Value of New Business (VNB) is INR 7,187 crore and Net VNB is INR 5,478 crore for the nine months ended December 31st 2022. Further, the net VNB margin for the 9M FY23 is 14.6% as compared to 14.6% for half year ended September 30th 2022 and 13.6% for first
Assets under Management as on 31st December 2022 grew by 10.54% year on year to INR 44,34,940 crore as compared to INR 40,12,172 crore as on December 31st 2021.
I would like to inform about New Product Launches. In line with our strategy of increasing the proportion of the Non par business, we lau

nched six new Non par products during the first nine
months of FY2022-23 to cater to customer requirements, namely LIC’s Bima Ratna, LIC’s Dhan Sanchay, LIC’s New Pension Plus, LIC's Dhan Varsha, LIC’s New Tech Term and LIC's New Jeevan Amar respectively.
During the nine months ended December 31st, 2022, we sold 1,28,90,843 new policies as compared to 1,26,48,184 policies in the nine months ended December 31st 2021 registering a growth of 1.92% over the corresponding period of last year.
As on December 31st, 2022, the total number of agents was 13,22,586 as compared to 13,26,432 as on 31st March 2022 and 13,34,811 as on 30th September 2022. The market share by number of agents as on December 31st, 2022 stands at 52.30% as against 54.98% for December 31st 2021, when we had 13,29,448 agents.
On number of policies sold basis, the agency force sold 1,24,12,134 policies during the nine months ended December 31st, 2022 as compared to 1,19,14,093 policies during the corresponding period of last year registering an increase of 4.18%. Therefore, you can see that

more than 96% of our policies for the first nine months of FY23 were sold by our Agency force. Even on premium basis, a little above 96% of NBP came from our Agency channel for 9M FY23.
During the nine months ended December 31st 2022, other channels (BAC – Banca and alternate channels) contributed to 1.88% by number of policies and 3.50% by NBP premium. For the nine months ended December 31st 2021, the banca and alternate channels contributed to 1.56% by number of policies and 2.56% by NB premium. Therefore, you can see this channel is growing and starting to increase its share by both policies and premium within our overall Individual business. We are implementing multiple strategies to achieve larger scale in these channels.
Our Management Expense Ratio stands at 15.26% for the nine months ended December 31st 2022, as compared to 14.99 % for the same period of last year. As you can see the increase was 27 bps on year on year basis.
On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for 9M FY23 stands

at 77.61%, 71.32%, 68.31%, 64.70% and 62.73% respectively, as compared to 76.84%, 71.70%, 67.84%, 64.97% and 61.91% respectively for 9MFY22.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for 9M FY23 stands at 64.99%, 59.06%, 55.32%, 52.45% and 51.42% respectively, as compared to 65.47%, 59.00%, 55.60%, 53.67% and 50.85% respectively for 9MFY22.

Operational efficiency and Digital Progress:

We continue to focus on making our processes efficient and as you are aware that in the previous call on November 14th 2022, I had mentioned to you about our "Print to Post" initiative. I am happy to report and update that we have completed dispatching of 1.66 crore policies to policyholders since Jan 2022 till 31st December 2022 using this initiative.

In our digital initiative through the Agent assisted ANANDA app, we have completed 5,31,792 policies through this App during the nine months ended December 31st 2022 as compared to 2,10,140 policies for the comparable period ending December 31st 2021 thereby registering a growth of 153% on YoY basis.

For those of you who are our customers would have noticed that LIC is now also on Whatsapp. Starting December 2022, we launched many services of LIC via Whatsapp and the response has been encouraging for us. We are working to bring tech based ease into our customer interfaces.

On the claims front, during 9M FY23, we have processed 1,40,94,679 number of claims which includes 1,34,21,706 maturity claims. On an amount basis during 9M FY23, the maturity claims were INR 1,13,936 crore and the death claims were INR 17,350 crores. On a comparable basis for 9MFY22, the maturity claims were INR 1,23,170 crore and death claims were INR 29,271

crore. Therefore, the death claims are lower by 40.73% and the maturity claims are lesser by 7.50% on a year-on-year basis.

Our "Feet On Street" approach to business is intact while we develop the alternate channels such as Banca and our digital footprint.

We are having a committed and trained workforce of 1,00,038 as of December 31st 2022 out of which 95% are in Branch and Divisional Offices enabling them to be in close proximity to our customers reinforcing our "Feet on street" approach.

In summary, I would like to say that we continue to remain focused on creating a portfolio mix to optimize value for all stakeholders. In that context we have increased the proportionate share of Non par business within our Individual business as mentioned earlier. Further I would say that the relative growth of various products within the non-par bucket will vary with each quarter and we are well aware of the same. Finally, we like to keep customer requirement foremost in our sales process. Looking at the market growth, we think we have a robust market ahead for insurance in India and all forces shall join hands to make insurance accessible to all in coming years.

Thank you very much, and we are now happy to take any questions that you may have.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Avinash from Emkay Global Financial Services. Please go ahead.

Avinash: Couple of questions. The first one is that changing impact on VNB margin. That's positive. Is it largely the interest rate changes? Or are there something else? So, that is the first one.

Second one, if you can just explain the net impact of, you know, the tax related thing on your accounting PAT because if I see there are two kinds of tax. One, of course, there is some kind of a tax calculation led reversal in policyholder account. And also, the other one is that you have got some kind of some 6,000 odd crores refund on, sorry, interest on refund of income tax. So, how much net-net have gone to your PAT more this impact?

And thirdly, if you can help me, I saw your media statement saying quite 0.12% of policies above 5 lakhs. So, is it the count of policy you are talking or premium or APE you are talking? Three questions.

K.R Ashok: Regarding the VNB margin, we have disclosed in the VNB margin walk, there are two impacts on the margin walk compared to the numbers we see for March. One is the change in business mix, the change in business as an impact of bringing down the margin by 120 bps.

And then there is a second one, which we have shown it as a change in margins. The major impact on that is from the movement of RFR.

Avinash: So, this assumption change, what are the assumption changes? Is it largely the interest rate movement or something else?

K.R Ashok: Yes, it is largely interest rate movement. Market interest rate movement.

Sunil Agrawal: This is Sunil Agarwal, CFO. On the second query on the tax related reversal, I would like to tell you that both the impacts are largely on the participating segment of the business. So, they will not impact the profitability of the Corporation.
They were done on account of basically earlier we were following the practice of provisioning for tax on a advanced tax basis, now we have done on a interim financial reporting basis. Therefore, the corrections for the previous quarters have happened and the further reversal in the current quarter happened.
If you look at from an annualized thing, it will not impact the overall scheme of things. In the current quarter it is reversal, because the adjustment for the previous two quarters have also been taking place in this quarter. But it is largely in the Par Fund. So, there's no impact on the profitability.
On the second query on the interest

on refund, the amount is INR 6,626 crores, which again was
paid out of the Par fund because this refund pertains to the earlier years where we had unified fund only, and there was no fund segregation.
So, because the tax was at that point of time phased out of the participating fund, therefore, the receipts have also been accounted for in the participating fund. And again, that has not impacted the overall profitability of the Corporation.
Avinash: So, this was the quality assets if you say PAR fund is going to be almost neutral. And the third one that you're higher than 5 lakh you said in media, I think I read 0.12%, is it the policy count? Or is it the premium?
R. Sudhakar: It is on the policy count.
Avinash: So, on premium or like new premium, what would be the number, approx?
K.R Ashok: On APE, it is 1.8%.
Avinash: And sir, just quickly, if you can allow me. Do you see that, you know, if at all, I mean, next year or maybe year after next if the entire individual moves to the new tax regime where you have kind of exemption less world, will that impact your sort of business, particularly given that you are a lot into low ticket granular businesses where ATC related exemptions could be one of the incentives?

R. Sudhakar: I would put it this way. The number of customers which LIC has is almost 20 crores, whereas the taxpayers are 6 crores, and only a portion of the taxpayers would be basically benefiting out of the tax benefits as of now.
So, I feel that there is a lot of scope because already the percentage of people who are not covered with insurance, as well as those who are covered who were not having adequate risk cover. There is a lot of scope within that space. And LIC being one company which has been selling policies in a couple of crores every year, so there is a lot of scope. And we feel that we will be able to overcome any impact on that within one year without much of an issue.
Moderator: Thank you. The next question is from the line of Nitin Aggarwal from Motilal Oswal. Please go ahead.
Nitin Aggarwal: Sir, one question around the individual non-PAR margin. You earlier talked about the change in the product pricing, which has affected the margin. But this quarter, there has been a very sharp decline. So, if you can talk about as to how are we seeing this, and where do you expect to settle? And maybe I will ask the second question later, sir. So, if you can answer this first.
K.R Ashok: So, if you look at the margin and vis-à-vis the non-PAR growth, it's true that non-PAR business has grown, but within the non-PAR, there are different segments of business that has different margin signatures. And if our ULIP business have grown more in the non-PAR, their margins are lower than the averages, thus bringing, keeping the margins at the same level.
Nitin Aggarwal: O.K. and sir, within the annuity business now, if you can share some color as to what will be the average ticket size and what is the mix of government and private sector professionals?
R. Sudhakar: Ticket size in annuity is around 8.9 lakh per policy. What was the second part?
M. R. Kumar: Government and private sector employees.
M. R. Kumar: We don't have that right now. We can share it with you later.
Nitin Aggarwal: And the other question I have is around the agent count, like agent count has been flat over 9 months. And this is a prime distribution channel. So, are we looking at this because private sectors have, like, really been ramping up their agency channels?
R. Sudhakar: See, in our agency channel, we have a constant method of recruiting agents. And every year, we recruit approximately more than 2 lakh agents. It is, indeed, a fact that there are many people who also drop out by way of either getting a new job or moving on to other types of business.
This is market, I would say, it keeps happening like that in the insura

nce agency market. And
what we have seen is that during certain months, there is a slight decline, but it will be made up

also. And that addition has been already being done currently. So, we are saying that we will be ending the year with a positive agency force.
Nitin Aggarwal: Right. Sir, lastly, on the Banca channel, the mix has been improving Y-o-Y. And so if you can share more color as to which banks are you seeing the most traction with? And how do you see this evolving in the next two years?
R. Sudhakar: As of now, it is IDBI, which is giving us the maximum volume in Banca. We are also looking at documenting the number of persons who are serving in that particular channel. And we are seeing good traction happening there. So, we are seeing a positive growth on Banca even in the coming year.
Nitin Aggarwal: Sure Sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Good morning. Thank you for taking my question. Just the first one on quarterly APE or NBP development, right? So, we have seen a slowdown in growth. I know maybe last year quarter ago, that was disclosed during the RHP time frame may not be like-for-like. So, but just want to understand why there has been a sequential slowdown in Q3 versus Q2 on a Y-o-Y basis. Maybe I am not comparing right, but that's the first question I had.
M. R. Kumar: Q-o-Q, year-on-year for Q3 is the question he's asking.
M. R. Kumar: Let me respond. I don't think that we are very much worried about this. This is basically, as you heard earlier, Mr. Sudhakar was explaining, churning in the agency force has happened. We have new products, almost 16* products in non-PAR. We are getting people to get trained on all these products. That part is taking a little bit of time. So, this could be one reason. It's people have been active in the market. So, the more agents who get trained on all these products and they start working now, we have seen a good traction in the last couple of months.
So, I think, going forward February and March, all these agents like Mr. Sudhakar said will be back on the streets with renewed vigor with all these new inputs on the new products. And I think we should be able to overcome whatever that slowdown was there.

* Erratum: to be read as “19”

Dinesh Pant: Actually, on Q-o-Q basis, from between September to December, in the individual business, the premium has increased around 13,597 to 14,293 which is a growth about 5.2%**, largely because if you would have been seeing in the terms of APE, it is largely because the P&GS group business, the last Q3 has been less. That has impacted, and something more to do also with annuity growth in this particular quarter. We have already revised the rates, and that will be more than covered possible in this Q4.
Shyam Srinivasan: Sir, if you are saying group business, there is seasonality. And if you were to look at individual maybe there is still there is growth even on a sequential basis.
Dinesh Pant: Yes. Group has done tremendously well in overall basis. So, certain changes from quarter-to-quarter can always be expected because the cash flow timing can vary depending upon the corporate's plan of actions and all those things. But the group has overall done very well, you know, if you consider the 9 months period.
Shyam Srinivasan: Sir, just some clarity around group, if you could split into what are the key constituents? I know we gave disclosure in NBP, but if you could segregate what is the savings component, if there is any protection or credit life, that would be helpful. I don't know whether you can do it now, but I am just saying maybe as a request.
Dinesh Pant: Yes. If we just want to see, i

n APE terms for the group, total APE for the 9 months period is something around 14,126. And all the savings schemes, including annuities, right, and fund-based business, gratuity schemes, superannuation schemes in particular, they have been the large contributors here.
Shyam Srinivasan: So, credit life will be very small you are saying? Credit life group term?
Dinesh Pant: So, group term is not very small. But yes, the saving proportion in the group is significant.
Shyam Srinivasan: My last question is just on margins again. So, I think, the previous participant asked this as well. So, ULIP has been growing faster. And that's the reason why we have non-PAR, I am just using the cumulative disclosure you will see on growth margins, from 104% has come down to, I think, 73.5% when I calculate it for the 9-month period now. So, is there other than ULIP mix change?

Is there anything else in terms of repricing your non-PAR on the savings side that has also led
to this?
Dinesh Pant: Yes. In fact, you would have seen already, that the growth rate in ULIP, it's not that the growth in non-PAR saving is less actually. It is significantly high, 77% or so. ULIP has grown more.
And we all know ULIP VNB margins are less. And recently, some more products have been launched also other than ULIP.
** Erratum: to be read as “5.12%”

So, there it will take. And that's also because the annuity rates have been revised. So, any time with the revision in annuity rate, you have to do it in terms for the purpose of competitive reasons. Whenever that would be done, VNB margins will come down.
What we as a corporation, as an insurer would have to look into, what is the, you know, first step is to look towards VNB. So, striking the right balance of VNB margins and the growth in APE so that the VNB in terms of the ultimate volume should go in the required direction. So, any time when the revisions in annuity rates would happen.
But on the other side, for example, in term products, we have increased the rates also. So, there we would have tried to capture, in fact, rest, in fact, get the VNB margins go in the right direction.
So, this portfolio balancing is a continuous process. It's done.
Shyam Srinivasan: Would you say the larger impact is for this annuity rate increase or it's still the ULIP increase in mix?
Dinesh Pant: No, it is more mainly because the ULIP growing more than the non-PAR savings. Actually, as a contribution to the overall portfolio, ULIP's contribution has gone up, say, 1% to almost 2%.
And the ULIP margins are less. But that's very much because see, we should always take a note of the fact that in ULIP LIC's contribution vis-à-vis the industry is very small.
So, without prejudice to whatever happens on the margin, we have a reason to keep on growing in ULIP also, because customers need base selling and all those things covering the entire, all the baskets of the products segments have to be taken care of. So, ULIP has to continue to grow.
ULIP will bring down margins slightly, which will be taken care of from, you know, other segments like annuity and non-PAR savings.
Shyam Srinivasan: If I may, last question, slide 8, if you could talk about the two new products that we launched in, say, November or even October, Dhan Varsha, how has been the take up? Any numbers? What's been exciting?
Dinesh Pant: Actually, Dhan Varsha has been doing quite well. And we expect, you know, a lot of business to come because that product is available for sale in this quarter up to Q4 only. It's a very balanced and good return as well as, you know, it covers a large segment of the society from a very young age, nascent age, two to three years or so. So, we expect lot of good performance in this particular product in last quarter.
R. Sudhakar: Ticket size of Dhan Varsha is around 2,60,000. And it is also close-ended scheme til

l 31st
March. So, we are expecting those numbers to go up.
Shyam Srinivasan: What's the rate, sir, indicative?

Dinesh Pant: Rate means?
M. R. Kumar: Return?
Shyam Srinivasan: Return, yes.
Dinesh Pant: I see typically in certain ages; the return can be 6 plus also. It would change from, you know, for younger ages, generally returns would be higher. Depending the duration and the age, the returns would be different, but at certain places can be plus 6 also.
Moderator: Thank you. The next question is from the line of Deepika Mundra from JPMorgan. Please go ahead.
Deepika Mundra : Sir, can you tell us broadly across the individual business, what percentage of policies would be coming in the 80-C category for your customers? So, could you have any sense on that?
M. R. Kumar: We don't have a figure right now, ma'am. So, we can share it with you but very miniscule, that's all I can say.
Deepika Mundra : And just one more question. On the Adani Group exposure on the equity side, could you split it up between the PAR, non-PAR, as well as shareholders' fund?
M. R. Kumar: I don't think we will be able to disclose that as of now.
Moderator: Thank you. The next question is from the line of Depanjan Ghosh from Citi. Please go ahead.
Depanjan Ghosh : Just a few questions from my side. First is on the individual annuities. If you can kind of give

some color on how much of completion in the margins have left incrementally in 4Q? And I understand you recalibrate your strategy, but in terms of what incremental repricing has happened in 4Q? And what can be the drag on margins going ahead?
Second, there seems to be some decline in Group VNB margins between 1H and 3Q. Is it just because of the mix between savings and superannuation and gratuity and some of those things within the group? Or is there something else on the pricing side also?
Lastly, you mentioned your strategies in the Banca and alternate channel. So, just wanted to get some color on whether there are some discussions on incremental partners? And especially within the PSU, is there any captive players that has been discussing anything on incremental tie up?
And sir, just one more question. If you can give some color on the qualitative aspects on the margins between the non-PAR savings business and the individual annuities business in terms of margin, which one would be higher or lower? And anything on the delta between the two?

K.R. Ashok: See, looking at the annuity portfolio, the annuity portfolios repriced in August '22 to make it more competitive. And since the returns to policyholders and the profitability are to be balanced, there is indeed a reduction in the margin in the annuity portfolio. That you have been witnessing when we disclosed the annuity PAR, non-PAR businesses. The reduction is within what we have estimated, and we were comfortable with the amount of reduction that is happening, because still the annuity parts that the margins are at a very high level compared to the other businesses.
Coming to the group margins within the group, we have different lines of business, different lines, like we have funded schemes. We have protection and annuities. And these have different signatures of margins, where, once again, the group annuities also having comfortable margins compared to the other portfolio. So, the variations we notice is because, within the group, there has been some changes in the business mix that have resulted in the changes that we have noticed.
R. Sudhakar: I think on the Banca channel, now that the tie-ups can be with 9 banks instead of 3 earlier, there is a lot of scope because a new basket of new banks have come into the horizon as far as LIC is concerned. We are exploring different tie-ups both at the Banca level

and also at the FinTech
level also. And we see a lot of growth on that. And that's why I said earlier also that we are adding more manpower to that particular channel.
Depanjan Ghosh: Can I ask one follow up question? One is on this entire non-PAR business, and you mentioned that individual annuity margins are quite comfortable and within range, the repricing was in August. So, just wanted to understand, has there been any other round of repricing? If I heard correctly, there was one more round of repricing during the quarter. So, will that have any impact?
And second is, you know, what will be in terms of relatively within the business, what will be the margins of individual annuities versus the core non-PAR regular pay products?
Dinesh Pant: Yes, we recently had a revision in our deferred annuity rates. But that is well within our, you know, what I would call VNB margin appetite or VNB appetite. Because you would have seen most of the insurers have also done it.
But selectively, we have not done in particular segment. We have done in a particular product of annuity where we thought there is a lot of scope for growth and the needs of the customers are there. So, it has been done. But we are not expecting to have any significant adverse impact on the VNB margin. It will have.
But what our strategy is that the growth in APE there will more than make up for the VNB. So, the ultimate idea for sacrifice or reduction in VNB margin would only happen when we see the potential for APE growth to compensate or actually overcompensate for that thing. Because ultimately, beyond VNB margin, as a corporate, we are looking towards actually, as I said earlier also, total VNB trajectory to be achieved.

Depanjan Ghosh: And some color on the margins between the core regular pay non-PAR product and annuities, which one would be higher? And any color on the margin?
Dinesh Pant: Typically, you would know that. You know, as we said, suppose our VNB margin is 14.6, which is in public domain. And we understand that if 92% business in individual is coming for participating, right? And in participating, the profit sharing is around just 10%. In non-participating 100%. So, one can extrapolate from there.
We would not like to comment upon specific margin at this point of time. Because these margins can change from time to time depending upon, you know, suppose the revision benefits take

place. Depending upon, in fact, also the interest rate scenario, the RFR rate change? And all those things change. But we are sure.
But one thing is important to see that, you know, annuity is a very important component for overall non-PAR business as a driver for VNB as a VNB margin also. And we are continuously working on that. And all the things are working still important in that context.
Depanjan Ghosh: One follow-up on one of the questions asked by a previous participant. I understand you don't intend to break up the Adani exposure between your PAR, non-PAR and other funds. But, you know, could you give some color on where the bulk of this would be sitting, just qualitatively? Would you want to give?
Dinesh Pant: We can only say in this context is that it does not have a significant impact on the shareholder value. And our policyholders are well protected. You can rest assured of that.
Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Sir, I just wanted to understand your Banca strategy in future. So, we are looking to hire new set of Development Officers to exclusively manage Banca channel or existing Agency Divisional Officers will drive the Banca channel?
And I also wanted to understand whether to approach to the Banca will change with the change in EoM rules, because now there is nothing called commission. So, to remain competitive versus the private

players in the Banca channel, whether that commission could go up to drive high-margin products like non-PAR in the Banca?
Just wanted to understand, let's say, low hanging fruit, which is available to you. How you want to exploit the growth by adding manpower and maybe playing with the commissions around it?
R. Sudhakar: One thing is that, when we said manpower, it does not mean that it is a Development Officer in that sense. It is the officers in that sense. And we are also going to add technology. Already, the policies are being completed in various banks by paperless method also. We have what is known

as ANANDA app, which enables the whole process of proposal to policy to happen paperless, KYC being done, and the policy number being issued, and the policy being dispatched to the customer, as well as sending a PDF copy of the policy on his mobile.
So, different methods are being explored by us. The other part is where we require more people to be interacting with the bank. So, that is where we said more officers will be added in due course.
M. R. Kumar: So, let me also add, Kumar here, that the basic thinking around this is that how do we create ease of doing business for the bankers. How can we help them so that they do not have to use their own resources to sell insurance to the customers. So, around that, that's what Sudhakar mentioned. Using technology, how can we help them to grow the business is what we are working on.
Sanketh Godha: But sir, just stating on this point. So, just wanted to know how many people are deployed across the Banca relationships we have, and how much we want to increase. So, that, because we all know for the fact that despite technology, it's people on the branches which drives the growth.
So, just trying to understand how do you want to redeploy or deploy people around the channel to get the maximum out of it?
M. R. Kumar: All that we can share with you right now is that, you know, last year, we tried out an experiment on trying to look at some of the bigger branches of the banks, where we have maybe they have their own structure where they have more HNI clients and things like that.
So, we are working to find out whether we can focus on what we call some of the, we call them power outlets, and whether we can work closely with those power outlets. So, to that extent, the manpower ramping up in terms of offices, like Sudhakar said, would be utilized to ramp up the business in these power outlets. And going forward, we will try to expand that to the other branches.
Sanketh Godha: And the second question which I had was on the likelihood of composite license coming through, your strategy on how you will approach the health insurance business if it goes through, and given we all know that it's your agency, which is being used by the general insurance industry to drive the health insurance growth for themselves, how we want to do it?
And also, I want to understand the extent of management rules again, if you have any thoughts how you will drive, or how you will make sure that your own agents will come back to LIC and sell health insurance for you?
M. R. Kumar: No, we are quite excited about the prospect of selling health liability insurance. And you may recall that we have done it in the past as well. The regulator had allowed the life insurers to sell liability insurance, and it was withdrawn. So, if it comes back, we will be only too happy to get

back to that space and, as you rightly said, to involve our agents who are selling these kind of
products for other companies. I am sure they will come back to sell our products as well.
Sanketh Godha: And given we have revised our term insurance rates on the higher side, I think when we were in the previous regime, when there was no segregation of fund

s, our dependence on the reinsurance
was very limited. So, now with the segregation of the funds, have we increased our exposure, or we have started reinsuring more to drive the individual protection business, or any protection business? That's the question I had.
And second, in absolute rupees crores, if you can tell in 9 months, how much individual protection APE, credit life and GTL you have done?
Dinesh Pant: See, as far as reinsurance goes, LIC's reinsurance outflow is very small. It just used to be around less than 0.1% of the total premium. It's just around 0.14% of the total premium at this point of time. Of course, yes.
But when we have worked up on these specific products like term product, protection product, or whenever we come out with health based or critical riders, which are specialized morbidity base or specific mortality risk being involved, we have taken a special case. And we have tried to reinsurance a larger portion of it. We all are aware in the recent times, there have been challenges around reinsurance support. We have been trying to discuss the opportunities with our reinsurers also.
One of the larger reasons for us to increase the rate was also driven by reinsurance revision rates, which anyways has happened for other reinsurers. They had done two or three times before us already. So, it was in line to protect the VNB margins and to be aligned with the claim experience in that context. Unfortunately, last two years were very special in the regard because it was dominated by COVID related issues also.
As we go forward, we expect, you know, the claim outgo to settle down to more senile levels. And then I think the interest on the reinsurance will possibly also come back. And then we can drive towards growth in this protection business.
Sanketh Godha: But if you can share the absolute rupees crores for 9 months individual protection, credit life and GTL in APE terms would be useful, sir.
Dinesh Pant: Credit life is not there in individual business. Credit life currently is being offered through P&GS. And there's a very, very small portion there. And unfortunately, on the credit life, you know, we have worked a lot on this side. But as of now, we are still awaiting reinsurance support there. So, there is nothing there. And protection business as of now is by volume is not a big contributor to the overall APE. So, that's an area where the corporation is really working.

Sanketh Godha: And finally, on insurance repository, because it gives a lot of information on data, are we planning to do it in-house or are we intent to outsource it to insurance repository companies like CDSL, CAMS, NSDL or Karvy, which are the four registered insurance repositories? Any thoughts there, sir?
M. R. Kumar: We are working, I mean, to find out whether we can tie up with one or multiple of them. So, that work is in progress. As of now, I can't share with you more on that.
Moderator: Thank you. The next question is from the line of Ajox Frederick from Sundram Mutual Fund. Please go ahead.
Ajox Frederick: Sir, my question is more on an industry trend perspective. Given the current regulations, the industry could shift towards more rural and more low-ticket size. I am talking about the private sector. Both of these are your forte. So, with that background, where do you see new avenues of work?
M. R. Kumar: I think even the rural and the other markets like Sudhakar sometime back mentioned, there is a lot of potential still left. It's not that as if it's over. Our penetration is pretty low, and you know that. So, whether it is Metro, Tier-1, Tier-2 or the Rural markets, there is enough potential to grow insurance business. So, we continue to be strong, and we will continue to be strong on the Tier-2, Tier-3 and the rural markets.
But we are picking up some speed in the Metros as well now with the

focus on non-PAR and
the single premium, annuities and all those products. So, I don't see any challenge. Of course, it's quite obvious that the private sector will try to move into the smaller markets, but we are quite strong there already. So, we don't see any challenge.
Ajox Frederick: And sir, again, a broader question, since we have over 20 crores plus customers. I am just trying to understand the target market. Because I assume that it was more to do with incremental ticket size rather than the incremental number of policies here on or in the medium term it would be

on the line. But do you see incremental number of policies also going forward, let's take a five-year view and from where we are right now, a rough estimate on the policies growth, that will be helpful, sir.
M. R. Kumar: I do see a growth in numbers. Because numbers have to grow if you have to increase the penetration and the coverage across the Indian population. But it will be very difficult to estimate or guesstimate. That was difficult.
Ajox Frederick: Sir, the other angle is on the agent productivity. You have been having the best of the agents out there. And I am assuming they are selling over 15 policies per year. Is there a scope for increasing productivity there? Or are you taking any further steps, which can probably increase? I know it's a tough ask, but still.

R. Sudhakar: Yes, we are on that task and already productivity as compared to previous year has improved a bit. But we are definitely looking to increase the number of policies which are being sold, and we will be moving into that area much more. So, we expect that productivity to grow significantly in the coming may be 5 years.
We are tinkering with our products, the type of products which can be sold easily, ease of sale, as well as the IT support for that. So, we are expecting that the number of quarter three target also will be reworked according to the new changes that have come up in the budget.
Dinesh Pant: And another important thing here is that, you know, LIC, we have been very much focused on participating business for long, and there was a little bit of saturation of our growth productivity there.
Now with the addition of this non-participating product, there can be an exponential growth because agents get additional products, additional markets can be explored. So, this paves the way for, you know, tremendous growth opportunities in the productivity of agents and all the marketing channels.
Moderator: Thank you. We will take the last question from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.
Madhukar Ladha: So, most of my questions have been answered. I just wanted to understand one thing, if the new draft regulations are sort of "are adopted," then how comfortable are we with the EoM limits? So, some numbers in terms of, you know, the limits would be X%, and we in those limits would fall at Y would be helpful. So, can you help me with that?
Dinesh Pant: As far as you mentioned about new draft regulations, we are aware there are different draft regulations at this point of time. The larger focus is to improve the ease of business, going towards principle-based regulations and, you know, enhance the market penetration and density.
These are larger products which was around which all the regulations have been there.
Also, looking towards empowering the Boards of the insurance companies for better self-governance practices to be adopted. Yes, this expense of management regulations have been there. They have been brought in. That also is in the same direction. We have done our preliminary estimates. Based on that, actually, the situation will only improve for us from there.
We have been operating at around 84% to 85%, 86% of our allowed expense limit. Under this new provisions, our situation will improve from here. So, it is going to b

e more within limit sort of situation. And this aim of the regulation is also to allow insurance companies to decide how they want to apportion the expenses towards this segment. So, it's more enabling sort of provisions as well.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Mr. M. R. Kumar, Chairperson, LIC, for closing comments. Thank you, and over to you, sir.
M. R. Kumar: Thank you very much for all those who joined. And I hope we could answer all your questions. And probably some of you couldn't ask a question, I am sorry about that, long queue, but maybe next time. But, thanks once again for being part of the call. All the best to all of you. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, on behalf of LIC, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Jun 2023

Ref. No.: LIC/SE/2023-24/33 Date: May 31st, 2023
To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of IndiaLtd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai -400001 Mumbai -400051
Scrip Code: (BSE- 543526/NSE - LICI)
Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call with th e Analyst/Investo rs
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attach ed herewith the Transcript of Earnings Conference Call with Analyst/Investors h eld on 25th May 2023.
The said transcript is also available on the Corporation's website and can be accessed from the link: https://licindia.in/Investor-Relations/Financial-Details/Analys ts-Investors-Meet/Call-Transcript-of-Analysts-Investors-Meet
This is for your information and dissemination.
Yours faithfully,
For Life Insurance Corporation of India
(Paw
an Agrawal)
Company Secretary & Compliance Officer
 "Life Insurance Corporation of India
Q4 FY'23 Earnings Conference Call"
May 25, 2023
MANAGEMENT : MR. SIDDHARTHA MOHANTY – CHAIRPERSON – LIFE INSURANCE CORPORATION OF INDIA
MS. MINI IPE – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
MR. M. JAGANNATH – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
MR. TABLESH PANDEY – MANAGING D IRECTOR – LIFE INSURANCE CORPORATION OF INDIA
MR. DINESH PANT – APPOINTED ACTUARY & EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE & CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
MR. K. GIRIDHAR – EXECUTIVE DIRECTOR, INVESTMENT - BACK OFFICE, INVESTMENT T EAM – LIFE INSURANCE CORPORATION OF INDIA
MR. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING AND CHIEF MARKETING OFFICER – LIFE INSURANCE CORPORATION OF INDIA
MR. HEMANT BUCH – EXECUTIVE DIRECTOR BANCA – LIFE INSURANCE CORPORATION OF INDIA
MS. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT , POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA

MR. THIRUVENKATACHARI – ADDITIONAL EXECUTIVE DIRECTOR, CUSTOMER RELATIONSHIP MANAGEMENT CLAIMS – LIFE INSURANCE CORPORATION OF INDIA
MR. ADITYA GUPTA – EXECUTIVE DIRECTOR, CC – LIFE INSURANCE CORPORATION OF INDIA
MS. MANJU BAGGA – EXECUTIVE DIRECTOR, PENSION AND GROUP SCHEME – LIFE INSURANCE CORPORATION OF INDIA

MR. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE
INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to LIC's FY '23 Earnings Conference Call. We have the senior management of LIC led by Mr. Siddhartha Mohanty, Chairperson on this call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC. Thank you. And over to you, Mr. Mohanty.

Siddhartha Mohanty: Good morning, everyone. I am Siddhartha Mohanty, Chairperson LIC. This is my first analyst call after assuming charge as LIC Chairperson. Starting today I look forward to interacting with all of you on a more regular basis.

On behalf of the senior management team, I warmly welcome you all to the results and performance update call of Life Insurance Corporation of India for the 12 month period ended March 31st, 2023.The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.

Along with me, I have three Managing Directors, Ms. Mini Ipe, Mr. M. Jagannath and Mr Tablesh Pandey. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr.Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO) and Mr Hemant Buch, Executive Director (MBAC) from our Marketing team, Ms. Rachna Khare, Executive Director (CRM/Policy Servicing) and Mr S Thiruvenkatachari Additional Executive Director (CRM/Claims) from our CRM team, Mr. Aditya Gupta, Executive Director (CC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes) and Mr. Sanjay Bajaj, Head (Investor Relations).

Now moving to the key business, operational and financial highlights for the financial year 2022 -23.

Premium Income:

For the year ended March 31st, 2023 we have reported a Total Premium Income of INR 4,74,005 crore showing a growth of 10.90 % over the total premium income of INR 4,27,419 crore for the last year ending March 31st, 2022. The Individual New Business Premium Income for FY23 was INR 58,757 crore and for FY 22 it was INR 54,960 crore representing a growth of 6.91%. Renewal Premium Income (Individual business) for FY23 was INR 2,34,006 crore as compared to INR 2,21,661 crore for FY22. The Group Business total premium income for FY23 was INR 1,81,242 crore comprising of New business premium of INR 1,73,258 Crore. In comparison for FY22, Group Business total premium income was INR 1,50,798 crore and comprised of New business premium of INR 1,43,939 Crore. Therefore as you can see the Group new business premium had a growth of 20.37% during the year.

Our market share by First Year Premium Income for full year ending March 31st 2023 is 62.58% (as per IRDAI) as compared to 63.25% for year ended March 31st 2022.

Further, our market share was 40.58% in Individual business and 76.65% in the group business for the year ending March 31st 2023. On a comparable basis for year ended March 31st 2

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the respective market shares for Individual and Group business were 43.77% and 76.16% ,respectively. Therefore, we continue to be market leaders both in Individual as well as Group segments.

Seen on APE basis the break up of business is as follows:

Total Annualised Premium Equivalent (APE) for year ended March 31st 2023 is INR 56,682 crore which is comprised of Individual APE of INR 38,667 Crore and Group APE of INR 18,015 Crore. Therefore, on APE basis, the individual business accounts for 68.22 % and Group business accounts for 31.78%. Further of the Individual APE, the Par business accounts for INR 35,231 Crore and Non Par amounts to INR 3,436 Crore. As you can see our Non par share of individual APE is 8.89 % and Par is 91.11% for FY23. You will recall that our Non Par share for year ended March 31st 2022 on APE basis within the overall individual business was 7.12%. However, for the 9 month ending 31st December 2022 the comparable non par APE was 9.45% which was 56 bps higher than full year non par APE share at 8.89%. We believe this marginal dip of 12 month period versus 9 month period is very specific to the customer demand characteristics during last quarter of FY 2023. Our intent, nonetheless, remains to stay on course of continuously and consistently building up our non par business without ignoring the par business.

Profit After Tax
The Profit After Tax (PAT) for the year ended March 31st, 2023 is INR 36,397.40 crore as against INR 4,043.12 crore for the last financial year FY 22 ending March 31st , 2022.

Further, I would like to explain that the current year profit has increased due to transfer of an amount of INR 27,240.75 crore (Net of Tax), pertaining to the accretions on the Available Solvency Margin from Non par fund to Shareholders account.
VNB and VNB Margins
Gross Value of New Business (VNB) at INR 11,553 crore for year ended March 31st 2023 grew by 16.46% over the previous year when it was INR 9,920 crore for the year ended March 31st 2022. Also the net VNB margin for the FY23 is 16.2% as compared to 15.1% for full year ended March 31st 2022 representing a 110 bps improvement.
Indian Embedded Value (IEV)
The IEV of the corporation has been determined as Rs.5,82,243 crore as at March 31st ,2023 as compared to Rs. 5,41,492 crore as at March 31st,2022. Therefore the IEV has grown by 7.53% on a year on year basis.
Assets Under Management (AUM)
Assets under Management as on 31st March 2023 grew by 7.65% year on year to INR 43,97,205 crore as compared to INR 40,84,833 crore as on 31st March 2022.
New Product launches
Now I would like to inform about New Product Launches. In line with our strategy of increasing the proportion of the Non par business, we launched seven new Non par products during FY 2022-23 to cater to customer requirements, namely, LIC's Bima Ratna, LIC's Dhan Sanchay, LIC's New Pension Plus, LIC's Dhan Varsha, LIC's New Tech Term, LIC's New Jeevan Amar and LIC's Jeevan Azad, respectively.
No. of Policies sold
During the year ended March 31st, 2023, we sold 2.04 crore new policies as compared to 2.17 crore new policies in previous year ended March 31st 2022. As you can observe while the individual new business premium increased by 6.91% during the year, the number of polices declined by 5.93%. A part of this decline was also expected by us due to our management decisions on altering the structure of some products where volumes may have been high historically but were accompanied by lower persistency by number of policies.
Agency Workforce
As on March 31st, 2023, the total number of agents was 13,47,325 as compared to 13,26,432 as on 31st March 2022. The market share by number of agents as on March 31st, 2023 stands at 51.26% as against 54.30% for March 31st 2022.
On number of policies sold basis, the agency force sold 1,97,80,314 policies during the year

ended March 31st, 2023 as compared to 2,06,43,141 policies during the corresponding period of last year registering a decrease of 4.18%. Therefore, you can see that more than 96% of our policies for FY23 were sold by our Agency force. Even on premium basis, a little above 96% of NBP came from our Agency channel for FY23.
During the year ended March 31st 2023, other channels (BAC – Banca and alternate channels) contributed to 1.52% by number of policies and 3.44% by New Business premium. For the year ended March 31st 2022, the banca and alternate channels contributed to 1.28% by number of policies and 2.92% by New Business premium. This year we collected premium of INR 2,020 crore via this channel as against INR 1,600 crore registering growth of 26.25% over the last year. We continue to be ambitious within this space and will develop further plans and strategies to increase the share of banca and alternate channels within our mix over a period of time.
Our Management Expense Ratio stands at 15.53% for the year ended March 31st 2023, as compared to 14.50% for the last year. The increase was 103 bps on year on year basis.
Persistency:-
On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY23 stands at 77.09%, 69.93%, 70.05%, 63.53% and 61.80%, respectively, as compared to 75.59%, 73.47%, 66.58%, 63.85% and 61.00%, respectively for FY22.
On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY23 stands at 64.28%, 56.97%, 56.90%, 51.05% and 49.86%, respectively, as compared to 63.45%, 60.70%, 54.09%, 51.90% and 49.86%, respectively for FY22.
Operational efficiency and Digital Progress:
In our digital initiative through the Agent assisted ANANDA app, we have completed 8,11,278 policies through this App during the year ended March 31st, 2023 as compared to 2,74,444

policies for the period ending March 31st 2022 thereby registering a growth of 195.61% on Year on Year basis.

Claims:-

On the claims front, during FY23, we have processed 2,21,17,029 number of claims which includes 2,12,08,453 maturity claims. On an amount basis during FY23, the maturity claims were INR 1,85,044 crore and the death claims were INR 23,423 crores. On a comparable basis for FY22, the maturity claims were INR 2,05,527 crore and death claims were INR 35,720 crore. Therefore, the death claims are lower by 34.43% and the maturity claims are lesser by 9.97% on a year-on-year basis.

With this I come to end of our detailed business parameters description for the year ended March 31, 2023. Let’s proceed towards the question-and-answer session now.

Thank you very much,

Moderator: The first question is from the line of Rishabh from Grow Capital Advisors. Please go ahead.

Rishabh: Sir, I first wanted to inquire about the IRDA monthly reported numbers on the first year premium. Could you have seen a decline month-on-month in the last quarter for LIC? But have seen itself the year-on-year decline has been as high as 60%. So what is the management doing on that front to curb this decline of first year premium that we are seeing continuously for the last 4 months now?

Siddhartha Mohanty: It is actually, if you see for the total year, there was growth, but towards the last. There were some depletions because of various factors. So many -- so they're taxation on front and other things. And the group business, particularly actually which constituted a substantial portion of our total premium income for 9 months. Actually, last quarter, there was some set back. So that's why, total premium income for that quarter -- saw some negative trend negative. That's the main reason.

Rishabh: All right. Second question was on the conservative dividend policy that you adopted this year, I understand that there has been a significant rise in the shareholders in

come as in the --

shareholder account fund this year. Due to obviously asset from distributing the entire profit to non-par shareholder -- of non-par policy to the shareholders account. But still the dividend distributed this year has been quite conservative.

I wanted to understand that in your presentation you have reported the yield on shareholders account as about 6.5%. Now that is not a very attractive yield compared to what is available to shareholders in terms of fixed deposits and other fixed income products that are there. So why not distribute a larger portion of the shareholder fund to shareholder and let them allocate that capital for themselves because they are earning a better yield in the market right now.

Dinesh Pant: Yes. Actually, I think if you look from the plain number point of view, dividend distribution, it has doubled -- exactly doubled as compared to last year. And you would see that even dividend paid on per share, if you compare with any other company, it would still be a very, very strong number. As far as dividend distribution policy of the -- any insurance company or for any business is there, m not very sure that shareholders do look for dividend returns. But ultimately, they're looking for the value of the business. We see a lot of scope for growth because, as you are aware, that the corporation is looking into turning around to the side of the non-par business and capital requirements will be there.

Ultimately, the value will be created from the shareholder by maximization of the value of money that is there. Distributing higher amounts would be a situation possibly where you do not see application of that money turning into better yields on that. So for the corporation, we see that it is the high time, and we are looking for growth opportunities. And in fact, we are very comfortable and confident for growth.

So that capital, which is there, which will help us better the support for the capital for the future growth of business. And that would be the better strategy for realization of aggregates better use for the shareholder value creation, it will be better rather than distribution. But even from a plain

number figure, it has a significant increase from INR1.5 per square to INR3 per square recommended as at this stage, subject to the shareholders, is a very good number.

Moderator: Next question is from the line of Avinash Singh from Emkay Global. Please go ahead.

Avinash Singh: Two questions. The first one is more on your operating variances in EV Walk, rising out of persistency. So if I see the persistency movement, our 25th month had shown a material decline, while other cohorts have seen improvement. Now net-net impact, that's a big positive number from the persistency variance. Can you help sort of a break it that, okay, how much sort of it has benefited from the improvement in cohort? Or -- has it benefited some bit from this 25-month dip in persistency? So that's question one.

And the second question, if you can help us understand your note six to account where, I mean, you have explained some close to INR7,500 crores of reduction in the tax liability because of its fund bifurcation. So how is that working? Because I mean, in the par side, even if bifurcated, I mean, the policyholder surplus, we -- also tax. So how is this sort of a tax benefit that's -- or reduction of tax liability of INR7,500 crores emerging? That's the -- to your account. So these are my 2 questions.

Dinesh Pant: Responding to your part of it, I think when we are looking to persistence in numbers, we'll have to appreciate the fact that persistency numbers as I reported for 13th month, 25th, and respectively do not necessarily reflect the overall experience -- exposure of the company because what comes in the IEV walk or IEV unfolding is not just a 13th month or 25th month, or irrespective of the overall experience of

the entire portfolio. Even if we look into the first 3 points, which are normally covered for 13% to 60%, at least 3 points, it is better than last year. So even from the average point of view, we can find it out that it is helping us because persistency has improved about almost 2% to 3% in this area.

This persistency does not necessarily reflect the current business. It reflects over to the past years, right? And the greater focus is on how to build on from here. I can just indicate to you that, overall, in the IEV, as it has grown from the last year to the current year, persistency has been a positive source of surplus or it I can say, a contributor to that thinking overall basis.

Sunil Agrawal: Coming to your question on note number six on taxation. The bifurcation we were having a unified fund and the distribution of surplus was in the ratio of 95:5. And therefore the tax was paid on the entire INR100 of surplus that was generated post bifurcation and in line with the tax laws, and the review of the tax laws that we conducted, the cost of bonus pertaining to the policyholders of participating segment can be considered as a tax deduction and therefore, the tax liability on that has been reduced to the extent of INR7,185 crores as reported in note number six .

Moderator: Next question is from the line of Arjun from Avendus Spark. Please go ahead.

Arjun: First question is, within the overall EV. What would be the overall mark-to-market component that is sitting in the overall EV? Second question, in 9-month or '23, we had disclosed net VNB margin product-wise. This time, you have disclosed only gross VNB margin product-wise. So if you can give the net VNB margin for FY '23 product wise, that will be great.

And then third would be, there is an additional provision made for -- because of wage revision. What would be the impact on EV because of this additional wage costs that we are taking up? So this would be the three questions.

Dinesh Pant: Yes. See, as a policy, when LIC has gone public and declared our embedded value, we have considered -- we have -- all of us are aware that we did fund bifurcation. And we are not aggregating what portion is the MTM portion of it because it is all considered as part of the value of in-force business. That is the treatment we have been doing all along.

So from the sensitivities, we can understand what could be the figure, but this number is again changeable. So we are not looking into that as a separate component of MTM or other parts of it. This is being considered not as a part of adjusted network, but as a part of the -- growth of business because we believe that this amount has actually come and emerged out of our fast business and the trade, which was there out of it. So it has been allocated that way.

So we are not considering an MTM gain basis. But yes, we can -- yes, note this one that whatever embedded value growth itself 7.5% has come about, it has been on top of it, despite not so favourable conditions coming from MTM side. And -- but we are very confident that going forward, this should be a positive contributor. And in fact, it will only be -- it can be seen as a positive from the future point of view. So that was the first point.

And about net margins and VNB, line of business-wise, we have been disclosing and informing about the margins on gross basis only. But at the competency level, for the corporation, we do indicate net margins. So net margins in the individual side and group side have got re-aligned as we are aware that then the benefits and increased net margins do come back.

The overall strategy of the corporation is to systematically lower net by our business margin. But overall, ultimate goal of the corporation is to add on to VNB value by amount. So that is what can we see in that has grown almost 20%. So that's the way forward.

And as a wage revision, it's actually

what happens every 5 years, there is a wage revision for the employees. In the past, we have been having a method of this that -- whatever the cost comes as a prudent ensure that we tend to provide for it. We do not wait for the last moment. And -- but this year, because of the format and the clarity that we have to follow the accounting standard properly, the entire amount of this towards future provisioning has been expensed on the revenue account. So that has been the case.

As far as EV is concerned, it will not have a significant effect because of our large portion of the business in the participating side and the impact of operating expenses on that side comes to the extent of 10% on this and as we amortized the costs over the future years. So it will -- certainly does not have significant impact on this. And that is already factored. All this actually expenses estimated from the past and expected to happen in the future in form of wage inflations are all reflected in the initial year and our outcomes are in line with our assumptions which are being used for the purpose of EV determination.

Arjun: Just one last strategic question with respect to non-par business and annuity business, whether any improvements from the banca channel contributions that you have seen. And also your overall strategy going ahead in annuity and non-par business, if you can broadly talk of it?

R. Sudhakar I'm Sudhakar, Executive Director Marketing. On the annuity side, we have made some improvements in the yields in the recent past in the last quarter. So going forward, we see that the annuity side will be growing. We are also training more agents into the annuity products. So I'm looking forward to higher annuities.

And the same goes for non-par products also. We are actually calculating what is the percentage of agents who are selling that and giving trading inputs in such a manner and activising those agents in this particular product. That's why you would have also seen that the non-par savings as well as non-par protection has also grown, as compared to the previous years. So this will only accelerate -- our plan is to accelerate this during the course of the year. As for bancassurance, I would request Mr. Buch to answer this.

Hemant Buch: Hi, this is Hemant Buch, Executive Director, Bancassurance. As numbers you would have seen FY '23 aim is decent growth in terms of Banca contribution from premium side, it was around 26%. And we are definitely not only hopeful, but confident that the journey has just taken off in terms of our growth story at banca. And we intent to leverage our wide network of partnerships across the banks both PSBs and otherwise. And more also, outside belt, the other alternates also invest in leverage where we have seen the good traction coming in, in FY '23, and we will take forward to FY '24. So, journey continues and as we move forward, I think you will see more impressive numbers, both in terms of absolute and growth coming from banca.

Dinesh Pant: Actually, just to supplement what my colleagues have already informed, the corporation has had a very clear-cut strategy. As Chairperson has already briefed in the starting points itself, that we do not want to attain our growth in par business, but we want to accelerate exponentially in the non-par business. If we see, even in the current year figure, the growth rate in the non-par segment is almost 33% to 35%, which is significantly above 12%. I'm talking in terms of APE. So clear cut and within that, the profitable lines of business, particularly like saving products have grown by very, very significant numbers.

The annuity, you all know is a very competitive market. We have taken very calibrated steps because what we are at the end of it -- do not want to lose out is this on the VNB value for the shareholders. So we have also revised our rate, but we have not gone to th

e top end of it. And
we expect with interest rates settling down, in fact, there will be possibly there'll be some correction. And then the volumes in the annuity segment, we are therefore expecting to grow significantly this year as compared to the last year. So overall metrix is panning out in the way in which corporation is planned for.

Moderator: Thank you. Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Sir, I just want to understand some kind of a guidance or an outlook for fiscal '24, how you are looking at either premium growth or top line growth, APE growth, whichever metric you're

looking at. And also taking continuing from the previous participant's question on non-par, specifically, right? Like you mentioned, we have seen good 35% growth, can we see this particular part continue to grow? What are some of the learnings we have had since we have adopted this strategy for increasing our non-par? So, what are some of those learnings, which we can further enhance going forward?

Siddhartha Mohanty: So, if you see, last year, 2023, we have already shown some results and whatever commitment we made in the initial period of roadshows before going to market. I think we are fulfilling that commitment. In line with that, we are fulfilling our commitment. As discussed, there is focus on non-par. Non-par share is gradually growing, but we are not sacrificing our par strength. Because agents who are selling par, they are selling par, but some new agents, new breed up, particularly, youngsters. We are training them, so they are also selling non-par production. And non-par mix will be gradually more in our total product basket. And we have introduced new products, as I told earlier, and the continuous training program is there for non-par product. And not only non-par as a line of business, but within non-par, which are the products which are giving high margin that also we are focusing, as appointed actually told, this in guaranteed savings, then thereafter annuity, then the term, health, ULIP, all those things, we are training our people and current year whatever growth we have already shown, I am confident we will show more growth on this segment. Margin will definitely grow as you people analyse because whatever commitment now, we are at 16.2% VNB margin and very first year of listing itself . So this year, definitely, it will also improve.

So everything is in place and consciously efforts are being taken. In addition to that, I'll add some digital initiative also we are taking, digital transformation, total, not only customer onboarding, completion of policy, but all other operations, also digital intervention will be there in the current year. So this year, this is a second year of our listing, whatever learnt -- we learnt first year, second year is definitely -- a better result will be there.

Shyam Srinivasan: Sir, I'm trying to refresh my memory on the road shows. But there was also a commitment to stabilize market share losses, right? And then at some point of time, I know this year, it didn't happen. But do you think, when we look ahead, there is a point in time where non-par clearly is growing faster, but par is growing slower. So how -- when is that tipping point you think where -- is it 12 months, 18 months down the line, 24 months where you think we will be able to get that market share stabilized?

Siddhartha Mohanty: Yes. So when you say market share, my understanding is a profitable market share, not market share per se. So that we have already demonstrated and there will be growth in profitable market share. It will not be only a simple number market share, a big figure. optics, for optics, that is okay. That's also we aspire not that we'll compromise on that, but also focus -- more focus will be on profitable growth in market share.

Shyam Srinivasan: Un

derstood, sir. Just looking at slide 36, I know you break up your non-par and par business, specifically the non-par business, on new business premiums. I think we have been requesting this to be given in APE terms. But if you could also call out what's happening on some of the subsegments like, ULIPs, term insurance, you talked about tech term, but I just want to understand at least some numbers from -- maybe we can get this off-line, from Mr. Sanjay, later,

but that will be helpful to have what's happening on the subsegments of non-par -- not only non-par savings but other non-par?

Siddhartha Mohanty: Yes, that, we'll share. Within non-par, all product line as I told, guaranteed savings, then annuity, then term, then health, then ULIP, all those figures will be shared.

Shyam Srinivasan: Got it. Sir, last question, sir, for me, and I can go back in the queue. When I look at the fourth quarter margins implied, net margins I'm talking about, you talked about 16.2% for the full year. Fourth quarter coming at about 19%. I'm obviously implying these numbers using quarterly APE and quarterly VNB that have derived from nine months minus what was for fiscal '23. So what's driving that? When I look at gross margins, the way you only now disclosed, there is 38% gross NBM margins for the group. So what is this product that you are writing? Is it seasonal fourth quarter, do you think that we can sustain some of these margins that we are reporting on the group side? Thank you.

Dinesh Pant: The -- in group side, you are right here, you've observed that -- the profitability of the group side as we may see for the year full year ended March '23 has even become a significant contributor. And going forward, this is some unique strength of LIC the group side, which will continue to contribute more. In fact, if you look into the overall group side, both the elements have contributed to overall VNB. The robust growth in APE, terms of APE, as well as growth in terms of VNB. Now APE growth of almost, I think, 22% or so has been there. But VNB has also grown contributed by various factors.

As we'll appreciate that one, the persistency experience since -- it's now two years when we first started preparing for IPO now. We have done a review of our experience analysis of the business, and the persistency experience seems to be very good continuity and retention of policy holders. In certain lines of business, we have realigned as per the requirement of ILM tables which have been reviewed, which also show greater longevity for the portfolio. Beyond that, we have seen robust growth in APE per scheme in most of the schemes of group business.

The loss ratios post-COVID rate has come down in our group -- insurance protection business side. And all these metrics persistently already talked -- all this combination gives us greater confidence about better experience to emerge and possibly even still stronger numbers can come from this side going forward, both in terms of the contributions coming in form of APE as well as in form of margins coming in.

Moderator: Thank you. Next question is from the line of Deepika Mundra from JPMorgan. Please go ahead.

Deepika Mundra: Just on the embedded value change, we see that there is a significant movement in the sensitivity on the tax rate, which has come down from 24%-odd to 11%. So what is the key driver of that? Secondly, on the operating assumption change, what is our main assumption that has been changed resulting in the positive variance of about 20 billion-plus in the EV? And lastly, on the persistency improvement, how much more do you think there is to go in terms of further true-ups that could continue to drive the EV upwards? That's it. Thank you.

Dinesh Pant: Yes, as far as sensitivity tests are there. This year, the sensitivity is showing impacts of rat

e

increase to 25% only. So that's a different class. I think we had shown sensitivity at 34% because there is a review on the taxation approach of the Corporation also. So since IPO and as CFO was also explaining to you earlier. However, frankly speaking, taxation rate is basically just a -- an indicator number. In case the number change by this much. Practically speaking, it will remain what is actually as per the law. So that appears to be very sensitive numbers, but that does not come into play into reality that is -- just an indicative number.

Deepika Mundra: Okay. And can you talk about the operating assumption change as well as various persistency assumptions and how much scope is there for further true-up on persistency to be -- to drive operating variance in the future? .

Dinesh Pant: As I was explaining to you, overall persistency aspect, we have seen that in both the individual side as well as group side, the persistency improvement is there to be seen. That is the contributor for VNB margins and VNB group in this side. The corporation's focus continues to remain on a business, which is strong and persistent. And in fact, if we look even in the period 61% persistency, we are almost near to the top, right? And that shows our contact on long term. So it means that is a unique strength for the corporation for the longer period. But we are working around different strategies for ensuring the quality of business, what the Chairperson was mentioning at the start of the speech. That's not only, we have launched new products with higher ticket size now.

But we have also reviewed actually almost eight products in last year. And the underlying reason for them was the persistency as well as the profitability under those products. So I'm sure as a result, for those changes and modification start unfolding going forward, in the next 13th month persistency and then next to, for sure, the 25th month persistency and thereafter when it will be seen, they will continue to be significant and good contributors to the overall -- yes, in fact, we are taking many steps in this direction to ensure the persistency becomes the focus of not only corporation, but intermediary also everybody.

So the commission structures have also been aligned in a manner that they drive the behaviour, which drives for longer-term persistent policies. So all those measures through operations in which the great base focus is on the revival of the policies, bringing old and lapsed policies into the books, sensitizing employees as well as the intermediary and incentivizing the behaviour all across which is towards persistency. We are very confident sure and focused that, that will be a contributor to overall embedded value going forward.

Deepika Mundra: Okay. Sir, just two more questions, if I may. One is on the economic variance, which is a negative INR17,000 crores in the EV, could you highlight what is the contribution of the fall that we had seen in the Adani Group stock valuation in that economic variance because if I remember correctly, it was about close to 30 -- 40 -- almost INR40,000 crores versus your purchase price. So is that fully reflected in the economic variance?

And secondly, on the unwind rate, which has increased from 4.8% odd in F '22 to 7.7% in FY '23. What are the -- what are the -- what is the key reason for such a sharp increase in the unwind rate?

Dinesh Pant: See, as far as stocks are concerned, we would not like to comment on it because as the question will be because we look into the entire portfolio in totality. We would see even when the stock you are talking, what can go down and go up. We have to see the overall impact on the portfolio. I guess, overall, that economic variance of what you are saying a negative entry is there because not any specific stock impact, but overall impact, of the market, which is not only confined to equit

ies but the sales or interest rates, as we are aware, when they go up, the MTM loss would come into play when the interest rate will go down.

This will give us the positive flip. But this individual item economic variance is not just to be seen in isolation. It should also be seen in conjunction with the unwind that is coming from RFR and variances in operating expenses. Overall, that will be something around INR30,000 crores plus. So this is, in a way, on the higher side, this is a factor which is possibly when the market takes up than what will be a positive contributor going forward.

Deepika Mundra: Okay. So, movement in RFR was plus 30,000 in the economic variance, is it?

Dinesh Pant: The movement in RFR was around 20,000 plus, and then there is a unwind which also happens

beyond on the actual experience which comes. So it was different. On one side, in the fix security side, when you will have your actual returns are better. The unwind in the form of RFR and on top of that actual experience.
On the other side, as operating variance, economic variances, they will treat your MTM. So it's a balancing effect which has to be considered. So both all the variances have to be considered together.
Deepika Mundra: Okay. And sir, last, could you comment on the unwind rate increase?
Dinesh Pant: Unwind rate increase is there for you to see, around 12% or so, right? So that is coming through, as I was explaining through RFR contribution. Because RFR, for the larger part of the curve, if you would see except, I think, between 4 to 20th year, RFR had been on the higher side as compared to the previous year. So that's a positive contributor. And then our returns have been much better than RFR. So that has also been contributor for this thing.
And then this -- MTM has been the negative contributor. But we have got from other operating assumptions have contributed positively towards making this IEV move by 7.5% from the past of 541 to 582 we can do that.
Moderator: Next question is from the line of Anuj Singla from Bank of America. Please go ahead.
Anuj Singla: Mr. Mohanty talked about some alteration of the structure of some products which have led to the growth slowdown in the second half of the year. Can you elaborate on that? What were these changes?
Siddhartha Mohanty: No. We talked about the P&GS business was not there in last quarter. So that's why premium was depleted. Individual-wise, there is growth. Individual premiums showed good growth during last quarter, particularly in March.

Dinesh Pant: In addition to that, actually, what have been talked about it that P&GS business has grown, but certain products, in order to remain competitive in the market, like annuities, in particular, right, we have to remain competitive in the market. We realized the starting point is very high VNB margin. But as we compete in the market, we had to improve benefits.
Improvement in benefits was result into reduction in the VNB margin. That corporation strategy, the Chairperson was talking about this, on the balance of the achieving growth in VNB, we have to ensure that the growth in APE is more than the reduction in any VNB. So that ultimate delivery in form of VNB value keeps on growing up. So that the strategy is a very conscious strategy.
We have taken a very calibrated approach.
Actually, we are not being driven by just competitive reasons. We have taken a very balanced view that -- so that when VNB reduction happens because of increase, it should be balanced out by APE growth. And that is what is coming in the outcomes when we see the VNB growing from 15.1 to 16.2. That's what...
Anuj Singla: But this repricing, if I understood correctly, this happened in the Jan to March quarter, right? The full impact of that will be visible only in FY '24?
Dinesh Pant: Right. It happened in the previous quarter also. There were two revisions of ann

uity in the last
year.
Anuj Singla: Okay. So, I think this will, again, maybe coincide with my second question. So when I look at the VNB margin for our -- the non-par, it has declined significantly, the gross VNB margin, which you declared in the presentation, in FY '23 versus FY '22. Is this the prime reason for that?
Dinesh Pant: Yes, one of the reasons would be there that will be margins to decrease, but there as now we've -- so that's one of the contributors. You're right. As you know, in the individual side, because when the benefits will increase, VNB margins will come down. But still, on the specific segments, in which we want to focus, like saving, in fact, in certain lines, VNB margins have improved also.
At times by increasing benefits also, it can be balanced by different other factors VNB margins can still be sustained. So we are still at good VNB margin levels in annuities, in savings side as well as in ULIP side, which is also seen uptick, because the focus at certain lines of business is increasing the ticket size of the policies also. So if the ticket size also improves, that also helps VNB margin. So it's a combination of different factors that will go so that overall direction of VNB growth is achieved and maintained.
Anuj Singla: Okay. Got it. So given this background, then how do we look at the growth trajectory? So obviously, we are prioritizing growth over profitability, at this point, it looks like that for FY '24. How does the growth and the profitability outlook look versus FY '22 -- FY '23?
Siddhartha Mohanty: I told the profitable growth, not the growth of our profitability. So profitable growth is our objective. So accordingly, we plan all product lines, which are giving good margin, those are to be promoted. And par, we'll never compromise on par because that is our strength. Agents are

selling it. So it will be a mixed strategy. So that ultimately, at the end of the year, we create value for all our stakeholders. That is the objective.
Anuj Singla: Okay. Any numbers you are targeting, sir, in terms of growth and on the VNB margins versus the base of FY '23?
Dinesh Pant: So only thing which you can say is we are looking for upward trajectory. And it should be better than what we have done in the past, but that is what we will always aspire for. How better? We'll share with you when it comes to.
Anuj Singla: Got it. And lastly, sir, can you quantify maybe on what you're seeing on the ground, the impact of the recent tax changes on the higher ticket size? What kind of impact do you see in the next year and maybe in the month of April, if you can just give your thoughts on that.
R. Sudhakar: I can only give you a small analysis of the business which we did last year and what we feel is the impact. In number of policies, it is 0.04%. And in the total premium, if you look at those who are paid -- or those customers who are paying more than 5 lakh for those it is about 3.5%. And by tweaking our product as well as marketing strategy, this impact in the next year, we can easily make up through other products and other lines of business.
Anuj Singla: And what will be the impact for VNB for last year, for the same ticket size? You mentioned 3.5% in terms of...
Dinesh Pant: So that will be ultimately -- most of this large market size policies for us has been in the participating business, so that will not have a significant impact. But again, we need to appreciate that the insurance industry, this is not the first challenge which has come before it. Sometimes challenges become the opportunities.
As a corporation, we are looking for this as an opportunity through variation in our marketing strategy as well as product-specific features also will try to ensure to come in the way so that we can convert this challenge into opportunity and still deliver for whatever customers are expecting.
We do not expect i

t to be any significant adversarial thing, but rather we will try to look price and look at it as a positive thing, through which we can expand more and reach out to a greater number of people as well as try to deliver products which can address the concerns and needs of the customers.
Anuj Singla: Got it. Sir, just last one, one clarification. You mentioned that some of the products, which had lower persistency, you discontinued that. Did that -- did I hear that right?
Dinesh Pant: So, as of now, what we have done is we have modified those products. We have end them because we see as far as design issues were there, we still believe that they are very good to cater to the needs of the segment. What we have done is modified the feature or the pricing or the -- actually at minimum sum assured level -- or minimum ticket size levels, they were giving low margins.

So, we have tried to adapt in a manner so that we continue to deliver those needs which are being addressed by this product and not done away with them. At some places we have done away very few products also. But lastly, what we are trying to do, we have tried to modify these products and make them viable and happening. And in some places, where we found like in health products, it was not viable. We have come out with the new products.
Anuj Singla: And you mentioned this number is nine.
Dinesh Pant: Eight products were modified last year.
Moderator: And the next question is from Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: Yes. So, I'll start with on the group side. So Just wanted to understand what is the split between the group fund and the group protection business. Also, on the group side, the margin between 9-month FY '22 and full year FY '23 has moved by around 500 basis points. So just wanted to understand what's happening in the quarter, which pushed the margins up? That would be my first question.
Dinesh Pant: See, the significant portion of the group business is in the fund-based scheme. So less than I would guess, less than 10% would be the par execution for the protection side, around 7.3% by APE would be there -- 7% to 8% would be by APE in the protection side. And that gives a lot of scope for us to grow there.
As far as that point, you mentioned about the change in VNB that's what I already talked about it. The combination of various factors, including better persistency in the schemes and adjustment to the new mortality table, better experience analysis, the age profiling of the customers, including the fund schemes, which are expected to last there. Increased improvement in the ticket size means the APE per scheme, APE per member, all these have contributed to us. On top of that, also the RFR, which is used for valuation. All those things have contributed. And we have unlocked the value there in a manner, which is based on our experience for this segment.
Supratim Datta: Got it. Got it. So you expect that the group par business gross margins to hold at 22% leverage

or expand from here. That would be the right assumption?
Dinesh Pant: Yes, yes.
Supratim Datta: Okay. Just on the VNB walk, you have mentioned that there has been a 90 basis point impact from -- impact of product benefits. Just wanted to understand what's that?
Dinesh Pant: That is actually what we are talking about, 90 basis points is what we discussed just now was when the benefits have been changed and you see annuity rates have been revised, right? So that has reduced the VNB margins in this product. So this is the overall impact of change in product benefits, product benefits overall for the corporation, brought down the VNB margins, not necessarily the VNB, to that extent, but VNB margins to the extent of this amount, which is shown in the EV Walk / VNB walk. Group improvement in benefits resulting into reduction in margins.

Supratim Datta: Got it. And so that brings me to my next question. So do you see -- think that there is scope to grow the APE further by reducing the margin more on the non-par side, because you are -- on the gross margin side, you are sitting at around 70%. So there could be scope -- still reduced. Overall, you'll still have a higher margin. So is that something that you will still consider in FY '24.
Dinesh Pant: Yes. We have to remain open and we are open to that thing. But our overall focus is that the reduction in VNB margin should get compensated by increase in APE growth. That may not necessarily happen all the time because, at times, it takes a little time for that to happen. Suppose, we immediately reduce margins. And from the next, we expecting that APE growth will come about it, and that way things don't pan out in that manner. So sometimes we'll have to be patient with it.
And we'll have to test it. But ultimately, as we are also concerned about profitable market share, which we've talked about, that strategy will continue to be there. So we are taking a very calibrated strategy there that to what level we bring down the VNB margins without compromising on the ultimate goal of VNB. So that strategy will always be there. In a competitive scenario.
Supratim Datta: Got it. And last question from my side is the EV walk, so operating experience variance expenses there is a negative entry of around INR1,000 crores. So just wanted to understand what is contributing to the negative impact given you have been talking about putting in place various initiatives to improve efficiency, cost efficiencies.
Dinesh Pant: That's only what factors have been invented. Actually, there is prudent side of it. So, inflation, we have taken the prudent side of -- based on the past experience, one element of that is the inflation side of it. Going forward, I think it will also be a contributor, hopefully, in this side.
But also, this factor, which we are talking about, nonoperating variances, also includes the outcomes of TVFOG, Time Value of Financial Options and Guarantee, right? The sale option in guarantee. So that is dependent upon the market scenarios which are there. So that is also a contributor to that.
So these things will continue, are showing a slight negative on that thing, which is in the expected lines only. As we talking about the expenses on the top side of our INR1,000 crores or so, that is largely on account of onetime expenses which have been earlier on account of wage revisions. Wage revisions related provisions, not wage revisions actually.
Moderator: Thank you. The next question is from the line of Akshay Tiwari from Religare Broking Limited. Please go ahead.
Akshay Tiwari: In this quarter around, we saw a dip in the single premium growth, which is quite contrary to what we saw for other life insurance companies. So just wanted to understand what is the reason for decline in single premium income? And also with regards to bancassurance, any major partnerships have we taken with any major banks as such? Thank you.
R. Sudhakar: So, in this quarter, especially in the month of March, the focus was more on the 5 lakhs-plus customers who are wanting to avail the 10(10)(D) benefit. So more or less that the core agency

force, when it moves, it moves as a herd. So overall, I would say, Jeevan Shanti is one where, we have a significant growth, which is a single premium. And the other part is, I think, on the basis of the Growth Life, where the overall total premiums would have come in the quarter of March.
Akshay Tiwari: Okay.
Hemant Buch : Yes. Coming on to the banca side, some initiations were made during the Q4 and particular towards March. In Q4, as such we did not sign up any new agreement with any of the partners.
But in the current quarter, we have already signed up one, and we are expecting three

or more partnerships to be signed. And carefully and gradually, in fact, we will lookout for it with more number of partnerships, but we already have sufficient partnership because we are not in a position to leverage the strength fully.

So, it's a combination of in fact the two strategies. One is carefully partnering with new players or maybe looking out for new partnerships. But at the same time, the vast network which is already available to us, leverage them in fact, carefully gradually and to the fullest possible capacity to fuel growth. So, we are definitely looking out for opportunities. We have signed up this one. So, more are in pipeline and maybe other two will be materialized in -- towards in fact Q1 end or maybe beginning of Q2. So, we will continue on that strategy, but then the more focus on the leveraging the existing network, which is very significant.

Akshay Tiwari: Okay. Thank you, sir. Also are we doing anything with regards to the direct channel, as direct channel has more margins, so any steps taken towards increasing direct channel in the distribution mix?

Siddhartha Mohanty: Actually, digital -- we have our digital marketing channel. And this year, some big intervention will be there for promoting digital marketing. Though now, share of digital marketing is very, very minuscule, negligible, below 1%. But the current year, through some tech intervention, there will be some uptick from this channel.

Moderator: Thank you. Next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick: I have two questions. One is on the health side. What is the persistency of health business on the number of policies?

Dinesh Pant: Yes, see, the health business persistency was lower than the our usual business. That was a cause of concern. So in the current year, that is the reason we have -- we are currently offering two products in health, one is fixed benefit, Jeevan Arogya and other is Cancer products. So what we have done is we have modified these two products again. And now we are expecting the persistency to be much better than average on this, because we have changed and modified these products.

Ajox Frederick: All right, sir. I mean, by modification, you have reduced the premium or...

Dinesh Pant: Yes. So, we are -- what we are trying to see that at the lower ticket size, that's the general experience. The persistency rates are lower. As a sum assured is higher, so we are trying to address wherever based on the persistency experience, whichever the pain point, we have tried to address those places, so that we can get a better persistency within those products. So typically, either sum assured has been increased and slight increase in premium could be possible, but that we should be still be affordable to everybody, and largely, fine-tuning the places from wherever or sometimes it can be through modes, certain modes of payments give you worst experience of persistency. So addressing, whichever are the pain points there so we try to modify that.

Ajox Frederick: Okay. And sir, one more question on the productivity of new agents, particularly 18 to 30. I think overall, your agents are doing roughly 13 to 14 policies a year. So, what is the productivity of new agents? I'm trying to understand how fast they can get.

R. Sudhakar: The new agent productivity will be on the lower side when you look at the average. Because we have the productivity of current 16, what you see is, thanks to also our club member agents whose productivity is in the range of 30-plus. So, we have about 2 lakh club member agents. Who're professionals or even -- overall persistency is better than 85% on the whole portfolio. So, they bring the maximum number of policies per area. For the new agents' productivity, maybe lesser than that. But as and when they become senior, as they get -- they become more experienced, then the productivity will increase.

Moderator: Thank you, very much. Ladies and gentlemen, due to time constraint, we'll take that as the last question. Please note the management will answer the questions later for each participant who has joined the queue.

With this, I now hand the conference over to Mr. Siddhartha Mohanty for closing comments.

Siddhartha Mohanty: So, I would thank all our friends from analyst and the investor community. We learn a lot about -- how you see the business. As we take steps into the early part of FY '24, I would like to reiterate that as LIC, we are committed to creating superior value proposition for all our stakeholders. I am sure, you will appreciate that despite being a large player, we could achieve FY PI growth of 16.67% for FY '23. Now it is incumbent upon us as management to keep refining our product and channel mix, including use of cutting-edge technology and digital intervention, so that we can accelerate the pace of our directional momentum.

We'll keep coming back to you with updates in future at regular interval. Thank you very much.

Moderator: Thank you very much. On behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

Ref. No.: LIC/SE/202 3-24/ 76 Date: August 21st, 2023
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The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of IndiaLtd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai -400001 Mumbai -400051
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Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith the Transcript of Earnings Conference Call with Analyst/Investors held on 11th August 2023.
The said transcript is also available on the Corporation's website and can be accessed from the link:
https://licindia.in/web/guest/call -transcript -of-analysts-/- investors- meet
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Yours faithfully,
For Life Insurance Corporation of India
(
Pawan Agrawal)
Company Secretary & Compliance Officer

"Life Insurance Corporation of India
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August 11, 2023

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M R. SANJAY BAJAJ – HEAD, INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to LIC's Q1 FY '24 Earnings Conference Call. We have senior management of LIC, led by Mr. Siddhartha Mohanty, Chairperson on this call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson LIC. Thank you and over to you, Mr. Mohanty.
Siddhartha Mohanty: Good morning, everyone. I am Siddhartha Mohanty, Chairperson of LIC. I would like to welcome all of you to the first quarterly results call of the financial year 2023-'24.
As you are aware we declared our results last evening and we have also uploaded the Investor Presentation on our website as well as the websites of both the exchanges BSE and NSE. Trust all of you had an opportunity to go through the same.
Along with me, I have four Managing Directors, Ms. Mini Ipe, Mr. M. Jagannath, Mr Tablesh Pandey and Mr. Sat Pal Banoo. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mrs. Manju Bagga, Executive Director (Pension & Group Schemes), Mrs. Rachna Khare, Executive Director (CRM/Policy Servicing) and Mr. Sanjay Bajaj, Head (Investor Relations).
Before we get into the Q and A session let me take a few minutes to explain the key highlights of our performance for the quarter ended June 30th, 2023.
Premium Income:
For the quarter ended June 30th, 2023 we have reported a Total Premium Income of INR 98,363 crore as compared to total premium income of INR 98,352 crore for the quarter ending June 30th, 2022. The Individual New Business Premium Income for quarter ended June 30th, 2023 is INR 10,462 crore and for the corresponding quarter of last year it was INR 10,938 crore. Renewal Premium Income (Individual business) for quarter ended June 30th, 2023 is INR 52,311 crore as compared to INR 49,069 crore for quarter ended June 30th, 2022. The Group Business total premium income for quarter ended June 30th, 2023 is INR 35,590 crore comprising of New business premium of INR 34,398 crore. In comparison, for quarter ended

June 30th, 2022 last year Group Business total premium income was INR 38,345 crore and comprised of New business premium of INR 37,284 crore.
Our market share by First Year Premium Income for Quarter ending June 30th 2023 is 61.42% (as per IRDAI) and we continue to be market leaders in overall life insurance space in India.

For quarter ended June 30th, 2023 we have a market share of 40.84% in Individual business and 72.50% in the group business. Therefore, we continue to be market leaders both in Individual as well as Group segments.
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en on APE basis the break up of business is as follows:
Total Annualized Premium Equivalent (APE) for quarter ended June 30th 2023 is INR 9,532 crore which is comprised of Individual APE of INR 5,950 Crore and Group APE of INR 3,582 Crore. Therefore, on APE basis, the individual business accounts for 62.42% and Group business accounts for 37.58%. Further of the Individual APE, the Par business accounts for INR 5,342 Crore and Non Par amounts to INR 608 Crore. As you can see our Non par share of individual APE is 10.22% and Par is 89.78% for quarter ended June 30th 2023. You will recall that our Non Par share for similar period last year ie quarter ended June 30th 2022 on APE basis within the overall individual business was 7.75% and the APE was INR 500 crore.Therefore, with an APE increase in Non par of 21.6% we have crossed the double digit percentage mark in the mix of non par product within our individual business. Also I can say that we are confident of moving ahead on this trajectory.
Profit After Tax :
The Profit after Tax (PAT) for the quarter ended June 30th 2023 was Rs. 9,543.71 crore which comprises of an amount of Rs. 7,491.53 crore (Net of Tax) pertaining to the accretion on the Available Solvency Margin, transferred from Non Par fund to shareholders account. For the quarter ended June 30th, 2022, PAT was Rs. 682.88 crore in which an amount of Rs. 4,148.77 crore (Net of Tax) pertaining to the accretion on the Available Solvency Margin was not included as this amount was transferred from Non Par fund to shareholders account on September 30th 2022. Therefore, the comparable profit figure for quarter ended June 30th, 2022 is Rs. 4,831.65 crore (net of tax).
VNB and VNB Margins :
Net VNB is INR 1,302 crore and net VNB margin is 13.7% for the quarter ended June 30th 2023 as compared to INR 1,397 crore and 13.6% respectively for the quarter ended June 30th 2022.
Assets Under Management (AUM):
Assets Under Management (AUM) as on June 30th 2023 was INR 46,11,066.52 crore as compared to INR 41,02,041.84 crore as on June 30th 2022. Therefore, our AUM has shown a growth of 12.41% on year on year basis.
Product Mix and New Product launches :
Now I would like to inform about New Product Launches. In line with our strategy of increasing the proportion of the Non par business, we launched two new Non par products during the April – June 2023 quarter, namely, LIC's Dhan Vriddhi and LIC's Group Post Retirement Medical Benefit Plan. We also modified the Cancer cover plan amongst our health portfolio.

No. of Policies and Agency Workforce:
During the quarter ended June 30th, 2023, we sold 32.16 lakhs new policies as compared to 36.82 lakhs new policies in quarter ended June 30th 2022, a year ago.
As on June 30th, 2023, the total number of agents was 13,43,540 as compared to 13,32,782 as on June 30th 2022. The market share by number of agents as on June 30th, 2023 stands at 50.94% as against 54.37% for June 30th 2022.
On number of policies sold basis, the agency force sold 31.20 lakh policies during the quarter ended June 30th, 2023. Therefore 97% of our policies in the quarter ended June 30th 2023 were sold by our Agency force. Even on premium basis, a little above 96% of NBP came from our Agency channel in the first quarter of current financial year.
Contribution by Banca and Alternate Channels:
During the quarter ended June 30th 2023, other channels (BAC – Banca and alternate channels) contributed to 1.96% by number of policies and 3.22% by New Business premium. For the quarter ended June 30th 2022, the banca and alternate channels contributed to 1.32% by number of policies and 2.66% by NB premium. This year in the first quarter ending June 30th, 2023 we

collected a NB premium of INR 336.36 crore via this channel as against INR 290.46 crore in comparable three month period last year. Therefore, as you can s

ee we grew by 15.80% on year
on year basis in the BAC Channel when measured by New Business Premium. Further we sold 62,970 policies and we grew by 29.69% in the BAC channel in this quarter as compared to similar period last year. Just like we are changing our product mix as explained earlier our commitment to changing our channel mix is intact and on track, as these numbers will tell you.
Our Overall Expense Ratio:
For the quarter ended June 30th 2023, our overall expense ratio has improved significantly to 12.85% as compared to 14.59% for the first quarter of last year.
Persistency:
On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the quarter ended June 30th, 2023 stands at 78.37%, 72.11%, 70.75%, 64.54% and 62.73%, respectively, as compared to 77.85%, 74.37%, 67.76%, 64.91% and 62.43%, respectively upto the quarter ended June 30th, 2022.
On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the quarter ended June 30th, 2023 stands at 66.15%, 59.28%, 57.72%, 52.04% and 50.79% as compared to 65.96%, 61.79%, 55.25%, 52.98% and 51.23% respectively upto the quarter ended June 30th, 2022.
Therefore, there is on the overall an improvement in many cohorts of the persistency on premium basis as explained above. As a key part of our focus area and strategy we are committed to improving persistency both on premium and on number of policies basis.

Operational efficiency and Digital Progress:
In our digital initiative through the Agent assisted ANANDA app, we have completed 2,22,167 policies through this App during the quarter ended June 30th, 2023 as compared to 50,931 policies for the period ending June 30th 2022 thereby registering a growth of 436.21% on YoY basis. After the product mix improvement and persistency improvement, this aspect of ANANDA growth is the third highlight of our results – i.e. the persistent focus on technology integration and adoption across our organization including our agency force and the digital push underway.
Claims:
On the claims front, during quarter ended June 30th 2023, we have processed 38,65,229 number of claims which includes 36,77,149 maturity claims. On an amount basis during first quarter ended June 30th 2023, the total maturity claims were INR 34,612 crore and the total death claims were INR 5,147 crores. On a comparable basis for first quarter of last year, ended June 30th 2022, the maturity claims were INR 31,181 crore and death claims were INR 5,743 crore. Therefore, the death claims are lower by 10.38% and the maturity claims are higher by 11% on a YoY basis.
With this I come to end of our detailed business parameters description for the quarter ended June 30th, 2023. As you can see, we continue to move ahead of product mix, channel mix, persistency, technology adoption and enhanced profitability. Before I handover to the moderator I would like to thank our shareholders, policyholders, agents and employees for their faith and trust in us.
I now request the moderator of this call to open the floor for the question and answer session.
Thank you very much.
Moderator: Thank you very much, sir. We will take the first question from the line of Sanketh Godha from Avendus Spark. Please go ahead.
Sanketh Godha: Sir, my first question is on margins. So if I look at the individual business margin, it has compressed meaningfully from 15.8% in 1Q FY '23 to 13.5%. Actually, the completion was visibly in both individual par and non-par business. Actually, most surprising part was on par when the profit share is going up in the current year compared to what it was last year, the margin compression by almost 90 bps seems to be on the higher side. I just wanted to understand that part a little better.
And in non-par, the margins, which has come up by 30-odd percentage. Is this the new normal, the 43 kind of

a number is the new normal given you have reset the IRR on the products, this is the new normal? Or do you expect a further compression in the non-par business?
And lastly, on group business, I just wanted to understand that 10% margin going to 13.9%. Is it largely the function of mix change that your fund-based business contribution has come down and annuity has gone up, and that led to the margin expansion in the group business? So that's

my first question, sir.

Dinesh Pant: See, yes, as far as comparing VNB margins possibly, it would be fair to compare it to start with quarter-to-quarter things because the business which keeps on changing as we progress during the year. The profile of the first quarter business is not same as profile as we go towards the end of the year. We have seen it in the past also that it's -- though it's comparable with the March, but it's not directly comparable to compare.
So in our case, there are certain points which are right. Yes, as you rightly mentioned, in the group business, the higher component of annuity does -- has contributed actually favourably to that proportion of business. Along with that, also better experience as we explained in our previous calls also in terms of persistency of that business and profile and mix of that business.
So as far as new normal, you are talking about, that's the fact that the surplus distribution in par is progressing towards a -- but it will remain the same as it was in the last year.
But largely, we would see that the business mix, which has been the conscious strategy of the LIC moving towards non-par business in a gradual manner has really improved the contribution. Actually, that's the largest contributor in a way to the margin. But yes, in a competitive market, there is a requirement to reset the benefits to make them competitive. That brings down the VNB margins.
Now having done, having ensured competitiveness of the product, which is though not a permanent, it is a continuous dynamic activity. The growth to come forward in the coming quarters, I would expect, would be expected to ensure and the ticket size as we go forward, would ensure better outcomes in terms of VNB margins only.
Sanketh Godha: Got it, sir. So basically, when we report quarterly margins, the cost assumptions, what we take is based on last year or we take it mark-to-market what our experience we have in the current quarter we take that as a cost assumption as the cost will improve coming quarters with growth and seasonality. And margins are bound to improve, sir, because of that simple factor?
Dinesh Pant: Yes, when we are considering the VNB margin, they would definitely factor in the developing assumptions. They can be on the better side, they can be on the worse side as the experience develops, the assumptions also have to be fine-tuned according to that thing. But as we show the walks towards movement from this period-to-period, it can be -- whether if it is in reference to previous quarter or previous quarter the last year. Then that analysis movement shows the impact of those factors which have come in to it.
Sanketh Godha: Got it. Sir, is it fair to assume, sir, that by end of the year, maybe in FY '24, end of FY '24, you will be similar or better than what you have reported of 16.2% last year, sir?
Dinesh Pant: See, that will always be the goal and purpose and objective as we have clearly made that -- that we are looking for an upward trajectory in a very speedy manner. But it also depends upon various factors. For example, one of the significant impact, not across this LIC, but possibly across other entities also has been the change in interest rates. So with the RFP rate change, that has got a significant impact. And the impact on plus and minus or I mean up and down on the interest rate is not in the similar way, depending on the business profile of differen

t insurers,
possibly the significance of downside is higher, and we have seen that thing.

So that would also be impacting how the interest rates go forward from here. But definitely with the business mix and the strategic decision to ensure a robust growth or reasonable growth in the par business and robust growth in the non-par business, we definitely expect these margins to remain on the upward trajectory.
Sanketh Godha: Got it, sir. Sir, the second question is on group business. If I look at July monthly numbers also, it seems to have reduced or there is a sharp decline in the group business. So has the management has taken a conscious call that the fund based business, which is not margin attractive, you don't want to chase it aggressively or is it because of the competitive dynamics that you are losing out in the group business? Just wanted to understand that part a little better given it is visible in the quarter number also and in July monthly numbers, which get disclosed at IRDA level.
Siddhartha Mohanty: No, actually, we will concentrate on group business and the group business also last year gave good margin. It is not that the group does not give margin. Last year also, we have experienced a good margin from group business. But in the current year actually some receivables, they are deferred because the people take a decision depending upon various factors, interest rate, all those things. So receivables to employers and all those, they have deferred, and we expect in the

coming quarters, all this business will definitely come. And we'll definitely continue to retain market share, rather grow market share in group business.
Sanketh Godha: Got it, sir. And sir, the next question is on term insurance because non-par has been a focus area, you do your mix of non-par broken down into ULIP non-par in NBP terms, not in APE terms.
There, if I do the simple math, your term insurance business has declined year-on-year. While if you look at all the private players, which have come out with the numbers, they have reported a sharp growth in the protection business or individual term business. So just wanted to understand why we have not able to grow the pace while the sector -- other players in the sector are managing to grow it?
Dinesh Pant: Yes, that's a fair question. But we are really conscious about that area and we consider there is a strong area for -- which will bring about growth. In fact, recently, we have launched a very, very competitive and very on a market demand basis. Recent product in this segment, which is ROP, TROP, a return of premium, risk of financial analysis, LIC Jeevan Kiran policy has been launched recently.
We expect a lot of uptick. A lot of focus is on the direct marketing channel because the large portion of these business is coming through conventional channel also to give fillip. We realized and we are really making all efforts in this direction. One through enriching the product basket here and bringing about the focus into this area.
In fact, one impact would be that we had repriced our term rate in the last year. So that had a little impact on the sales, but things having settled down, now we are expecting that this particular segment of business will also drive not only business growth, but also the profitability growth from here onwards.

Sanketh Godha: Got it, sir. Sir, last one on data keeping, which you can share. You do your NBP breakup into ULIP par, non-par everything. But you don't give it an APE basis. It will be great if you can share the information also on APE basis, what your premium mix looks?
Dinesh Pant: We will share it, due point of time, we'll also share that. Right now, we have culled out the information at this level.
Moderator: Thank you. We'll take the next question from the line of Avinash Sin

gh from Emkay Global.
Please go ahead.
Avinash Singh: So the first question is on this, your segmental surplus generation. If I see that in your disclosure, the par segment that typically, again, is a slow growth and relatively matured. Yet, the segment surplus is in deficit. So if you can help us understand what is happening at the segmental level, I mean, because for a large company like you where growth is also moderate and a large backlog. One would expect the segmental surplus to usually positive in par, but here I see negative. So that's my question number one.
Question number two is that because of your accounting change regarding the investment surplus on available solvency margin in the non-par fund transfer to shareholders fund, the profit, of course, has increased a lot and is close to INR9,500 crores for this quarter. And then you would have paid out dividend. So still the solvency accrual, if I see or solvency increase, it's roughly around INR3,000-odd crores if I do a rough math.
So if you can just help out understand, because why I'm asking this because this will give us some idea around ability to pay dividend because, I mean, if solvency not sort of increasing but the same way your profitability emerging then of course, the ability to pay dividend will be limited. So that's the question two, and I have 1 follow-up.
Dinesh Pant: Yes. I trust you are asking this reference to financials or profitability aspect of participating business. You talked about deficits, you're talking to -- I guess you're talking about in the reference of financial accounts only, right?
Avinash Singh: Yes, yes, the segmental filing, that exchange filing, yes.
Dinesh Pant: Let me then clarify on that point of time. Even if some deficit, it is actually not a deficit, the fund would have been surplus, we have consciously taken some strategic decisions. For example, to provide for -- we use -- we have some funds for future appropriation, which was in our fund, which is already as a reserve. It has been decided to apportion because as you go towards the end of the year and at any point of time, you have to take a conscious call towards adjustment of that for future appropriation. And so that amount, there were some terminal bonus payments which are required, which is generally revenue expense for us. But now we have to provide for that on an annual basis.
So that certain utilization of FFA (Fund for Future Appropriation) has happened and that's why it is looking like a deficit. Otherwise -- and because we have provided adequately and appropriately for that purpose. That's why it is looking a deficit. If that would not have been take

considered, it would have been revenue surplus. But on a consolidated level for the entity there is a significant surplus in the financials also.

As far as solvency figures are considered, you would appreciate the fact that today, whatever is the LIC solvency of about 1.89 is the highest ever, which has been shown by us. And in fact, it has been continuously improving post listing, though our target solvency is only 1.6 as against, it has become 1.89, which long two years, three years back it used to be at 1.65 to 1.7 levels only. So it does not affect our dividend paying capacity for sure, because you would, in fact, see the way the shareholder fund has almost become INR45,000 crores plus today, that is a testimony and the amount of PAT, which is getting transferred from INR9,500-plus crores figures, which are there.

So all that demonstrate huge capacity and -- but only thing is that how the dividend going to be distributed is a call which Board has to take and have to take all the time depending upon what is the best utilization of funds for the insurer. For LIC what is the best utilization of funds, it becomes important. Whether dividend distribution helps that or whether capital -- maintaining tha

t fund for the purpose of capital support for growth of business, that's a call to be taken.

In fact, the dividend you would have seen last year has been doubled as compared to the previous year. Going forward, the Board will continue to take the best utilization strategy towards distribution dividend from the shareholder fund, which is continuously growing and can always be expected to grow in that manner.

Avinash Singh: And sir, a quick follow-up. That -- sorry, additional question. Your employee wage expense has seen a sort of a material decline. So, if it's sort of a some reduction in regular expenses or some kind of changes to actualized or like something like peripheral provisions?

Dinesh Pant: You're talking about employee-related costs, right?

Avinash Singh: Yes, yes.

Dinesh Pant: There also what has happened, there is a wage revision which happens for the employees on a periodical basis four years to five years every time. Last time as a prudent step, Board decided that whatever be the provisioning required for those employee related costs should be provided one time. In the past, we used to amortize that cost over a period of four years to five years because they are pertained to that year, but a very prudent approach was taken by the Board and the management that we had to provide for it upfront.

So that cost is not expected to be recurring, that was like onetime expense, which was there. So therefore, the -- such provisioning are not required in the current quarter that will lead to better opex compared to the previous one.

Moderator: Thank you. We'll take the next question from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: So I'll start off on the first question on the margin side. I know you have discussed this, but just wanted to understand that the individual business margin, which has declined. Is it only due to

giving better yields of pricing to customers or is there an element of higher investment in manpower and technology also here, which is driving down the margin?

Dinesh Pant: Actually not the technology aspect. Technology aspect should lead to cost efficiencies only. This is largely, as we said, actually, the business volume and shift towards nonparticipating business has been the largest contributor to the margin. The only fact that there is a slight decline in the volume, which is largely on the par side.

In non-par side, actually the growth is robust around 21%-plus. So that has contributed. Plus as I explained earlier also, another factor which has contributed is the economic assumptions or economic factors, interest rate so which have to be factored in when we do the discounting rates which are taken because that has significantly changed as compared to the previous time. So that has been. Otherwise, from the insurance parameters, there is a positive contribution, which has come.

Supratim Datta: Got it. And just a follow-up here. So you are expanding away from agency into other channels like Banca, which typically require greater investment in manpower initially at least. So do you see the manpower investment to go up and that could result in your margin expansion being lower than what typically would come out of a better product mix?

Dinesh Pant: What we are looking into is one, not manpower expenses to increase, but what we are looking towards is manpower better allocation to make it efficient utilization of the resources. As far as technology is concerned, yes. LIC, is in fact, chairperson will also explain at some stage here,

that this LIC is taking huge steps towards digital reforming whether it is at the onboarding stage or for the overall business management.
So a lot of efforts are being done. There would be some cost on that for sure because the expense has to be incurred for that purposes. But we expect that in long-term to actually deliver bet

ter
value in terms of margins as well as the profitability, the way we conduct business. It will change and it should ultimately lead to higher profitability and better volumes to come from us and seamless services to be provided, integrated approach for that is being taken. So this -- in the long term, the benefits of that will outweigh the expenses which will go into it.
Supratim Datta: Yes, got it. And final question. So one, on the VNB walk, there is a 200 basis point improvement due to impact of assumption. Just wanted to understand, could you give us a breakdown between what is from persistency, mortality experience and cost efficiency?
Dinesh Pant: Yes. Actually, the total impact of various parameters of that, whether it's withdrawal expenses, mortality or terminal bonuses, largely all have contributed or none of them has at least contributed negatively. But very small, small amount because the total component would be something around 2% or so, not more than that to the margin. But the largest contributor is improving mortality experience for us. That is one of the good aspects and also slightly improving persistency has also contributed to it.
Supratim Datta: Got it, got it. And last question from my side. So there is a provision release from the diminution of investments. And this has been a recurring item in the last few quarters in the P&L. Just wanted to understand -- I understand this is related to NPAs and but -- how much further unwind

of this provision remains? Will this continue in the coming quarters? Or has this been done completely?
Dinesh Pant: Provisioning for NPAs as a requirement is governed by the provisions surplus in this regard. In fact, there is certain provisioning which is required even for the standard assets also under that thing. So we expect it to be in that range only.
Supratim Datta: But you are releasing provisions here. So just wanted to understand.
Dinesh Pant: That release would happen whenever you have recoveries from NPAs, which have been provided. In fact, LIC has seen lot of stress in that direction, certain assets which were NPA, recoveries have been affected. So when that gets affected, these provisions will get released. That's a contributor to it. So as those NPAs which have been provided for in the past as the recovery start to happen for them as this gets released.
Moderator: Thank you. The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.
Ajox Frederick: I have two industry-level questions. One is on your presentation, I saw that women buying policies are going up. So is that a trend which you're seeing recently? That's one. And two, incrementally, women are buying more policies. Will our profitability improve, particularly on the mortality side because longevity of women are higher and assuming you are pricing the product is similar to what you are pricing for men? So those are the two questions on women buying policies.
Siddhartha Mohanty: You see we consciously focus on all segments. And recent times, there has been a growth almost 35%, 36% the last quarter, share of policy is from women segment. And if you see even our agency composition also, we have a large number of women agents also. So they -- obviously, they cater to need of insurance from this segment. And consciously, we'll focus on this segment in coming days, you will find that there will be more activities to target these segments because we feel under penetration in this segment is there insurance very less.
Ajox Frederick: Got it, sir. And I'm assuming your share of business from may be much more higher than the private industry, right?
Siddhartha Mohanty: About 34%, 35% because we cater to large -- entire India we cater, and the rural area, all those even a small help group people, they also take insurance as per their affordability. So we cater
to

every segment. So that helps us in growth in this women segment.
Ajox Frederick: And is the policy more profitable for women from your angle?
Siddhartha Mohanty: You see there is no distinction. If you see the premium -- policy premium, it is same for male and female. Is there any distinction you have found for women less premium or for male. It is not like that. They can buy it as per our underwriting standards.
Ajox Frederick: Okay. My next question, sir, is on term. So you mentioned that the pricing changed last year and it has normalized. And now across board like the previous participant also asked, the industry is

focusing on term and there are people moving into Tier 2, Tier 3 as well. So my question is, do you expect reinsurers again coming up or are you sensing anything of that sort in the near term to come up with another round of price hikes given that we're moving to Tier 2, Tier 3, and competitive intensity, etcetera, will price and mortality assumptions also change?
Dinesh Pant: Yes. When we talk about pricing and experience, 1 thing we would need to appreciate that even in the reinsurance arrangement, every insurance entity will have a different sort of understanding and expectation of reinsurance based on how they underwrite. LIC continues to command the confidence of our people who provide insurance to us. Of course, this has been a challenging area. But whichever term products on protection side, we have been able to demonstrate our underwriting capacities to them and secure a reasonably good reinsurance support for them.
So we don't find that as a huge challenge. Of course, it has been an issue of consideration in the past, but we'll continue to develop -- that's the reason it has to be ensured that whichever term products come they make fair sense to the customers, to the buyers as well as to the entity because nobody can afford to sell them as long as the product is value proposition for the customer should not be loss making for the insurers also. That's the reason of insurance rates being revised.
Currently, we are comfortable at the rates at which we are, but we continue to monitor them on a very, very dynamic basis, and we'll take a call if it is required. Currently, we are aware. That's the reason you have recently seen in July itself, we have launched a product which is heavy on the protection side, though it provides for return of premium also and it's a fairly competitive product, which we have offered.
Ajox Frederick: This ROP, sir, you have launched across the country or...
Dinesh Pant: Yes.
Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citigroup. Please go ahead.
Dipanjan Ghosh: Just two or three questions. First, if you can give some color on your individual product level margins on NBP and other non-par, has there been any compression or repricing of these products on a quarter-on-quarter or maybe going into the second quarter also?
Second, if you can give some color on what is the predominant channel which is pushing your non-par? I mean your agency contributes 95% of your individual NBP, but specifically on let's say annuity or non-par, is there any differentiation on the channel side? And lastly, your product pipeline going into the next nine months?
Dinesh Pant: Yes, as far as the repricing of the annuity products is concerned, yes, we did reprice those products around 2 times all the different versions of it we have repriced. Currently, we are at the level at which the rates were there in March. We continue to monitor them continuously, but we are fairly comfortable at this point of time. LIC has taken a very conscious and calibrated sustainable view about repricing.

We have not -- we have repriced them, of course, to let the products remain competitive. But we are not tryin

g to make it a cut throat, because we are seeing a lot of revisions for many entities, downward revisions in the first quarter. But the level at which we had set our annuity rates were not based on a call for a quarter, but on a long-term sustainable basis.
And therefore, that's the reason we have ensured to remain where we were at the March levels of annuities rates today also. What was the other part of your question?
Dipanjan Ghosh: The second was on your channel mix for the non-par segment.
Dinesh Pant: Yes. Channel mix, our agency channel is the most dominant channel. We continue to expect, because by nature, it is -- now within non-par also, we are being very clear that there are different lines of businesses, and the strategies around them would be different, for example, non-par saving, would continue to expect Banca channel as well as the conventional channel. Also, we are pushing for the brokers and other IMFs also to get into it. But protection business would also like to see larger participation coming from a direct channel and online marketing through that also will be a contributor for that. So we'll take within non-par also, the call depending upon the specific product category.
Dipanjan Ghosh: Sure. But would you say that for non-par also, 95% of NBP comes from or 90%+ NBP comes from agency, I mean, non-par savings.
Dinesh Pant: Yes.
Dipanjan Ghosh: Two small questions. One, your product pipeline for the next nine months. And second, has there been any incremental discussion with any or private bank to expand our bancassurance

partnership, maybe some of them willing to open up their close architecture or sounded willing to expand from three partners to four or something like that. Any new partnership that we can expect over the next one year or so?

R. Sudhakar: I'm Sudhakar, CMO. Actually, in the first quarter, two new banks have been -- have tied up business, J&K Bank as well as Saraswat Urban Cooperative, nine brokers, 1 corporate agent and 21 IMFs. We have added some personnel also to the department to reach out to all the banks.

Yes, other discussions are also ongoing, and we have also seen that the offtake from the CSC channel also has improved. And the overall Banca percentage to the business in the first quarter of 3.22%, which is 66 bps higher than the earlier -- last year's quarter. And Banca is growing on all parameters. Banca APE is also growing. So we are prevailing and pushing in that direction.

Dinesh Pant: Answering your first question -- part of the question was on the product side in the current quarter. We have launched two products. One is a single premium core ended product, which has been -- which is doing fairly well. And also recently we launched, as I explained earlier, this return of premium Jeevan Kiran policy. Besides that, we have also repriced our -- one of the health product, cancer cover product also has been repriced. Future pipeline is strong.

And we are working on various very, very -- in fact, the group product also which has been launched, which is medical retirement scheme, post medical retirement scheme has also been launched for the group. We are looking into reviewing, modifying and revising our group

insurance products to make them more buyer friendly in the sense, creating value in terms of every single aspect in them.

Besides that, we are working on various -- I would only at this point of time, can suggest that innovative designs to fill in the product gaps, come out with propositions which are a win-win situation for all the stakeholders, policyholders, intermediaries as well as from the shareholder point of view.

So we are working on various products during this year as they will unroll as you'll see in the coming quarters.

Dipanjan Ghosh: One question. So we saw the composite license preliminary guidelines in December. But post that, the discussion

has been softeither from Ministry or from the Regulator. So can you give some color on how the incremental discussions shaping up on that side of things and your preparedness or your strategies in case the license -- composite license that are to be allowed?

Siddhartha Mohanty: That we will examine at appropriate time. Our Board will take a call depending upon various factors, not that all simply jump into anything. We will calculate the cost benefit and how that will create value for all our stakeholders. So we'll take a conscious decision at appropriate time.

Moderator: Thank you. We'll take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: First question is on the new regulation on the expense of management. How do you see that kind of impacting your numbers? And with regards to future trajectory of your reporting structure, are there any changes there?

R. Sudhakar: This is Sudhakar again. From the expenses of management, whenever the new products are being launched, we are taking calibrated decisions as to how the commission structure should be. And as far as the other, although the limits have been increased, we are taking calibrated and cautious approach because we cannot be driving up the overall cost just like that. So we are taking targeted approach in the sense that either on line of business or product wise when it comes to rewards and campaigns for the salespeople.

On that basis, we are taking from period to period, certain steps so that the sales can be improved, and that is what has resulted in the overall growth of the non-par side, as you can see from the figures also. So that has been our approach. On the overall approach from the marketing side, when it comes to being within the expense of management when it comes to commissions and reward and remuneration.

Prayesh Jain: Okay. Another question was on if you talk to any of the private companies, now they are looking at, especially after the 5 lakh rupee impact, they are looking to expand their presence in the lower-tier cities. Do you see a need to kind of reward the agents or your distribution channel more to kind of ensure that the strength of LIC, which was in the lower tier cities -- one of the strengths of LIC, which was in the lower tier cities, does not get impacted?

R. Sudhakar: LIC is already very much in the lower tier cities and a chunk of our business does come from

the lower tier cities. We -- whenever we are coming out with various campaigns, it happens at
different levels also, not only at the central level, but at our different zones as well as divisions,
which are having their own areas of operation. There are -- there is a freedom given for them
also to decide on certain incentivization at their local level. So in this manner, we are able to
approach that subject to which you have just referred.
Prayesh Jain: Sir, what has been a trend change in the 5 lakh Rupees plus ticket size for you would say,
compared to last year, Q1 FY '23? How has been the mix impact?
Siddhartha Mohanty: Actually, it will have a very minimal impact. You see because LIC we cater to all segments
across. So this 5 lakh impact always very, very minimal on LIC.
Prayesh Jain: Okay. And my last question is on the protection business. It will be primarily driven by your
direct channel or which channels are you really focusing on because generally, agency channels
kind of stays away from selling a lot of pure term business. So how do you see ramping up this
protection business in the medium term with channels and whether you would have a higher
incentive structure? Or what kind of strategies you would use there?
Siddhartha Mohanty: It will be actually driven by all the channels. If you see as earlier told, recently, we have launched
a product Jeevan Kiran product, which is the ROP, return of premium. That will get a t

raction
amongst the agents also because so popular, very good product. So agents will also sell.
But having said that, we are also focusing on our digital marketing, so that the customers can
directly take the term products. And in the coming days, you will find a lot of focus will be on
digital marketing, because already I have told this year, we are taking a huge project, total digital
transformation project for LIC. Already process has started, we have floated RFP. And another
thing is the customer onboarding through digital mode.
So it is both for agency-assisted model, as well as banca, as well as direct or digital marketing.
So once these are in place, and I'm expecting by third quarter end, it will be in place customer
onboarding. So that we can get all particularly the term products directly through direct mode or
digital mode.
Moderator: Thank you. The next question is from the line of Mohit from BOB Capital. Please go ahead.
Mohit: Sir, just one question. I just wanted to understand in terms of the persistency increase that you
saw which product line is driving the persistency increase, whether it's par, non-par or ULIP? If
you can provide some color on that, it would be very helpful.
Dinesh Pant: Yes, actually we have taken an overall call on the entire product basket, and we continue to take
it. Both in the participating segment as well as nonparticipating segments, we have taken call
and revised the features, somewhere withdrawn the products, somewhere modified the products.
So this contribution is expected to be coming.
In fact, some of the most selling products, we have also revised despite of the fact they were
more selling. That's why somewhere you can see the impact on the volumes could be seen. But

the impact of better persistency and profitability would also be seen in the coming quarters
coming from them. So it is across par, non-par both the segments.
Moderator: Thank you. We'll take the next question from the line of Prudvi Raj Saya from Agam Capital.
Please go ahead.
Prudvi Saya: Just wanted to ask from a simple investor's perspective. We know that your valuations on a basis
of Embedded Value multiple, they are lower compared to the private sector. And we know the
reasons, right, product mix from the legacy business and as well as the distribution. In the
medium term, do you -- how do you see the valuation story to change? Do you expect it to
change and if so, how do you envision this from an investor's perspective?
Dinesh Pant: Well, to say that we understand, I'm not sure why this valuation is so low, but we'll not comment
upon that. Our job is to continue to work in the areas that we can work upon. We have seen even
this valuation have been corrected even for the many entities from the levels from which they
started. So we will not get into that thing. We'll focus on the areas where we can work upon.
But as far as LIC's efforts and the outcomes of those efforts are there, we are confident that we
would continue -- the investors would continue to see better delivery in terms of whether there's
an important criteria, whether this Embedded Value growth, whether it is margins improving,
the business mix changing or the VNBper say, all these profitability parameters and then as the
market share growing, at least maintaining at the level from where we are there.
They remain the area of continuous focus and our customers remain the point of our confidence,
and we will continue to ensure that all those things are delivered. The business model remains
robust despite of it being there for more than 6 decades. It continues to command the market
share is a very important aspect of it. And we expect sooner than later, the valuations also to
correct accordingly.
Prudvi Saya: Fair enough, sir. On a separate line on the annuity business, can you give a breakup of the group

versus individual or the NPS co

ntributions to the annuity business and the outlook?
Dinesh Pant: We will not be telling on the figures. But as far as annuity business, on the individual side, it's much higher impact, I would say. The contribution of annuity business as a group and should be equivalent in fact, not much different. Different from each other by APE terms. So both are contributing effectively, but that composition and mix of the type of nature of annuities, which are sold could be slightly different between group and individual sides.
Prudvi Saya: Okay. And if I may, can I know qualitative or quantitatively the credit life mix in the overall group protection? Do you, I don't know whether you provide that?
Dinesh Pant: Yes. Currently, that's not a very significant part of our protection business in the group side. But we do offer products. We are working around those product designs, which are currently available. We fine-tune them further in line with you know specific niche requirement. And going forward, we expect the contribution to come from there. So that's the area of opportunity for us as of now.

Moderator: Thank you. Ladies and gentlemen, we are at the end of our one-hour slot for the call, but we will take one more question, which is from the line of Udit Malhotra from Data Blue LLC. Please go ahead.
Udit Malhotra: Sir, my question is on the dividend policies and also any plans on the share price because I think there has been a gradual reduction over the past one year. So will we look forward to the dividend increase over the coming years?
Dinesh Pant: I think on that aspect, the direction is clear when the Board decided to increase the dividend by 100% from 1.5 to 3 in the March -- and with the PAT growing significantly, one should expect positive outcomes there. But as we maintained earlier also, it is a fair balance of what is the best utilization of capital, whether the dividend distribution is the best utilization, we would believe that the proper mix of the two would be the criteria on that thing.
As far as share price is there, we would not like to much comment and leave it to the market to decide. But one can see within the last few months, what has been the upside into it. And we -- our job as an insurer is to continue to deliver on the areas in which we can work upon. And we expect market to take cognizance of that, and it will get reflected in the direction in which it has shown for the last few months. We expect that trajectory to continue.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC, for closing comments. Over to you, sir.
Siddhartha Mohanty: So thank you, everyone, for engaging with LIC through this call. We value your participation, and we reaffirm our commitment to create superior value for all our stakeholders. Thank you.
Moderator: Thank you very much, sir and the members of the management team. Ladies and gentlemen, on behalf of LIC, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

Ref. No.: LIC/SE/202 3-24/121 Date: November 17, 202 3
To,
The Manager The Manager
Listing Department Listing Department
BSE Limited The National Stock Exchange of IndiaLtd.
Phiroze Jeejeebhoy Tower Exchange Plaza, 5th Floor, Plot C/1,
Dalal Street G Block, Bandra Kurla Complex
Mumbai -400001 Mumbai -400051
Scrip Code: (BSE - 543526/NSE - LICI)
Dear Sir/ Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached herewith the Transcript of Earnings Conference Call with Analyst/Investors held on November 10, 2023.
The said transcript is also available on the Corporation's website and can be accessed from the link: https://licindia.in/web/guest/call -transcript -of-analysts- /-investors- meet

This is for your information and dissemination.

Yours faithfully,
For Life Insurance Corporation of India

(Pawan Agrawal)
Company Secretary & Compliance Officer

"Life Insurance Corporation of India
H1 FY'24 Earnings Conference Call"
November 10, 2023

Life Insurance Corporation
November 10, 2023

MANAGEMENT : MR. SIDDHARTHA MOHANTY – CHAIRPERSON – LIFE INSURANCE CORPORATION OF INDIA
M R. M. JAGANNATH – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. TABLESH PANDEY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. R. DORAISWAMY -- MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. K. R. ASHOK – EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR, INVESTMENT -BACK OFFICE, INVESTMENT TEAM – LIFE INSURANCE CORPORATION OF INDIA

M R. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING AND CHIEF MARKETING OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH -- EXECUTIVE DIRECTOR BANCASSURANCE – LIFE INSURANCE CORPORATION OF INDIA
M S. MANJU BAGGA – EXECUTIVE DIRECTOR, PENSION AND GROUP BUSINESS – LIFE INSURANCE CORPORATION OF INDIA
M S. ANJUBALA PURUSHOTTAM -- EXECUTIVE DIRECTOR, CRM/ CLAIMS/ ANNUITIES – LIFE INSURANCE CORPORATION OF INDIA
M S. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT / POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD, INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to LIC's H1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. We have senior management of LIC led by Mr. Siddhartha Mohanty, Chairperson on this call.
I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC. Thank you, and over to you, Mr. Mohanty.
Siddhartha Mohanty:
Good evening, everyone. I am Siddhartha Mohanty, Chairperson LIC. I would like to welcome all of you to the half yearly results call of the Financial Year 2023-24.

As you are aware we declared our results a few hours ago, today and we have also uploaded the detailed results, press release and the Investor Presentation on our website as well as the websites of both the exchanges BSE and NSE.

Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Mrs. Manju Bagga, Executive Director (Pension & Group Schemes), Mrs. Anjubala Purushottam, Executive Director (CRM/Claims/Annuities), Mrs. Rachna Khare, Executive Director (CRM/Policy Servicing) and Mr. Sanjay Bajaj, Head (Investor Relations).

Before I start explaining the highlights of the business, I want to thank you all for making time to attend this call, late in the evening, on a very auspicious day of Dhanteras today.

Secondly I wanted

to update you that starting this results presentation we will be providing the APE break up of the various segments within the Individual Non Par business. Historically we have presented only the NBP break up of the non par segments in the Individual business. However since many analysts have asked us to add the APE break up in our disclosures we are providing the same from now onwards. Now let me start with an Overview of the Business and Financial performance.

Premium Income

For the six months ended September 30th, 2023 we have reported a Total Premium Income of

INR 2,05,760 crore as compared to total premium income of INR 2,30,456 crore for the six months ending September 30th, 2022. The Individual New Business Premium Income for six months ended September 30th, 2023 is INR 25,184 crore and for the corresponding six months of last year it was INR 24,535 crore. Renewal Premium Income (Individual business) for six months ended September 30th, 2023 is INR 1,09,599 crore as compared to INR 1,03,203 crore for six months ended September 30th, 2022. The Group Business total premium income for six months ended September 30th, 2023 is INR 70,977 crore comprising of New business premium of INR 67,505 crore. In comparison, for six months ended September 30th, 2022 last year Group Business total premium income was INR 1,02,718 crore and comprised of New business premium of INR 99,707 crore. Therefore for this six months ending September 30th 2023 our total premium income has registered a decline of 10.72 % while the total individual business premium has grown by 5.52% as compared to similar period last year. However for the six month ended September 30th 2023 the total Group premium has decreased by 30.90% as compared to similar period of previous year.

Our market share by First Year Premium Income for Six months ending September 30th 2023 is 58.50% (as per IRDAI) and we continue to be market leaders in overall life insurance space in India.

For six months ended September 30th, 2023 we have a market share of 40.35% in Individual business and 70.26% in the group business as compared to 42.31 % in individual business and 80.34% for the similar six month period of last year. While the market share in Individual business is relatively stable there has been a larger impact in market share of the group business, we still continue to be market leaders both in Individual as well as Group segments. The group business has a cyclical nature and certain flows are bulky and, therefore, has potential to cause variations in market share and we are confident of addressing the same through various initiatives.

Seen on APE basis the break up of business is as follows:

Total Annualized Premium Equivalent (APE) for six months ended September 30th 2023 is INR 22,627 crore which is comprised of Individual APE of INR 14,638 Crore and Group APE of INR 7,989 Crore. Therefore, on APE basis, the individual business accounts for 64.69% and Group business accounts for 35.31%. Further of the Individual APE, the Par business accounts for INR 13,063 Crore and Non Par amounts to INR 1,575 Crore. As you can see, our Non par share of individual APE is 10.76% and Par is 89.24% for six months ended September 30th 2023. You will recall that our Non Par share for similar period last year i.e six months ended September 30th 2022 on APE basis within the overall individual business was 8.98% and the APE was INR 1,315 crore. Therefore the APE of Non Par business has increased by 19.77% on a YoY basis. Our product mix strategy is on track and we are moving ahead in a consistent manner towards a more balanced and value enhancing product mix in our business portfolio.

Profit After Tax

The Profit after Tax (PAT) for the six months ended September 30th 2023 was

INR 17,469
crore which comprises of an amount of INR 13,768 crore (Net of Tax) pertaining to the accretion on the Available Solvency Margin, transferred from Non Par fund to shareholders account. At this point, I would like to mention that we had changed the accounting policy in September 30th, 2022 regarding transfer of accretions on ASM in the non par fund to the shareholders fund. As you will recall the change was effective from January 2022 when our fund bifurcation had taken place, and therefore the PAT figure for six month ended September 2022 included an amount of

INR 4,542 crore (net of tax) which was for the quarter of Jan to March 2022.

Indian Embedded Value (IEV)
The Indian Embedded Value (IEV) as on September 30th 2023 has been determined as Rs 6,62,605 Crore as compared to Rs 5,44,291 Crore as on September 30th 2022. Therefore, IEV has registered an increase of 21.74% on year on year basis.

VNB and VNB Margins
Net VNB is INR 3,304 crore and net VNB margin is 14.6% for the six months ended September 30th 2023 as compared to INR 3,677 crore and 14.6% respectively for the six months ended September 30th 2022.

Solvency Ratio
The Solvency Ratio as on September 30th,2023 improved to 1.90 as against 1.88 on September 30th,2022.

Assets Under Management (AUM)

Assets Under Management (AUM) as on September 30th 2023 was INR 47,43,389 crore as compared to INR 42,93,778 crore as on September 30th 2022. Therefore, our AUM has shown a growth of 10.47% on year on year basis.

Product Mix and New Product launches

Now I would like to inform about New Product Launches. In line with our strategy of increasing the proportion of the Non par business, we launched three new Non par products (two for Individual business ,namely, LIC's Dhan Vriddhi and LIC's Jeevan Kiran and one for Group business ,namely, LIC's Group Post Retirement Medical Benefit Plan) during the six months period of April to September 2023.

No. of Policies and Agency Workforce
During the six months ended September 30th, 2023, we sold 80.61 lakh new policies as compared to 83.59 lakh new policies in six months ended September 30th 2022, a year ago.

As on September 30th 2023, the total number of agents was 13.46 lakhs as compared to 13.35

lakhs as on September 30th 2022. The market share by number of agents as on September 30th 2023 stands at 49% as against 53% for September 30th 2022.

On number of policies sold basis, the agency force sold 77.68 lakh policies during the six months ended September 30th 2023. Therefore approximately 96% of our policies in the six months ended September 30th 2023 were sold by our Agency force. Even on premium basis, a little above 96% of NBP came from our Agency channel in the first six months of current financial year.
Contribution by Banca and Alternate Channels (BAC)

During the six months ended September 30th 2023, other channels (BAC – Banca and alternate channels) contributed to 2.12% by number of policies and 3.42% by New Business premium. For the six months ended September 30th 2022, the Banca and Alternate Channels contributed to 1.73% by number of policies and 3.37% by NB premium. This year in the first six months ending September 30th 2023, we collected a NB premium of INR 858.55 crore via this channel as against INR 825.37 crore in comparable six months period last year. Therefore, as you can see we grew by 4.02% on year on year basis in the BAC Channel when measured by New Business Premium. Further we sold 1,70,751 policies and we grew by 18.33% in the BAC channel in this six months as compared to similar period last year. The positive improvements in both premium income and number of policies sold through Banca and Alternate channels is a pointer towards progress of our another key element of business strategy which is diversification of channel mix.

Our Overall

Expense Ratio

For the six months ended September 30th 2023, our overall expense ratio is 15.14% as compared to 16.69% for the first six months of last year.

Persistency:-

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the six months ended September 30th, 2023 stands at 78.49%, 71.98%, 70.16%, 64.57% and 62.53% respectively, as compared to 77.62%, 73.84%, 67.85%, 64.73% and 62.77%, respectively upto the six months ended September 30th 2022.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the six months ended September 30th 2023 stands at 66.80%, 58.79%, 57.61%, 51.73% and 50.35% as compared to 65.21%, 61.63%, 54.93%, 52.46% and 51.61% respectively upto the six months ended September 30th 2022.
Therefore, while we make efforts to improve persistency across cohorts, during this first six months of this financial year we have seen improvement in persistency on both premium and policy basis for the 13th and 37th month.
Operational efficiency and Digital Progress:

In our digital initiative through the Agent assisted ANANDA app, we have completed 5,33,393

policies through this App during the six months ended September 30th 2023 as compared to 3,14,955 policies for the period ending September 30th 2022 thereby registering a growth of 69.35% on YoY basis.

This entire push of using technology and digital innovations more effectively to enhance the business and our efficiency is another large element of our strategy as we move ahead to creating better value for all stakeholders through focused profitable growth. I am happy to share with you that our digital transformation focused on digital innovations and value enhancement is an area of focus currently.

Claims:-

On the individual claims front, during six months ended September 30th 2023, we have processed 86,40,598 number of claims which includes 82,40,947 maturity claims. On an amount basis during first six months ended September 30th 2023, the total maturity claims were INR 78,984 crore and the total death claims were INR 10,826 crores. On a comparable basis for first six months of last year ended September 30th 2022, the maturity claims were INR 72,988 crore and death claims were INR 11,665 crore. Therefore, the death claims are lower by 7.19% and the maturity claims are higher by 8.22% on a YoY basis.
Before I conclude I would like to thank all our shareholders, policyholders, agents and employees for their faith and the trust in us. Before we take up the question and answer, I would request our CFO to explain the PAT breakup. Sunil Agrawal, CFO.
Sunil Agrawal: Good evening, everyone, and wish you a very happy Dhanteras. First, I'll explain the breakup of the quarter-on-quarter PAT. The PAT of INR15,952 crores as at 30th September, 2022, comprised of 3 quarter of ASM income (available solvency margin income) because we had changed our accounting policy during that period. And the accretion started from quarter 4 of FY '22.
So therefore, it comprised of 3 quarters ASM income. So quarter 4 FY '22 income was INR4,542 crore. Quarter 1 FY '23 income was INR4,149 crores. So if we remove this amount, the balance amount for the quarter, which actually pertains to quarter 2 of FY '22 -- FY '23 is INR7,261 crores which is a comparable figure with our current quarter 2 result, which is INR7,925 crores. So therefore, the PAT had an increase of 9% if you look at it on a quarter-on-quarter basis. Now coming to half yearly disclosure. Half yearly, the PAT shown for the last year was INR16,635 crores, which comprises of 3 quarters. Out of it, if we remove the quarter 4 of FY '22, which is INR4,542 crores, the PAT pertaining to H1 of last year is INR12,093 crores as against the PAT of INR17,469 crores on this year. Therefore, a growth of about 44% when you compare H1 basis la

st year. Thank you so much.
Siddhartha Mohanty: And lastly, I wish all those present on this call very happy and prosperous Diwali and festive season. I now request the moderator on this call to open the floor for the question and answer.

Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session.The first question is from the line of Avinash Singh from Emkay Global.
Avinash Singh: Good evening sir. Wish you all a very happy Diwali. A few questions. The first one is on your accounting P&L employee expense part. That has had a lot of volatility due to some kind of a bonus and provision. So if I read correctly, nearly of INR500 crores a quarter you are providing for that, that pension that was kind of approved, I guess, FY '20 or somewhere around 11,000-odd spread over 20-odd quarters, meaning INR500 crores per quarter. Additionally, there is something more -- the change in the family pension that has led to another, I guess, close to INR11,000-odd crores, where you have, I guess, taking close to 2,900-odd crores of it in this quarter, if I read correctly.
So can you sort of break up your employee cost, that okay, what sort of cost is kind of your wage and related run rate and what sort of other provisions you keep doing? Because there is a lot of volatility in employee cost and given that you're kind of stable employees and also the wage revision happens. If you can just provide some sort of color on the employee cost mark. So that is one.
And second is around more to do with, I mean, now, I mean, as you have changed your accounting policy related to non-par offer being transfer to shareholder's account. And, of course, your profitability remains good as well as solvency is accruing because growth overall is not that strong.
In that backdrop, can there be some clarity around what is the sort of a board mandated floor on solvency? And as long as you are comfortable with that, what sort of dividend can you pay out? Because given that the accounting profit is pretty good and solvency is gradually increasing. So, there should be some kind of a more clarity on the dividend side because the growth is not that strong. So, these are my two questions. If anything, I will follow-up.
Siddhartha Mohanty: So, if you see, employee cost actually because of family pension. So, that was allowed by government. So, we have to provide for that. So, detail of -- Mr. Dinesh Appointed Actuary, you can elaborate it.
Dinesh Pant: Yes, I see this on employee cost. I didn't get the question very clearly. But to my understanding, what you are talking about, volatility, I think we keep on providing for it. As and when it comes, on the pension cost you mentioned about it. The regular cost is always funded. It is, I mean, we follow IAS 15 for that thing. Sometimes there are one-off costs. Then those also, if a differential treatment is to be considered, that is based on the approvals as is required based on that thing. For example, like this family pension has been talked about.
As far as the dividend is there, of course, you would have seen last year it was increased from 1.5 to 3. Yes, our target solvency is 1.6. We are very comfortable. In fact, the solvency ratio only increased upwards. Of course, the board will take appropriate call for balancing the interest of all the stakeholders depending upon when the distribution and decisions comes about.
Avinash Singh: So, sir, on employee cost part again, if I look for this quarter, so INR2,900-odd crores, you have provided for the family pension and there is sort of a INR500-odd crores kind of a run rate for

that initial pension part that was taken in FY ‘20 or something. So these two are kind of a one-off. And what has been a sort of adjustment or kind of additional you provided for the pe

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part with the actuarial valuation?
To just get an idea because last quarter, of course, you have a number closer to INR5,700-odd crores. This quarter is going to INR10,000-odd crores. And of course, I can differentiate this INR2,900 crores is one-off. Still, it's like a higher than last quarter by another INR50-odd crores. So what has been a sort of adjustment in that actuarial liability towards pensions?
Dinesh Pant: Yes, as you are seeing, around INR2,600 crores some odd figure has been provided for the additional pension liability, which has already accrued to the family pension holders of the corporation. For them, their benefit has straightaway increased. The other portion which possibly you are talking about is, was the one-time pension option which was given to few years back, which was amortize over the period of -- which was taken over a period of five years as per the decision in that regard.
So these are two components. And besides that, you would be aware that this pension cost is always provided for the vested benefit. And then there's a current benefit each year. So as the

service goes on, that is to be provided for the vesting period. Plus, any additional service for that also has to be provided as per the standards in this regard.
Avinash Singh: Okay, thank you.
Dinesh Pant: Thank you.
Moderator: Thank you. Next question is from the line of Sanjeev Kumar from SKD Consultants. Please, go ahead.
Sanjeev Kumar: Thank you. Sir, actually, a very good set of numbers you have produced for this quarter. So congratulations for that. And a very warm greeting for the Dhanteras and Diwali. Sir, my basic concern is that despite all the good performance, our share price is not performing. And our issue price has been very high and now the prices have gone down. So I just want to understand that what management is thinking about it, how to reward shareholders, how to recoup the losses of the shareholders? This is my question, sir.
Siddhartha Mohanty: See, share movement is a function of many things. As management, we are committed to create shareholders value and in that direction we are working. As you see, our non-par share is going up and also margin, though this quarter has been steady, objective is to improve also. It will improve in coming quarters.
From our side, whatever is required to create a shareholder value that we are doing. Other things are left to market. And people actually, many people when it went down, it went up to I think INR500, something like that. Many people also made good money. They bought in large quantity. So we are concerned with our performance so that value is created.
Sanjeev Kumar: I agree. But you know, sir, that a lot of private sector competition is also coming and the growth rate of private companies seems to be faster. So in light of all this, how we are going to reorient

ourselves and create value for the shareholders? This is what I would like to again request you to please keep in mind and come out with some sort of innovative ways where you reward shareholders and the value is increased. That is all I want to say, sir. Thank you very much, sir.
Siddhartha Mohanty: Thank you. Actually, I can just share, if you have observed our performance in the last 1.5 years post listing, there has been directional change in our approach with regard to product mix, channel mix and digital intervention. All these three areas, we are on the right track. Result is yet to come, total result. It takes time. But I can assure we are on the right track. So that will definitely create confidence in the market. And let us see.
Sanjeev Kumar: And one more thing, sir, that your, I mean, the value of your investment is rising like anything. Because historically, LIC have been a very old investor on the stock exchange of India. So you are the best beneficiary or highest beneficiary of the

rise in the market. So how to share prosperity, this also can be thought of?
Siddhartha Mohanty: Yes. All our stakeholders will benefit from that.
Sanjeev Kumar: Okay, sir. Thank you. Thank you. This is all from my side. Thank you.
Moderator: Thank you very much. Next question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.
Swarnabh Mukherjee: Yes. Hi, sir. Thank you for the opportunity. I have two, three questions. So first one, on the VNB walk that you have provided, if you could explain what happened in the impact of the product benefits that resulted in offsetting our benefits of the product mix improvement. And vis-a-vis last year, 1H, you also have shown a positive impact coming from assumptions. So has there been any assumption change in the -- in this current quarter, which is driving that, if you could highlight that? That is the first question.
Secondly, sir, last, I think from last few quarters, your commentary and your product mix kind of outlines are focused on the non-par side. But when I look at the persistency ratios, despite the mix moving slightly towards the non-par side, the persistency numbers haven't seen any improvement. So just wanted to understand, is there any challenges pushing this product or why is the persistency numbers dropping?
And also, I mean, while the persistency numbers look lower vis-a-vis last year, first half with most cohorts, there has been an improvement in the 37th month, both by number of policies and premium. So if you could explain what is different there in that cohort, which has resulted in that improvement? These are my questions.
K. R. Ashok: Good evening. I'm Ashok, Executive Director, Actuarial. I'll be taking the question on VNB walk. We have already disclosed the breakup of the walk. Actually, there are some components which are mentioned. One is the impact on business mix. You must have noticed that we have moving on trajectory towards non-par businesses and our non-par proportion has increased. Actually, this has resulted in showing a positive movement in the VNB margin.

And regarding the product benefits, we have to have our products in a competitive market. We have to have our products priced competitively. And because of the -- when we price the products competitively, then it has a negative impact on the margins, because if you notice that any increase in benefits to policy holders will have adverse impact on the margins. And regarding the assumptions, actually, the main impact is due to the risk-free rates going down compared to September '22, year-on-year. And that has resulted in movement towards a negative movement.

And, finally, we have also observed that there has been a good improvement in the mortality improvement in the group term business, which has made the margin move in the opposite direction. So, the net effect is the margin as of the 30, September is 14.6%.

Swarnabh Mukherjee: Understood. Just a follow-up on that. So, the increase in product benefits, is it on the group annuity side or also on the individual side, if you could maybe give details on which categories of the product you have taken this ad benefits?

K.R. Ashok: Actually, the product is, we have repriced the annuities. So, that has resulted in the, there's some bigger impact on the movement of margin.

Swarnabh Mukherjee: Okay, on the group side or overall, I mean, individual also?

K.R. Ashok: Group and individual both are in a way related. So, whenever we reprice the margins for the individual, group margins also getting updated.

Swarnabh Mukherjee: Okay, understood. Very helpful. If you could address the persistence related question, please?

Siddhartha Mohanty: Persistency, if you see, it has actually improved. 13th month, if you see, 13th month persistency, as I can say, 77.62%, it has gone up to 78.49% in premium. And in policy, policy al

so, as I can say, 65.21%. Last year, it is 66.8%. So, persistency there has been some improvement in initial period. Of course, subsequent months, up and down, both are there. But initially, it is showing some improvements.

Siddhartha Mohanty: Just to supplement that, actually you are aware that persistency is measured on the cohort-wise basis, right? So, the decisions which you just mentioned about, like, non-par business, which has become the focus for some period of time. And post IPO, I see the decisions which have been taken to modify the products, reprice the products. For example, a decision which has been taken a year back would start to show the results at the end of the one year. Because entire one-year cohort has to be completed, it has to be given a period of 13 months. And thereafter, it is measured.

So, typically, 13 months is the most proximate way to look at the recent decision. And 61st month to show the long-term view. In between, the behaviour which is there is because of those cohorts which have been done in the preceding years. So, we are sure that the effective decisions which have been taken in the year between ‘20 to ‘23 will actually, the outcomes of that will be very visibly seen when we go near to the end of this year.

Swarnabh Mukherjee: Understood, sir. Very helpful. Thank you so much and wish you all a very happy Diwali.

Siddhartha Mohanty: Thank you. And happy Diwali to you.

Moderator: Thank you. Next question is from the line of Udit, individual Investor. Please go ahead.

Udit: Hello, sir. Thanks for giving me a chance to ask questions. My question is on the embedded value. So, there is a significant increase on the embedded value compared to last year. And from 2021 to 2022, there was a very small variance. So, my question is, can you explain what has led to such a big increase? And over the next few years, how will you maintain stability on the embedded value?

K. R. Ashok: This is Ashok. See, actually, you must have noticed that embedded value is an outcome of conscious efforts that the corporation takes in this regard. And the major component of the embedded value is the unwind. Because basically, we are high on the select product portfolio. And therefore, this component that -- the comparative is the biggest component in the embedded value. I think I've answered your question.

Udit: And I just have one more question on the group premium. I think there's a 30% drop. You did mention that it's a technical business, but is this something which you're planning to recover that market share over the next six months? Or what will be the period that you are plan to recover that drop in the percentage?

R. Doraiswamy: This is Doraiswamy, Managing Director. The group funded business is a bit cyclical with the employee benefits valuations which are being done by the company. And based on that, some funding also gets happened and new schemes being introduced. We are trying to recover whatever is the degrowth or whatever we could not collect in the first half during the remaining

period of the current financial year. And we hope to be showing a good growth over it by the end of the year.
Udit: Thank you sir.
Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal.
Prayesh Jain: Hi, Good evening sir. I have a couple of questions. Firstly, on the group business, is there a significant increase in competition from private players and because of the expense of management regulation? And that is the reason there is a much sharper decline for us in the group business because of which we are losing out. Is that the case?
R. Doraiswamy: Again, Doraiswamy here answering. You can't ascribe it to that. It's not that the business -- the premium that has come to us has gone to any competitor. And though competition is felt in every sph

ere of our business activity. And that's a continuous thing which we have been meeting. But this degrowth or this impact that we are seeing in the current year cannot be ascribed to the increased competition.
Yes, the expense of management regulation and the relaxation given in terms of commission is a tool which is being made use of by other companies. But it has not directly resulted in this kind of a dip, which we have already explained and we are trying to get it back as quickly as possible.

Prayesh Jain: And considering the expense of management ratios, are we reconsidering our commission ratios? Have we changed the commission ratios on any of the products for agents or what are the processes?
Siddhartha Mohanty: It depends. It will depend on product to product. Whenever we design a new product, depending upon market dynamics, the need of people and all those things, we will decide at that point of time. Since EOM is….the regulator has given EOM, so that leverage also will take.
Prayesh Jain: Got that. And so lastly, the agency channel had a very high share of, you know, relatively to other channels, agency has a good share of five lakhs plus ticket size. And we have so many MDRT agents and COT and TOT agents. How has been their experience in the first half after the tax changes? And do you think that more understanding of the tax regulations will allow the agency channel to kind of improve the growth in the second half?
R. Sudhakar: This is Sudhakar, Executive Director, Marketing. As such, even in the current year, if you look at it, the ticket size has actually increased across the various product categories as compared to the last year. The impact of 10-10-D, of March is not so much significant in the current year also and we are expecting to cover that up in the coming months without much of a difficulty. The ticket size, per se, in all the plans, as well as the new plans which were introduced in the current year, like Dhan Vriddhi, has been quite significant. It is more than two lakhs per policy.
Prayesh Jain: Your voice was too bleak to understand it.
R. Sudhakar: I'm Sudhakar, Executive Director, Marketing. I mentioned that the ticket size of all the plans which we have sold in the current year are significantly larger than that of the previous year. If you look at the overall ticket size also, there has been considerable improvement. This is because of various changes and modifications we carried out in the last year in certain plans by raising the minimum sum assured and minimum ticket size in some of the plans.
As well as encouraging more of annuity business which has got a higher ticket size component. The growth of annuity business is contributing to higher ticket size now. And similarly, a new product which was launched in the current year, Dhan Vriddhi, which has got a ticket size of more than two lakhs, is also helping us to increase the ticket size and compensate for whatever ticket size impacts which will be there because of the March business.
Prayesh Jain: Thank you so much. And just lastly, one more question. Could you reiterate the impact of benefit product mix on the VNB walk? Could you just restate that?
K. R. Ashok: Yes, this is Ashok. Actually, what I was mentioning is when the benefits are being enhanced in some of the products, particularly the annuity products, there is a downward pressure on the market. So, that is what is getting reflected in the VNB.
Prayesh Jain: Your annuity rates have been increased and because of which the margins on the non-par products have come down and that has impacted the overall VNB margin?
K. R. Ashok: Actually, one thing we need to have clarity is that basically, these products are highly competitive in nature. And we have to be dynamic in looking at the market movements and

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ngly price the products. And we have been doing that continuously and that will have an
impact on the market.
Prayesh Jain: Got that. Thank you sir.
Moderator: Next question is from Supratim Datta from AMBIT Capital.
Supratim Datta: Thanks for the opportunity. My first question is on this call previously you mentioned that you know how you have been investing in alternate channels and banca channels and growing those channels. But if I look at the numbers, it looks like the second quarter individual NBP source to the Banca and Alternate Channel has declined by around 2%. So, if you could talk about what is driving that decline? So, that is the first question
The second question is I wanted to understand within the non-par how much of that is coming from the banca and alternate channels versus agency.
And the third question was in the embedded value, embedded value walk. And now, could you let us know what proportion of this increase is coming from economic variance? That's the third.
And finally, on the annuity piece, I just wanted to understand what proportion of your annuities will be coming from PSU employees versus non-PSU employees. Thank you.
Siddhartha Mohanty: If you see banca channel, we have shown already more than 18% growth in number of sales. And premium wise, 4% plus. So, it is growing. Share is also more than 3.37% share to total premium banca. I would request our ED Banca can give some further…
Supratim Datta: Sir I was just talking about the second quarter. So if I look at the second quarter, then there is a decline of around 2%.
Hemant Buch: Yes, this is Hemant Buch, Executive Director of Bank Assurance and Alternate Channel. Second quarter, if you look at the number, basically, I would see it from a different perspective. I could present it that way. Typically, if you relate with the experience of the banks, since the NIM pressure was there and the cost of deposit also was growing on there was rush seen in the continuation to…. for deposit side of banks. Because it has affected to some extent, our single premium business.
And to that extent, the numbers have been corrected or lowered when it comes to single premium contribution from the Banca Channel. But the regular premium contribution has shown a very decent growth, almost to the tune of 37%. So, net to net when we compare, of course, it looks as if in terms of volume-to-volume absolute numbers, there is a slight degrowth in quarter two numbers.
But overall, when we see the business mix on the WRP side or on the APE side, the growth remains steady, stable. And now that we are entering a positive kind of an environment starting H2, numbers will improve hereon. And both regular as well as the single premium products will continue to do well and we are confident of putting up a better show in quarter afterwards.

K. R. Ashok: Regarding the embedded value, particularly the MTM component you have been referring to, actually the MTM proportion of the total embedded value stays flat at around 50%, though there has been a growth in MTM of 22% year on year.
Supratim Datta: So just to clarify, 15%, as you also mentioned?
K. R. Ashok: Yes, close to 50%, yes.
Moderator: The next question is from the line of Udit, an individual investor. Please go ahead.
Udit: Thanks. Sir, my question is on the product mix. There was a discussion on the composite insurance license. Any progress on that? And with the Meridian, a very good target for insurance. Do you think over the next few years you are looking for a new product mix with combined life insurance and health insurance and other policies should come in?
Dinesh Pant: Yes, actually, we realize and we actually really understand this thing that when product offerings are concerned, we have to look towards a trajectory in which product offering should be like a solution to the entire ba

sket of their requirements and needs. So, typically, as of now, currently
what is available for life insurance companies is to work in the area of the market side of ULIPs and on the long-term perspective, future planning, post-retirement type planning through annuities. And we are allowed to have fixed benefit health products also. And besides that, we have got risk-cover plans also.
So, currently, when the product offerings are given as a solution to the customer, a basket of such products and mix of that is considered so that a solution is there. Going forward, when a call is finally taken, to what extent the cross-selling between insurance companies or companies that call the station, allowing all those insurance products or financial products being allowed, that's also on the card. So, all those things will be integrated as and when it comes.
Currently, even in fact, some of the products are already being, you know, Bima Vistar coming from regulatory side. Already, multiple components of health, accident, and life insurance cover all are being taken. So, we are conscious of it. In the current scheme of things, whatever is allowed to us, we are trying to, integrate all those things to provide as close as, life cycle solution

we can provide to our customers. Going forward, when the regulations change or larger participation is allowed, that will also be integrated into our processes and product offering.
Moderator: Next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: Hi, thanks for taking my question. You know, the first one is really on the embedded value. We have seen a significant increase in the first six months. Would you kind of say that the large part of it is because of, capital market movement?
Dinesh Pant: You know, just one clarification is important to have, as you see. One, it's very heartening thing that, you know, in case of LIC, this is on one-to-one year basis. This embedded value growth of around 21.7% is perhaps one of the best we are seeing around at this point of time. Yes, a large contribution comes from the equity component to it.

But it is also important to note that even actually the performance of the core business has also significantly contributed to it. Actually, the growth rate from core business would be even better than what has come from this thing. In fact, if you look into the March to current change in embedded value, if the return particularly turn down embedded value in operating terms is almost something around 11.8% or so.
So this is -- all these factors are contributing, whether it is adjusted networth, whether it is the core business contribution coming through PVFP or through the market value gain all has contributed favourably. That is why, let say 21% plus sort of growth in embedded value, which is very, very robust for such a high-volume, such a big base has come up.
Nischint Chawathe: The next question is on your APE disclosure, and thanks for this. At the time of IPO, we said that the focus will be to kind of increase non-par savings and that kind of improves margins over time. But I think almost like a year down the line, we are still at just -- I mean, barely not even INR400 crores of non-par business. So I was curious whether there is any marketing or any active marketing of these products done at all? And even on the protection side, I know you have changed your pricing, but all that we are doing is something like just around INR80 crores of protection.
So I mean, are these products actively marketed by the marketing team? Such a large army but the numbers are one year down -- or in fact, more than one year down the IPO and the numbers are still negligible.
Siddhartha Mohanty: No. So you see this total volume it will appear negligible because we are new to this and our agents have been trained to sell -- whe

n all these products which are in the interest of customers as well. And as you see, it has also included the share of non-par. It has gone beyond 10%, which was 8.99%, one year before. And total premium also from 39% on non-par, so that is also there.
So consistently, there is effort to promote non-par not only for the interest of shareholders, but also policyholders. And all the products which we have launched, those are getting traction in the market. But as we told, a lot has to be done. So that's where we are on that, working on that.
Nischint Chawathe: And a related question is, if I look at the gross margin on the non-par side, it appears to be kind of a little -- I mean, it is a pretty high margin. So is there a scope where you can probably offer a little bit more to the customer and maybe gain more market share?
Dinesh Pant: Yes. Actually that's an interesting call, which as an insurer we have to take. When you start the margins that you have restarted with high margins, then you have to also see ultimately, we have to work towards the value of new business itself. So, it is a balance between margins, and elasticity of that to the volume of sales, which happens. That is what we have seen, for example, what we told earlier in a competitive -- out of competitive consideration annuity business, the margins are reduced because the benefits have been significantly improved, in fact some of the annuity products of our different segments offer the best returns to the policyholders.
So naturally -- the growth has happened, but if the growth does not compensate for the loss in margin for some time till that comes about, there will be setback on the VNB. This is the end of

a process in which we continuously consider shareholders' interest, policyholder's interest, overall business dynamics and we want to go about it.
So yes, we have already improved our benefits that we are saying. We continue to offer products which have good VNB Margins reasonable margins for a period of time, ensuring them that the volumes and the business is sustainable. So that's what -- answers your previous question also.
This shift is little time taking because all the people who are involved have to involve into that process. But once that momentum picks up, this outcome we will start to see already this 10.8%

shift..IPO..if you actually would have looked at, it's almost double of that proportion a year back.
So this is a significant change, which is happening and good strategy being in that direction.
Nischint Chawathe: And sorry, I kind of dropped off in between, but did you kind of highlight any specific reason for lower gross margins in the par business?
Dinesh Pant: For the par business. Your question is on the margin?
Nischint Chawathe No. I'm saying that a decline in margin in the par business, have you assigned a...
Dinesh Pant: There is no significant decline in the par business, for sure. That has almost been stable, right? There is no significant change in par business because that contributes only 10% towards VNB.
But what has happened is the growth in par business has been less because of the market conditions. The carry over effect from the last quarter of the previous year in the initial two quarters, so that will also be made good.
The driver of the VNB margin will be not a par business, that will be drivers continue to make an important contribution in the overall VNB, so mainly contribution will largely come from the Non participating business.
Nischint Chawathe: I believe you have regrouped; I think some of the numbers on the margin? Regrouped. If you look at the first half presentation for last year, your VNB gross margin you reported is 14.5%, while I think the same number for previous year, this time around you reported as 15.8%?
Dinesh Pant: No, for September period, last year actually it was 14.6%. It remains 14.6%.

Last year it was
14.5% to be precise and 14.6% on this year. But on the rounding effect, it is 14.6%.
K.R. Ashok: See, one more point is, if you look at the disclosure, we are now declaring net margin. So, I think you are comparing these numbers with the gross margin.
Dinesh Pant: Previous year it was gross margin. Net is 14.6%, last quarter, September '22, 14.6%. In fact, it is 14.6% to be precise as compared to 14.5% last year. But we round it as a factor. So, it is 14.6%.
Nischint Chawathe: Sorry, that was my error. Thanks for pointing it out. Thank you very much and all the best.
Moderator: Thank you. Next question is from the line of Amit Jain from Axis Capital. Please go ahead.
Amit Jain: Yes, hi, sir. Thanks for taking my question. So, I had a question on the other, the banca channel that you are incrementally focusing on. So, is it purely on the PSU banks that you are focusing

on or are you in talks with the private banks as well? And secondly, what are your thoughts on Fintechs as a channel? So, do you have any thoughts of incorporating any Fintechs to increase your proportion of the, proportion from the other channels? So, any thoughts on that would be helpful.
Hemant Buch: Hi, this is Hemant Buch, Executive Director of Banca. We have a very good presence of both private as well as PSB. Mainly, of course, the PSBs are partners here. But, major contributions, of course, are driven by few PSBs and one private bank. Coming to the other part of the question, but at the same time, this is a dynamic kind of an environment, so we will continue to strive for having more partners, both from private as well as public sector banks. But public sector banks, I think, we have to tell this, almost everybody, except for two of them, they are in more dedicated kind of relationships, so we will keep exploring as and when there is an opportunity, we will definitely get them onboarded.
Coming to the Fintech side, yes, as other corporate agents, we are looking this phase with a lot of excitement. And we have already added in the three Fintech companies as corporate agents in the current year till now. Of course, with the integration phase and other things being tested and being put in place, the actual business flow will start kicking in basically from this part quarter onwards. And that will contribute to the set of numbers that will be presented in Q3.
Amit Jain: Sure, sir. That's very helpful. And secondly, in terms of margins, so just coming on the non-par business, the margin decline that is 68.7% to 50%. So just wanted some further clarity as to why is this only because of pricing? Or is there any other thing out here that has met the declined part in the non-par business?
K.R. Ashok: Actually, if you look at the non-par margins, the major impact of reduction in margin is the pricing, repricing. There is also another more impact due to the changes in the risk-free rates.
But then, yes, the major movement is due to repricing the non-par products.
Amit Jain: And so on a sustainable basis, so H2 margins were at 14.6%. So for a full year, do you envisage that these could go up closer to 15% or like 14.5% to 15% is the range for this year? And incrementally, how are you seeing your margins when you move on to FY '25? Any thoughts on that?
K.R. Ashok: Ideally, we focus mainly on assessing that our focus has really shifted towards non-par products and the non-par products is giving quite a decent margin. And as the focus is towards more and more non-par products, we can expect the margin to go up .
Amit Jain: Sure, sir. That's very helpful. Thank you.

Moderator: Thank you. Next question is from the line of the Dipanjan Ghosh from Citi. Please, go ahead.
Dipanjan Ghosh: Hi, good evening. A few questions from my side. First, on the agency front, given that you are shifting your focus towards more of non-par, ove

r the last, let's say, 12 months to 18 months, have you seen any change in the activation rate of agents or in terms of the productivity of agents? How do you see that? I mean, by the ticket size, which obviously has been on the upper

trajectory. How do you see the activation rate in terms of the new agents, in terms of how the productivity or churn is shaping up?

Second, in terms of the non-par business, is there more repricing in any of the product segments or annuities that you have forecasted going into the second half out there? Third question would be in your non-par savings business, individual non-par savings business, can you get some color on whether it would be single pay or regular pay mix or what would be the average tenor or something out there?

And lastly, in terms of your group business, you mentioned that you would try to recoup some of the business that probably did not come through in the first half in 2H. Just wanted to get some color on what are the strategies that you're kind of adopting out there and how confident are you on recouping the businesses on the second half?

R. Sudhakar: This is Sudhakar, Extended Director Marketing here. On the agency side, yes, we have about 1.3 million agents and training them into the non-par, which is a new line of business as far as they are concerned. We take the more senior agents to train them because they are already selling, having a higher basket of products which they are selling and they understand much better.

At the same time, when new agents are being added also, we are teaching them one or two of the non-par products, especially on the savings side, and that is how the overall percentage of agents who are selling non-par over the last year, it has increased by almost 3%-4% as compared to the corresponding period of last year. So, the overall total non-par business also, as you can see, there is an increase in the individual savings by almost 172% and individual non-par by 19% and annuity by around 9.95% and so on. So, that breakup is also being given by us.

ULIP is also showing growth. So, it takes some time because of the organization for all agents to come on board as soon as they understand and start selling the products. So, mainly it will be more senior agents who are understanding the products and are able to convey that to the customers.

Dinesh Pant: On the product side, in the past sometime, we have repriced our products and just for a clarification, when we see overall, you know, VNB margins have come down consciously because of the competitive reasons in non-par business. It is not across all lines of businesses. In certain products, where we have repriced the products, particularly protection business, the margins have improved also.

Similarly, in other lines of businesses also. So, it's a conscious call depending on the balance of the business. Going forward, our aim is to, you know, have our product basket complete, provide and facilitate our intermediaries as well as the clients, all the product offerings as per their life cycle requirements. And we are very confident that we are going to yield very good results in the coming quarters within this financial year and thereafter also.

Dipanjan Ghosh: Sure. My two other questions was one on the non-par mix, individual non-par mix, if you can give some color on the type of product between single or regular pay, average policy turnover

or something. And the last question was how confident are you on recouping the group business in 2H and what are the incremental strategies you have adopted for that?

R. Sudhakar: Again, Sudhakar here. On the non-par side, approximately 25% of our business comes from the annuity portion, annuity basket and it is continuing to hold the same position as of last year.

Apart from that, we

have added some savings products in the current year which are both available as single as well as non-single. So annuities are of course single, but under the individual savings, we are adding both single as well as non-single premium pay modes. And in there also, the Dhan Vriddhi, which is a mainly, it is a single premium product. We have also added Jeevan Kiran, which is a return of premium product, which is added at the later end of the second quarter.

So it is just gaining traction and you will see more action on that in the next two quarters as it rolls out.
R. Doraiswamy: On the group side, yes, we have increased our follow-up with the various entities from whom we may have to have premiums to be collected. Plus, we are working with new entities who will be, with whom we have been following for quite some time. We are quite confident of getting back whatever we have been doing in the previous year and showing growth over that by the end of the current year.
Dipanjan Ghosh: Got it. Thank you and all the best.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Mr. Mohanty for closing comments.
Siddhartha Mohanty: Thank you, all the analysts, because you have given very valuable time during this Dhanteras. So, on behalf of the corporation, I thank you. And as per our commitment, we are moving ahead and definitely we will deliver. There may be some dislocation here and there, but overall, you will see, we will fulfill our commitment. Thank you. All the best.
Moderator: Thank you very much. On behalf of LIC, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

Ref. No.: LIC/SE/2023 -24/192 Date: February 16, 2024

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumba i-400001
The Manager
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
Mumbai -400051

Scrip Code: 543526
Scrip Code : LICI

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporatio n of India (“the Corporation ”) with Analyst/Investors held on February 09, 2024.
The said transcript is also available on the website of the Corporation and can be accessed from the link: https://licindia.in/web/guest/call -transcript -of-analysts -/-investors -meet .
Please take the above information on record and arrange for its dissemination .

Yours faithfully,

For Life Insurance Corporation of India

(Anshul K umar Singh)
Company Secretary & Compliance Officer
Encl.: a/a

“Life Insurance Corporation of India
Q3 FY '24 Earnings Conference Call”
February 09, 2024

MANAGEMENT : MR. SIDDHARTHA MOHANTY – CHAIRPERSON – LIFE INSURANCE CORPORATION OF INDIA
M R. M. JAGANNATH – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. TABLESH PANDEY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. R. DORAISWAMY -- MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. K. R. ASHOK – EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA

M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR, INVESTMENT -BACK OFFICE, INVESTMENT TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING AND CHIEF MARKETING OFFICER – LIFE INSURANCE CORPORATION OF INDIA

M R. HEMANT BUCH -- EXECUTIVE DIRECTOR BANCASSURANCE – LIFE INSURANCE CORPORATION OF INDIA
M S. MANJU BAGGA – EXECUTIVE DIRECTOR, GROUP BUSINESS – LIFE INSURANCE CORPORATION OF INDIA
M S. ANJUBALA PURUSHOTTAM -- EXECUTIVE DIRECTOR, CRM/C LAIMS/ANNUITIES – LIFE INSURANCE CORPORATION OF INDIA
M S. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT / POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to LIC's Q3 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. We have our senior management of LIC led by Mr. Siddhartha Mohanty, Chairperson on this call. I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC. Thank you, and over to you, sir.
Siddhartha Mohanty: Thank you. Good morning, everyone. I am Siddhartha Mohanty, Chairperson LIC.

On behalf of the senior management team, I warmly welcome you all to the results and performance update call of Life Insurance Corporation of India for the third quarter and nine-month period ended December 31st, 2023.The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.

Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes), Ms. Anjubala Purushottam, Executive Director (CRM/Claims/Annuities), Ms. Rachna Khare, Executive Director (CRM/Policy Servicing) and Mr. Sanjay Bajaj, Head (Investor Relations).

I would like to thank all of you for sparing your valuable time to join this call today and listen to the LIC team.

Let me now mention the key business, operational and financial highlights for the first nine months of the financial year 2023 -24.

Premium Income

For the nine months ended December 31st, 2023 we have reported a Total Premium Income of INR 3,22,776 crore as compared to the total premium income of INR 3,42,244 crore for the corresponding nine month period of last year ending December 31st, 2022.

The Individual New Business Premium Income for nine month FY24 is INR 38,679 crore and for comparable nine month FY23 it was INR 38,828 crore. Renewal Premium Income (Individual business) for nine month FY24 is INR 1,71,040 crore as compared to INR 1,61,601 crore for nine month FY23. Therefore, for nine month ending December 31st 2023 our Total Individual Premium Income including renewals is INR 2,09,719 crore as compared to INR 2,00,429 crore for nine month ending December 31st, 2022. As measured by Total Individual Business Premium, we have grown by 4.64% on Year on Year basis.

The Group Business total premium income for nine month ended December 31st, 2023 is INR 1,13,057 crore comprising of New Business premium of INR 1,08,796 crore. In comparison for nine months ended

December 31st 2022 last year the Group Business total premium income was INR 1,41,815 crore and comprised of New Business premium of INR 1,37,240 crore. Therefore, for nine month ended December 31st 2023 the Total Group Premium has declined by 20.28% as compared to similar period of previous year. Hence our overall premium for nine month ended December 31st, 2023 has registered a decline of 5.69%.

Our market share by First Year Premium Income is 58.90% (as per IRDAI) for the nine month period ended December 31st, 2023 as compared to 65.38% for the similar nine month period ended December 31st 2022.

If we were to split this total market share of 58.90% into segment wise share of individual and group business we would have a market share of 38.74% in Individual business and 72.24% in the group business for 9 months ending December 31st 2023. On a comparable basis for nine months ended December 31st 2022 the respective market shares for Individual and Group business were 40.93% and 78.65%. Therefore, we continue to retain the leadership position in both Individual and Group business segments in the Indian Insurance industry. I would also add that we are conscious about doing profitable business.

Seen on APE basis the break up of business is as follows

Total Annualised Premium Equivalent (APE) for nine month ended December 31st 2023 is INR 35,790 crore which is comprised of Individual APE of INR 23,503 Crore and Group APE of INR 12,287 Crore. Therefore, on APE basis, the individual business accounts for 65.67% and Group business accounts for 34.33%. Further of the Individual APE, the Par business accounts for INR 20,203 Crore and Non Par amounts to INR 3,299 Crore. As you can see our

Par share of individual APE is 85.96% and Non Par is 14.04% for nine month FY24. You will recall that our Non Par share for year ended March 31st 2022 and March 31st 2023 on APE basis within the overall individual business was 7.12% and 8.89 %, respectively. Further you will also remember on the last call on November 10th, 2023 we had mentioned about our Non Par mix to be 10.76% for H1 of FY24. At this point I would like to emphasise that our strategy of focusing on changing product mix by launching new Non Par products and marketing the same in a focused manner, to meet our customer needs, is showing results as we had envisaged. While we have shared Par Non Par mix for the period of 3 month, 6 months and 9 months as a disclosure, you can very well arrive at your own estimates of how the successive months and quarters are getting better for us on this aspect, since we have been listed.

Profit After Tax

The Profit After Tax (PAT) for the nine months ended December 31st, 2023 was INR 26,913 crore as against INR 22,970 crore for the nine month ended December 31st, 2022. The current nine month period profit includes the transfer of an amount of INR 21,461 crore (Net of Tax), pertaining to the accretions on the Available Solvency Margin from Non Par to Shareholders account. The amount of INR 21,461 crore comprises of INR 7,692 crore for the quarter ended

December 31st ,2023 besides INR 6,277 crore and INR 7,492 crore for the quarter ending June 30th, 2023 and September 30th, 2023, respectively. At this point I must highlight that the nine month profit of FY24 is not comparable to the published nine month profit figures of FY23. Therefore, I will request our CFO, Mr. Sunil Agrawal, to provide details after my opening remarks and before the start of the Q an A session today.

VNB and VNB Margins

Value of New Business (VNB) is INR 5,938 crore for the nine months ended December 31st 2023 as compared to VNB of INR 5,478 crore for the nine months ended December 31st 2022. As you can see the VNB has registered an increase of 8.40% on YOY basis. Further, the net VNB margin for the nine month FY24 is 16.6% as compared to 14.

6% for nine month ended
December 31st, 2022. Hence, the VNB margin has expanded by 200 basis points on a year on year basis. In comparison you will also remember that our VNB margin for first 6 months of FY 24, ended September 30th, 2023 was 14.6%. Therefore, the nine month ended December 31st, 2023 results also demonstrate the positive impact of changing product mix in Q3 of FY24 when new products have been launched.

Solvency Ratio

The solvency Ratio as on December 31st, 2023 improved to 1.93 as against 1.85 on December 31st, 2022.

Assets Under Management (AUM)

Assets under Management as on 31st December 2023 grew by 11.98% year on year to INR 49,66,371 crore as compared to INR 44,34,940 crore as on December 31st 2022.

Product Mix and New Product launches

Now I would like to inform about New Product Launches. In line with our strategy of increasing the proportion of the Non Par business, we launched new Non Par products during the first nine months of FY 2023-24 to cater to customer requirements, namely LIC’s Dhan Vriddhi Plan, LIC’s Jeevan Kiran Plan, LIC’s Jeevan Utsav Plan and LIC's Group Post-Retirement Medical Benefit Plan, respectively.

No. of Policies Sold

During the nine months ended December 31st, 2023, we sold 1.25 crore new policies as compared to 1.28 crore policies in the nine months ended December 31st 2022 registering a marginal decline of 2.60 % over the corresponding period of last year.

Agency Workforce

As on December 31st, 2023, the total number of agents was 13.74 lakh as compared to 13.23 lakh agents as on December 31st, 2022. The market share by number of agents as on December 31st, 2023 stands at 49.67% as against 52.30% for December 31st 2022. Therefore, we have a net addition of approximately 51,000 agents in last one year.

On number of policies sold basis, the agency force sold 1.21 crore policies during the nine months ended December 31st, 2023 as compared to 1.24 crore policies during the corresponding period of last year registering decrease of 2.39%. Therefore, more than 96% of our policies for the first nine months of FY24 were sold by our Agency force. Even on premium basis, approximately 96% of New Business Premium came from our Agency channel for nine month FY24.

Contribution by Banca and Alternate Channel (BAC)

During the nine months ended December 31st 2023, other channels (BAC – Banca and Alternate Channels) collected new business premium aggregating INR 1,423 crore which was

INR 1,355 crore for nine months ended December 31st 2022 registering a growth of 5.02% on a YOY basis. With this the share of Banca and Alternate Channels has increased to 3.69% for nine month period ended December 31st, 2023 as compared to 3.50% for similar period last year.

Our Overall Expense Ratio stands at 15.28% for the nine months ended December 31st 2023, as compared to 15.26% for the same period of last year. As you can see the increase was very very marginal 2 bps on year on year basis.

Persistency

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for nine month FY24 stands at 78.00%, 71.92%, 67.28%, 64.92% and 62.40% respectively, as compared to 77.61%, 71.32%, 68.31%, 64.70% and 62.73% respectively for nine month FY23.

On number of policy basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for nine month FY24 stands at 67.22%, 58.59%, 54.80%, 52.01% and 50.23% ,respectively, as compared to 64.99%, 59.06%, 55.32%, 52.45% and 51.42%, respectively for nine monthFY23.

Operational efficiency and Digital Progress

In our digital initiative through the Agent assisted ANANDA app, we have completed 7,84,856 policies through this App during the nine months ended December 31st 2023 as compared to 5,31,792 policies for the comparable

period ending December 31st 2022 thereby registering a growth of 47.59% on YoY basis. I feel very happy to let you know that more and more agents are adopting to do business on ANANDA.

We had also announced during the last call that we have started a Digital Transformation Project called DIVE (Digital Innovation and Value Enhancement) and that we have taken on board a top reputed international consulting firm for the project.

Claims

On the claims front, during nine month FY24, we have processed 1,38,02,767 number of claims which includes 1,32,04,597 maturity claims. On an amount basis during nine month FY24, the maturity claims were INR 1,30,222 crore and the death claims were INR 16,288 crores. On a comparable basis for nine month FY23, the maturity claims were INR 1,13,936 crore and death claims were INR 17,350 crore. Therefore, the death claims are lower by 6.12 % and the maturity claims are higher by 14.29 % on a year-on-year basis.

In summary, I would like to make three points

1. First Our efforts towards changing our product mix are succeeding and we have been able to increase our Non Par share within the individual business to 14.04% which is significant increase from 7.12% around the time of our listing.

2. Secondly, we are able to launch products that are competitive, meet customer expectations and the needs of various marketing intermediaries and channels.

3. Finally, our sharp focus on enhancing margins in the business is also yielding results as is evident in the 200 bps increase in VNB margin to 16.60% on a yoy basis.

Before I close my opening remarks, I would like to share that the Board has approved an Interim Dividend of Rs. 4/- per share in its meeting held on 8th February 2024.

We are thankful to our customers, shareholders, employees, agents, marketing channels for their faith and trust in us. We remain committed to maintaining our leadership in the market while delivering superior value to all our stakeholders.

Thank you very much. Before we open the floor for questions, I would like to invite our CFO, Mr. Sunil Agarwal to explain the profit numbers especially with respect to the comparable numbers for similar period last year.
Sunil Agrawal: Thank you, sir. Good morning, everyone. The profit figures for the quarter are comparable. The profit figure for the quarter, INR9,444 crores is comparable with the quarterly profit of last year INR6,334 crores, which is a 49% increase. The profit number for 9-month period ended December 2023 is not comparable with the 9-month period in the previous year because in the previous year included an accretion of ASM for the quarter ended 31st March 2022 also, which amounted to INR4,542 crores. So if we remove that from INR22,969 crores.
The comparable profit for the 9-month period 31st December 2022, is INR18,427 crores, which is comparable to the profit for 9-month period ended December 31, 2023, which is INR26,913 crores, which is a 46% increase in profits comparable profit. Thank you.
Siddhartha Mohanty: We now invite questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sujit Jain from Bajaj Allianz. Please go ahead.
Sujit Jain: Mr. Mohanty and team, our compliments on a great set of numbers. Sir, I wanted to check with you the sustenance of this VNB margin going into Q4? And what would be the guidance for FY '25 and over medium term? And if not guidance, in terms of your aspiration, how VNB margins will pan out next year and in the medium term? let's say, over a period of 3 years?
Siddhartha Mohanty: Actually, it would not be appropriate to give any specific figures. But as you observe, whatever commitment we made during listing, we are in line with achieving our commitment from 14.4% to 16.6% now. And you see the product mix, we are launching high-m

argin products. And it is
not only for shareholder but first keep in mind customers' interest. So those products get traction in the market. And in coming days we'll continue this effort and the margin in my sense is it will definitely improve and it will be competitive in the market in coming days.
Sujit Jain: Okay. And you have, sir, mentioned in a variety of your interactions in post listing about improving on 3 vectors. And in the initial commentary, you've given the progress on these 3 vectors as well, which is product mix, channel mix and digital intervention. Specifically on product mix and channel mix, you've given numbers. But directionally, where do you see LIC going in FY '25 on these 2 aspects, product mix and channel mix?
Siddhartha Mohanty: Product mix, channel mix you see already it has -- already shown results. Product mix, new products we have launched and if you see the share of APE, share of APE has gone up like substantially, it has gone up and in coming days also new products, which will be launched we have to take care of customer as well as all other stakeholders. So definitely, this product mix

will help not only margin but fair and good growth will be there. But at the same it’s channel mix when we say, our alternate channel we are focusing alternate channel banca also. Banca slight increase is there from 3.5% to 3.7%. So further growth we expect we’ll focus more on alternate channel in coming days. But more than that, Digital Marketing also we are focusing where our share is very, very negligible less than 1%. Because we have taken this initiative project, DIVE (Digital Innovation and Value Enhancement). So coming days customers also will be happy to contact directly LIC and consider their policy decision, whatever policy they want to take, they can take. So on these 3 fronts, already work has started and those are showing results, and it will continue.
Sujit Jain: But what targets you set for you to eventually say that you kind of met the targets or the milestones or did not achieve, etc, especially in non-par share, where do you see it going? What is your target share and the Banca share in the mix and the digital share in the mix.
Siddhartha Mohanty: See, non-par share, we committed it will be 15% APE share of non-par to total business. And we have almost reached there today. And my sense is by March, it will further improve, whatever commitment we will deliver more than our commitment. And so far as banca and alternate channels, those are growing -- if you observe insurance companies, which are doing well in banca they are owned by banks.
So they have that advantage. We tie up with many banks and gradually, slowly, it is going up. And if you see, volume-wise also our position will be, I think, to 6th or 7th the total volume of

a premium in Banca. So that's where progress will be there. But more than that, we will focus on the technology path, not only for customer acquisition because that is the one area we are focusing more and more, coming days that will be our focus.
But also all our aspects total servicing everything so that a customer never comes to our office, sitting at home he can take policy, he can get all services. With this policy he can get his loan, he can get his claim, he can change the nomination, all -- everything. So that is our objective.
Moderator: Next question is from the line of Anuj Singla from Bank of America. Please go ahead.
Anuj Singla: Congratulations on a good set of numbers. Mr. Mohanty, the first question is with regards to the strong performance in the non-par...
Moderator: Anuj, sorry to interrupt you. Can you please...
Siddhartha Mohanty: Speak louder please.
Anuj Singla: Is it better?
Moderator: Yes, yes. Thank you.
Anuj Singla: Yes, sir, my first question is with regards to the non-par mix, so what we have seen is you had this product Jeevan Utsav

, where I think which has done very well. Would it be possible to share what kind of premium you collected in that product? And the second part is when you look at

the pipeline for 4Q, do you have any similar product which can support strong growth on the non-par momentum continuing in the 4Q as well?
Siddhartha Mohanty: See, we have collected almost more than INR1,000 crores under this product only, Jeevan Utsav.
And if you see, recently, we have launched, of course, this last month, LIC Index Plus then Jeevan Dhara II, deferred annuity plan also which we have launched. So all these products are very competitive you compare return and other aspects.
So these are competitive products. And also, we have revised the rates in our annuity products like Jeevan Akshay-VII and Jeevan Shanti. So these rates have been upward, revision has been done. And we have also one single premium product. There also, we have enhanced the rate, return rate Dhan Vriddhi. So all these products will get traction in the market, and we expect a very high performance during a couple of days left for the year to close.
Anuj Singla: Okay. Sir, just to circle back on the question which the previous participant also asked. When you look at the margin outlook, the third quarter which we tend to look at by taking out the 6 months number from the 9 months, is a very strong performance on the VNB margin side. When we look at the outlook for the next quarter or the next year per se do you think this is sustainable on that part?
I -- alluded to the non-par savings mix continuing to improve, but it's a very strong performance in this quarter, and I think driven by this Jeevan Utsav product, so do you think this kind of margins we can sustain and given the annuity you know repricing which you have done, does it pose risk to the margins in the next couple of quarters?
Siddhartha Mohanty: See, if I say, definitely, we are very much positive on this aspect. Particularly if you see Jeevan Utsav product that has taken care of all segments. That has not only taken care of customers while giving high and competitive returns but also intermediaries and at this time shareholders.
And Jeevan Dhara II other products also, I am very much confident in coming days we'll sustain that margin. I would request our Appointed Actuary, Mr. Dinesh he will throw light further.
Dinesh Pant: Good morning, see we need to appreciate one point that, yes, it is a very conscious strategy that Corporation has taken about rebalancing. And despite of the fact that last year revision in annuity rates happened twice but the overall VNB margin, even for the 9-month period has not come down for us. That has been possible because of the business mix.
While, yes, certain products have given us head start on this thing. What we are looking forward is not overdependence on any single product. The entire mix of the products is going to sustain this momentum. But we are largely also looking not only in the context of margins, but also in context of overall absolute VNB that is important to us. So the entire strategy is going to be very dynamic in which the growth and reasonable level of margins coupled together would drive towards the VNB and overall profitability.
Anuj Singla: Got it. And lastly, sir, on the protection side, the performance, again there is a decline on a Y-o-Y basis. What steps are we taking in terms of maybe product and distribution to address that?

Dinesh Pant: Yes. On the protection side also, you would appreciate that the industry overall, and we also had revised our premium rates in order to make them sustainable and viable. It's very interesting that

even when their number growth is less, actually the margins have improved there and even the
VNB has improved there.
But again, we are looking at it very cl

osely, we are trying to -- in fact to be fair that in our group
side protection also we have done very good. Very good growth has happened and the margins
have also significantly improved, loss ratios have come down there. So again, we are
continuously looking into this segment, and we'll look into which are the elements where we can
look into reviewing the pricing also. In fact, we also look forward to some more variants of term
products to be worked on and considered in the coming quarters.
Moderator: Next question is from the line of Avinash Singh from Emkay Global. Please go ahead.
Avinash Singh: Thanks for the opportunity and a good set of performance. A couple of questions. The first one
is more on the margin side. So if I see 2 parts of margin, I mean, the non-par and par, at such a
large scale, par margin Y-o-Y is appearing to be declining slightly. Now what explains that?
Because generally par margins are stable and even interest rates have been broadly stable. So
what explains minor drop in par margin.
And on the non-par side, I mean, including ULIP or 63% kind of a margin with a little help from
protection looks pretty strong. Now that would mean that you know that in terms of your benefit
offering likely would be lower than what your competitors are offering on the non-par savings
and annuity side. So if competition heats up and you were to sort of improve your offerings in
these 2 non-par and annuity.
Do you think that this 63% can come under pressure? Of course, I am cognizant of the fact that
at the overall level your non-pap share will sort of increase, but the non-par margins. So just I
want explanation that what is causing sort of a pressure on par margins? And what sort of you
know margins do you think that can be sustained in this non-par? That's my first question. I will
come with second question later.
K R Ashok: Yes, this is Ashok. See, if you look at the par margins, yes, they agree that's a small decline in
the par margins but basically what happens is par itself is a big portfolio and the...
Moderator: Sorry to interrupt you, can you come little closer to the mic?
K R Ashok: Yes. It is true that the par margins -- am I audible now?
Moderator: Yes, sir.
K R Ashok: The par margins are slightly declined. That is basically because this is an inherent business mix
change in the within the par because there are certain products which are having a higher profit
signatures compared to other products.

So normally what happens is in the par portfolio that fluctuation do happen over a period of
time. And it is also aided by the movement in the risk free rates. So putting it all together that -
- the minor decline in the par margins was expected.
Looking at the non-par and annuity, see what happens is the profitability and the competition
are 2 sides of a coin. So if the competition increases automatically the profitability expected to
reduce. But the art is in balancing the two. And I think we have successfully done that in our
recently launched products because we could able to garner a good amount of premium from the
market. And also, we could sustain growth in these margins.
Avinash Singh: Okay. Just on par, just to confirm, Y-o-Y 9-month margins – or this minor dip, is it not caused
by any sort of a change in operating side, either the expenses or the persistency behavior? Or
some contribution coming out of these two factors as well?
K R Ashok: Yes. See, there is a little bit, but the contributions are very minor compared to the upside that we
get on the business mix. If you look at the margin walk we have given, the two big impacts, one
is on the business mix, which already shared by our Chairman that there is a good movement in
the Non Par share, including ULIPs that are added to that. And we have repriced annuities twice
during the year, increasing the benefits naturally pushing the margin

s up.
But the other components are very minor in nature. The major impact or the contributor for the
assumption changes are in RFR change which is pushing it south and there has been some
certain updates in the mortality looking at the recent experience, and which is pushing it slightly
up. So putting it all together, the single one driver is the business that our Chairman pointed out.
Avinash Singh: Okay, sir. And my second question is, again, more sort of explanation I would require from your
side. If we see the segmental surplus that you gave in your results of the Par surplus that – Par
GAAP accounting surplus has been in the deficit for last few quarters. And also, last year in the
9 months, you were building, I mean, the FFA almost in the tune of roughly INR9,000 crores,
whereas in this 9 months, you have taken out the FFA and INR3,000-odd crores.
So what is sort of explaining this that -- again, I'm not looking just 1 quarter, I'm looking 9

months as a whole. What is explaining this sort of this change in how you are sort of building FFA versus withdrawing and also the surplus emergence in par that seems to be negative for last 9 months.
Dinesh Pant: Yes. If I would like to explain that, actually, we would appreciate that general insurance companies would be building on the FFAs for the purpose either for the purpose of requirement of solvency or when there's no certainty about certain amount to be distributed at any particular point of time. You would have seen from the results of the Corporation. Corporation has been going from strength to strength as far as the solvency is concerned. In fact, some years back, we stand around 1.6. So today, we are standing at 1.93. So in this year, we had taken calibrated decision right from the first quarter that in which -- the certain amounts which were sitting in the FFA be used for the provisions for the liability purposes because that has to be routed through the revenue account.

That's why you are seeing deficit. Actually, it's not a deficit. In the balance sheet, it's the entry fee. It is only adjustment to adjust the FFA. Frankly, going towards the end of the year, FFA should keep on reducing because one gets more certainty about how the distribution should happen.
So right now, the strategy is not to go overboard to that FFA, it is not the requirement. And we expect this deficit, which is seen. Actually it is -- there is no deficit as such, it is only that the amount which was there in the FFA around INR4,000 crores plus still it is INR1000 crores plus. So that amount has been adjusted towards making greater provision into actuarial liability side of it.
And because the entry pass is for the revenue account, therefore, it looks like negative. Otherwise, there's no negative. The fund is very much in the plus and is very surplus position itself. So FFA, we do not want to have much, but a certain amount of cushion is required at any point. That's why FFA is provided here. Otherwise, it's not required for any solvency purpose. We would like to make actual distribution of whatever surpluses are there in the Par Fund.
Avinash Singh: Lastly, if I can just speak because you raised the point of solvency and very valid point that at 1.93% you are sort of having very strong solvency. And also to add to that, a very large amount of unrealized gains that is not right now counting towards your Available Solvency Margin. In that backdrop, I mean, should we expect the dividend, of course, you have announced INR4 per share.
Going forward, I mean, Q4 also, the board would likely take up dividend because, I mean, the amount sort of you realized from your unrealized, that is not any way going to impact your solvency part because today that is not part of your ASM. So, should we expect again in the next quarter that the Board will be considering dividend?
Siddhartha Mohanty:

Let us wait for that, at this point, we should not guess anything.
Dinesh Pant: Board has to take overall call, what is the capital requirement of the company, solvency, as well as the overall interest of all the stakeholders. I think very bold and rightful decision has already been made by our Board and that would be the course of action in future also in the overall interest of all the stakeholders.
Moderator: Next question is from the line of Sanketh Godha from Avendus Park. Please go ahead.
Sanketh Godha: Sir, if I see your non-par margin in 1H was around 50 percentage, now it is closer to 64 percentage. So I believe it is largely because of Utsav. So what nature -- the whole life nature of Utsav makes it better margin? And if you keep on introducing whole life products in non-par or longer tenured plants in non-par, do you expect the 64% margin to hold up going ahead or not? That's my first question.
Dinesh Pant: Yes, Sanketh, actually, you would realize and appreciate that business strategy is not there is no single panacea and it's not that every product just because it is a whole life that is going to serve the purpose because then it also brings about challenges in terms of reinvestment risk and long duration risk also.

So it is -- that's why I'm -- I said earlier also that the larger purpose of introducing products, the primary purpose to ensure that your product basket is complete, you are able to tap and you know whatever the overall directions are mentioned reaching every policyholder ensuring for all policies that the larger purpose that customer-orientated solutions are provided.
So it is not only from the margin point of view that products are introduced. So this product, we

-- it took us a longer time to design, think around so that we give it a holistic approach. And what we are looking forward is, yes, this is a great product for everybody as Chairman rightly mentioned earlier also. But what know every product may not necessarily be a right solution. So what -- it's not -- we have rightly -- we're also using the par side also. We already have Jeevan Umang, which is also a very like product. And it's a very comprehensive product that one also. So -- but -- what we are looking forward to is that coming out with a different variety of products. We have -- in fact, if you look into our recent products, we have introduced short-term -- premium paying term products also.

So what we are looking forward is that product should be, first of all, rightful from the context of the policyholders. It should be attractive enough for the marketing channel. And then it should definitely have a value for the shareholders also. So that is what has happened. That's what I was earlier also saying that the overall strategy is not just in context of products but the strategy around marketing them and whatever technological support can be provided so that the ultimate value comes out of that. So that's going to be therefore, all our products in that context are important for us.

Sanketh Godha: Got it. But the margin expansion, what you are seeing from 1:9 months is largely attributed to Utsav and then the nature of the product. That's a fair understanding, right, sir?

Dinesh Pant: Yes, yes. This is also a product, but there are other products also which are delivering much higher margin than the overall margin that we are seeing. So at this point of time, we will have to review our margins also because then in a competitive market, it's a toss-up between what margins you want to give and what is the business growth? Because market share optimum market share is also a consideration. So we expect that there is going to be some saturation point. So we continue to introduce a different variety of products and continue to review our existing products.

Sanketh Godha: Got it. And second point, sir,

if I look your growth, your par business is struggling a bit to grow in the 9 months. And whether -- just because company is focusing on non-par whether the focus on non-par is cannibalizing to par and, therefore, it is not translating into overall company growth, maybe product mix is good, margins coming from there is good, but the overall growth is struggling. Just wanted to understand that, is it fair to conclude that the non-par focus has cannibalized into par or to some extent ULIP also when the market were that great and you're not going in that piece in that sense?

Siddhartha Mohanty: The first thing is that when we talk of par and non-par, first focus is customer. So, any product we design we keep customers in mind and the design so that customer gets best of the product.

And since there has been directional change and focus is more on non-par at present, some impact has been there on par, CMO will...

R. Sudhakar: Sudhakar, CMO. Yes, our Chairperson put it, there will be some impact on the par side also. But at this time we are focusing that different categories of agents are having their specialization and they are actually selling their products. That is why par continues to be the large proportion of business which we are having today. There are very strong plans which are there in par also, which have actually grown.

At the same time, during the last year, there were also revisions which we have made in the -- some of the plans in the par business, increasing the sum assured and increasing the ticket size in certain cases. So such increases have impacted a little bit of a number of policies in those plans, which have been compensated more than in the non-par side through the non-par products, which have been launched in the recent past.

Sanketh Godha: Got it, sir. But sir, given this strategy, can we expect a positive growth to happen in FY '24 or growth to come back in FY '25 in total APE terms or you are okay with not growing as significantly but mix changing and resulting in the margin?

Dinesh Pant: Definitely, we would like our growth trajectory to be there. In fact, it is already on track to that and it will be -- the APE growth will also continue to be our driver. So that's very much on the focus. And that if you see quarter-to-quarter, that situation has improved. In fact, in the individual side, it is already -- there is APE growth, which is already there.

So we are looking forward to having rational margins, margin improvement, VNB improvement as well as the APE growth because without APE growth and the combination of the margin, the overall VNB won't grow. So that direction is very clear for the Corporation, we have to continue -- we'll continue...

Sanketh Godha: Okay, sir. And last one, just on group business on overall basis, it has declined for 9 months. Just if you can give a little color on the group business, what led to this decline, whether it is GTL or fund-based business or annuity just -- and your outlook on, say, GTL or annuity, what is your outlook given it has declined in the current year.

Siddhartha Mohanty: Actually group business, you see some of the big ticket we could not get in time. So those are coming. If you see whatever decline was there in Q2 that has been reduced in Q3. And if I tell today it has further improved. So I'm confident whatever target is there for group business, we will definitely achieve in the current year because we are getting confidence from our all our customers, big clients. So they are gradually releasing money.
Sanketh Godha: Sir, but this pressure is largely in annuity or GTL or it's more in fund-based business that moderation in the growth in group?
Manju Bagga: This is Manju looking after this. So there is definitely a reduction in the fund-based business and that is because fund-based business is a lumpy business, and therefore, some premi

ums, which have come last year, definitely, will not be repeated, but we are looking into more funds from

other sources. And as regards GTL business, it has shown a good growth and annuities are also continuing to show grow.
Sanketh Godha: Okay. So sir, the moderation is only because of the fund-based business, the profitable segments like GTL and annuity have grown in the.
Manju Bagga: Yes.
Siddhartha Mohanty: Those are growing.
Moderator: Next question is from the line of Ajox from Sundaram Mutual Fund. Please go ahead.
Ajox Frederick: Congrats on a good set of numbers. Sir, if I just back compute the new business from individual non-par, the new business on the APE side of things, it seems to be a decline Q-on-Q. Is that what you're getting at?
Siddhartha Mohanty: See, non-par, you are talking, I'll give you a specific figure for...
Ajox Frederick: Yes, yes, please, please go ahead. Yes.
Siddhartha Mohanty: Yes. Non-par APE which -- hello?
Ajox Frederick: Hello, can you hear me?
Siddhartha Mohanty: Yes, non-par APE last year Q3 -- up to Q3 9 months of 2022 and 9 months '23, if you compare earlier, it was INR2,213 crores as against that, currently, it is INR 3,299 crores. So thereby, we are showing 49% growth in total volume. Under share also -- non-par share also, as I mentioned earlier, it has moved up to more than 14%.
Ajox Frederick: Yes, sir. I understand that. I was talking from the new business mix, which you gave at a proportion. You gave the split of new business mix and coming from the other non-par segment. Probably I can take it off-line also in case you don't have the numbers available.
But sir, again, the follow-up to Avinash's question, the others. Again, if you split the first half and 9 months, we see that the new product's margins are phenomenal like versus the industry is. So you mentioned that there is a case for you to come off and be more competitive. So if that is the case, how much will you sacrifice on the margins there to gain growth?
Siddhartha Mohanty: We have to maintain balance because growth is required as well as margin both things…
Dinesh Pant: Yes, as we explained earlier also, this challenge is always going to be there. And that's what we have ensured that even in the 9-month period, while we have previously increased our rates. There has not been any let down on the mix. So in certain products for sure at a certain point of time when the competition -- no market is without competition.
So there in order to remain competitive we will have the review. But then we continue to introduce new products also simultaneously. Our ultimate aim, if you look at 16.6%, we have to move from there upwards on the margin side, that's the direction.

And on the VNB side, we want to show robust growth also. So that is like a very dynamic strategy about rebalancing the margin. But very interesting point here to be noted is that when we are having good margins here, the returns to the policyholders are also very good. And the products have been so designed in a manner so that it takes care of all the things.
Ajox Frederick: That's very promising. And sir, just one question. Final question from my side is that sequentially, 2Q versus 3Q, except this new product, which is propping up margins substantially, have we gained product level margins sequentially 2Q versus 3Q?
Dinesh Pant: Product level margins, every product might not have gained, as I was saying. At certain point of time, certain products would be the leaders in the margin certain others would have to be because we also have to look at which are the point of competition. And we'll have to review our offerings there, for example, recently this annuity product we have seen a lot of competition there. So -- then at certain point of time, you have to look into margin vers

us your growth strategy there. So
the overall mix has to deliver, and that's the strategy.
Ajox Frederick: Yes. I was talking from 2Q to 3Q perspective, historically, 2Q versus 3Q product level margins have broadly remained the same, other than this.
Dinesh Pant: Yes, yes. Under the non-par, we can say they have remained almost the same.
Ajox Frederick: Sequentially right. Okay.
Dinesh Pant: Yes under non-par also. Par also when you ask what we need to understand that when new product offerings are given, that customers can be very common at certain times, they can choose the new ones. So this small variations in the participating side also need to be seen in that context also that when the greater offerings which are not earlier there, now when they come, people with preference they may been shift. It's not necessarily because LIC wants them to take non participating products, it's a customer choice. So these sort of variations from quarter-to-quarter over a trajectory of years also can be seen.
Moderator: Next question is from the line of Aditi Joshi from JP Morgan. Please go ahead.
Aditi Joshi: So I have a couple of questions. The first one is related to non-par. Just if you are able to provide some details on it. The first one is, sir, can you please share the duration of these products as in what is the typical duration as compared to your par products? And the second, can you also provide split of the type of premiums, which is coming from these non-par as in split between a single premium versus the regular premium products?
And from a risk management perspective, how do you plan to manage the risk from these products, especially from a perspective of investment spread management. Again, I just want to understand your thoughts as in what challenges are you facing? Or if not, is it is that -- is the asset management assets liability matching comfortable at this point?
Or what challenges you might face in the future? The reason I'm asking that as you shared previously that the mix because you're trying to limit is around 15%. So I'm just trying to

understand what is limiting you to this 15% mix because given the margins are pretty much higher for this product?
And just a related one is that as you increase the share of non-par in a mix, how will it affect the unwind in your embedded value because the EV mix is largely skewed towards the value in force. And if you look at the EV movement, a large of it comes from the unwind. So this is the first question.
Dinesh Pant: Yes. As far as you're pointing to that, there's nothing limiting us to 15% sort of level. The appreciable growth I was mentioned earlier from around 8% to 14% has happened, because of the strategic efforts which have been made towards creating a larger set of products, which because as you all will appreciate that we are not offering many non-par products because surplus distribution mechanism being in a different manner.
And now that is being offered. So that there's a natural traction towards that also because larger offerings are there, and there's a conscious effort also on that side. So there is nothing limiting that we shall be at 14%. Our aim is to provide products, which are value addition for us and good offerings to the customer, and they will pick and chose.
And then automatically, we would expect because the people who are interested in guarantees will move towards non-participating products, people who want discretionary type of benefits will continue to take and many people will like to take both these type of products also because they would like guarantee as well as discretionary. So that's the element.
As far as risk management is concerned, we are very cautious about how to ensure, in fact, very line of business-wise specific calls are taken, you would see that larger distribution equity would be there in the participating,

discretionary. So therefore, annuities are matched by long-dated
papers so that and where the cash flow matching is actually in tune with the investment asset there. Similarly, for the funds in the non-par side also, the larger proportion -- significant proportion is towards fixed securities.
And very calibrated approach is taken. The investment market is always full of risk and our job is to ensure that proper -- due risk management is done. So all the policies are in place, all the actions are taken. And we try to ensure that ALM matching takes place. But within that, optimization of returns can be ensured.
So that's a very continuous activity, which is undertaken and which is -- that's why we are taking line of business-wise as well as product-wise approach on what should be the backing assets how should their risk and rewards to be decided based on the available opportunities there.
Moderator: Aditi, sorry, I'll request you to come back for a follow-up question. Participants will be the last two questions. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: I'm looking at your VNB Walk, and this is slide 18. And what it suggests is that the impact of

product benefits over a 9-month period, and I know it's not directly comparable, but it's actually

down minus 3.6%. And I know we've seen margin expansion, but it's kind of -- I'm just trying
to understand as to why it is negative at this current time?
K R Ashok: Yes, this is Ashok.
Nischint Chawathe: Particularly in product mix, yes.
K R Ashok: Am I audible now?
Nischint Chawathe: Yes, yes, sir.
K R Ashok: Yes. See, as I've mentioned earlier, we have repriced annuities twice during the year. That is one
in August and one in February. And that is the main reason why the margin was low -- so actually
contributing to a lower margin for the period.
Nischint Chawathe: Sure. And if I look at the impact of assumptions, right, this is 0.7% in the 9-month period versus
1.9% and 2% in the previous 2 presentations. So is it something that assumptions have been
downgraded as well for this quarter?
K R Ashok: See, actually, the major part of the assumption is the RFR change, which -- on which we don't
have any control and it's a market-driven number. And the RFR is actually pushing the margins
by -- in the down side. And the requirements of the VNB calculation required us to update the
latest information into the calculations. And we have updated the mortality element based on the
recent experience in to it. And that is done sometime in June '23. And these 2 are the major
things that impact the assumption.
Nischint Chawathe: And just one small question is, if I look at the average policy term that has gone up from -- in
the non-par segment has gone up from 16 years to 43 years. What really explains this?
K R Ashok: Actually, the -- if we look at the current quarter's performance, the current quarter's performance
is riding on the product volumes under non-par and the average term because that being a whole
life policy naturally shifts the average non-par savings term up.
Nischint Chawathe: But I'm just trying to see -- first half the term was 16, 9 months the term is 43. Probably, it means
that your term for the -- for Utsav that you sold in the quarter would be like 50, 55 and your
average age is something like 32. So is that how one should think of it and that's where it goes
to like 80 plus is the whole life policy.
K R Ashok: See actually -- since it is whole life, technically it is whole life, so it goes to the end of the...
Nischint Chawathe: And your assumption would be like 85...
K R Ashok: And therefore, the projection period will also be till the end of the contract. And that is because
of the huge number of business that is being done there, it takes the average term.
Dinesh Pant: But this is not the p

remium paying term it is a policy term.
K R Ashok: Policy term. 99 minus.

Dinesh Pant: Or premium paying term. Generally, these are limited premium paying products.
Moderator: Next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: So my question is on the hedging mechanism. So could you let us know now that non-par has
become around 14% of your APE. How are you....
Moderator: Sorry, to interrupt you. Your audio is not clear.
Supratim Datta: Can you hear me now?
Moderator: Clear.
Supratim Datta: So I wanted to understand the hedging mechanism for your non-par products. How are you
hedging the risk now that it has become a substantial part of the book?
Dinesh Pant: Yes, there are two, three things to be appreciated that. First of all, as far as non-par annuities are
concerned, there is not a great requirement for hedging there because the cash flow management
as long as you can get adequately matching duration long-term bonds, which are available 40-
year bonds, for example, there has been there. So to that extent, the reinvestment risk gets hedged
because the cash flows coming from the coupons are very well matched to the pay outs.
As far as -- also another point, as of now our portfolio in the non-par segment is not that big as
the portion to overall portfolio. But we already have our derivative policy approved from the
Board and we start to rolling out now onwards so that future cash flows or reinvestment risk can
be taken care out of it.
As for a current amount of volumes are there, they don't pose any threat in that context. But we
are very conscious about it. Therefore, already the derivative policy is in place, and it starts
getting implemented very soon.

Supratim Datta: And sir, just a follow-up on that. So now that you're rolling out the derivative method of mechanism. So should that come at a cost.
Moderator: Supratim, your voice is breaking.
Supratim Datta: Can you hear me now?
Moderator: Can you come in a better reception area, please?
Supratim Datta: Is this better now?
Moderator: Yes, thank you.
Supratim Datta: Yes. So I wanted to understand now that you're putting in place this derivative mechanism, how would that impact margins because this will come at a cost?
Dinesh Pant: Definitely. That's why we have not gone for it as long as the cash flow. Generally derivative will be required largely when there are -- cash flows are an issue for an insurance company. More

pronounced requirement for them. So we want the policy in place and make a selective utilization of that wherever we need it. Because it's not only about the cost of derivative, but at times when the interest rates go up. So those -- many challenges are there in that also.
But the option should be available, so that whenever you are taking calls or such instruments are -- another way of managing that is the duration management. So in case there are challenges, like, we have introduced long-term products. We also are introducing short duration products also, for example, we talked about single-premium products. So there, the risk will be lesser because the matching instruments will be available.
We want to optimize whatever the best option going for the derivative or not going for that. So that will depend upon the cash flow and the situations at that point of time. It's not that just because you're derivative policy, you are supposed to hedge everything that you have. So what is our interest rate view at that point of time in case if the interest rates movements what are we expecting? So we'll take a call based on that.
Moderator: As there are no further questions, I will now hand the conference over to Mr. Mohanty for closing comments.
Siddhartha Mohanty: Thank you. I hope we have answered all your queries satisfactorily

. Please feel free to reach out
to us if you need to understand more. Once again, thanks for your valuable time, we are committed to living up to the expectation of all our stakeholders. Thank you.
Moderator: Thank you very much. On behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2024

"Life Insurance Corporation of India Q4 FY '24
Earnings Conference Call"

May 28, 2024

MANAGEMENT : M R. SIDDHARTHA MOHANTY – CHAIRPERSON
MR. M. JAGANNATH – MANAGING DIRECTOR
MR. TABLESH PANDEY – MANAGING DIRECTOR
MR. SAT PAL BHANOO – MANAGING DIRECTOR
MR. R. DORAISWAMY -- MANAGING DIRECTOR
MR. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR , ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. K. R. ASHOK – EXECUTIVE DIRECTOR , ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM
MR. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR , INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER
MR. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR , INVESTMENT -BACK OFFICE, INVESTMENT TEAM
MR. R. SUDHAKAR – EXECUTIVE DIRECTOR , MARKETING AND CHIEF MARKETING OFFICER
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MS. MANJU BAGGA – EXECUTIVE DIRECTOR , GROUP BUSINESS
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MS. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT / POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
MR. C. V. RAMANA, ADDITIONAL EXECUTIVE DIRECTOR (CRM/P OLICY SERVICING) – LIFE INSURANCE CORPORATION OF INDIA
MR. SANJAY BAJAJ – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the LIC's FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

We have senior management of LIC led by Mr. Siddhartha Mohanty – Chairperson on this call.

I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC. Thank you, and over to you, Mr. Mohanty.

Siddhartha Mohanty: Good morning, everyone. I am Siddhartha Mohanty, Chairperson LIC.

On behalf of the senior management team, I warmly welcome you all to the results and performance update call of Life Insurance Corporation of India for the year ended March 31st 2024. The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.

Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes), Ms. Vandana Sinha, Executive Director (CRM/Claims/Annuities), Ms. Rachna Khare, Executive Director (CRM/Policy Servicing), Mr C V Ramana, Addl Executive Director (CRM/Policy Servicing) and Mr. Sanjay

Bajaj, Head (Investor Relations).
I would like to thank all of you for sparing your valuable time to join this call today and listen to the LIC team.

Let me now mention the key business, operational and financial highlights for the financial year 2023 -24.

Premium Income:

For the year ended March 31st 2024 we have reported a Total Premium Income of INR 4,75,070 crore as compared to the total premium income of INR 4,74,005 crore for the corresponding period of last year ending March 31st 2023.

The Individual New Business Premium Income for FY24 is INR 57,716 crore and for FY23

it was INR 58,757 crore. Renewal Premium Income (Individual business) for FY24 is INR 2,46,052 crore as compared to INR 2,34,006 crore for FY23. Therefore, for the year ending March 31st 2024, our Total Individual Premium Income including renewals is INR 3,03,768 crore as compared to INR 2,92,763 crore for year ending March 31st 2023. As measured by Total Individual Business Premium, we have grown by 3.76% on Year-on-Year basis.

The Group Business total premium income for year ended March 31st 2024 is INR 1,71,302 crore comprising of New Business premium of INR 1,64,926 crore. In comparison for year ended March 31st 2023 last year, the Group Business total premium income was INR 1,81,242 crore and comprised of New Business premium of INR 1,73,258 crore. Therefore, for year ended March 31st 2024, the Total Group Premium has declined by 5.48% as compared to similar period of previous year. Hence our Total Premium Income for year ended March 31st 2024 has registered a marginal growth of 0.22%.

Our market share by First Year Premium Income is 58.87% (as per IRDAI) for the year ended March 31st 2024 as compared to 62.58% for the similar period ended March 31st 2023.

If we were to split this total market share of 58.87% in

to segment wise share of individual and
group business, we would have a market share of 38.44% in Individual business and 72.30% in the group business for the year ending March 31st 2024. On a comparable basis for year ended March 31st 2023, the respective market shares for Individual and Group business were 40.58% and 76.65%. Despite our market share falling both in Group and Individual business, we continue to retain the leadership position in both Individual and Group segments in the Indian Insurance industry. As you would recall that I had mentioned earlier that we will choose profitable growth rather than just market share. During the course of this Analyst call, we will share with you our progress on many aspects pertaining to profitable growth.

Seen on APE basis the break up of business is as follows:

Total Annualized Premium Equivalent (APE) for year ended March 31st 2024 is INR 56,970 crore which is comprised of Individual APE of INR 38,433 Crore and Group APE of INR 18,537 Crore. Therefore, on APE basis, the individual business accounts for 67.46% and Group business accounts for 32.54%. Further of the Individual APE, the Par business accounts for INR 31,392 Crore and Non Par share amounts to INR 7,041 Crore. As you can see our Par share of individual APE is 81.68% and Non Par share is 18.32% for FY24. You will recall that our Non Par share for year ended March 31st 2022 and March 31st 2023 on APE basis within the overall individual business was 7.12% and 8.89%, respectively. I am sure that you are noticing the more than doubling of the individual Non Par APE share from INR 3,436 crore to INR 7,041 crore and from 8.89% to 18.32% which has been the outcome of our intense focus on enhancing Non Par business. This has reinforced our strategy that we are on right track. Further, the welcome reception by our customers to our new Non Par products such as Jeevan Utsav has added strength and confidence to our belief that our strategy is on

right track.

Profit After Tax

The Profit After Tax (PAT) for the year ended March 31st 2024 was INR 40,676 crore as against INR 36,397 crore for the year ended March 31st 2023. The current year profit includes the transfer of an amount of INR 29,518.75 crore (Net of Tax), pertaining to the accretions on the Available Solvency Margin from Non Par to Shareholders account. The profit of FY24 is not comparable to the published profit figures of FY23 since FY23 had an additional quarter of profit for the period Jan 2022 to March 2022 aggregating to INR 4,542.31 crore.

VNB and VNB Margins

Value of New Business (VNB) is INR 9,583 crore for the year ended March 31st 2024 as compared to VNB of INR 9,156 crore for the year ended March 31st 2023. As you can see the VNB has registered an increase of 4.66% on year on year basis. Further, the net VNB margin for FY24 is 16.8% as compared to 16.2% for year ended March 31st 2023. Hence, the VNB margin has expanded by 60 basis points on a year on year basis.

Solvency Ratio

The Solvency Ratio as on March 31st 2024 improved to 1.98 as against 1.87 on March 31st 2023.

Indian Embedded Value (IEV)

The IEV of the Corporation has been determined as Rs. 7,27,344 crore as at March 31st 2024 as compared to Rs. 5,82,243 crore as at March 31st, 2023. Therefore the IEV has grown by 24.92% on a year on year basis.

Assets Under Management (AUM)

Assets under Management as on 31st March 2024 grew by 16.48% year on year to INR 51,21,887 crore as compared to INR 43,97,205 crore as on March 31st 2023.

Product Mix and New Product launches

Now I would like to inform about New Product launches. Continuing with our strategy of increasing the proportion of the Non par business, we launched six new Non par products during FY 2023-24 to cater to customer requirements, namely, LIC’s Jeevan Kiran, LIC’s Jeevan Utsav, LIC’s Jeevan Dha

ra - II, LIC's Dhan Vriddhi, LIC’s Index Plus and LIC’s
Amritbaal, respectively. In addition to the above, modified version of four plans ,namely,

LIC’s Cancer Cover, LIC's Dhan Vriddhi, LIC's Jeevan Akshay – VII and LIC’s New Jeevan Shanti were also introduced.

No. of Policies Sold

During the year ended March 31st 2024, we sold 2,03,92,973 new policies as compared to 2,04,28,937 policies in the year ended March 31st 2023 registering a marginal decline of 0.18% over the corresponding period of last year.

Agency Workforce

As on March 31st 2024, the total number of agents was 14,14,743 as compared to 13,47,325 agents as on March 31st 2023. We have a net addition of approximately 67,500 agents in the last one year. At this point I would also like to mention that we have started working on a project to transform our agency business to make it future ready and to be the best in class always.

On number of policies sold basis, the agency force sold 1,98,15,990 policies during the year ended March 31st 2024 as compared to 1,97,80,314 policies during the corresponding period of last year registering an increase of 0.18%. It can be seen that approximately 97% of our policies in FY24 were sold by our Agency force. Even on premium basis, approximately 96% of New Business Premium came from our Agency channel for FY24.

Contribution by Banca Channel

During the year ended March 31st 2024, Banca Channel collected new business premium aggregating INR 2,078 crore which was INR 2,020 crore for year ended March 31st 2023 registering a growth of 2.90% on a year-on-year basis. With this the share of Banca Channel by New Business premium has increased to 3.61% for year ended March 31st 2024 as compared to 3.44% for similar period last year. Further, the Banca Channel sold 3,32,082 policies for the year ended March 31st ,2024 as against 3,12,160 policies for the year ended March 31st ,2023 registering growth of 6.38% on year-on-year basis.

Our Overall Expense Ratio stands at 15.57% for the year ended March 31st 2024, as compared to 15.53% for the same period of last year. As you can see, the increase is a marginal 4 bps on year-on-year basis.

Persistency

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY24 stands at 77.66%, 71%, 65.47%, 66.31% and 60.88% respectively, as compared to 77.09%, 69.93%, 70.05%, 63.53% and 61.80% respectively for FY23.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY24 stands at 66.99%, 57.47%, 52.50%, 53.23% and 48.59% respectively, as compared to 64.28%, 56.97%, 56.90%, 51.05% and 49.86% respectively for FY23.

Hence, persistency has improved for 13th, 25th and 49th month, year on year, both on premium basis and number of policies basis.

Operational efficiency and Digital Progress

In our digital initiative through the Agent assisted ANANDA app, we have completed 11,58,805 policies through this App during the year ended March 31st 2024 as compared to 8,11,278 policies for the comparable period ending March 31st 2023 thereby registering a growth of 42.84% on year-on-year basis. It is a matter of extreme pride that we have comfortably crossed one million policies mark over ANANDA app. I would like to recall that during FY21-22 and FY22-23, we had sold 2.74 lacs and 8.11 lacs policies respectively through ANANDA app.

Claims

On the claims front, during FY24, we have processed 2,17,62,985 number of claims which includes 2,09,33,667 maturity claims. On an amount basis during FY24, the maturity claims were INR 2,08,136 crore and the death claims were INR 22,625 crores. On a comparable basis for FY23, the maturity claims were INR 1,85,044 crore and death claims were INR 23,423 crore. Therefore, the death claims are lower by 3

.41% and the maturity claims are higher by
12.48% on a year-on-year basis.

Before I close my opening remarks, I would like to share significant achievements during the year:-
1. Our Non Par APE share is now at 18.32% within the Individual business.
2. We have successfully launched a series of Non Par products this year which has been received well by our customers.
3. We are moving ahead steadily on our digital transformation project and I hope that before the end of this calendar year, our stakeholders start experiencing the changes in our digital transformation.
4. We are expanding our agency force and a good proportion of our agency force is accepting new technologies in a proactive manner. Completing more than one million policies via ANANDA is a clear indication of the same.

I would like to share that the Board has recommended a Final Dividend of Rs. 6/- per share in its meeting held on 27th May, 2024, subject to shareholders approval. This is in addition to Rs. 4/- per share interim dividend that was declared and paid earlier during the year.

Thank you, friends. Now, we are open to questions.
Moderator: Thank you very much. The first question is from the line of Mehak from Emkay. Please go ahead.
Avinash: Avinash here. Two broad questions. So, the first one will be more around expense. As we can see, I mean, past legacy, a lot of expenses and all. So, one, broadly, if I see in your EV walk, you have charged close to Rs. 14,000 crores on account of I believe one part is due to that additional 7,000 plus crores of excess EOM for FY '23, and if I am not wrong, close to 5.5 or 1,000 crores for increased pension liability due to the wage revision. So, is this excess EOM there will be more even for FY '24 or is that FY '24 is taken care?
And additionally, I mean, why did not you sort of like, and you have enough profitability. So, why to sort of spread it over three years? Why not just charge also in the P&L account at once and move ahead? Because, I mean, from solvency perspective or even from a medieval perspective, anyway, it may not make much difference. So, in terms of cost, if you can also tell that with this wage revision, will there be any other impact coming in future. Because one, I can see that the wage revision-led pension charges you have taken, but I mean at least in EV, but any other impact coming from this wage revision or anything else? That's one.
Second question will be broadly on the kind of regulatory development. So, one, I mean, we read in media some thought process of yours on health, if you can add something. And also some media report is coming that the regulatory thinking on this surrender regulation once again and there is also a talk of a kind of a removal of the upfront higher commission and moving more towards the mutual fund led kind of a trail commission model. What's your thought on that is that upfront commission removal going to happen, and if at all, how ready are you, and if that can work here?
Siddhartha Mohanty: So, thank you. I would just answer this health space and regulatory changes with regard to product regulation surrenders. So far as health is concerned, you see, we are already in health business. We are selling health insurance products though these are not indemnity products, fixed benefit products we are quite experienced.
But looking to the scenario, this composite license whether the act will be amended and composite license will come, so we have done some internal work ourselves to occupy some space in health insurance segment because we are not expert in this general business, general insurance business, but health will be a natural choice. And for that we are exploring some inorganic type of growth to acquire some stake or in some company so that will also cater to the need of the society in health insurance space, but that is at a very,

very preliminary stage.
So far as this regulation is concerned, we as insurance companies, we have placed before regulator our views. Discussion is going on. Some final outcome will come which will be in the best interest of customers as well as industry. So, that is going on still now. Nothing finalized

yet, but it will be in the best interest of the customers, keeping in mind the interest of the industry. That is at this stage.
K. R. Ashok: Good morning. I am K.R. Ashok. Regarding the point on analysis of movement on IEV and on the future charge on shareholder fund amounting to Rs.12,914 crores, yes, it comprises for both the years, '22-'23 and '23-'24, the excess of expenses over the allowable limits which IRDAI has allowed us to charge it to the shareholder fund, starting from '24-'25.
Avinash: So, on this, I mean, so, I see this recent wage revision-led pension hike is also part of this 12,900 and the second question follow-up on this is that why not just, I mean, P&L account charge at once because your solvency is perfectly fine, your profitability is high? So, why this permission to spread it out over three years?
Sunil Agrawal: See, the wage revision comprises of three components. One is the arrears, one is the gratuity revenue and cash flow, and third is the pension liability. So, the pension liability is futuristic in nature and the amortization over the next three years is purely pertaining to the pension liability which is futuristic in nature and based on the regulatory approvals, we are amortizing it over a period of three years starting from '24-'25 financial year.
Avinash: O.K. and in your employee cost for this quarter particularly, was there sort of a kind of a negative impact from bond yield movement on your pension liability? Because, I mean, in Q4, suddenly the employee expense has gone up. So, is there some sort of that revaluation of pension liabilities that you are also playing? If yes, then what's the quantum?

Dinesh Pant: No, it is not because of interest rate because this liability for the pension and the employee cost continues to be valued on a consistent basis. So, it is not just based on any quarterly thing.
Basically, it is on account of wage revision as has been explained earlier because actually LIC has been very prudent if you see in that context because this wage revision has come, circular notification has come in April, but because we considered the adjustable item, we have gone to the regulator, taken the approval.
And all the expenses which were actually, for example, for the existing employees and the wage revisions have been provided for as explained by CFO, the expenses which are pertaining to futuristic something like pension is provided for fully in the embedded value calculation to give reflection and this replenishment as to the IRDAI approval will happen over the next three years in a systematic manner for smooth experience.
Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: So, my first question was on the margin front. So, wanted to understand what has resulted in the margins on the PAR and the group business going down last year versus this year and over third quarter versus fourth quarter also there has been a margin decline. So, if you could explain that

what has resulted in this? Has the product benefits gone up? In which product has this gone up? And why did you have to revise the product benefits? If you could give us some clarity on that, that would be my first question.
The second question would be on the expense of management. I understand the first participant also asked questions around this. So, just wanted to understand on the expense of management, the excess expense is related to the ye

ar FY '23. Now in FY '24, you know, what has been the experience compared to the current year, the new year guidelines? And could there be another negative impact next year as well due to this? If you could give some clarity on that as well, that would be very helpful.
Sunil Agrawal: I will take the question on the expense of management. This is Sunil Agrawal. The expense of management, if you look at the note number 9 and note number 10, we have disclosed appropriately in the LODR the amount of 7,230 crores pertains to excess of expense under management for the year FY '22-'23. And note number 10 provides for excess of expense of management of 5,477 crore for '23-'24. And both these expenses will be amortized over a period of 3 years starting from '24-'25.
Now this experience has been come due to the wage revision aspect which happens once in 5 years. So, now for the next 5 years, there is not going to be any wage division. So, this is not likely to repeat in the future years as you were asking.
K.R. Ashok: As regards the margins, yes, the margins under PAR and group had fallen mainly because of the movement in the risk-free rates. And in the case of group, the benefit enhancement done in the annuities is the major cause of it.
Supratim Datta: So, if I understand correctly, so, on the group side, on the annuity business, you have enhanced the benefits. Is that correct?
K.R. Ashok: Yes.
Supratim Datta: Sir, given you have 70% market share already in this product, what is the need to enhance benefits here?
Dinesh Pant: See, there are two aspects in the group business as well as overall business. In group business, in fact, the annuity rates have been improved across for individual as well as group side. But you will see that in the group business, there was a lot of deficit in the earlier quarter which has been significantly made good by increase in volumes in the funded business during the last quarter in particular.
Now, typically, the funded business margins are lower as compared to other products. So, typically, if you see in fact during the last quarter, despite of overall APE growth of double-digit figures, the VNB by volume has been maintained.

So, it's a conscious strategy of the company to strike the balance between the growth trajectory and achieving the VNB numbers. So, VNB margins in that context will undergo, keep on changing and that's partly because of the benefit structure. As well as in the last quarter, there was a significant impact of the change in the risk-free rates. So, that is something which is not a controllable thing, and there is a significant difference. So, all of these combined together have impacted.
Supratim Datta: And if I could ask one last question. So, when I look at the channel mix, I understand you don't

provide it on the APE basis. If that is something that you could provide, that would be very helpful. But even on the NBP basis, if I look at the channel, the Banca business, despite being of a small base, it hasn't moved fairly significantly over Y-o-Y despite you adding new partners and focusing on growing that channel. So, if you could talk to us regarding what is your strategy going forward in this business, how are you planning to drive growth here, that would be very helpful. And currently, what proportion of your new business premium would be coming from IDBI? If you could disclose that, that would also be very helpful.

R. Doraiswamy: I am Doraiswamy here. The Bancassurance business of LIC has always been a smaller part of the overall strategy of the Corporation. We have been focusing on a very significant growth in terms of Bancassurance business and towards that, the tie-up with IDBI Bank is getting leveraged. They have contributed close to 900 crores of premium in the last year and we are expecting to have a really good contribution from them

in the current year as well.

Apart from that we are also in the process of entering into partnership with some more leading banks at the national level and at the regional players at the various state levels. That's also the activity for the current year. We expect a very decent growth in the Banca business, but without losing focus on our major strengths, which is the agency channel.

Supratim Datta: Now, again, the previous participant had also asked this, that there was a question on trail commission, because there was an article recently that talking about moving from a front-loaded commission to a trail commission. So, could you give us some clarity on how that would impact your agents, or how would you look at that as a regulatory change? If you could give us some color.

Dinesh Pant: Actually, it's a thing which has been in discussion for long, because even previous discussions also, there is concepts of trail commission, or accumulated commission being allowed in the regulation, have been a part of the discussion. Possibly there are pros and cons of every type of commission structure. Front-loaded commission structures historically have been there in case of insurance business, because it is largely a push-driven, it's difficult business, not very easy business.

But then, persistency becomes a challenge, and then with the new expectations around what should be the right exit value, one of the options is whether accumulated commissions are allowing distribution of commission in a fair manner commensurate to the persisted experience.

All these things are being examined, and regulator has already allowed liberal commission regulations, but then it has also got an impact.

So, all the discipline around this is being examined. As it comes about, industry will implement it. Industry within itself is also examining what is the best way of self-regulation, so that the win-win situation is arrived at in the context of the policyholders, as well as for the distributor, while ensuring that the shareholders' interest, or all stakeholders' interest, including profit margin. So, there is a fair, good discussion is happening between industry and the regulator, and that activity is going in that direction.

Moderator: Thank you. The next question is from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: I just wanted to know what is the commission in our Non-PAR products? And have we seen an increase in the commission rate over the last year? That is the first question.

And on the second question, the recent regulation states that the policies are now to be issued in an electronic manner. Are you looking for an e-insurance account? Or are you doing it in some different way? Because last year we have tied up with the post office to issue manual policies. So, how has that process changed out, is what I was looking for.

Siddhartha Mohanty: You see, for this Non-PAR product, as you are telling, commission varies. Commission depends upon term and other factors. So, it is not fixed. Depending upon term of premium payment, commission structure varies.

Secondly, IR, insurance repository, we are also working on that for this e-insurance account and electronic mode of policy issue. That is also being discussed now, but it will take some time. Already, some groundwork, we have already started at our level. We are fully ready.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sir, firstly, on the economic assumptions and changes in variances, what would be the share of equity and debt? And what assumption changes you would have done?

K.R. Ashok: See, the assumption changes actually we have been observing uptick can be a better experience in the mortality in case of group business and post COVID we thought that going forward this

experience has improved and that is the major assumption changes that has contributed to the increase in IEV of 4,800 crores shown in the analysis of movement.

And regarding the MTM, that is the economic assumption changes, there are three components
in that. One is the MTM, the second is the investment A by E, and the third one is the RFR,
which actually pushes down the IEV. The MTM is the major component in that investment
variance.

Prayesh Jain: What were the other two components apart from MTM you said?
K.R. Ashok: Sorry?
Prayesh Jain: Apart from MTM, what were the other two components?
K.R. Ashok: One is the investment A by E which is the actual investment over in the investment performance
over and above the estimate, and the third one is the movement in risk free rate which has moved
actually down compared to last year and it has impacted the IEV.
Prayesh Jain: Sir, secondly, if I look at a protection business, that saw a decline this year, and private players,
on the other hand, have been seeing a strong growth. How do you think this will play out now,
especially looking at the VNB margins, protection is the highest in VNB margin segment. So,
how do you expect this segment to grow and what are the strategies around this?
Dinesh Pant: See, if we look into the you know the term business in isolation in form of product only, you are
right, that there is a downward thing. But very interesting change has happened in the current
year. The take-up rate in the rider, which also come in the form of , you know, for the term side,
there is a significant actually jump there. so, if we include the rider premium for the current year
and last year, it's a Non-PAR protection would be around 201 APE would be there as compared
to 190 last year. So, almost 6% growth would be observed there.
So, this is a very interesting phenomenon which we have seen in this current year almost again
14-15 crores of riders, 75 crores of riders have been taken up. So, our job is to offer products
and the options to the customers. They will decide to pick up in which form whether they want
to take in base products or whether they want to take in forms of riders, of course, but the term
and pure protection continues to be one of the important focus areas for us. There has been a rate
revision in the previous year which did impact both the ticket size as well as the take-up. We are
working out on more variations of term products, and we expect them to deliver in this segment
in the current year.
Prayesh Jain: And if I look at your agency force and you have given that 35% of your agency force is 50 years
old and above. How much of these guys would account for your premium? And do you think
that there is a kind of transfer to the next generation possibility in this business? How do you see
this 35% of your agency force is 50 at the number, which is quite high? So, how do you see this?
R. Sudhakar: I am Sudhakar, ED, Marketing and CMO. See, in one way the agency force, which is above 50,
that is the segment which brings us our majority of the annuity products as well as the larger
ticket size products. Even if you look at the age of entry of the person, a person who is in the
middle age or even above, they bring securitizes and customers from their particular age group
which is likely to be more wealthy than, let us say, the age group of 18 to 25.

So, we take a balanced approach. When we recruit people, we recruit from all the segments. So,
the age of 50 plus, that is where the majority of our club members, who are the most professional
of the lot and whose productivity is very high is also situated. So, for us, the agency is a sort of
profession which they continue throughout their life, and we need that these people should be
with us even at a later age dur

ing which time they bring us the most valuable, I would say, ticket
sizes and the customers. So, it is a balanced approach we are taking.
R.Doraiswamy: We have agents who are second generation and third generation agents continuing with LIC
which has been a major source of strength for us. And in fact, these experienced agents really
add value in terms of cutting across generation and getting us enrolled into the business segment
as well.
Prayesh Jain: Is it fair to assume that these 35% would contribute more than 50% of the premium collection?
R. Sudhakar: 45%.
Siddhartha Mohanty: Almost 45%.
Prayesh Jain: How much?
R. Sudhakar: 45%.
Prayesh Jain: 45%. Okay, got that.
Siddhartha Mohanty: But new recruitment, out of all new recruit, every year we recruit more than large agents, you
will find more than 50% are below 35 age. Youngsters we are adding.
Prayesh Jain: Sir, my last question is, now LIC had a kind of an advantage in the Tier-2, Tier-3 towns given
its presence out there, but now private players are also kind of expanding in these geographies.

And so, do you see an increased competition? And do you think that there could be some pressure in terms of margins coming from the lower Tier-segments? And just one clarification. We move from 7.5% sharing in PAR to 10% next year, right?
Siddhartha Mohanty: No, 18.32%.
Dinesh Pant: It is already from 8.9, it has gone up to 18 plus.
Siddhartha Mohanty: Surplus distribution you are talking about.
Prayesh Jain: I am talking about distribution of profit, sharing of profit.
Siddhartha Mohanty: From this year onwards. From '24-'25, it will get increased.
Prayesh Jain: And just on the Tier-2 strategy, Tier-2, Tier-3 strategy.

Siddhartha Mohanty: You see Tier-2, Tier-3, already we are there, and we have further strengthened. As you are telling competition is going on, now our private players, they are also focusing on Tier-2, Tier-3. This year we have taken a target; we should represent every panchayat. Every panchayat in the country must have one LIC agent at least. So, that is the target for the current year and in that direction we have already started. And this year we have also taken one project, Agency Transformation Project for the current year. We call it Jeevan Samarth. So, that is just started. So, we expect in current year, we will be more strong in those areas, Tier-2, Tier-3 cities and also rural areas.
M. Jagannath: Just to supplement, Jagannath here, around August 2023, we have recruited around 6,000 Probationary Development Officers. They are all in action. Most of them are in Tier-2, Tier-3 branches and satellite offices. So, they are on a good mode as far as recruitment is concerned of agents.
Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.
Nischint Chawathe: I am looking at your PAR business net VNB margins, and despite the fact that your share in economics has gone up, the overall margin has gone down. So, how should one think of it?
K.R. Ashok: As far as PAR VNB margin is concerned, there are two factors. The predominant factor is the southward movement of various trades. And that had impacted not only PAR, it has impacted all lines.
Nischint Chawathe: And in the group business, you mentioned that you have increased payouts, right? Or basically increased the returns.
K.R. Ashok: Sorry, can you repeat?
Nischint Chawathe: In the group business, you mentioned that you have increased the IRR payouts, right?
K.R. Ashok: Yes, actually we have increased the annuity payouts.
Nischint Chawathe: So, we were just wondering, while there is an increase in Non-PAR business and I think that's playing out quite nicely, this is kind of taking out the benefit and that's where I think our margins are sort of inched up a little bit. So, goin

g forward, what kind of a margin expansion guidance you would want to give? Because on one side, we see that the Non-PAR share, I think as you articulated, is nicely going up. But then, somehow we have these kinds of distortions in the group business or maybe even in the par business.
K.R. Ashok: See, actually, we need to look at both the strategy, short-term strategy in garnering our new business and also how to outperform the margins. So, there has been constant review and constant movement on how we need to take the things forward and there is also, in terms of

group, there is also a high competitive pressure. So, we have to balance all these things. And if we look at the overall margin, the overall margin has moved up by 60 bps by sort of balancing and articulating on all the elements to be there.
Nischint Chawathe: And in the EV walk, we saw the unwinding rate going up, and I think you have fairly large world. Yes.
K.R. Ashok: As far as the unwinding rate is concerned, the major component that is coming is the equity backing ratios sitting on the ASM fund. See, what is happening is the ASM fund also contributes to the long-term outlook based on what is going to be our outlook on the industry and therefore, the unwind has slightly increased. Going forward, because this is a sort of market consistent basis, the entire valuation, so looking at how the market play out, we will be revisting that.
Nischint Chawathe: So, summarily, you are looking at a rally in the bond market in the near term.
K.R. Ashok: Sorry.
Nischint Chawathe: Rally in the bond market.
K.R. Ashok: What is the question?
Nischint Chawathe: Summarily, you are looking at a rally in the bond market.

Dinesh Pant: No, no. It is not only about bond market. See, what was being described is that there are certain components of embedded value which remain there, and they are significant and long-term, see, in Indian equity market, expectations in long term remain to be good. So, that being a component of our embedded value gives actually a long term and consistent stable strength to us.
Bond market has got different purposes. Bond market, in fact, the interest rate will go up. The market valuations may not go up because of that thing. So, it's a balance of the portfolio and this equity backing ratio allows us to give better results and create actually long-term value for the embedded value purpose also.
Nischint Chawathe: Just one final one is on the health insurance business. Some of the non-life insurance companies have a fairly good health insurance practice. So, would you kind of consider looking at a merger with any of the non-life companies as well or would you want to stick only to health?
Siddhartha Mohanty: No, no, there is no such proposal for merging with taking in non-life PSU companies, but we will definitely explore possibilities to have some stake in some standalone health insurance company, something like that. That also we are working on that. What will be the best interest of our customers as well as all the other stakeholders, that is being worked out now.
Moderator: Thank you. The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi: So, I should have three questions. The first one is on the product mix target for 2025. So, can you please help us reiterate what is the target mix for 2025? And second on the channel mix outlook as well. So, I do understand that the current share of Bancassurance is very less, but because that you are targeting a good growth in the segment, so what will be the channel mix target you have in your mind?
And also, just wondering that because of the slight changes or slight potential changes in the channel mix, do you think that some sort of mix change we can see in the pr

oducts as well? For
instance, a popular product in Bancassurance can be a unit product, so maybe a slight increase in that product as well.
And just lastly on the agency channel, can you please help highlight as in what potential challenges do you see in growing the agent headcount? And are we targeting any growth like additional growth, incremental, accelerated growth in the year 2025 in agency as well?
Siddhartha Mohanty: See both product as well as channel, last year already because of directional change, we have launched some products in Non Par segment, and we got desired result and share of Non-PAR APE 18.32%, it rose from 8.89%, more than double. So, current year, of course, those Non-PAR product focus will be there, but there are certain segments. We will have certain products catering to particular segment.
We are now planning suppose for Banca, we will have Banca specific product, that also we are focusing. And for marginalized people, product should be there to sell through CSC. So, that also we are working on that. So, product line this year, we will find different varieties of product to cater to various segments and focus, of course, will be on profitability and growth.
So far as channel is concerned, Banca channel already some deployment has been done and we want to grow at least 5-6% from present 3.61% share of Banca to total our business. So, that will grow at least 5%, 6%. That is our target for Banca.
Aditi Joshi: And just following up on the third question on the agency channels. So, what is the, any growth target for the agent headcount for this year? According to you, we might see some accelerated growth in the headcount this year or just maybe a growing.
Siddhartha Mohanty: Absolutely, agency channel, as I told earlier, it will be further strengthened. We want to enhance the capability of our agents. Their competency must also increase. We want to enable them through technology. Already they are using our ANANDA mobile app. We want to make them totally tech-enabled agents. So, that further growth is there, and their competency should also increase. They should compete in the market. And growth will also be expected from the agency channel. Definitely growth, because agency channel they comprise 96% of the business. So, there will be growth in the agency channel also.

M. Jagannath: Just to supplement further, the FY '23 agency recruitment, new agents recruited was 1,79,000. Last year, it was 2,71,000 new agents recruited, and so close to 1,00,000 added during FY '24 as new agents. Of course, there will be also attrition.
But going forward for FY '25 as well, the thrust on new agents recruitment is going to be there and our probationary development officers are yet to run around half of their probationary period in this. They will also be definitely coming into play with regard to fresh recruitment of agents from the market, more particularly from Tier-2, Tier-3, etc. So, therefore, I am confident that

there will be good agency growth, agency recruitment growth in the current year as well.
Moderator: Thank you. Ladies and gentlemen, the last question for today is from the line of Mohit Mangal from BOB Capital. Please go ahead.
Mohit Mangal: My only question is in terms of the protection. You said that you are working on more variants. So, can we expect more products in Financial Year ‘25 or you are working on the repricing, because I think that's one area I think you need to kind of catch up with that compared to the private players?
Siddhartha Mohanty: So, that is a continuous process. Looking to the need of the market, we design products from time to time, and this year also definitely there will be some products, unique products to cater to the needs of the market.
Mohit Mangal: So, will it be a pure term product or you are also thinking of return of premium products?

Siddhartha Mohanty: Various segments. It will be in various segments.
Dinesh Pant: We already have return of premium product which is gaining quite good popularity, and, “JEEVAN KIRAN”, we have got that product. And what we are trying to work out is more varieties of product, I would not like to discuss is something in the making, but all options will be given. And even, in fact, repricing, adding newer features into the existing products, all of that is we are open to it, and we are considering that.
Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand the conference over to Mr. Mohanty for closing comments.
Siddhartha Mohanty: So, thank you, friends. I am grateful to all of you on this call for your patient listening and for your quality questions. We hope that we have been able to answer all your queries to your satisfaction. As we have spent significant time and energy for realigning our PAR, Non-PAR with our channel mix in the last year, we are setting ourselves a new ambition for this year which is to enhance our dominance on market share basis. Thank you very much and have a good day.
Moderator: Thank you. On behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

R e f . N o . : L I C / S E / 2 0 2 4 - 2 5 / 3 6 Date: June 03, 2024

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai -400001
The Manager
Listing Department,
The National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
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Scrip Code:
543526 Scri
p Code: LICI

Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find enclosed herewith th e Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analyst /Investors held on May 28, 2024.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination.

Yours faithfully,

For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India Q4 FY '24
Earnings Conference Call"

May 28, 2024

MANAGEMENT : M R. SIDDHARTHA MOHANTY – CHAIRPERSON
MR. M. JAGANNATH – MANAGING DIRECTOR
MR. TABLESH PANDEY – MANAGING DIRECTOR
MR. SAT PAL BHANOO – MANAGING DIRECTOR
MR. R. DORAISWAMY -- MANAGING DIRECTOR
MR. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR , ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. K. R. ASHOK – EXECUTIVE DIRECTOR , ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
MR. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM
MR. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR , INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER
MR. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR , INVESTMENT -BACK OFFICE, INVESTMENT TEAM
MR. R. SUDHAKAR – EXECUTIVE DIRECTOR , MARKETING AND CHIEF MARKETING OFFICER

MR. HEMANT BUCH – EXECUTIVE DIRECTOR BANCASSURANCE
MS. MANJU BAGGA – EXECUTIVE DIRECTOR , GROUP BUSINESS
MS. VANDANA SINHA – EXECUTIVE DIRECTOR , CRM/C LAIMS/ANNUITIES
MS. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT / POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
MR. C. V. RAMANA, ADDITIONAL EXECUTIVE DIRECTOR (CRM/P OLICY SERVICING) – LIFE INSURANCE CORPORATION OF INDIA
MR. SANJAY BAJAJ – HEAD INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the LIC's FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
We have senior management of LIC led by Mr. Siddhartha Mohanty – Chairperson on this call.
I now hand the conference over to Mr. Siddhartha Mohanty, Chairperson, LIC. Thank you, and over to you, Mr. Mohanty.
Siddhartha Mohanty: Good morning, everyone. I am Siddhartha Mohanty, Chairperson LIC.
On behalf of the senior management team, I warmly welcome you all to the results and performance update call of Life Insurance Corporation of India for the year ended March 31st 2024. The results and a presentation can be accessed on our website and on websites of both the stock exchanges, BSE and NSE.
Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the finance team, Mr. Ratnakar Patnaik, Executive Director (Inv-Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes), Ms. Vandana Sinha, Executive Director (CRM/Claims/Annuities), Ms. Rachna Khare, Executive Director (CRM/Policy Servicing), Mr C V Ramana, Addl Executive Director (CRM/Policy Servicing) and Mr. Sanjay Bajaj, Head (Investor Relations).
I would like to thank all of you for sparing your valuable time to join this call today and listen to the LIC team.

Let me now mention the key business, operational and financial highlights for the financial year 2023 -24.

Premium Income:

For the year ended March 31st 2024 we have reported a Total Premium Income of INR 4,75,070 crore as compared to the total premium income of INR 4,74,005 crore for the corresponding period of last year ending March 31st 2023.

The Individual New Business Premium Income for FY24 is INR 57,716 crore and for FY23

it was INR 58,757 crore. Renewal Premium Income (Individual business) for FY24 is INR 2,46,052 crore as compared to INR 2,34,006 crore for FY23. Therefore, for the year ending March 31st 2024, our Total Individual Premium Income including renewals is INR 3,03,768 crore as compared to INR 2,92,763 crore for year ending March 31st 2023. As measured by Total Individual Business Premium, we have grown by 3.76% on Year-on-Year basis.

The Group Business total premium income for year ended March 31st 2024 is INR 1,71,302 crore comprising of New Business premium of INR 1,64,926 crore. In comparison for year ended March 31st 2023 last year, the Group Business total premium income was INR 1,81,242 crore and comprised of New Business premium of INR 1,73,258 crore. Therefore, for year ended March 31st 2024, the Total Group Premium has declined by 5.48% as compared to similar period of previous year. Hence our Total Premium Income for year ended March 31st

2024 has registered a marginal growth of 0.22%.

Our market share by First Year Premium Income is 58.87% (as per IRDAI) for the year ended March 31st 2024 as compared to 62.58% for the similar period ended March 31st 2023.

If we were to split this total market share of 58.87% in

to segment wise share of individual and group business, we would have a market share of 38.44% in Individual business and 72.30% in the group business for the year ending March 31st 2024. On a comparable basis for year ended March 31st 2023, the respective market shares for Individual and Group business were 40.58% and 76.65%. Despite our market share falling both in Group and Individual business, we continue to retain the leadership position in both Individual and Group segments in the Indian Insurance industry. As you would recall that I had mentioned earlier that we will choose profitable growth rather than just market share. During the course of this Analyst call, we will share with you our progress on many aspects pertaining to profitable growth.

Seen on APE basis the break up of business is as follows:

Total Annualized Premium Equivalent (APE) for year ended March 31st 2024 is INR 56,970 crore which is comprised of Individual APE of INR 38,433 Crore and Group APE of INR 18,537 Crore. Therefore, on APE basis, the individual business accounts for 67.46% and Group business accounts for 32.54%. Further of the Individual APE, the Par business accounts for INR 31,392 Crore and Non Par share amounts to INR 7,041 Crore. As you can see our Par share of individual APE is 81.68% and Non Par share is 18.32% for FY24. You will recall that our Non Par share for year ended March 31st 2022 and March 31st 2023 on APE basis within the overall individual business was 7.12% and 8.89%, respectively. I am sure that you are noticing the more than doubling of the individual Non Par APE share from INR 3,436 crore to INR 7,041 crore and from 8.89% to 18.32% which has been the outcome of our intense focus on enhancing Non Par business. This has reinforced our strategy that we are on right track. Further, the welcome reception by our customers to our new Non Par products such as Jeevan Utsav has added strength and confidence to our belief that our strategy is on

right track.

Profit After Tax

The Profit After Tax (PAT) for the year ended March 31st 2024 was INR 40,676 crore as against INR 36,397 crore for the year ended March 31st 2023. The current year profit includes the transfer of an amount of INR 29,518.75 crore (Net of Tax), pertaining to the accretions on the Available Solvency Margin from Non Par to Shareholders account. The profit of FY24 is not comparable to the published profit figures of FY23 since FY23 had an additional quarter of profit for the period Jan 2022 to March 2022 aggregating to INR 4,542.31 crore.

VNB and VNB Margins

Value of New Business (VNB) is INR 9,583 crore for the year ended March 31st 2024 as compared to VNB of INR 9,156 crore for the year ended March 31st 2023. As you can see the VNB has registered an increase of 4.66% on year on year basis. Further, the net VNB margin for FY24 is 16.8% as compared to 16.2% for year ended March 31st 2023. Hence, the VNB margin has expanded by 60 basis points on a year on year basis.

Solvency Ratio

The Solvency Ratio as on March 31st 2024 improved to 1.98 as against 1.87 on March 31st 2023.

Indian Embedded Value (IEV)

The IEV of the Corporation has been determined as Rs. 7,27,344 crore as at March 31st 2024 as compared to Rs. 5,82,243 crore as at March 31st, 2023. Therefore the IEV has grown by 24.92% on a year on year basis.

Assets Under Management (AUM)

Assets under Management as on 31st March 2024 grew by 16.48% year on year to INR 51,21,887 crore as compared to INR 43,97,205 crore as on March 31st 2023.

Product Mix and New Product launches

Now I would like to inform about New Product launches. Continuing with our strategy of increasing the proportion of the Non par business, we launched six new Non par products during FY 2023-24 to cater to customer requirements, namely, LIC's Jeevan Kiran, LIC's Jeevan Utsav, LIC's Jeevan Dha

ra - II, LIC's Dhan Vriddhi, LIC's Index Plus and LIC's Amritbaal, respectively. In addition to the above, modified version of four plans ,namely,

LIC's Cancer Cover, LIC's Dhan Vriddhi, LIC's Jeevan Akshay – VII and LIC's New Jeevan Shanti were also introduced.

No. of Policies Sold

During the year ended March 31st 2024, we sold 2,03,92,973 new policies as compared to 2,04,28,937 policies in the year ended March 31st 2023 registering a marginal decline of 0.18% over the corresponding period of last year.

Agency Workforce

As on March 31st 2024, the total number of agents was 14,14,743 as compared to 13,47,325 agents as on March 31st 2023. We have a net addition of approximately 67,500 agents in the last one year. At this point I would also like to mention that we have started working on a project to transform our agency business to make it future ready and to be the best in class always.

On number of policies sold basis, the agency force sold 1,98,15,990 policies during the year ended March 31st 2024 as compared to 1,97,80,314 policies during the corresponding period of last year registering an increase of 0.18%. It can be seen that approximately 97% of our policies in FY24 were sold by our Agency force. Even on premium basis, approximately 96% of New Business Premium came from our Agency channel for FY24.

Contribution by Banca Channel

During the year ended March 31st 2024, Banca Channel collected new business premium aggregating INR 2,078 crore which was INR 2,020 crore for year ended March 31st 2023 registering a growth of 2.90% on a year-on-year basis. With this the share of Banca Channel by New Business premium has increased to 3.61% for year ended March 31st 2024 as compared to 3.44% for similar period last year. Further, the Banca Channel sold 3,32,082 policies for the year ended March 31st ,2024 as against 3,12,160 policies for the year ended March 31st ,2023 registering growth of 6.38% on year-on-year basis.

Our Overall Expense Ratio stands at 15.57% for the year ended March 31st 2024, as compared to 15.53% for the same period of last year. As you can see, the increase is a marginal 4 bps on year-on-year basis.

Persistency

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY24 stands at 77.66%, 71%, 65.47%, 66.31% and 60.88% respectively, as compared to 77.09%, 69.93%, 70.05%, 63.53% and 61.80% respectively for FY23.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, for FY24 stands at 66.99%, 57.47%, 52.50%, 53.23% and 48.59% respectively, as compared to 64.28%, 56.97%, 56.90%, 51.05% and 49.86% respectively for FY23.

Hence, persistency has improved for 13th, 25th and 49th month, year on year, both on premium basis and number of policies basis.

Operational efficiency and Digital Progress

In our digital initiative through the Agent assisted ANANDA app, we have completed 11,58,805 policies through this App during the year ended March 31st 2024 as compared to 8,11,278 policies for the comparable period ending March 31st 2023 thereby registering a growth of 42.84% on year-on-year basis. It is a matter of extreme pride that we have comfortably crossed one million policies mark over ANANDA app. I would like to recall that during FY21-22 and FY22-23, we had sold 2.74 lacs and 8.11 lacs policies respectively through ANANDA app.

Claims

On the claims front, during FY24, we have processed 2,17,62,985 number of claims which includes 2,09,33,667 maturity claims. On an amount basis during FY24, the maturity claims were INR 2,08,136 crore and the death claims were INR 22,625 crores. On a comparable basis for FY23, the maturity claims were INR 1,85,044 crore and death claims were INR 23,423 crore. Therefore, the death claims are lower by 3

.41% and the maturity claims are higher by 12.48% on a year-on-year basis.

Before I close my opening remarks, I would like to share significant achievements during the year:-
1. Our Non Par APE share is now at 18.32% within the Individual business.
2. We have successfully launched a series of Non Par products this year which has been received well by our customers.
3. We are moving ahead steadily on our digital transformation project and I hope that before the end of this calendar year, our stakeholders start experiencing the changes in our digital transformation.
4. We are expanding our agency force and a good proportion of our agency force is accepting new technologies in a proactive manner. Completing more than one million policies via ANANDA is a clear indication of the same.

I would like to share that the Board has recommended a Final Dividend of Rs. 6/- per share in its meeting held on 27th May, 2024, subject to shareholders approval. This is in addition to Rs. 4/- per share interim dividend that was declared and paid earlier during the year.

Thank you, friends. Now, we are open to questions.

Moderator: Thank you very much. The first question is from the line of Mehak from Emkay. Please go ahead.

Avinash: Avinash here. Two broad questions. So, the first one will be more around expense. As we can see, I mean, past legacy, a lot of expenses and all. So, one, broadly, if I see in your EV walk, you have charged close to Rs. 14,000 crores on account of I believe one part is due to that additional 7,000 plus crores of excess EOM for FY '23, and if I am not wrong, close to 5.5 or 1,000 crores for increased pension liability due to the wage revision. So, is this excess EOM there will be more even for FY '24 or is that FY '24 is taken care?

And additionally, I mean, why did not you sort of like, and you have enough profitability. So, why to sort of spread it over three years? Why not just charge also in the P&L account at once and move ahead? Because, I mean, from solvency perspective or even from a medieval perspective, anyway, it may not make much difference. So, in terms of cost, if you can also tell that with this wage revision, will there be any other impact coming in future. Because one, I can see that the wage revision-led pension charges you have taken, but I mean at least in EV, but any other impact coming from this wage revision or anything else? That's one.

Second question will be broadly on the kind of regulatory development. So, one, I mean, we read in media some thought process of yours on health, if you can add something. And also some media report is coming that the regulatory thinking on this surrender regulation once again and there is also a talk of a kind of a removal of the upfront higher commission and moving more towards the mutual fund led kind of a trail commission model. What's your thought on that is that upfront commission removal going to happen, and if at all, how ready are you, and if that can work here?

Siddhartha Mohanty: So, thank you. I would just answer this health space and regulatory changes with regard to

product regulation surrenders. So far as health is concerned, you see, we are already in health business. We are selling health insurance products though these are not indemnity products, fixed benefit products we are quite experienced.
But looking to the scenario, this composite license whether the act will be amended and composite license will come, so we have done some internal work ourselves to occupy some space in health insurance segment because we are not expert in this general business, general insurance business, but health will be a natural choice. And for that we are exploring some inorganic type of growth to acquire some stake or in some company so that will also cater to the need of the society in health insurance space, but that is at a very,

very preliminary stage.
So far as this regulation is concerned, we as insurance companies, we have placed before regulator our views. Discussion is going on. Some final outcome will come which will be in the best interest of customers as well as industry. So, that is going on still now. Nothing finalized

yet, but it will be in the best interest of the customers, keeping in mind the interest of the industry. That is at this stage.
K. R. Ashok: Good morning. I am K.R. Ashok. Regarding the point on analysis of movement on IEV and on the future charge on shareholder fund amounting to Rs.12,914 crores, yes, it comprises for both the years, '22-'23 and '23-'24, the excess of expenses over the allowable limits which IRDAI has allowed us to charge it to the shareholder fund, starting from '24-'25.
Avinash: So, on this, I mean, so, I see this recent wage revision-led pension hike is also part of this 12,900 and the second question follow-up on this is that why not just, I mean, P&L account charge at once because your solvency is perfectly fine, your profitability is high? So, why this permission to spread it out over three years?
Sunil Agrawal: See, the wage revision comprises of three components. One is the arrears, one is the gratuity revenue and cash flow, and third is the pension liability. So, the pension liability is futuristic in nature and the amortization over the next three years is purely pertaining to the pension liability which is futuristic in nature and based on the regulatory approvals, we are amortizing it over a period of three years starting from '24-'25 financial year.
Avinash: O.K. and in your employee cost for this quarter particularly, was there sort of a kind of a negative impact from bond yield movement on your pension liability? Because, I mean, in Q4, suddenly the employee expense has gone up. So, is there some sort of that revaluation of pension liabilities that you are also playing? If yes, then what's the quantum?
Dinesh Pant: No, it is not because of interest rate because this liability for the pension and the employee cost continues to be valued on a consistent basis. So, it is not just based on any quarterly thing.
Basically, it is on account of wage revision as has been explained earlier because actually LIC has been very prudent if you see in that context because this wage revision has come, circular notification has come in April, but because we considered the adjustable item, we have gone to the regulator, taken the approval.
And all the expenses which were actually, for example, for the existing employees and the wage revisions have been provided for as explained by CFO, the expenses which are pertaining to futuristic something like pension is provided for fully in the embedded value calculation to give reflection and this replenishment as to the IRDAI approval will happen over the next three years in a systematic manner for smooth experience.
Moderator: Thank you. The next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.
Supratim Datta: So, my first question was on the margin front. So, wanted to understand what has resulted in the margins on the PAR and the group business going down last year versus this year and over third quarter versus fourth quarter also there has been a margin decline. So, if you could explain that

what has resulted in this? Has the product benefits gone up? In which product has this gone up? And why did you have to revise the product benefits? If you could give us some clarity on that, that would be my first question.
The second question would be on the expense of management. I understand the first participant also asked questions around this. So, just wanted to understand on the expense of management, the excess expense is related to the ye

ar FY '23. Now in FY '24, you know, what has been the
experience compared to the current year, the new year guidelines? And could there be another negative impact next year as well due to this? If you could give some clarity on that as well, that

would be very helpful.
Sunil Agrawal: I will take the question on the expense of management. This is Sunil Agrawal. The expense of management, if you look at the note number 9 and note number 10, we have disclosed appropriately in the LODR the amount of 7,230 crores pertains to excess of expense under management for the year FY '22-'23. And note number 10 provides for excess of expense of management of 5,477 crore for '23-'24. And both these expenses will be amortized over a period of 3 years starting from '24-'25.
Now this experience has been come due to the wage revision aspect which happens once in 5 years. So, now for the next 5 years, there is not going to be any wage division. So, this is not likely to repeat in the future years as you were asking.
K.R. Ashok: As regards the margins, yes, the margins under PAR and group had fallen mainly because of the movement in the risk-free rates. And in the case of group, the benefit enhancement done in the annuities is the major cause of it.
Supratim Datta: So, if I understand correctly, so, on the group side, on the annuity business, you have enhanced the benefits. Is that correct?
K.R. Ashok: Yes.
Supratim Datta: Sir, given you have 70% market share already in this product, what is the need to enhance benefits here?
Dinesh Pant: See, there are two aspects in the group business as well as overall business. In group business, in fact, the annuity rates have been improved across for individual as well as group side. But you will see that in the group business, there was a lot of deficit in the earlier quarter which has been significantly made good by increase in volumes in the funded business during the last quarter in particular.
Now, typically, the funded business margins are lower as compared to other products. So, typically, if you see in fact during the last quarter, despite of overall APE growth of double-digit figures, the VNB by volume has been maintained.

So, it's a conscious strategy of the company to strike the balance between the growth trajectory and achieving the VNB numbers. So, VNB margins in that context will undergo, keep on changing and that's partly because of the benefit structure. As well as in the last quarter, there was a significant impact of the change in the risk-free rates. So, that is something which is not a controllable thing, and there is a significant difference. So, all of these combined together have impacted.
Supratim Datta: And if I could ask one last question. So, when I look at the channel mix, I understand you don't provide it on the APE basis. If that is something that you could provide, that would be very helpful. But even on the NBP basis, if I look at the channel, the Banca business, despite being of a small base, it hasn't moved fairly significantly over Y-o-Y despite you adding new partners and focusing on growing that channel. So, if you could talk to us regarding what is your strategy going forward in this business, how are you planning to drive growth here, that would be very helpful. And currently, what proportion of your new business premium would be coming from IDBI? If you could disclose that, that would also be very helpful.
R. Doraiswamy: I am Doraiswamy here. The Bancassurance business of LIC has always been a smaller part of the overall strategy of the Corporation. We have been focusing on a very significant growth in terms of Bancassurance business and towards that, the tie-up with IDBI Bank is getting leveraged. They have contributed close to 900 crores of premium in the last year and we are expecting to have a really good contribution from them

in the current year as well.
Apart from that we are also in the process of entering into partnership with some more leading banks at the national level and at the regional players at the various state levels. That's also the activity for the current year. We expect a very decent growth in the Banca business, but without losing focus on our major strengths, which is the agency channel.
Supratim Datta: Now, again, the previous participant had also asked this, that there was a question on trail commission, because there was an article recently that talking about moving from a front-loaded commission to a trail commission. So, could you give us some clarity on how that would impact your agents, or how would you look at that as a regulatory change? If you could give us some color.
Dinesh Pant: Actually, it's a thing which has been in discussion for long, because even previous discussions also, there is concepts of trail commission, or accumulated commission being allowed in the regulation, have been a part of the discussion. Possibly there are pros and cons of every type of commission structure. Front-loaded commission structures historically have been there in case of insurance business, because it is largely a push-driven, it's difficult business, not very easy business.
But then, persistency becomes a challenge, and then with the new expectations around what

should be the right exit value, one of the options is whether accumulated commissions are allowing distribution of commission in a fair manner commensurate to the persisted experience.

All these things are being examined, and regulator has already allowed liberal commission regulations, but then it has also got an impact.
So, all the discipline around this is being examined. As it comes about, industry will implement it. Industry within itself is also examining what is the best way of self-regulation, so that the win-win situation is arrived at in the context of the policyholders, as well as for the distributor, while ensuring that the shareholders' interest, or all stakeholders' interest, including profit margin. So, there is a fair, good discussion is happening between industry and the regulator, and that activity is going in that direction.
Moderator: Thank you. The next question is from the line of Uday Pai from Investec. Please go ahead.
Uday Pai: I just wanted to know what is the commission in our Non-PAR products? And have we seen an increase in the commission rate over the last year? That is the first question.
And on the second question, the recent regulation states that the policies are now to be issued in an electronic manner. Are you looking for an e-insurance account? Or are you doing it in some different way? Because last year we have tied up with the post office to issue manual policies.
So, how has that process changed out, is what I was looking for.
Siddhartha Mohanty: You see, for this Non-PAR product, as you are telling, commission varies. Commission depends upon term and other factors. So, it is not fixed. Depending upon term of premium payment, commission structure varies.
Secondly, IR, insurance repository, we are also working on that for this e-insurance account and electronic mode of policy issue. That is also being discussed now, but it will take some time.
Already, some groundwork, we have already started at our level. We are fully ready.
Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.
Prayesh Jain: Sir, firstly, on the economic assumptions and changes in variances, what would be the share of equity and debt? And what assumption changes you would have done?
K.R. Ashok: See, the assumption changes actually we have been observing uptick can be a better experience in the mortality in case of group business and post COVID we thought that going forward this

experience has improved and that is the major assumption changes that has contributed to the increase in IEV of 4,800 crores shown in the analysis of movement.
And regarding the MTM, that is the economic assumption changes, there are three components in that. One is the MTM, the second is the investment A by E, and the third one is the RFR, which actually pushes down the IEV. The MTM is the major component in that investment variance.

Prayesh Jain: What were the other two components apart from MTM you said?
K.R. Ashok: Sorry?
Prayesh Jain: Apart from MTM, what were the other two components?
K.R. Ashok: One is the investment A by E which is the actual investment over in the investment performance over and above the estimate, and the third one is the movement in risk free rate which has moved actually down compared to last year and it has impacted the IEV.
Prayesh Jain: Sir, secondly, if I look at a protection business, that saw a decline this year, and private players, on the other hand, have been seeing a strong growth. How do you think this will play out now, especially looking at the VNB margins, protection is the highest in VNB margin segment. So, how do you expect this segment to grow and what are the strategies around this?
Dinesh Pant: See, if we look into the you know the term business in isolation in form of product only, you are right, that there is a downward thing. But very interesting change has happened in the current year. The take-up rate in the rider, which also come in the form of , you know, for the term side, there is a significant actually jump there. so, if we include the rider premium for the current year and last year, it's a Non-PAR protection would be around 201 APE would be there as compared to 190 last year. So, almost 6% growth would be observed there.
So, this is a very interesting phenomenon which we have seen in this current year almost again 14-15 crores of riders, 75 crores of riders have been taken up. So, our job is to offer products and the options to the customers. They will decide to pick up in which form whether they want to take in base products or whether they want to take in forms of riders, of course, but the term and pure protection continues to be one of the important focus areas for us. There has been a rate revision in the previous year which did impact both the ticket size as well as the take-up. We are

working out on more variations of term products, and we expect them to deliver in this segment in the current year.

Prayesh Jain: And if I look at your agency force and you have given that 35% of your agency force is 50 years old and above. How much of these guys would account for your premium? And do you think that there is a kind of transfer to the next generation possibility in this business? How do you see this 35% of your agency force is 50 at the number, which is quite high? So, how do you see this?

R. Sudhakar: I am Sudhakar, ED, Marketing and CMO. See, in one way the agency force, which is above 50, that is the segment which brings us our majority of the annuity products as well as the larger ticket size products. Even if you look at the age of entry of the person, a person who is in the middle age or even above, they bring securitizes and customers from their particular age group which is likely to be more wealthy than, let us say, the age group of 18 to 25.

So, we take a balanced approach. When we recruit people, we recruit from all the segments. So, the age of 50 plus, that is where the majority of our club members, who are the most professional of the lot and whose productivity is very high is also situated. So, for us, the agency is a sort of profession which they continue throughout their life, and we need that these people should be with us even at a later age dur

ing which time they bring us the most valuable, I would say, ticket sizes and the customers. So, it is a balanced approach we are taking.

R.Doraiswamy: We have agents who are second generation and third generation agents continuing with LIC which has been a major source of strength for us. And in fact, these experienced agents really add value in terms of cutting across generation and getting us enrolled into the business segment as well.

Prayesh Jain: Is it fair to assume that these 35% would contribute more than 50% of the premium collection?

R. Sudhakar: 45%.

Siddhartha Mohanty: Almost 45%.

Prayesh Jain: How much?

R. Sudhakar: 45%.

Prayesh Jain: 45%. Okay, got that.

Siddhartha Mohanty: But new recruitment, out of all new recruit, every year we recruit more than large agents, you will find more than 50% are below 35 age. Youngsters we are adding.

Prayesh Jain: Sir, my last question is, now LIC had a kind of an advantage in the Tier-2, Tier-3 towns given its presence out there, but now private players are also kind of expanding in these geographies. And so, do you see an increased competition? And do you think that there could be some pressure in terms of margins coming from the lower Tier-segments? And just one clarification. We move from 7.5% sharing in PAR to 10% next year, right?

Siddhartha Mohanty: No, 18.32%.

Dinesh Pant: It is already from 8.9, it has gone up to 18 plus.

Siddhartha Mohanty: Surplus distribution you are talking about.

Prayesh Jain: I am talking about distribution of profit, sharing of profit.

Siddhartha Mohanty: From this year onwards. From '24-'25, it will get increased.

Prayesh Jain: And just on the Tier-2 strategy, Tier-2, Tier-3 strategy.

Siddhartha Mohanty: You see Tier-2, Tier-3, already we are there, and we have further strengthened. As you are telling competition is going on, now our private players, they are also focusing on Tier-2, Tier-3. This year we have taken a target; we should represent every panchayat. Every panchayat in the country must have one LIC agent at least. So, that is the target for the current year and in that direction we have already started. And this year we have also taken one project, Agency Transformation Project for the current year. We call it Jeevan Samarth. So, that is just started. So, we expect in current year, we will be more strong in those areas, Tier-2, Tier-3 cities and also rural areas.

M. Jagannath: Just to supplement, Jagannath here, around August 2023, we have recruited around 6,000 Probationary Development Officers. They are all in action. Most of them are in Tier-2, Tier-3 branches and satellite offices. So, they are on a good mode as far as recruitment is concerned of agents.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: I am looking at your PAR business net VNB margins, and despite the fact that your share in economics has gone up, the overall margin has gone down. So, how should one think of it?

K.R. Ashok: As far as PAR VNB margin is concerned, there are two factors. The predominant factor is the

southward movement of various trades. And that had impacted not only PAR, it has impacted all lines.
Nischint Chawathe: And in the group business, you mentioned that you have increased payouts, right? Or basically increased the returns.
K.R. Ashok: Sorry, can you repeat?
Nischint Chawathe: In the group business, you mentioned that you have increased the IRR payouts, right?
K.R. Ashok: Yes, actually we have increased the annuity payouts.
Nischint Chawathe: So, we were just wondering, while there is an increase in Non-PAR business and I think that's playing out quite nicely, this is kind of taking out the benefit and that's where I think our margins are sort of inched up a little bit. So, goin

g forward, what kind of a margin expansion guidance you would want to give? Because on one side, we see that the Non-PAR share, I think as you articulated, is nicely going up. But then, somehow we have these kinds of distortions in the group business or maybe even in the par business.
K.R. Ashok: See, actually, we need to look at both the strategy, short-term strategy in garnering our new business and also how to outperform the margins. So, there has been constant review and constant movement on how we need to take the things forward and there is also, in terms of

group, there is also a high competitive pressure. So, we have to balance all these things. And if we look at the overall margin, the overall margin has moved up by 60 bps by sort of balancing and articulating on all the elements to be there.
Nischint Chawathe: And in the EV walk, we saw the unwinding rate going up, and I think you have fairly large world. Yes.
K.R. Ashok: As far as the unwinding rate is concerned, the major component that is coming is the equity backing ratios sitting on the ASM fund. See, what is happening is the ASM fund also contributes to the long-term outlook based on what is going to be our outlook on the industry and therefore, the unwind has slightly increased. Going forward, because this is a sort of market consistent basis, the entire valuation, so looking at how the market play out, we will be revisting that.
Nischint Chawathe: So, summarily, you are looking at a rally in the bond market in the near term.
K.R. Ashok: Sorry.
Nischint Chawathe: Rally in the bond market.
K.R. Ashok: What is the question?
Nischint Chawathe: Summarily, you are looking at a rally in the bond market.
Dinesh Pant: No, no. It is not only about bond market. See, what was being described is that there are certain components of embedded value which remain there, and they are significant and long-term, see, in Indian equity market, expectations in long term remain to be good. So, that being a component of our embedded value gives actually a long term and consistent stable strength to us.
Bond market has got different purposes. Bond market, in fact, the interest rate will go up. The market valuations may not go up because of that thing. So, it's a balance of the portfolio and this equity backing ratio allows us to give better results and create actually long-term value for the embedded value purpose also.
Nischint Chawathe: Just one final one is on the health insurance business. Some of the non-life insurance companies have a fairly good health insurance practice. So, would you kind of consider looking at a merger with any of the non-life companies as well or would you want to stick only to health?
Siddhartha Mohanty: No, no, there is no such proposal for merging with taking in non-life PSU companies, but we will definitely explore possibilities to have some stake in some standalone health insurance company, something like that. That also we are working on that. What will be the best interest of our customers as well as all the other stakeholders, that is being worked out now.
Moderator: Thank you. The next question is from the line of Aditi Joshi from J.P. Morgan. Please go ahead.

Aditi Joshi: So, I should have three questions. The first one is on the product mix target for 2025. So, can you please help us reiterate what is the target mix for 2025? And second on the channel mix outlook as well. So, I do understand that the current share of Bancassurance is very less, but because that you are targeting a good growth in the segment, so what will be the channel mix target you have in your mind?
And also, just wondering that because of the slight changes or slight potential changes in the channel mix, do you think that some sort of mix change we can see in the pr

oducts as well? For instance, a popular product in Bancassurance can be a unit product, so maybe a slight increase in that product as well.

And just lastly on the agency channel, can you please help highlight as in what potential challenges do you see in growing the agent headcount? And are we targeting any growth like additional growth, incremental, accelerated growth in the year 2025 in agency as well?

Siddhartha Mohanty: See both product as well as channel, last year already because of directional change, we have launched some products in Non Par segment, and we got desired result and share of Non-PAR APE 18.32%, it rose from 8.89%, more than double. So, current year, of course, those Non-PAR product focus will be there, but there are certain segments. We will have certain products catering to particular segment.

We are now planning suppose for Banca, we will have Banca specific product, that also we are focusing. And for marginalized people, product should be there to sell through CSC. So, that also we are working on that. So, product line this year, we will find different varieties of product to cater to various segments and focus, of course, will be on profitability and growth.

So far as channel is concerned, Banca channel already some deployment has been done and we want to grow at least 5-6% from present 3.61% share of Banca to total our business. So, that will grow at least 5%, 6%. That is our target for Banca.

Aditi Joshi: And just following up on the third question on the agency channels. So, what is the, any growth target for the agent headcount for this year? According to you, we might see some accelerated growth in the headcount this year or just maybe a growing.

Siddhartha Mohanty: Absolutely, agency channel, as I told earlier, it will be further strengthened. We want to enhance the capability of our agents. Their competency must also increase. We want to enable them through technology. Already they are using our ANANDA mobile app. We want to make them totally tech-enabled agents. So, that further growth is there, and their competency should also increase. They should compete in the market. And growth will also be expected from the agency channel. Definitely growth, because agency channel they comprise 96% of the business. So, there will be growth in the agency channel also.

M. Jagannath: Just to supplement further, the FY '23 agency recruitment, new agents recruited was 1,79,000. Last year, it was 2,71,000 new agents recruited, and so close to 1,00,000 added during FY '24 as new agents. Of course, there will be also attrition.

But going forward for FY '25 as well, the thrust on new agents recruitment is going to be there and our probationary development officers are yet to run around half of their probationary period in this. They will also be definitely coming into play with regard to fresh recruitment of agents from the market, more particularly from Tier-2, Tier-3, etc. So, therefore, I am confident that there will be good agency growth, agency recruitment growth in the current year as well.

Moderator: Thank you. Ladies and gentlemen, the last question for today is from the line of Mohit Mangal from BOB Capital. Please go ahead.

Mohit Mangal: My only question is in terms of the protection. You said that you are working on more variants. So, can we expect more products in Financial Year ‘25 or you are working on the repricing, because I think that's one area I think you need to kind of catch up with that compared to the private players?

Siddhartha Mohanty: So, that is a continuous process. Looking to the need of the market, we design products from time to time, and this year also definitely there will be some products, unique products to cater to the needs of the market.

Mohit Mangal: So, will it be a pure term product or you are also thinking of return of premium products?

Siddhartha Mohanty: Various segments. It will be in various segments.

Dinesh Pant: We already have return of premium product which is gaining quite good popularity, and, “JEEVAN KIRAN”, we have got that product. And what we are trying to work out is more varieties of product, I would not like to discuss is something in the making, but all options will be given. And even, in fact, repricing, adding newer features into the existing products, all of that is we are open to it, and we are considering that.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of the question-and-answer session. I would now like to hand the conference over to Mr. Mohanty for closing comments.

Siddhartha Mohanty: So, thank you, friends. I am grateful to all of you on this call for your patient listening and for your quality questions. We hope that we have been able to answer all your queries to your satisfaction. As we have spent significant time and energy for realigning our PAR, Non-PAR with our channel mix in the last year, we are setting ourselves a new ambition for this year which is to enhance our dominance on market share basis. Thank you very much and have a good day.

Moderator: Thank you. On behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Sep 2024

R e f . N o . : L I C / S E / 2 0 2 4 - 2 5 / 7 9 Date: August 19, 2024

To
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p Code: LICI

Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India (“the Corporation”) with Analyst/Investors held on August 09, 2024.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination.

Yours faithfully,

For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

“Life Insurance Corporation of India
Q1 FY’25 Earnings Conference Call”
August 09, 2024

MANAGEMENT : M R. SIDDHARTHA MOHANTY – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – LIFE INSURANCE
CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE
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M R. R. DORAISWAMY -- MANAGING DIRECTOR – LIFE
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M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE
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CORPORATION OF INDIA
M R. R. SUDHAKAR – EXECUTIVE DIRECTOR , MARKETING

AND CHIEF MARKETING OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH -- EXECUTIVE DIRECTOR BANCASSURANCE – LIFE INSURANCE CORPORATION OF INDIA

M S. MANJU BAGGA – EXECUTIVE DIRECTOR , PENSION & GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M S. RACHNA KHARE – EXECUTIVE DIRECTOR – CUSTOMER RELATIONSHIP MANAGEMENT , POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M R. C V RAMANA – ADDITIONAL EXECUTIVE DIRECTOR -- CUSTOMER RELATIONSHIP MANAGEMENT , POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA
M R. SHATMANYU SHRIVASTAVA – CHIEF FINANCE AND ACCOUNTS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day and welcome to the LIC's Q1 FY ' 25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressi ng star then zero on your touch-tone phone Please note that this conference is being recorded.
I now hand the conference over to Mr. Siddhartha Mohanty, CEO and MD, LIC. Thank you and over to you, sir.
Siddhartha Mohanty: Good morning, everyone. I am Siddhartha Mohanty, Chief Executi ve Officer & Managing Director (CEO & MD), LIC.

On behalf of the senior management team, I warmly welcome you a ll to the results and performance update call of Life Insurance Corporation of India for first quarter ended June 30th, 2024. The results and a presentation can be accessed on our w ebsite and on websites of both the stock exchanges, BSE and NSE.

Along with me on this call, I have Managing Directors, Mr R Dor aiswamy and Mr. Sat Pal Bhanoo. Senior officials of the Corporation present on this cal l are Mr. Dinesh Pant, Appointed Actuary & Executive Director and Mr K. R. Ashok, Exec utive Director from the Actuarial team, Mr. R. Sudhakar, Executive Director (Marketing & CMO) and Mr Hemant Buch, Executive Director (MBAC) from our Marketing team, Mr. Ra tnakar Patnaik, Executive Director (Investment - Front office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, M rs. Manju Bagga, Executive Director (Pension & Group Schemes), Mrs. Rachna Khare, Executiv e Director (CRM/Policy Servicing), Shri C. V. Ramana, Addl. Executive Director (CRM/Po licy Servicing), Mr. Sanjay Bajaj, Head (Investor Relations) and Mr. Shatmanyu Shrivastava, Chief (Finance & Accounts).

I would like to thank all of you for sparing your valuable time to join this call today and listen to the LIC team.

Let me now mention the key business, operational and financial highlights for the quarter ended June 30th, 2024.

Premium Income

For the quarter ended June 30th, 2024 we have reported a Total Premium Income of INR 1,13,770 crore as compared to total premium income of INR 98,36 3 crore for the quarter ending June 30th, 2023 registering a growth of 15.66% on Year on Year basis.

The Individual New Business Premium Income for quarter ended Ju ne 30th 2024 is INR 11,892 crore and for the corresponding quarter of last year, it was IN R 10,462 crore. It can be seen that we have grown by 13.67% in Individual New Business Premium Income on Year on Year basis. Renewal Premium Income (Individual business) for quarter ended June 30th 2024 is INR

55,300 crore as compared to INR 52,311 crore for quarter ended June 30th, 2023. Therefore, for the quarter ended June 30th, 2024, our Total Individual Premium Income including renewals is INR 67,192 crore as compared to INR 62,773 crore fo r quarter ended June 30th, 2023.

The Group Business total premium income for quarter ended June 30th, 2024 is INR 46,578 crore comprising of New Business premium of INR 45,570 crore. I n comparison for quarter ended June 30th, 2023 last year, the Group Business total premium income was I NR 35,590 crore and comprised of New Business premium of INR 34,398 crore . Therefore, for quarter ended June 30th, 2024, the Total Group Premium has increased by 30.87% as comp ared to similar period of previous year.

Our market share by First Year Premium Income is 64.02% (as per IRDAI) for the quarter ended June 30th, 2024 as compared to 61.42% for the similar period ended June 30th, 2024*. If we were to split this total market share of 64.02% into segm ent wise share of individual and group business, we would have a market share of 39.27% in Indiv idual business and 76.59% in the group business for the quarter ended June 30th, 2024. On a comparable basis for the quarter ended June 30th, 2023, the respective market shares for Individual and Group b usiness were 40.84% and 72.50%. At this stage, I would like to mention that for full year ended March 31st, 2024 our overall market share was 58.87%. Therefore, you can appreciate that we are making rapid strides in regaining market share now.

Seen on APE basis the break up of business is as follows:

Total Annualized Premium Equival ent (APE) for quarter ended Jun e 30th 2024 is INR 11,560 crore which is comprised of Individual APE of INR 6,747 Crore and Group APE of INR 4,813 Crore. Therefore, on APE basis, the individual busine ss accounts for 58.37% and Group business accounts for 41.63%. Further of the Individual A PE, the Par business accounts for INR 5,132 Crore and Non Par amounts to INR 1,615 Crore. As you can see our Non par share of individual APE is 23.94% and Par is 76.06% for quarter ended June 30th 2024. You will remember that our Non Par share for quarter ended June 30th 2023 on APE basis within the overall individual business was 10.22%. Thus, our individual Non Par APE share has increased from INR 608 crore to INR 1,615 crore a nd from 10.22% to 23.94% as a result of our intense focus on Non Par business. Th ere is a growth of 165.63% in individual Non Par APE on Year on Year basis implyin g that the momentum we built on Non Par products is continuing.

Profit After Tax

The Profit after Tax (PAT) for the quarter ended June 30th 2024 was INR 10,461 crore as compared to INR 9,544 crore for the quarter ended June 30th 2023, an increase of 9.61%.

* Erratum: to be read as “2023”

VNB and VNB Margins

Net VNB is INR 1,610 crore for the quarter ended June 30th 2024 as compared to INR 1,302 crore for the quarter ended June 30th 2023. It can be seen that the VNB has registered an increase of 23.66% on Year on Year basis. Further, the net VNB margin for the quarter ended June 30th 2024 is 13.9% as compared to 13.7% for the quarter ended June 30th 2023 showing improvement by 20 basis points on a Year on Year basis.

Solvency Ratio

The Solvency Ratio as on June 30th, 2024 improved to 1.99 as against 1.89 on June 30th, 2023.

Assets Under Management (AUM)

Assets Under Management (AUM) as on June 30th 2024 was INR 53,58,780.97crore as compared to INR 46,11,066.52 crore as on June 30th 2023. Therefore, our AUM has shown a growth of 16.22% on Year on Year basis.

Product Mix

We continue to focus on our strategy of increasing the proporti on of the Non Par business. We have modified two products, namely, LIC's Jeevan Akshay-VII and LIC's New Jeevan Shanti and reintroduced during April-June 2024 quarter. While we are discussing the Q1 activities here, I am sure all of you have seen the recent product launch announcements from LIC during this week itself. We shall explain more about these launches du ring our subsequent results calls.

No. of Policies Sold

During the quarter ended June 30
th 2024, we sold 35,65,519 new policies as compared to
32,16,301 new

policies in quarter ended June 30th 2023 registering a growth of 10.86% over the corresponding period of last year.

Agency Workforce

As on June 30
th 2024, the total number of agents was 14,24,847 as compared to 13,43,540 as on June 30th 2023. The market share by number of agents as on June 30th 2024 stands at 48.64% as against 50.94% for June 30th 2023. As already informed to you earlier in FY24 Analyst Call held on May 28th, 2024, we have started working on a project to transform our a gency business to make it future ready and to be the best in class always. The p r o j e c t i s c a l l e d " Jeevan Samarth " and we have on boarded global firm AT Kearney to lead this pr oject.

On number of policies sold basis, the agency force sold 34,69,8 09 policies during the quarter ended June 30th 2024 as compared to 31,19,611 policies during the correspondin g period of last year registering an increase of 11.23%. It can be seen tha t approximately 97% of our policies in the quarter ended June 30th 2024 were sold by our Agency force. Even on premium

basis, approximately 96% of New Business Premium came from our Agency channel in the first quarter of current financial year.

Contribution by Banca and Alternate Channel

During the quarter ended June 30th 2024, BAC i.e. Banca and Alternate Channel collected New Business Premium aggregating INR 411.27 core which was INR 336. 36 crore for the quarter ended June 30th, 2023 registering a growth of 22.27% on a Year on Year basis. With this the share of Banca and Alternate Channel by New Business Premium ha s increased to 3.46% for the quarter ended June 30th, 2024 as compared to 3.22% for similar period last year. Furth er, the Banca and Alternate Channel sold 55,795 policies for the qu arter ended June 30th, 2024 as against 62,970 policies for the quarter ended June 30th, 2023 registering decline of 11.39% on Year on Year basis.

If we look at the contribution of purely Banca channel, it cont ributes approximately 70% of New Business Premium to Banca and Alternate Channel.

Our Overall Expense Ratio for the quarter ended June 30
th 2024, was 11.87% as compared
to 12.85% for the first quarter of last year. As you can see, there is decrease of 98 bps on Year on Year basis.

Persistency:-

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the quarter ended June 30th 2024 stands at 78.23%, 72.16%, 67.53%, 66.97% and 61.62% respe ctively, as compared to 78.37%, 72.11%, 70.75%, 64.54% and 62.73% respectiv ely upto the quarter ended June 30th 2023.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the quarter ended June 30th, 2024 stands at 67.81%, 59.24%, 54.73%, 54.08% and 49.39%, respectively, as compared to 66.15%, 59.28%, 57.72%, 52.04% and 50.79% respectively upto the quarter ended June 30th, 2023.

Therefore, persistency has improved for 25th and 49th month on premium basis and on number of policy basis it has improved for 13th and 49th month, Year on Year.

Operational efficiency and Digital Progress

In our digital initiative through the Agent assisted ANANDA app , we have completed 2,49,643 policies through this App during the quarter ended June 30th, 2024 as compared to 2,22,167 policies for the period ending June 30th 2023 thereby registering a growth of 12.36% on Year on Year basis. There is a growth of 88% in number of active agents in ANANDA app for the quarter ended June 30th 2024. Further, I am happy to mention that ANANDA app has also been integrated with WhatsAPP.

Claims

On the claims front, during quarter ended June 30th, 2024, we have processed 40,54,920 number of claims which includes 38,68,253 maturity and survival benefi t claims. On an amount basis during first quarter ended June 30

th 2024, the total maturity claims were INR 41,954 crore and
the total death claims were INR 5,467 crores. On a comparable b asis for first quarter of last year, ended June 30th, 2023, the maturity claims were INR 34,612 crore and death cla ims were INR 5,147 crore. Therefore, the death claims are higher by 6.22 % and the maturity claims are higher by 21.21 % on a Year on Year basis.
Awards and Accolades
The list of awards won during Q1FY25 is presented on Slide 58 o f the results presentation which indicates that our customer-centric efforts have been rec ognized by various industry platforms.

Overall, I believe this has been a quarter where we have fired on all cylinders and delivered growth across parameters and I b elieve we are on track to meet our objectives.

Before I close my open ing remarks, I would like to list down si gnificant achievements during the quarter:-

1. There has been a sharp increase in our Q1 FY 25 market share to 64.02% from 58.87% for full year ended March 31, 2024. Also, first quarter of FY 2 4 we had a market share of 61.42%.
2. Our overall APE growth is 21.28% on an Year on Year basis. This represents strong underlying growth in both Individual and Group Business.
3. Our Non par share of Individual business has further grown to 2 3.94% for Q1 FY 25 as compared to 10.22% of the same quarter of previous year.
4. VNB has also increased by 23.66% on a Year on Year basis for th is quarter
5. VNB margin have shown as positive bias with a 20 basis points i ncrease to 13.9% for Q1 FY 2025
6. While maintaining growth in all parameters we have kept a focus on costs and as you can see the Overall expense ratio is down by 98 bps to 11.87% i n Q1 FY 25.
7. Our agency is growing in numbers and now stands at 14.25 lakhs as at end of Q1 FY 25 increasing by approximately 6% Year on Year.

Now, I would like to end by stating that: “LIC is progressing on its stated objective of gaining market sh are after having focussed on, during the last year on consolidating changes in product mi x, channel mix and margin improvement. We are committed to further optimizing our product and channel mix and improvement of margins. With the digital transformation exercis e underway we intend to create a seamless experience for our customers and partners. We thank our customers, shareholders, distribution partners and employees whose continu ous support allows us to create superior sustainable value as we move to next stage of o ur journey."

I now request the moderator of this call to open the floor for the question and answer session.
Thank you very much,

Moderator: The first question is from the line of Avinash Singh from Emka y Global. Please go ahead.

Avinash Singh: Yes. Hi. Good morning. Thanks for the opportunity. Couple of q uestions. The first one is around this new surrender regulation. So virtually, this increases the payout to the lapsing policyholder. Now, if I were to look at LIC's premium persistency drop at 13 months or nearly 20%, 22%. Now in today's context, those lapsing policyholder will be gett ing a zero. Now going forward from October, they will have to be paid depending upon the form ula calculated number. Now that -- mean that, okay, you will have to sort of compensat e to those policyholder by sort of a cutting benefits on the persistent policyholder or tweakin g your commission structure or taking a hit to the margins. So can you just elaborate and help , I mean, what would be the strategy? How to compensate for the sort of at least this 13 mo nth extra payout that comes under the new regulation? So how is that going to happen? That is my question number one.

Second question is on the margin front. If I look, I can under stand that, okay, the margin on the non-par individual side could be an outcome of increased benefi t payout due to maybe competition, increasi

ng guarantee, increasing annuity rates and also on the group side, it could be a mix of factors, including how the composition is changing between group saving, annuity and maybe term. That is right.

But a big puzzle that, okay, how is that margin is such a sharp drop on participating side, particularly because now even in the profit sharing and all are nearly 90/10 and all. So what is driving this kind of a margin drop in the pool, par saving side because your scale is too big. So what is happening here on the individual participating side tha t is driving your margin so low.

Yes, so I believe the two questions the first one was on how ar e you sort of going to respond to this new surrender regulation when you will have to sort of at least if I look like the 20%-22% of the lapse in premium at the 13th month today you are I mean based on regulation you are not paying anything. Now going forward and of course I mean this su rrender of money was anyway going to the largely to the PAR pool.

So going forward I mean the impact has to be felt by the posses sing policyholder, the distributor in terms of commission tweaking and also some bit in the margin , s o h o w a r e y o u s o r t o f foreseeing this impact of now the new surrender regulation with the lapsing policyholder being paid, is going to play out across these previous stakeholder. S o that was my question number one.

And second was that okay, on the margin I understand that on th e group side they have so many things that play out even the kind of annuity rates you offer e ven within group the kind of product changes that happen so that margin change over your other stori es on the group non-PAR side I mean because of the change in guarantees and maybe you'll -- ha ving lower margin those parts we understood but at your scale. And this thing I mean what is driving down this PAR margin

Y-o-Y I mean that's the material drop. And you have a bigger sc ale and I mean so what is happening on the individual PAR side margin?

Dinesh Pant: Yes I will repeat what I had mentioned earlier. As far as -- so as far as the surrender value portion is concerned we all appreciate that yes. This entire -- the foc us is now about how to strike the right balance for the people who are exiting policy during the term of it. And for the continuing policy of those. That's why we all appreciate there has been a very long engagement within the industry and also with the authority on this matter

What would be the right approach here? We appreciate the regula tions which are behind these principles which are laid down there. And we also note the mast er circular which has come about. As we intend to implement those few factors we need to c onsider is that, first of all, as far as the first year lapsation is considered the requirement t o pay -- for all policies only

applicable when the term is of five years.
For the policies beyond five years term, the requirement is th at first year full year premium should have been paid. So when we consider 13th month persistency, the number which comes in the numerator is not inclusive of all policies which have ac tually paid for the full year, these could be policies which are paid only for one month, which are paid for a quarter or half year and may still not be eligible for surrender value payment.
So to that extent, the impact gets mitigated in lapsation, but that's not our aim. What we are looking forward is, as an institution and company, we continue to intend to provide the services in a manner that our policies continue to remain persistent and not first year, second year, third area. Therefore we're still engaged, industry is also engaged i n how to assure smooth implementation and orderly implementation. So that we can strik e the right balance for the continuing policyholders and all the stakeholders vis-a-vis and the peopl

e who are surrendering
their policies for whatever reas ons during the term of the poli cy.
And yes, as you rightly mentioned , there could be many alterna tes to whatever is the final form of implementation, which we will consider different solutions, including the review on ticket size, the mode of payment, the st ructure, the design, which can also include a review of the cost, including distribution cost, but we try to strike a balance. We have to be cognizant about the interest of all the people who are involved, including our dist ributors, and we try to do it in a manner so that any adverse impact is reduced to the extent poss ible. We continue to seek more clarity and more ways for effective implementation for the regu lations also so that will be our approach when we consider these things.
Second aspect which you talked about on the VNB margins, as you rightly mentioned, VNB margin is dependent on the business mix of the company. It also depends upon the marketing strategy of the company -- overall company because VNB margin i s really significant parameter from shareholder reporting point of view. But more significant VNB has a value because that is a value which is coming, which is, therefore, the combination o f the business mix and the margins there.

So sometimes, we do take strateg ic decisions to bring down the margins so that the VNB growth can happen, which we have seen, actually, that's one of the rea sons that if you see in the first quarter, we have been able to achieve good, not only APE growth , but also VNB growth of 20% which was just around 5% in the last year because we took a cal culated decision in which the benefits were readjusted.
In specific to the PAR segment, which you're talking about. PA R i s al s o bi g , has g ot a b ig bandwidth of products, large number of products. Within them, t he margins are different and significant. So there also business mix is one of the things, w hich drives the value of VNB margin within it.
But another important component is the risk-free rate or the d iscounting rates that are used for the valuation of VNB margins and VNB as such. And we have seen the southward trend in the RFR during this period, which has also significantly impacted t he VNB margins in the participating line of business, s pecifically be mentioned. I ho pe that answers your query.
Avinash Singh: So quick follow-up on the first surrender regulation. So, very specific now, will it be possible -- because you have a large agency distribution, there is first year's commission, will it remain viable to not have a clawback or a trail-based commission for t he policies that if likely lapse say in 13 months specific. So I mean, under the new surrender regul ation, will it remain viable that you still have the usual payout structure that you are doing to day, if the policy were to lapse, say, in 13 months after paying one year premium?
Dinesh Pant: See we mentioned about surrender value regulation. And if we re ad the regulation, clearly, I don't think we insurer, we have got challenges. The bigger chal lenge is possibly is from some provision in the draft circular, not -- but it is not draft cir cular but the master circular. So regulations are consistent with the pricing rate. So that's not a big point.
Will it be possible? This world is full of possibilities. Many solutions are possible. Claw back is one of them, but it's not a necessary provision. We'll try to s ee ultimately the final shape in which we have to work out. We are in constant interaction within our teams, marketing teams, whenever product, review our product, redesign has to be consid ered. We have to consider all the aspects. So everything is po ssible. Claw back is an option but not a necessary option.
At this stage, we will not like to pre-empt and say this is go ing to be -- everything is possible, li

ke the review on the ticket si ze is possible. B ut I think eve ry action has got an implication. So we have to see what is the best possible combination of decisio ns that we have to take in product

review. Product review anyway is a very regular for us and it's a continuous requirement for us. Whether product regulations are t here or they are not changed, still review will always be there from the persistency point of view also we have to consider all these aspects. So yes, this is an option but not a necessary action that is envisaged.
Avinash Singh: And sir, one data question, if you can help. I would believe, a round INR14 lakh crores your equity investment. How that is spread across your PAR and non-P AR book? And what is the fair value gain sitting in these two books?

Dinesh Pant: See, not talking about specific numbers, but as a conscious dec ision for the participating business, we consider that because it is law of discretionary b enefit. We would always be happy to have an equity backing ratio of around 15% to 25% in that wa y, ideally around 20% plus going forward. As far as non-PAR business is considered, I'm ta lking about the business, which is for the consideration of po licyholders liabilities, largely because the guarantees are involved and the guarantees being involved, there is the requirement of asset liability matching to that extent.
So a very small portion of equity backing is there. But our ASM fund has got substantial amount of equity backing. So this is a mix in which we consider the na ture of the business, the requirement of maximizing and or rather optimizing the benefits for that class and also ensuring ALM in that context. So that is -- in principle that is the app roach we are taking.
Moderator: The next question is from the line of Suresh Ganapathy from Mac quarie Capital.
Suresh Ganapathy: So I had a question on your, again, margins. So what do you -- I mean, the fact that we are giving increased benefit pay-outs to the customer and it's a strategic decision that we have taken, perhaps that's what is causing a reduction in both PAR and non- PAR margins that you're talking about. And also, we are looking at the surrender value regulati on. So how do you look at the full year margins? You were around 16% to 17% for FY '24.
I know there is a complex product mix aspect also. Would that a lso be -- considering that do you think you can maintain margins on a full year basis? And also c arrying on Avinash's question on the equity book allocated. I mean, you're saying that the gu aranteed products and non-PAR has a higher, what we call, government securities. But when I l ook in the part of your IPO document, you have allocated a massive INR 5 trillion to your n on-PAR book equity at the time of IPO out of INR 9.8 trillion.
So I think right now, out of INR 14 trillion, it looks like eve n almost 50%, 60% of the book would be allocated to non-PAR if I look at your IPO document on an outstanding basis. Can you please provide a clarity on that?
Dinesh Pant: Yes, to the second part of the question, I think please note wh at I've mentioned. I clearly mentioned that for the participating business, this is the equi ty backing ratio. When you're talking about non-PAR book size you're including the assets allocated t o ASM, available solvency margin fund which is our non-PAR fund. So there the allocation is there, but the accretions from that fund is -- goes to the shareholder side.
Therefore, the allocation which you are seeing from the books t hat read – get that solved. And that's why I clearly said that when I'm talking about lowest eq uity backing ratio, that is in the context of the liabilities which are in the non-participating c ontract. So that is great. And the first question?
Dinesh Pant: And the first question was about surrender value?
Suresh Ganapathy: No, no. The overall marg

in outlo ok, sir. How we do look at the full year margin outlook versus last year.

Dinesh Pant: I'm aware that some people have given their estimates on this t hing, I'd like -- not like to get into this. For example, let me say, for example, even if you go by t he version that the surrender value has to go up, the actual outcomes were different on the custome r areas. Does it necessarily mean that when the surrender value factors should go up, surrenders should also go up. It may happen, it may not happen.
For example, strategically an insurance company may come up wi th the products with high ticket size where the surrender behaviour is less or with the differen t duration or different appeal to the customers. So I personally feel it will be sort of speculating without -- because the customers behaviour for this type of surrender factor is not available wi th us at this point of time. And that will evolve.

And I'm saying that there will be some continuous thinking abou t balancing the benefits for continuing policyholders vis-a-vis the withdrawing policyholder . W e s t i l l a r e s a y i n g t h a t something from here onwards, may change here because the regula tion allows for provisions for that thing.

So if we consider the products as of today. And then they cont inue to be the case, then definitely surrender values have -- give us impact. But we all will apprec iate that if these surrender values have to be done or increased surrender values have to come into p l a y , a n d t h e r e w i l l b e requirement for re-review and redesign of its products so that value can be protected.

Now that may have an impact on the business volumes, that may not have an impact on the business volumes, that may create higher acceptibility of produ cts or lesser than that, possibly time can tell. So it's not somethi ng which is very static and o n those basis it can be projected what is the impact. We are confident in that insurance companie s together along with the authorities will work out the way s and the avenues in which the growth of the business will continue.

And the profitability and the mar gins to all the stakeholders w ill also continue to be reasonably good and fair. So we will all -- we'll continue to strive in th at direction -- think in that direction.

Suresh Ganapathy: And just one final question on your strategy. I know it's a bit complicated, but the point here is you are bringing down your PAR margin – PAR as well as non-PAR margins, more so on the non-PAR margins. I was looking 1Q FY '23 was 72%, 1Q '24 is 43. 3% and 1Q '25 is 39.8%. So you've consistently brought down the margins by a massive 30 pe rcentage points over the course of last two years just to push up the non-PAR growth.

So, I mean, how long can this continue? I mean the point here i s you really want to prioritize growth over margin? How do you strike the right balance, especi ally when you are also going to see a regulatory change because it looks like growth is comi ng at the expense of margins.

Dinesh Pant: Yes, it's a very good question also. But if you would see that when we have brought down margins in some other products, we have also introduced product s with higher margins in between. Now we -- during this period, it's not that we have be en continuously bringing down on margins. For example, for the annuities, while in the last q uarter of the previous financial

year, we did bring down our margins and increase annuity. We ha ve reviewed and revised our rates in the current quarter.

So it has to be attuned to, as we said, our larger focus is to ensure that our VNB growth, VNB by amount that is actual profit numbers are sustainable and upw ard looking. And that all of us, all -- anybody who understands and appreciates the insurance bu siness, it is

going to be a combination of the APE growth. We can have very significant hig h margins and stay with it, but the business volume may not come about there. So it doesn't res ult to any VNB as such.

So therefore, it is going to -- and so what we are trying to do is, as on the competitive lines of business, wherever we have to -- we have no option, but we have t o m a k e o u r p r o d u c t s a s competitive as anybody else is giving. So when we give it, we a re simultaneously bringing out other products and some of them have been blockbusters for us, introduce them through better benefits, products which are value proposition for the customer s, they are good for the shareholders and they are good for even our internal stakeholde rs. So those type of products also we've introduced. We continue to rebalance. Actually this is s omething, which should be noted that despite of the challenges on the VNB front for the industr y itself and large of it is also coming from the discount effects that we talked about. For LIC, the quarter-to-quarter VNB margin is better than the last -- first quarter of the last yea r.

And we have seen our trajectory changes from first quarter towa rds the fourth quarter, and that is what directionally we are expecting and working for.

Moderator: The next question is from the line of Supratim Datta from AMBIT Capital. Please go ahead.

Supratim Datta: Hi. Thanks for the opportunity. My first question is on your he dging strategy. So last quarter, you had indicated that you are working towards putting up a hed ging strategy for your non-PAR book, just wanted an update on that, where has that progressed? And how far are you towards putting up a hedging strategy for your non-PAR book that would be the first one. The second one was on the VNB walk. There has been a 230 basis point impac t due to change in assumptions.

Just wanted to understand what's contributing to that? What has moved, so if you could help with that. That is something that I would like to understand. A nd lastly, the last quarter you had mentioned that you were working towards the composite license a nd what opportunities that could throw up. If you could give us an update on what's happen ing with composite license, how and what work have you done in the last three months to take -- to make use of it when it's available?

Siddhartha Mohanty: I would answer the last question first regarding composite. Act ually, we know that there will be some amendments, so that composite license is coming. For that, we have -- I've already given statement. We are now exploring all possibilities to have some stake in some stand-alone health insurance company. So that because internally, we examined it’s not appropriate to develop our internal health insurance vertical. So better to acquire some s take in some company. So that work is going on. I think this year something will materialize.

Regarding your hedging strategy, we have our derivatives polic y in place. We have taken approval and our team is working on that any further…

Dinesh Pant: Yes. In fact, yes, we have our hedging strategy in place by the Board investment policy. We have already tied up with bankers on that thing. And as our non -PAR portfolio increases, we have actually started to work upon that already. Besides that, in fact, I'm also aware that within industry there’s also called whether the direct participation o f insurance comp anies into this segment would also be considered, which is a very good idea bei ng thought about and currently at a thought stage. So we'll remain open to utilization of thes e hedging strategies for the business.

K.R. Ashok: As regards the assumption -- impact of assumptions on VNB Walk- - the major impact comes from the fall in RFR. And there's a minor -- actually additions to the assumption in the way of better improvement in m

ortalities, which we have observed in ca se of term and group businesses that has been updated because as per the standards, we'd like t o factor in whatever the information we have up-to-date basis.

And then we have also observed that there is an improvement in the withdrawal assumption in case of group that is towards betterment. So these three are th e most prominent assumptions that we have made. And the major bein g the fall in RFR, which has im pacted the margins in a negative way.

Supratim Datta: Got it. On the mortality experience before in term insurance, w hat is that contributing to -- have you looked into that, that could be one follow-up. On the compo site license, sir, thanks a lot for the clarification. I just wanted to understand that you are loo king on taking up stake in one of the SAHIs. All the SAHIs are privately held, so are you looking at acquiring something? Or would it be a strategic stake? What are your thoughts on that? If you could give us some clarity, that would be helpful.

Siddhartha Mohanty: Actually, at this stage, we are exploring all possibilities, wh ich will be in the best interest of LIC, all its stakeholders that we are exploring and when we finalize you will also be able to know that.

K. R. Ashok: So your first question was not very c lear because there is some…

Supratim Datta: Yes, sir, you had said that on mortality the experience was poo r in term insurance, which was one of the contributors to the adverse assumption change?

K. R. Ashok: No, no. Actually, in case of term and group, it is better, only impact , negative impact is the fall in RFR. The other contributions are positive in nature.

Moderator: The next question is from the line of Nischint Chawathe from Ko tak Institutional Equities.

Nischint Chawathe: Hi, Thanks for taking my question. Again, going back to the sam e point on the margin change in the book. So what I understand is that the change that we ca n see on the PAR side was not because of benefit enhancements. So I think in your VNB walk, y ou've sort of cited two reasons for change in margins. One is impact of product benefits and th e other is impact of assumptions.

And I think what you seem to be now saying is that the PAR book is affected purely by impact of assumptions, is it?

K. R. Ashok: See, there are two impacts on PAR boo k. One is, there is multiple parts in the PAR book, which each has a different profit signature. And there is the busines s of mix within the PAR group is also impacting to some extent the margins of PAR. And the most important contribution to the movement in the -- we observed in the movement in the PAR book is due to the RFR.

Management: I think we lost him right?

K. R. Ashok: I'll repeat once again, see Par book consists of different prod ucts with different profit signatures and the business mix also contributes to the movement of that w e observe in the Par business.

And more importantly in respect of Par business, the impact of RFR fall is profound.

Nischint Chawathe: So because if I look at it, now this year onwards, you have alm ost 10% sort of economic share and shareholders have almost 10% economic share in the par book . And if we had kind of sustained it at 5%, what we had during IPO probably margins wou ld have been around 4%. So

does RFR have so much of an imp act? I think is what my question is.
And kind of coming back to the broader question on margins, I understand that at this stage, it's a little challenging to sort of give an outlook on margins. Obv iously, a product mix shift is definitely helping you. But at the product level for par or non -par, is there a particular threshold margin below which you would probably not want to go and then s ay, or probably on a risk adjusted basis, it doesn't mak

e sense. And you would then say t hat look, beyond this, all of it is something that we'll pass on to our -- either our customers or distributors. So if you could give us something in your mind saying that we can't go below a parti cular percentage, whether it's a 5% or 7% or whatever and beyond that, we will pass on.
Dinesh Pant: See, I'm just clarifying on that issue. Yes. It's that is one s ignificant aspect of business. But we also need to appreciate that nature of products, which particip ating and non-participating are differentiated, but at times ver y similar also. And within the participating there is book size there could be products. Again within the par is book size as explain ed in my first response and the VNB margins within the products will also significantly change.
So if we have a product, which becomes a very blockbuster or v ery hero, attractive and taken with open arms in the non-par side, and we have got a similar p roduct in non-participating book size, and there is going to be a trade-off. And so for a short period of time, that will impact. So the business mix is bound to change when you are taking a strat egy towards a particular line of business and that is something possibly which can't be seen on a quarter-to-quarter basis, it has to be allowed to settle down over a period of time and then see .
As far as your point about benchmarking you're referencing, I think I indicated in my earlier response also. What we are looking for is a very robust and sus tainable growth in VNB. So I think we have to work on overall strategy of business mix, busi ness volumes and VNB margin.
As a reference point, definitely another indication, which you have seen from our results in the past that we have always referenced and benchmarked to the corr esponding period of previous period and try to go upwards from there.

So the strategy is to gradually move upwards in this business margin over our last -- within the first year, it was around 15.2%. We moved to 16.8% at the end o f the year. And that is the direction in which we are moving towards possibly 20% plus in n ear to middle term. And of course, during that period, because the numbers on the margins only come after the quarter is over or the period is over. So to what extent that strategy of mix and VNB margin change or sacrifice or, in fact, not allowing it to be sacrificed has wor ked out is seen at the end of the quarter and recalibrated for the next quarter.
But the direction is that we are going consistently towards up ward trajectory to be in line with the industry. We have seen in the industry also. There are some -- there have been achievements of high 20s or 30s and they have settled down and comes down. S o there will be always a shift in the -- what is the industry level VNB margin, but we are ver y confident that over some period of time, our business mix average is changing and changing shar ply actually in the right direction will be the extended benc hmark for the industry.
Nischint Chawathe: Got it. Just one small question an d maybe this is probably a su ggestion is that if you could break up your equity book between -- basically your investment book b etween equity and debt. And again, that breaking up into par and non-par because I believe last year you had made some transfers for equity from the non-par. Basically, the equity sh are in the par book had gone up. So when we try to kind of corroborate the market value of LIC's investment, it just helps us to understand how the allocations are happening. So maybe if you c ould either share a number or maybe subsequently kind of put it in your quarterly presentatio ns.
Dinesh Pant: Sure. Sure.
Moderator: The next question is from the lin e of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.
Prayesh Jain: Sorry to harp on this VNB thing again. So on the par side

, have we moved from 7.5% sharing to 10% sharing. And you've been alluding to the fact that the mix has been adverse in the par side, which has kind of dented the margins. Could you give some more granularity as to what is the kind of mix that is impacting whether it's the tenure of the pr oducts or it's the different nature of the product that's kind of impacting this? That would be my fir st question. I'll ask other questions later.
K.R. Ashok: See, if we look at the par products, there are different types of products, which cater to different customers. And we have observed that the customer -- the produc t -- the customer profile that is the distribution of term as well as the distribution of the tic ket size has changed, and that is the

contribution -- that has contributed to be impact on the margin s.
Prayesh Jain: And we have moved to 10% sharing, right?
K.R. Ashok: Yes, yes, yes, in spite of it because the RFR impact as we have -- the RFR's impact is more profound and we see in the long term and therefore the impact o n interest rates.
Prayesh Jain: Yes. The other question is you alluded to, on the surrender cha rges you have mentioned that more than -- if the premium is not paid for more than 1 year, t hen only -- then the surrender

charges impact will not be there in the first year. Could you g ive some persistency color on that particular cohort where the premium has been paid for more than 1 year, what is the kind of persistency for you guys in the 13 months for that kind of a co hort?
Dinesh Pant: I think you will appreciate one th ing that by over all analysis is that yearly polic ies tend to lapse the least. The highest persistency -- lapsation, sorry, happens in the policies where the ticket size is small and the mode is either quarterly or monthly that has b een the trend. So -- but again, we can't speculate based on that because if the benefits change pe ople may tend to change their preferences also, customer behavior will change. That's what I was indicating and that how it pans out, how the customer behavior changes just because surren der value factors changes, customers will anyway lose some part of his investment, not tha t he's gaining out of it. So it does not necessarily mean it will tra nslate into higher surrender.
So all the factors will have to be considered. If we can tailo r our products and make them more, in fact distributor behavior and all those things can be linked together. Insurance companies can cross out the design. But yes, it has got an impact. It has got a financial impact on the way we have the products right now. It's challenging work that we have to take care of.
But we cannot say for example this 5 year thing we hardly have any product where less than 5-year term is available. So that's not going to impact us for th at for sure, something. That's because 1 year he is going to pay surrender values, we are not going di scourage people for taking clearly more. That's also for sure.
We work out and we'll discuss out those things and we'll look into our product design accordingly, and engage in the discussions wherever they are re quired and where they are fruitful to find the right way forward.
Prayesh Jain: And secondly, there has been a recent push towards ULIPs, how d o you see that kind of scaling up? And if I -- whether I've hea rd it correctly that your mediu m-term target for VNB margins is 20%. With this kind of -- so do you think that can be achievabl e with your focus -- increasing focus on ULIPs and those products?
Dinesh Pant: We mentioned about 20% plus just to clarify. So 20% is not a nu mber, but 20% plus is a way which we are thinking. ULIP has got the importance in the portf olio, not necessarily from the m ar gi ns po i nt of vi ew. Yo u m ig ht app r eci at e th at p oi nt . UL I P h a s got its advantages in the current set up of scheme

s, and therefore, insurance rules. We a lso, as I said, because it's a
customer preference which is very important. If customers have got expertise given margins are low because that cannot be the only criteria just because margi n is low and customer need is there we will not fulfill it.
So at times, it's not only that decision to provide which prod ucts or which direction, is not necessarily constrained or bound by margins only. So that's -- let's be clear on that. However, for the top line, for satisfying customer -- for the larger, I should say, leveraging those products for satisfying more customer needs, ULIPs are going to be impor tant. So that's the directional way in which we are going towards it.

But we are also focusing our big margin is coming from a numbe r of saving products. So that continues to be our face book. The growth in saving non-par is even much higher than the ULIPs, in our case ULIPs is around 134% in this quarter, where we are almost 600% growth in our non-par savings, representing it overall around 160% plus growth in our non-par non-linked products.
So that's the direction in which we are.
Moderator: The next question is from the line of Sanketh Godha from Avendu s Spark.
Sanketh Godha: My question is pretty simple, assuming the surrender rules are implemented on the current product structure, if you don't do any tweaking, what is the li kely impact on the margins? Which means just how much we need to just to protect the margin is th e reason I'm asking that question assuming what is the likely impact on the margin? That's my fir st question.
The second thing is that your drop off rates assumed to be 20% , 22% at this month. You also

said that there are some policies, which are quarterly, half ye arly and they are part of the 22%. So if you can break out -- break up that premium of 20%, 22%, w hich is dropping off, how much is less than 1 year premium thing -- I mean the paying term is quarterly or high frequency compared to annual? That's my second question.

And lastly, somewhere the par business seems to be struggling to grow. Anything to read between how -- is it because you have increased focus on non-pa r, so natural victim is par, or you think someday this business will come back and contribute t o the growth. Yes, those are my questions.

Dinesh Pant: Yes. Yes. See, first of all, I just said I would not like to as sume anything. We are -- still we are perennial optimists, we have to r emain optimistic that somethin g better will come about. So I don't see any reason to assess. In fact, we have assessed, but it's not about VNB margin let's be clear. The surrender value is not an issue about only VNB margi ns per se. It is about the best value provision from the customer. That's how we look into it.

As I said earlier also, margins -- let's be very clear about i t, margin is something which can any product design. We have to design a product which can have a ma rgin. So that cannot be the ultimate focus. The focus is about how that margin leads into t he business growth and industry growth and for us as the company growth. So that may be achieve d. So at point of time, the 20% or 25% or 100% is not that signif icant. But what is the ultimat e value which coming in terms of the business growth and the margins. That's going to be the con sideration. And that is the direction in which we are working.

And the second part of the question is, yes. See, we need to a ppreciate something that it has been a big problem for LIC to move away, not actually move away, but to rather think it's not that we are moving away from participating business. And we have got a set of clients at a point of time, they will decide what type of prod uct they want to do. So there 's a function of their needs.

For example, let's talk about ULIP. ULIP is driven by market s entiments and what market under

standing customers have. So it is not necessary the insura nce company is pushing. At times it is sought by the customer that's why it is done. Same custom ers suppose you come out with a

new products. As a strategy, we felt that we have got good numb er of -- enough number of products in participating.

And in case they grow, we can come out with more guaranteed ty pe of products, which customer needs. So it's not only from business calculation of margin poi nt of view. We consider it's a value proposition good for the customer point of view and for u s as the insurer also that's why we've come out with more offerings.

So it is possible that at a time -- and the customer would hav e a budget of its own and how much they can spend in a particular year. So possibly, if they rathe r spend on larger investment is our largest surprises happening was non-par product, the same custo mer at that point of time may not be able to afford or buy a similar par product. So it's fun ctions or the outcomes cannot be seen in a short period of time. So it's not that we want to red uce par business and grow into non-par business. Our ultimate aim is that we want to offer all the product solutions to the customer and tell them the value of the guarantees as well as the choice s for the discretion, and they are doing it.

As a Corporation, we have realized that we have been in par bu siness for long, and there was an effect of saturation in that market. We do not see substantial growth at this point of time in par business, but we still expect and we are working towards reason able growth in participating business also. In fact, in the r ecent quarter, we've seen uptic k in our participating sales also and the volumes also as compared to the trends which were there in the previous year.

So as a company, the directions from CEO & MD is continuously there is what we have to offer is the value provision for the customer, and that is what is ha ppening. The great growth is coming in the non-par segment is the outcome of the number of products , which have been appreciated by the market that we have been able to offer.

An area which has been largely untapped from the point of the distributor, the policy holders, which have been there. So that is happening. And possibly there is a dent as an outcome of that in the participating business. It 's not our conscious strategy to reduce par business. We want to improve our book size on both the sides. But we realize excepti onal growth can come from non-par at this point of time as compared to the participating.

Sanketh Godha: Got it. Sir, the second question, which I asked basically out o f the 20%, 22% drop off, which we experience after 12 months or 15 months. How much is less than 1-year premium paying plan because naturally, it will not be part of your surrender rules. So you'll benefit out of it. So just wondering whether we can assume it is 50% or less than 50% of t he drop off what you experienced in 13 months.

Dinesh Pant: See, what will happen, Sanketh, while -- I don't see -- as I wa s explaining earlier, I won't see much purpose in examining the current portfolio. If that is som ething to be done, we will re-design our products to ensure that they are in line with what w e want them to do, right? So I'm not bound by offering the same thing, which I'm offering curren tly.

So I have to first decide if this is a direction, these are th e decisions which are going to make.

And we will make decisions in a way to protect that. Of course, that can have business

implications because suppose we increase the ticket size or ret ail decision, that can help persistency, but then we have to see whether it has got -- it w ill be really better outcomes or that will change. That's an area which -- that's the reason we'll ap p

reciate that this long discussion and potential discussion has happened on this front, whether it is immediate thing is good or it is to be a gradual approach, which will work out, but we have t o comply with whatever is the expectation of the regulator.

We only have the right to discuss and present our case before them and ultimately we'll do what is required and comply with those things and take -- design rev iew to ensure that customers continue to invest as best as possible, distributors continue t o get benefits, which are as best as possible and shareholders' interests who are involved into the business are also fully protected in plan with expectations that we create for.

Moderator: The next question is from the lin e of Gaurav Jain from ICICI Pr udential Mutual Fund.

Gaurav Jain: Just two questions from my side. One is on the new launches or so the Jeevan Utsav product that we launched has really helped us ramp up the non-par APE side o f it. So are there any new launches that you are working on, either on the non-par or anyt hing on the annuity or, say, protection ULIP. So if you can help us understand what kind of new launches are you thinking on?

And second is on the distribution side. So if there are any st eps. I can see there is some increase in the Banca APE and the Direct APE also. So if you can help us understand what are the strategies that we are taking on the distribution side to incre ase the more mix coming from these other channels also?

Siddhartha Mohanty: You see recently, we have launched 2 very innovative term produ ct, Yuva Term and Yuva Credit Life. And already we are getting very good response, getting tr action in this market. And in coming days also, we'll be launching some more products dependi ng upon whatever feedback we get from our customers as well as from our field force. It's a con t i nuo us p roces s as ou r appointed actuary told depending upon market need and other thi ngs also. The margin all those things. So keeping those things in mind, we will be continuousl y launching innovative products. So that is one thing.

Second question was marketing strategy. You see, our Banca has already improved. Focus will be on Alternate Channel and digital marketing also without comp romising Agency Channel. Agency Channel will grow, but the share of other channel we pla n systematically, it has to grow up. And already Banca has shown in last quarter, Q1, they have shown. We are more focusing on Alternate Channel apart from bank Alternate Channel means br oker, IMF, corporate agents, those will be focus ar ea in the current year.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi Group. Please go ahead.

Dipanjan Ghosh: Just one question from my side. When I look at your persistency ratio trajectory between Q1 of last year with Q1 of this year a nd the decline in some of the b uckets especially the early ones. I wanted to understand if you can give broad color on the product categories which have witnessed a decline? Or is it across the board that you have witnessed a deteriorating persistency trend.

Also if you can break it up between some of the customer cohort s in terms of high ticket versus low ticket? Yes, that would be my question.

Dinesh Pant: As far as this 13-month persistency is concerned. I think on th e policy basis, it has improved as compared to the last year on a premium basis it is there. But t he changes are very small. The difference is because we have taken certain decisions in the pr evious years, in which we have reviewed various products where the persistency experience was not good, particularly on the micro side. So possibly, there is a shift from growth businesse s to some other lines of businesses.

But as far as policy is considered in the policy this 13-month persistency is actually by policy basis that has improved. So from

66.15% to 67.81%. So that's th e case. And these are the cohorts, which are over previous period o f time. Another important aspec t of persistency, which needs to be noted is that f or t he corporation, we have a very, very d ifferent role from many other possibly because of that we have more than 6 decades and we hav e always been trying to balance between ensuring just a number of persistency and also making o ur availability. This insurance for all concept, reaching for every nook and corner. So persist ency can be possibly significantly improved if the ticket sizes are increased. But then there's a deprivation to the last segment of society, which can afford lesser amounts, so they have to be gi ven smaller ticket size also. But by the nature, and we have seen that in the lower ticket size, the persistency experience is less because of the affordability issue.

So in case certain percentage is lapsing, that's one way of lo oking at it in that segment. But a certain segment, which can afford and continues with that polic y. If we do not provide them those ticket sizes, then possibly we can never benefit from the benefit of the insurance. So that is some call, which is very critical and important for us. And these persistency ratios, again, line wise and business-wise are different. We also show very high pe rsistency in term business and all those things, but this is la rgely coming from small ticket size for business contribution.

And we continue to review. We have reviewed a lot of products in that direction, but that has also impacted business volumes also. So we have to look into th at aspect and the persistency, we are closely monitoring, doing all the efforts in that direct ion. And in fact, trying to incentivize the behavior of distribution also as well as in the product des igns, we have tried certain experiments.

At times it takes a little time for them to get implemented be cause the numbers other than 13th months are the ones, which have been done in the previous perio d. Another important aspect is that this way of persistency calculation as seen from public di sclosures and some of the companies may not be including micro business into it.

We do include micro business into our persistency calculation. That made a small impact, but nevertheless has got an impact. So we have, therefore, had to r eview our micro insurance products. That's what we'll continue to do. We realize the impo rtance of persistency and that remains a focal area fo r the corporation.

Dipanjan Ghosh: Sir, just a follow-up, sir, would you like to give some color b etween ULIP, par and non-par savings in terms of how the persistency trends have been? I mea n, excluding the ticket size and the customer cohort in terms of the product category, which cla ss has witnessed pressure?

Dinesh Pant: See overall, the experience is, I wouldn't say but our non-par savings would give the best persistency to us. In that also, the term business would give t he best persistency followed by non-par saving products. Of course, the annuities give good per sistency there also. Then there comes -- participating business h as got lesser persistency as c ompared to that mainly because of the ticket size is again being less available in various produc ts there historically also.

And ULIPs also show lesser persistency. But within ULIPs some of the products have shown -- new products have shown very good persistency. The old products that we had the persistency. Within ULIP also, the trend is different across different produ cts. So that's why we are having a close look into which products to continue, which products to n ow redesign and which to break out.

Dipanjan Ghosh: But would it be fair to assume that on a Y-o-Y basis, par has w itnessed some pressure, the small ticket par. Par has -- in the 13- month par has witnessed some d ecline in trajecto

ry?

Dinesh Pant: You are talking in context or persistency?

Dipanjan Ghosh: Yes, yes.

Dinesh Pant: Yes, some of the products within par, which have got lower tick et size, their persistency seems to have dipped. Therefore, we'll have to -- we'll review those products.

Moderator: Ladies and gentlemen, that was the last question for today's co nference call. I would like to hand the conference over to Mr. Mohant y for their closing comments.

Siddhartha Mohanty: So thank you friends. Thank you for patiently listening and for your very, very thoughtful questions, and we hope that we have been able to answer all you r queries to your satisfaction.

Given the momentum in our business and rollout of various strat egic initiatives, we are hopeful and confident that we'll be able to demonstrate all-round growt h and improvement in parameters as we move forward. Thank you very much, and have a good day. T hank you.

Moderator: On behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Nov 2024

Ref. No.: LIC/SE/2024-25/131 Date: November 18, 2024

To
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Listing Department,
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Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analyst/Investors held on November 08, 2024.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination.

Yours faithfully,
For Life Insurance Corporation of India
(Anshul Kumar Singh)
Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
H1 FY '25 Earnings Conference Call"
November 08, 2024

MANAGEMENT : MR. SIDDHARTHA MOHANTY – CEO & MD – LIFE INSURANCE CORPORATION OF INDIA
M R. M. JAGANNATH – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. TABLESH PANDEY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. R. DORAISWAMY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. K. R. ASHOK – EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
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M R. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHA GIRIDHAR – EXECUTIVE DIRECTOR, INVESTMENT -BACK OFFICE, INVESTMENT TEAM – LIFE INSURANCE CORPORATION OF INDIA

M R. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING
AND CHIEF MARKETING OFFICER – LIFE INSURANCE
CORPORATION OF INDIA

M R. HEMANT BUCH – EXECUTIVE DIRECTOR, B&AC –
LIFE INSURANCE CORPORATION OF INDIA
M S. MANJU BAGGA – EXECUTIVE DIRECTOR, PENSION AND
GROUP SCHEME – LIFE INSURANCE CORPORATION OF
INDIA
M S. RACHNA KHARE – EXECUTIVE DIRECTOR –
CUSTOMER RELATIONSHIP MANAGEMENT , POLICY
SERVICING – LIFE INSURANCE CORPORATION OF INDIA
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SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M S. VANDANA SINHA – EXECUTIVE DIRECTOR, CUSTOMER
RELATIONSHIP MANAGEMENT , CLAIMS/ANNUITIES
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE
INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to the LIC's H1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. We have the senior management of LIC led by Mr. Siddhartha Mohanty, CEO and MD on this call.
I now hand the conference over to Mr. Siddhartha Mohanty, CEO and MD, LIC. Thank you, and over to you, sir.
Siddhartha Mohanty: Good evening, everyone. I am Siddhartha Mohanty, Chief Executive Officer & Managing Director, LIC. I would like to welcome all of you to the half yearly results call of the Financial Year 2024-25.

Our results declared today have been uploaded along with press release and the Investor Presentation on our website as well as the websites of both the exchanges - BSE and NSE.

Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the Finance team, Mr. Ratnakar Patnaik, Executive Director (Investment-Front Office & CIO) and Mr K. Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr.

R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes), Ms. Rachna Khare, Executive Director (CRM/Policy Servicing), Shri C. V. Ramana, Addl. Executive Director (CRM/Policy Servicing), Ms Vandana Sinha, Executive Director (CRM/Claims/Annuities) and Mr. Sanjay Bajaj, Head (Investor Relations).

Before I get into details of our performance for H1FY25 i.e. for six months ended September 30th, 2024, I would like to thank all of you for joining this call during late evening on a Friday. In today's call, we are aware that you will have many questions for us as a management pertaining to the new product regulations.

Let me now mention the key business, operational and financial highlights for the half year ended September 30th, 2024.

Premium Income

For the six months ended September 30th, 2024 we have reported a Total Premium Income of INR 2,33,671 Crore as compared to total premium income of INR 2,05,760 Crore for the six months ending September 30th, 2023 registering a growth of 13.56% on Year on Year basis. The Individual New Business Premium Income for six months ended September 30th, 2024 was INR 29,538 Crore and for the corresponding six months of last year it was INR 25,184 Crore thereby registering a growth of 17.29% on Year on Year basis. Renewal Premium Income (Individual business) for six months ended September 30th, 2024 was INR

1,15,158 Crore as compared to INR 1,09,599 Crore for six months ended September 30th, 2023. Therefore, for the six months ended September 30th, 2024, our Total Individual Premium Income including renewals was INR 1,44,696 Crore as compared to INR 1,34,783 Crore for six months ended September 30th, 2023 registering a growth of 7.35% on Year on Year basis.

The Group Business total premium income for six months ended September 30th, 2024 was INR 88,975 Crore comprising of New Business Premium of INR 86,056 Crore. In comparison, for six months ended September 30th, 2023 last year, the Group Business total premium income was INR 70,977 Crore and comprised of New Business Premium of INR 67,505 Crore. Therefore, for this six months ending September 30th 2024, the Total Group Premium has increased by 25.36% as compared to similar period of previous year.

Market Share

Our market share by First Year Premium Income for six months ending September 30th 2024 is 61.07% (as per IRDAI data) as compared to 58.50% for the similar period ended September 30th, 2023. Once again, we have reinforced our dominant position in the Indian life insurance market and continue to be the leader in both - Individual as well as Group business segments.

Now, if we bifurcate this overall market share of 61.07% into segment wise share of individual and group business, we would have a market share of 39.79% in Individual business and 74.77% in the group business for the six months ending September 30th 2024. On a comparable basis for the six months ending September 30th 2023, the respective market shares for Individual and Group business were 40.35% and 70.26%, respectively. At this stage, I would like to mention that for full year ended March 31st, 2024 our overall market share was 58.87%. I would like to remind you of our analyst call post FY24 results wherein we had mentioned about our regaining the market share in FY 2024-2025. As you can see, we are on right track for achieving the same.

Break up of business on APE basis:
Total Annualized Premium Equivalent (APE) for six months ended September 30th 2024 is INR 28,025 Crore which is comprised of Individual APE of INR 18,163 Crore and Group APE of INR 9,862 Crore. Therefore, on APE basis, the individual business accounts for 64.81% and Group business accounts for 35.19%. Further, of the Individual APE, the Par business accounts for INR 13,385 Crore and Non Par amounts to INR 4,778 Crore. Therefore, our Non Par share of Individual APE is 26.31% and Par is 73.69% for six months ended

September 30th 2024. As you may recall, for the six-month period ending September 30th, 2023, our Non-Par share of total individual business, based on APE, stood at 10.76%. Since then, our Non-Par APE share has surged from INR 1,575 Crore to INR 4,778 Crore, increasing from 10.76% to 26.31%. This marks a significant year-on-year growth of 203.37% in Non-Par APE. Therefore, it is now evident that another pillar of our strategy which is changing product mix towards Non Par is bearing fruits and has gathered significant momentum of its own.

Profit After Tax

The Profit after Tax (PAT) for the six months ended September 30th 2024 was INR 18,082 Crore as compared to INR 17,469 Crore for six months ended September 30th 2023 registering a growth of 3.51% on Year on Year basis.

VNB and VNB Margins

Net VNB is INR 4,551 Crore for the six months ended September 30th 2024 as compared to INR 3,304 Crore for the six months ended September 30th 2023 registering a growth of 37.74% on Year on Year basis. Further, the net VNB margin is 16.2% for the six months ended September 30th 2024 as compared to 14.6% for the six months ended September 30th 2023 showing improvement by 160 basis points on a Year on Year basis.

Solvency Ratio

The Solvency Ratio as on September 30t

h,2024 improved to 1.98 as against 1.90 on September 30th,2023.

Indian Embedded Value (IEV)

The Indian Embedded Value (IEV) as on September 30th,2024 has been determined as INR 8,21,716 Crore as compared to INR 6,62,605 Crore as on September 30th, 2023. Therefore, IEV has registered an increase of 24.01% on Year on Year basis.

Assets Under Management (AUM)

AUM as on September 30th 2024 was INR 55,39,516 Crore as compared to INR 47,43,389 Crore as on September 30th 2023. Therefore, our AUM has registered a growth of 16.78% on year on year basis.

Product Mix and New Product launches

During the first six months period of FY25, we have launched four new Non Par products on August 6th 2024, namely, LIC’s Yuva Term, LIC’s Digi Term, LIC’s Yuva Credit Life and LIC’s Digi Credit Life.

As you may be aware, starting from October 1st, 2024, we have launched products in compliance with the IRDAI (Insurance Products) Regulations, 2024, and the IRDAI Master Circular on Life Insurance Products, which are available on our website. Further, we have made a total of 32 products (including Pradhan Mantri Jeevan Jyoti Bima Yojana) available for New Business, including 19 Individual Products, 7 Group Products, 5 Individual Riders, and 1 Group Rider.

On October 7th, 2024, we launched LIC’s Single Premium Group Micro Term Insurance Plan

and on October 14th, 2024, we launched two new individual Non Par products, namely, LIC’s Nivesh Plus and LIC’s Bima Jyoti. As of today, we offer a total of 35 products (including Pradhan Mantri Jeevan Jyoti Bima Yojana), which include 21 individual products, 8 group products, 5 individual riders and 1 group rider.

No. of Policies Sold

During the six months ended September 30th, 2024, we sold 91,70,420 new policies as compared to 80,60,725 new policies in six months ended September 30th 2023, registering a growth of 13.77% over the corresponding period of last year.

Agency Workforce

As on September 30th 2024, the total number of agents was 14,39,658 as compared to 13,45,891 as on September 30th 2023. The market share by number of agents as on September 30th, 2024 stands at 47.56% as against 49.35% for September 30th 2023.

On number of policies sold basis, the agency force sold 89,21,078 policies during the six months ended September 30th 2024 as compared to 77,68,037 policies during the corresponding period of last year registering an increase of 14.84%. Further, approximately 97% of our policies in the six months ended September 30th 2024 were sold by our Agency force. Even on premium basis, a little above 95% of New Business Premium came from our Agency channel in the first six months of current financial year.

Contribution by Banca and Alternate Channel (BAC)

The Banca Channel collected New Business Premium Income of INR 854.23 Crore for the six months ended September 30th 2024 and for the corresponding six months of last year it was INR 648.24 Crore thereby registering a growth of 31.78% on Year on Year basis. Further, the Alternate Channel collected New Business Premium of INR 353.31 Crore for the six months ended September 30th 2024 as compared to INR 275.64 Crore for six months ended September 30th, 2023 registering a growth of 28.18% on Year on Year basis. Therefore, for the six months ended September 30th 2024, total New Business Premium collected by Banca and Alternate Channel was INR 1,207.54 Crore which was INR 923.88 Crore for the six months ended September 30th 2023 registering a growth of 30.70% on a Year on Year basis. With this the share of Banca and Alternate Channel by New Business Premium has increased to 4.09% for the six months ended September 30th 2024 as compared to 3.67% for similar period last year. Further, the Banca and Alternate Channel sold 2,45,124 policies for the six months ended September 30th 2024 as against 2,89,

753 policies for six months ended
September 30th 2023 registering decline of 15.40% on Year on Year basis.

If we look at the contribution of purely Banca channel, it contributes 71% of New Business Premium to Banca and Alternate Channel.

Our Overall Expense Ratio

For the six months ended September 30th 2024, the overall expense ratio was 12.74% as compared to 15.14% for the first six months of last year. You will observe that there is decrease of 240 basis points on Year on Year basis.

Persistency

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the six months ended September 30th, 2024 stands at 77.62%,72.24%, 67.24%, 66.33% and 61.46%, respectively, as compared to 78.49%, 71.98%, 70.16%, 64.57% and 62.53%, respectively upto the six months ended September 30th 2023.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the six months ended September 30th 2024 stands at 67.23%, 59.73%, 54.06%, 53.84% and 48.92%, respectively, as compared to 66.80%, 58.79%, 57.61%, 51.73% and 50.35%, respectively, upto the six months ended September 30th 2023.

Therefore, while we make efforts to improve persistency across cohorts, during this first six months of this financial year we have seen improvement in persistency on premium basis for the 25th and 49th month and on policy basis the improvement is seen for the 13th, 25th and 49th month.

Operational efficiency and Digital Progress

In our digital initiative through the Agent assisted ANANDA app, we have completed 7,23,281 policies through this App during the six months ended September 30th 2024 as compared to 5,33,393 policies for the period ending September 30th 2023 thereby registering a growth of 35.60% on Year on Year basis. There is a growth of 32.36% in number of active agents in ANANDA app for six months ended September 30th 2024.

Claims

On the individual claims front, during six months ended September 30th 2024, we have processed 89,70,019 number of claims which includes 85,55,689 maturity and Survival Benefit claims. On an amount basis during first six months ended September 30th 2024, the total maturity claims were INR 94,531 Crore and the total death claims were INR 11,645 Crores. On a comparable basis for first six months of last year ended September 30th 2023, the maturity claims were INR 78,984 Crore and death claims were INR 10,826 Crore. Therefore, the death claims are higher by 7.57% and the maturity claims are higher by 19.68% on a Year on Year basis.

Awards and Accolades

The list of awards won during H1FY25 is presented on Slide 63 of the results presentation which indicates that our customer-centric efforts have been recognized by various industry platforms.

LIC is now the strongest insurance brand globally, according to Brand Finance Insurance 100 2024 report.

Before I close my opening remarks, I would like to list down significant achievements during the quarter: -

1. There has been a significant increase in our H1FY25 market share to 61.07% from 58.87% for full year ended March 31, 2024. Also, for first six months of FY24 we had a market share of 58.50%.
2. Our overall APE growth is 23.86% on a Year on Year basis. This represents strong underlying secular growth in both Individual and Group Business.
3. Our Non Par share of Individual APE business has further grown to 26.31% for H1FY25 as compared to 10.76% of the same period for previous year.
4. VNB has also increased by 37.74% on a Year on Year basis for first six months of FY25.
5. VNB margin have shown as positive bias with a 160 basis points increase to 16.2% for H1FY25.
6. IEV has increased by 24.01% on a Year on Year basis for first six months of FY25.
7. AUM has increased by INR 7,96,127 Cro

re in H1FY25 registering a growth of 16.78% on a Year on Year basis.
8. While maintaining growth in all parameters we have kept a focus on costs and as you can see the Overall expense ratio is down by 240 basis points to 12.74% in H1FY25.
9. Our agency is growing in numbers and now stands at 14.40 lakh as at end of H1FY25 increasing by approximately 7% Year on Year.

Now, I would like to end by stating that:

“We are focused on adapting and evolving in line with market demands and regulatory expectations, while staying true to our core values of “Yogakshemam Vahamyaham” which means “Your Welfare is my Responsibility”. The results of this half-year demonstrate both our resilience and our commitment to sustainable growth, built on foundations of decades of trust, customer-centricity and life cycle product design.”

I now request the moderator of this call to open the floor for the Question and Answer session.
Thank you,
Moderator: Our first question comes from Avinash from Emkay Global.
Avinash: Two questions. The first one is on the margin movement sequentially, particularly for the par products. So the first quarter margin is close to 7%-odd. And now the first half margin is close to 10%-odd. That suggests that, I mean, if we were to do that math, the Q2 margin for par has suddenly gone to a different level, like 14%-odd.

Now in the same period, I mean, there has not been much of a changes in the economic renewal, including interest rate. What has changed, I mean, that is kind of leading to such volatility in the par product margin where margin is supposed to be more stable. So if you can just help because, I mean, if I see the non-par, if I see the group, margins are where they are typically more or less stable. So if you can just help us understand this par margin?
And the second question now will be more related to what is happening on the regulatory front, this new surrender regulation and all. And if you -- if we see the persistency, the persistency for you is still on the lower side. And now with this kind of a higher surrender value, you will have to adjust. Now if you were to protect your margins, you will have to sort of cut the payout to the agent that will be again a challenging task.
And more than that, how is your par products going to remain attractive, because there are kind of a double whammy on the bonus -- your ability to pay bonus. One is the new surrender regulation and in the past anyway, the fund bifurcation would have some impact. In this backdrop, the par product attractiveness comes under question. So these are my 2 questions.
K.R. Ashok: On the par margin, though it is -- you have compared the quarter-to-quarter movement. Actually, what happens is the -- we have a sort of a business cycle among the various quarters. So the directly comparing the quarter-to-quarter movement may not give a clear picture. However, since you have asked, let me throw some light on why the par movement -- par margins have moved up during this quarter.
What exactly has happened is this quarter has been a bumper business you must have noticed for our -- for the corporation. And we have seen -- noticed that the within the par business, there has been a very good movement towards certain products, which give us a good margin. So that is specifically -- that is a specific reason why the par margin has moved up during this quarter.
Avinash: And the second question, that is around...
Dinesh Pant: Yes. As far as the second part of your question, which was on surrender factors, you would appreciate that when this regulation has come, prior to this, we had some 64 products. In a calibrated approach, we have launched only 32 products in the first tranche and now some more products being launched in October.
While doing this, we have looked into various aspects. Many of the products have undergone revisio

n in premium rates to factor for the benefits, probabilities of those high benefits. Design changes have also been done.
So considering all the trends and economic parameters being same -- expected to be same, then the margins would not get a hit on the account of those products. In fact some of the high yielding -- high-margin products, seamlessly have been retained even the benefit and for the intermediaries have also been retained. So we have realigned our product offering to ensure that there is no adverse effect on the margins because of that thing.
But beyond that, we are working in a manner because we understand the approach for us cannot be only margin-driven. It has to be ultimately to overall profit driven VNB being enhanced as

well as the embedded value being taken into consideration. So all those needful steps have been taken to align to ensure that our journey remains on the line on which we have planned.
Moderator: The next question comes from Uday Pai from Investec.
Uday Pai: I just had 2 questions. Firstly, since your non-par share has increased materially, can you share some light on your hedging strategy? And your peers have seen some margin impact due to yield curve movements. So how are you hedged on that, some light on that? And secondly, your number of policy for the month of October that was released today by LI counsel has reduced significantly. So is that the new product filing delays or something like that? Can you give some colour on that as well?
Dinesh Pant: See, as far as non-par hedging strategy is there, we have all the policies and processes and

systems in place. And very soon, we'll be into the context for this hedging purpose also. Yes, the interest rate movement is something to be essentially looked into whenever the hedging strategy is being worked out. And the interest rate in pricing will have to be dependent upon the available investment opportunity, hedging opportunities. So that will take care -- second part of the question...

Management: October number of policy...

Dinesh Pant: Yes. As far as October NOP is concerned, we will have -- see, we are conscious that some of the parameters of the important issues for us has been like ensuring persistency. So we have rejigged some of the products. Last year also that we had done some of the products which were selling in good numbers, but where the persistency was a challenge, we had withdrawn them. In the new product offerings also, we have revisited the minimum sum assured levels, which were there where we found challenges in terms of persistency.

We are aware that in the initial basis, as our intermediaries get used to the higher ticket size or appropriate ticket size, which is not only from a consistency point of view, but from the point of view, the ultimate customer delivery at the point of maturity or at the time of any eventuality which happens. So initially, we were aware and we are aware that in this month, there could be an impact, but we are confident that going forward, like the strategy we adopted for non-par, this will become the norm, and we'll pick up on this.

Moderator: The next question comes from Supratim Datta from Ambit.

Supratim Datta: My first question is on the hedging strategy. Now you indicated that the processes and systems are in place, do you know, when could we see that the par mechanism -- you entering that par market, if you could give us some time line that would be helpful?

And 2, the other thing that I wanted to understand on this part is now once you have that mechanism in place, how would that increase your competitiveness with some of the private peers when it comes to yields on the non-par side? If you could give some colour on that? Could you -- give higher interest rates or you will remain at the current IRR level. If you could give some colour on that, that would be helpful.

Now again, trying to understand the second question is on the September, there was a big jump in growth in September that we saw. Was that a result of some fully forward in demand, because on 1st October, the surrender value was changing -- surrender value regulation was changing. So if you could give us some colour on that?

And lastly, when I look at your VNB movement, you addressed it in our previous participant's question on this regard. So I just wanted to understand in a bit more detail. So when I look at the VNB walk, your operating assumptions have turned slightly positive compared to being negative in the first quarter. While your economic assumptions have been more -- maybe had a larger negative impact. So just wanted to understand that is the operating assumption improvement only due to operating leverage because the growth was very strong? Or is there something else also at play?

K.R. Ashok: Yes. I'll take that VNB movement question first. As regards to the VNB movement, you must have observed that the business mix is the leading contributor to a good improvement in the VNB margins. And the level of improvement is to the extent of 4.3% due to improvement in the business mix.

The non-par businesses has grown. A considerable proportion has improved in the half year that is -- it has moved from -- in the individual business, it has moved from 7.6% to 18.2%. And overall, it has -- the proportion has moved from 4.9% to 11.8%. Actually, this increased because our -- if you look at our -- the proportion of non-par business, within the non-par business, we are strong in the savings product. And therefore, this has increased the -- helped us to increase the margin by 4.3%.

The negative movement due to economic assumption is due to the falling RFR across all tenors and that has contributed to the negative movement of 2.9%. And that's a small positive 0.2%, which is normally what we do is based on the experience analysis, we try to have an outlook on the -- expected outlook on the future experience, and we realign the assumptions. And we have observed that the term plans, mortality is showing improvement, and that has been factored in that.

Dinesh Pant: As far as the hedging issue that you mentioned about, typically, hedging would not help improve or make the products competitive. It only largely allows you to have better certainty when we are pricing the products. The competitiveness of product will depend upon eventual available opportunities in the investment market. And in order to ensure they are in line with the property margins. That is the reason that will be continuously reviewed in line with the -- in fact, there are limitations of the capacity in the hedging market, that is one issue that will have to be seen

when we get into it.
But as of now, our volume of business in non-par, though we have shown tremendous growth is not that alarming that hedging becomes very imminent or unavoidable situation for us. But as we already have all policies and systems in place, and as we have now picked up significantly on the non-par side, we are ready for getting into these arrangements so that greater certainty is there about pricing of these products.

Moderator: Mr. Datta, you have any further questions?
Supratim Datta: Yes. On the September, what really drove that jump in? Was that a pull forward in demand or was it some other driver? If you could give some colour on that?
Dinesh Pant:: As far as September business is there, it has not been a very conscious strategy on our part that September should become big, because we really have come out -- we are ready with the products that yet to come about. Naturally, intermediaries or markets seek an opportunity in which they feel enthusiast, possibly people wanted to cover up for the October month when

the
season for festivals are there.
And that gives an opportunity and that some of the -- even for general public also which is very fascinated by these products, they would like to take those products. So that helped us garner a good momentum among intermediaries. We always try to work every month actually, very sincerely that every month should be like September, but every month cannot become like September or March.
And it was good that we could get a good business in the month of September. And now with the new products being available with their own benefits to the customers, and the design feature, we expect after some slowness possible in October, which is expected because once we have a very good month, the following months tend to become slightly relaxed. And we also expected our agents and our marketing team to understand the new products, their nuances. We are sure that once it has percolated down the line, the coming months will be good from the business point of view.
Supratim Datta: Got it. And just 1 follow-up question. I wanted to understand how has the commission structure for agents changed from 1st October versus pre-1st October, if you could give us some colour on that...?
Dinesh Pant: As we mentioned earlier also, the purpose of all the redesigns has been that when the new product regulations have come, we have to ensure that the policyholders' benefits are in line with the expectation of the regulation. On the same side, actually, we also had to ensure that the profitability expectations from the investor point of view does not suffer. Third balancing important point is that distributors' attractiveness for the products or the distributor should also not suffer. But what we thought was that largely because the concern of the regulator was that insurance company should not benefit out of lapsed business. So that is possibly the driving purpose for higher exit values.
So it was necessary for us as a response that we ensure that in the first place, the quality of the sales is such that it is driven towards long-term survival of the policies, because that's the win-win proposition for insurance company, the intermediaries and for the public trust. So what we are trying to do is, we have no intention to reduce the benefits of our intermediary, because we have seen from the presentation from CMD also that 95%, 96% of the business is sold by them. What we are trying to develop and create a culture in which the reward should be linked to the level of the persistency. And therefore, very minimal changes have been done. But let me clarify that. In many of the products, we have not even touched the commission rate. In fact, in some

of the policies -- big ticket size policies, we have rather incentivized for better -- in fact, some of the products, we have increased the commission rate at the later stages.
So the idea is that the intermediate should not lose out on it, but our behaviour and our sales are driven in a manner so that long-term perspective is kept in mind. So that's all. In fact, some of the popular products, we have not even changed premium rates also. So wherever -- because this last point has been that the profitability should not get compromised, the quality of the business should not get sacrificed in this process and the persistent business should be rewarded for it.
Moderator: The next question comes from Aditi Joshi from JPMorgan.
Aditi Joshi: A couple of questions. Firstly, on the VNB margin walk that you earlier have provided. If we compare the VNB walk in the first quarter, there was a negative impact from the higher product

benefits. But in the first half one, it wasn't there at all. So can you please help me understand how shall we read it?
And secondly, if you look at the share of urban business, versus the rural, we have seen it has improved. So can you just help us und

erstand like what strategy you're using -- you're adopting
as you're focusing more on the urban and will it be continuing going forward?
And just last very quick question on the duration average policy term of the non-par savings. I can see in the presentation, it's somewhere around 72 years. So just wanted to understand like what is the typical premium payment term of these very long-term policy? And just -- also, you can share some trend on the hedging costs for these products. Do you see any higher hedging costs in this particular segment? And that's all.
K. R. Ashok: Yes. On the VNB movement, actually, what has happened is earlier we were showing it business mix and the benefit as 2 components. And we now align it with the market where both these components are merged and the walk which we have shown as business mix incorporates this item also.
Aditi Joshi: And I had a couple of questions more if you can address that as well.
Dinesh Pant: What is happening, as you talked about the strategy regarding urban and rural. That way, our strategy, because a large part of our business, almost if we go almost 50% to 60%, 60% around business is coming from rural places also. Now it is not -- strategy is not that we should get business from urban places only. We are equally focused in urban and rural places. All our policies are available irrespective of the geographies which are there. But different places do have different preferences.
And it is quite natural that in the urban centers, the average ticket size is higher than as compared to rural. But we have many pockets of rural where the average ticket size is even very high. So, it's not that, right? And second was about the duration, possibly that is getting reflected because some of the very large sales are happening on the side of annuities. In recently, we have reduced the minimum entry age for annuity. Earlier it used to be 35/30. Now we have even allowed from age of entry from 18 years there.

Also in our very popular products in non-par segments, which they are whole life policies. So there also the age of entry is now revised to even 18 years. So the average because the whole life is considered something around 80 years to 100 years that is how we price for it. In fact, the maturity value is taken up to 100 years. So from that perspective, the longer duration can be seen in the savings side.
Aditi Joshi: And just 1 follow-up. What is the typical premium payment term of these 2 policies that you have mentioned?
Dinesh Pant: The premium payment terms for typically for the annuity products come under 2 options. Immediate annuity means, it is bound to be single premium. And the deferred annuity option, which earlier was up to 12 years premium paying, now under the revised product filings, we have up to 5 years being offered. For the other products, the premium paying terms can be 15 to 20 years. So the premium payment -- there are limited premium products. So these are not regular premium products.
Aditi Joshi: Okay. Sure. And just 1 last follow-up. On the trends in the hedging costs that we have seen, is there any increase that you have seen in this year as compared to last year?
Dinesh Pant: As of now, actually, we have not entered into any contract into hedging cost. So that has not triggered for us at this point of time. So that cost may possibly be incurred in case of changing interest rate scenarios going upward. But that's the situation. As of now, we still have to -- so there is no hedging cost for us at this point of time.
Moderator: The next question comes from Gaurav Jain from ICICI Prudential Mutual Fund.
Gaurav Jain: First of all, congratulations to the team for such encouraging set of results. Few question from my side, sir. First is on par margins, a follow-up. So should we expect this 10.1% VNB margin for par to continue? Or was there something

exceptional this quarter? And going forward, we
should expect a little lower number?
Second, on product mix. So we are seeing very encouraging shift towards non-par in the individual is now at upwards of 26%. So what is the sustainable number towards product mix that we think we should -- we should achieve for FY '25 and say going forward?
Third is on distribution mix that we are seeing encouraging shift here also in favour of bank and alternate channels are now closer to 5% of individual NBP. So if you can highlight what are the steps that we have taken? Have we added new opening or worked with additional channels, etc?
And fourth is sir, update on the investment in SAHI that you were planning to do? Yes, that is

all.
K. R. Ashok: Regarding the par margin. If you look at the margin for first half yearly FY '24 of par margin compared to half yearly FY '25, it is flat. It was 10.3% at '24, and now it 10.1%. So this 10.1% is not something which is completely out of place. So you will have to...
Gaurav Jain: Should be sustainable.

K. R. Ashok: From that, yes.
Gaurav Jain: On product mix, sir, non-par.
Dinesh Pant: On the product mix on non-par, the impact of the margin is being...
K. R. Ashok: You want to know the impact of margin due to product mix going forward?
Gaurav Jain: No sir, my question is, what should be the sustainable product mix that we should see? Should we expect this non-par as a percentage of individual APE to continue? Or was there something exceptional this quarter?
Dinesh Pant: Yes. See, there our strategy is very clearly that we want to have a modest growth as far as the par growth is concerned. And in non-par, we consider that the pace of growth should continue and shall continue in this manner only. So participating business, has been slightly dipped from single digit negative has been there. Our endeavour is that even this should continue its journey, it should not be negative. So we are working towards direction in participating should grow. But we continue to -- we expect the nonparticipating business growth to continue on these lines or...
Gaurav Jain: Next question was on distribution mix. We have seen bank and alternate channel share increasing. So what steps have we taken and...
Hemant Buch: The approach has been to expand the partnership bandwidth and engagement with the overall relationship size that we have in bank and alternate portfolio. And that has helped in the sense is that we could add some significant kind of partnerships on the bank side. And to be precise, we have added 2 major banks within first 6 months. One being IDFC first and second being Canara, which has started delivering in terms of volume.
And at the same time, we have also started leveraging in the form of engaging more with the alternate side that is through marketing firms as well as broker side. And that also has been given very encouraging kind of response in terms of overall numbers. So this focus will continue with more engagement in terms of expanding the bandwidth, both on Banca and Alternate Channels side and we are hopeful of continuing with the same growth momentum and improving our share within the overall performance of the corporation going forward.
Gaurav Jain: Last question on update on investment, any plan, sir?
Dinesh Pant: Investment -- what is the question? Come again, please.
Gaurav Jain: Standalone health insurance, sir?
Dinesh Pant: See, as far as a stand-alone insurance is concerned, our CEO & MD has already discussed and elaborated upon that. That's a very interesting and exciting sector for us to look at. We are looking for all the opportunities there, and it's a work in progress with great enthusiasm and focus into it. So it's a work in progress. We are going in that direction. It's a growth opportunity area. So, we consider that it's a good ally for life insurance.
Moderator:

Next question comes from Prayesh Jain from Motilal Oswal.

Prayesh Jain: Sir, just firstly, on the commission structures, there has been a lot of talk in the media about the agents showing dissent over all the commission structures, particularly on the upfront commissions going down. And secondly, also, there are some clawbacks as well. So is there -- is the comfort given to the agents? Or where are we in that? And how do we see this going ahead in that sense?
Siddhartha Mohanty: Commission has been realigned -- it is not reduced to whatever was given during the entire duration of the policy, agent still gets that. So some restructuring has been done. So there is no reduction per se, which is perception now.
Prayesh Jain: Okay. And are there any clawback clauses for the agent?
Siddhartha Mohanty: Claw back, that is an enabling provision, we are not going to implement it. It depends upon our experience, because the new products have been filed from first October, we are selling products as per the new regulation. So depending upon our experience and my belief is that there will no need to implement the clawback provision, that will not be required in LIC.
Prayesh Jain: So in the current product, there is no -- in the current structure, there is no clawback? It is an enabling provision that you have taken wherein with your experience in future, if need be, you

will implement a clawback by intimating the agents?
Siddhartha Mohanty: Now we have not implemented a clawback.
Prayesh Jain: Okay. Got it. And sir, the second question is again on urban versus rural and rural has been your homestay relative to the other players in the market, the private players are now looking to get into Tier 2, Tier 3, expanding their brand presences, hiring far more agents at a much more rapid pace. You indicated that the market share in a number of agents has been reducing for us. So in that sense, do you see that you need to alter your product rates or commission structures in a way to maintain your position in the rural areas? Or how do we see this kind of panning out?
Dinesh Pant: Yes. As far as benefits to the distributor has to be considered, we have to be cognizant of the fact that the new AM regulations do allow insurance companies including us to decide we pay structure for the distributing channels in reference to the different parameters as per the approved policy. Commission is one of the basic benefits, which flow to the distribution channel. There are many other things like rewards, the membership benefits, different club membership, depending on their performance level, all those criteria are there. So we are open to have the benefit structures not necessarily commission is decided in a manner because it's become fixed and guaranteed as a part of the pricing of the products.
But depending upon our experience as it emerges, we can introduce rewards and benefits for the intermediaries to encourage the movement and the business to be driven in the areas, which is beneficial for having a wider spread, bring value for the customers, like if we have to segment -
- go for the rural segments or for the policy points or model points, where the profitability is high.
So that option remains open, and we do exercise that option often. So let's not take that commission is the only thing which is paid to the intermediaries, depending upon the

requirements of the institution as well as for the quality of the business different benefits. In fact, LIC offers its agents long-term benefits like gratuity, you know, sort of pension, group insurance scheme and many of the club member benefits, including many other benefits are available to them, which is linked to their performance on this parameter, which organization sets for the performance level.
Prayesh Jain: Got it. And

thirdly, sir, on the SAHI on the health insurance, unless -- so is it here that unless the composite license comes through, you cannot acquire stake in any SAHI, right? The composite license has to come through for you to take stake in a stand-alone health insurance company, right?
Siddhartha Mohanty: It has nothing to do with composite license. We want to buy some stake in stand-alone health insurance company so that can be without the composite license.
Prayesh Jain: Okay. So would there be some restriction on acquiring a certain amount of stake?
Siddhartha Mohanty: There is no such restriction. As of now, there is no such restriction. But our investment regulation, it has its restrictions. Within that we have to operate.
Moderator: The next question comes from Dipanjan Ghosh from Citi.
Dipanjan Ghosh: Sir, just a few questions from my side. Firstly, when I look at your persistency ratios, be it for 2Q or 1H, across the few buckets, we are seeing deterioration. So just wanted to -- and especially in the early buckets, 13th month, for example, in 2Q is moving fully down. So I just wanted to understand, is it more of a function of mix change towards a little bit of high ULIP or if you can give some colour on the product level persistency how you are seeing that evolving, let's say, over the past few quarters?
Second question is more on the embedded value. I know that you don't give the breakup for the first half. But if you can at least give some colour on whether the operating variance would be positive on a Y-o-Y basis or up? And also, if -- correct me if I'm wrong, but has unwinding rates gone down a little bit? And if so, is there a change in the real world excess return that you're assuming?
The third question is on the investment mix in the non-par, given that the mark-to-market movements have been quite sharp, what would be the investment mix in your non-par book currently?
And the last question is going back to the surrender charge. The way I see it is this current circular on the backdrop of your persistency ratios basically means that there is a certain amount of drag that should come in everything else remaining constant. Now there are only a few places, which the drag can be absorbed either in your own margins or as lower as higher premiums for the customer or maybe at the distributor level.
Now your commentary seems to be that almost all these things will remain unchanged or in some cases, actually the distributor might be well off also for certain high-ticket policies. So just

wanted to get an understanding of which of these 3 aspects or where is the pain really going to get absorbed, I mean, if you can give some broad qualitative colour on that?
K. R. Ashok: Yes, I'll take the question on IEV operating variance. Actually, the RoEV of annualized RoEV is similar to what we have reported for half year '24, which is at close to around 11.8%. The unwinding for half year '25 is slightly a notch above the -- what we have reported for half year '24, and it is around 9.5%.
Dinesh Pant: So as far as non-par investments is concerned, I guess you're asking in context of the policyholder fund, not solvency margin. So around 9% to 10% of the value is in equity. You would expect that in non-participating funds actually there's a greater asset liability matching requirement and the discretionary benefits not being there, the larger component of investment is in the fixed security. So in line with that principle, around 9% to 10% roughly would be the amount, which would be invested in the equity portion. The balance is in fixed.
As far as persistency is concerned, I would say half of the statement is correct, because you mentioned about 13-month persistency as was clarified in the initial speech. 13th and 25th persistency from the policy point policy, context is positive as compared to the comparable period. I

n fact, the 25th month persistency, 49th is also positive from the premium point of view.
Yes, we agree that, in fact, a lot of steps have been taken by us in terms -- in the previous years in terms of correction at the point, for example, micro products where we were.. low persistencies, but possibly that impact did not flow fully because the volumes were not that high.
You would have noticed that in new products, which we have launched in the month of October also, we are again reviewed minimum ticket size in mostly those products where we were experiencing lower persistency in the lower ticket size. So that we have tried to rationalize. So that our journey to better persistency continues.
Similarly, we have tried to, as I was explaining earlier also incentivized the behavior, for example, putting in extra rewards for policies with high ticket size or based on the longer duration to which they can -- they run. So that this persistency continues. In fact, some of the products, which were earlier available and which we have yet not launched because we still have the window for modifying the products. We have held them back only for the reason, because we did not have great persistency experience there.
So those also we'll relook so that the modified version of them comes in a manner so that it further helps the persistency. In fact, besides that also, at operational level also, the mode of payments and all those things also, we have relooked in many things, many low ticket size policies, for example, 1 lakh policies, which we consider are important for a wider spread of insurance and reaching nook and corner of the society in line of the Vision 2047.
But we have tried to address those low-ticket size policies still being offered, but in the mode, in which the persistency experience is good. So these are all steps we are continuously working out so that we continue to have a better persistency experience.

And the point that the 13th month consistency in count of policies and 25th month persistency in count of premium also has shown improvement is evidence that the steps taken in the direction has yielded the result.
Dipanjan Ghosh: And just the last question was on the surrender part. I mean, where is it getting absorbed exactly? I mean there has been a change in the surrender norms, right? So anything else remaining constant, there would be a certain negative cash outflow drag, right, over a longer time horizon, assuming everything else remains constant.
Now you obviously picked the product design. You mentioned that you have not materially changed the commission structure. In fact, in some cases, commission structure might have actually improved also. You also mentioned earlier in the call that margins should broadly remain where they are and in some cases, you have maybe taken a little bit of premium hike. So I just wanted to understand, in which of the areas, I mean the stakeholder, right, the corporation, the customer and the distributor right? So who will clearly going to bear the pain of this negative drag exactly?
Dinesh Pant: We would want that nobody should bear the pain of this. It should be a win-win proposition, because the spirit of the regulation, which is that customers should get value has to be ensured.
So what I was suggesting earlier also that what we are trying to do is, we have looked into the possible cost impact on the benefits of this and therefore, necessarily repriced our products where we felt this could be an issue. Similarly, while we are saying that we have not reduced overall

commissions, as our CEO & MD we explained earlier, we have redesigned them and in fact, so that what was being paid in the first year is now being paid, say, in the third and fourth years. So that when the policy goes along, the commission gets paid. So it is not denied, but it is linked to the continu

ity of the policy, because as you rightly mentioned, there is going to be impact -- financial impact. So to that extent, it limits and restricts the financial impact to that extent. Similarly, we have, in fact, made certain changes in our products. So that the benefits, it's not that if one year premium is paid or not paid and the benefits go away. We are giving proportionate benefit of the policy in the ratio to the premium we have paid. So that the customer sees the value that even if you're not able to, for example, if you take a high ticket size policy, if you're not able to run it beyond certain number of years, you do not lose out, you continue to get proportionate benefit. And -- so that you get whatever things you have decided to plan for you at the maturity or in any other eventuality, in proportion to the premiums paid.
So the aim is that we redesign features in a manner so that the lapsation itself should go down, policy should continue longer to the benefit of the customer as well as for the distributors, because it's not only about the first year commission. Let's not say because if we -- any distributor is -- or for any seller is just looking into the first year as the source for commission or income only. I think there is a basic defect in that entire business planning. It has to be seen across the long term of the policy. And we believe that with this, even the quality of the business that will come will be improved.

And another thing is that while their first year expenses -- may go up because of the higher surrender value, it does not necessarily mean that customers will choose to surrender their policies, because still they will lose out a significant portion of the premium.
So there can be a situation, and we expect the situation in which possibly the customer will see now more confidence and more liquidity being available in the product and maybe more sales can happen. So we all have to see how actually the situation comes about. As of now, we have repriced the products. We revised the products and the features in them so that all these parameters are balanced out.
And we'll continue to review our products as and when situations demand, we'll review them further also. And we'll continue to address. It's not about confining to the existing product. We have filed more products also. And we believe that beyond the returns only, we want to focus on the health protection side of it. We have shown tremendous growth in ULIP products, where there's hardly any impact of these changes.
And plus, we'll continue to, and we are really filed -- and we'll continue to work on the product where the concentration is not only in terms of returns, but it is also about the various features, which are the products which suit to their lifestyle requirements. So we have to operate in the regulatory environment in which the expectation is there, and we'll try to work out for a win-win formula from here.
Dipanjan Ghosh: Got it. Sir, just one follow-up on the first answer, which is on the operating variance. I did not really understand. Did you mean that it's positive during the first quarter? I mean...
K. R. Ashok: See operating -- I'm talking about ROEV, that's return on embedded value due to operations. And that was -- we have -- it will stay flat at the same as last year. Last year, it was 11.8% for the corresponding period. And currently, it is staying at the same number.
Moderator: Ladies and gentlemen, as we are beyond our conference time, we'll conclude this conference. So I'll hand the conference over to Mr. Mohanty for closing comments.
Siddhartha Mohanty: So thank you, friends. As we conclude our discussion for the first half of FY 25, I want to express my sincere gratitude to every one of you for your continued trust, partnership and engagement with LIC. Your insights and questions today reflect the bes

t of understanding of LIC's business, and I hope we have addressed them in a way that reinforces your confidence in our strategy and direction.
Thank you once again for your valuable time, trust and support. We look forward to engaging with you further in the upcoming quarters and delivering on the commitment we have shared today. Wishing you all the very best. Thank you.
Moderator: Thank you. On behalf of LIC, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

Ref. No.: LIC/SE/202 4-25/172 Date: February 14, 202 5
To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumba i-400001
The Manager
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
Mumbai -400051
Scrip Code: 543526 Scrip Code : LICI

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call with the Analyst/Investors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analyst/Investors held on February 07, 2025.
The said transcript is also available on the website of the Corporation and can be accessed from the link: https://licindia.in/web/guest/call -transcript -of-analysts -/-investors -meet .
Please take the above information on record and arrange for its dissemination .

Yours faithfully,

For Life Insurance Corporation of India

(Anshul K umar Singh)
Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
Q3 FY'25 Earnings Conference Call"
February 07, 2025

MANAGEMENT : MR. SIDDHARTHA MOHANTY – CEO & MD – LIFE INSURANCE CORPORATION OF INDIA
M R. R. DORAISWAMY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. M. JAGANNATH – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. TABLESH PANDEY – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. K. R. ASHOK – EXECUTIVE DIRECTOR, ACTUARIAL TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – FINANCE TEAM – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR,

INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT
OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR,
INVESTMENT -BACK OFFICE, INVESTMENT TEAM – LIFE
INSURANCE CORPORATION OF INDIA
M R. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING
AND CHIEF MARKETING OFFICER – LIFE INSURANCE
CORPORATION OF INDIA

M R. HEMANT BUCH – EXECUTIVE DIRECTOR, MBAC –
LIFE INSURANCE CORPORATION OF INDIA
M S. MANJU BAGGA – EXECUTIVE DIRECTOR, PENSION AND
GROUP SCHEME – LIFE INSURANCE CORPORATION OF
INDIA
M R. C.V. RAMANA – EXECUTIVE DIRECTOR – CUSTOMER
RELATIONSHIP MANAGEMENT , POLICY SERVICING – LIFE
INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE
INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good evening and welcome to the LIC's Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. We have senior management of LIC led by Mr. Siddhartha Mohanty, CEO and MD on this call.
I now hand the conference over to Mr. Siddhartha Mohanty, CEO and MD, LIC. Thank you, and over to you, Mr. Mohanty.
Siddhartha Mohanty: Good evening, everyone. I am Siddhartha Mohanty, Chief Executive Officer & Managing Director, LIC. I would like to welcome all of you to the results and performance update call of Life Insurance Corporation of India for the nine months period ended December 31st 2024.
Our results declared today have been uploaded along with press release and the Investor Presentation on our website as well as the websites of both the exchanges - BSE and NSE.
Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director & Mr K. R. Ashok, Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the Finance team, Mr. Ratnakar Patnaik, Executive Director (Investment-Front Office & CIO) and Mr K.

Seshagiridhar, Executive Director (Investment – Back Office) from the Investment team, Mr. R. Sudhakar, Executive Director (Marketing & CMO), Mr. Hemant Buch, Executive Director (MBAC), Ms. Manju Bagga, Executive Director (Pension & Group Schemes), Mr. C. V. Ramana, Executive Director (CRM/Policy Servicing), and Mr. Sanjay Bajaj, Head (Investor Relations).

I would like to start by thanking each and every one of you for taking the time to join us on this investor call, despite the late evening hour on a Friday. We appreciate your interest in LIC's performance and your ongoing support.

Let me now mention the key business, operational and financial highlights for the nine months period ended December 31st, 2024.

Premium Income:

For the nine months ended December 31st, 2024 we have reported a Total Premium Income of INR 3,40,563 Crore as compared to total premium income of INR 3,22,776 Crore for the nine months ended December 31st, 2023 registering a growth of 5.51% on Year on Year basis. The Individual New Business Premium Income for nine months ended December 31st, 2024 was INR 42,441 Crore and for the corresponding nine months of last year it was INR 38,679 Crore thereby registering a growth of 9.73 % on Year on Year basis. Renewal Premium Income (Individual business) for nine months ended December 31st, 2024 was INR 1,78,975 Crore as compared to INR 1,71,040 Crore for nine months ended December 31st, 2023. Therefore, for the nine months period ended December 31st, 2024, our Total Individual Premium Income

including renewals was INR 2,21,416 Crore as compared to INR 2,09,719 Crore for nine months period ended December 31st, 2023 registering a growth of 5.58 % on

Year on Year basis.

The Group Business total premium income for nine months ended December 31st, 2024 was INR 1,19,147 Crore comprising of New Business Premium of INR 1,15,576 Crore. In comparison, for nine months ended December 31st, 2023 last year, the Group Business total premium income was INR 1,13,057 Crore and comprised of New Business Premium of INR 1,08,796 Crore. Therefore, for this nine months ending December 31st 2024, the Total Group Premium has increased by 5.39 % as compared to similar period of previous year.

Market Share:

Our market share by First Year Premium Income for nine months ended December 31st 2024 was 57.42% (as per IRDAI) as compared to 58.90% for the similar period ended December 31st, 2023. Once again, we have maintained our dominant position in the Indian life insurance market and continue to be the leader in both - Individual as well as Group business segments.

Now, if we bifurcate this overall market share of 57.42% into segment wise share of individual and group business, we would have a market share of 37.21% in Individual business and 71.70% in the group business for the nine months ended December 31st 2024. On a comparable basis for the nine months ended December 31st 2023, the respective market shares for Individual and Group business were 38.74% and 72.24%, respectively.

Break Up of Business on APE basis:

Total Annualized Premium Equivalent (APE) for nine months ended December 31st 2024 was INR 37,975 Crore which comprised of Individual APE of INR 24,612 Crore and Group APE of INR 13,363 Crore. Therefore, on APE basis, the individual business accounts for 64.81% and Group business accounts for 35.19%. Further, of the Individual APE, the Par business accounts for INR 17,799 Crore and Non Par amounts to INR 6,813 Crore. Therefore, our Non Par share of Individual APE is 27.68% and Par is 72.32% for nine months ended December 31st 2024.

As you may recall, for the nine months period ended December 31st, 2023, our Non-Par share of total individual business, based on APE, stood at 14.04%. Since then, our Non-Par APE has increased substantially from INR 3,299 Crore to INR 6,813 Crore. This marks a significant year-on-year growth of 106.52% in Non-Par APE. As you will observe we are being extremely consistent in implementing our product mix strategy which includes shift towards Non Par business.

Profit After Tax:

The Profit after Tax (PAT) for the nine months ended December 31st 2024 was INR 29,138 Crore as compared to INR 26,913 Crore for nine months ended December 31st 2023 registering a growth of 8.27% on Year on Year basis.

VNB and VNB Margins:
Net VNB was INR 6,477 Crore for the nine months ended December 31st 2024 as compared to INR 5,938 Crore for the nine months ended December 31st 2023 registering a growth of 9.08% on Year on Year basis. Further, the net VNB margin was 17.1% for the nine months ended December 31st 2024 as compared to 16.6% for the nine months ended December 31st 2023 showing improvement by 50 basis points on a Year on Year basis.
Solvency Ratio:
The Solvency Ratio as on December 31st 2024 improved to 2.02 as against 1.93 on December 31st, 2023.
Assets Under Management (AUM):
Assets Under Management (AUM) as on December 31st 2024 was INR 54,77,651 Crore as compared to INR 49,66,371 Crore as on December 31st 2023. Therefore, our AUM has registered a growth of 10.29 % on Year on Year basis.
Product Mix and New Product launches:
Post the implementation of the IRDAI (Insurance Products) Regulations, 2024, effective from October 1st, 2024, we have launched a comprehensive suite of 38 products as of December 31st, 2024, which include 24 individual products, 8 group products, 5 individual riders and 1 group rider, all of which are fully compliant with the regulatory requirement related to Surrender Value and the IRDAI Master C

ircular on Life Insurance Products.
No. of Policies Sold :
During the nine months ended December 31st, 2024, we sold 1,17,10,505 new policies as compared to 1,25,56,046 new policies in nine months ended December 31st 2023, registering a decrease of 6.73% over the corresponding period of last year.
Agency Workforce:
As on December 31st 2024, the total number of agents was 14,19,480 as compared to 13,73,761 as on December 31st 2023. The market share by number of agents as on December 31st, 2024 stands at 47.40% as against 49.67% for December 31st 2023.
On number of policies sold basis, the agency force sold 1,13,56,466 policies during the nine months ended December 31st 2024 as compared to 1,21,15,643 policies during the corresponding period of last year registering a decrease of 6.27%. Further, approximately 97% of our policies in the nine months ended December 31st 2024 were sold by our Agency force. Even on premium basis, around 95% of New Business Premium came from our Agency channel in the first nine months of current financial year.

Contribution by Banca and Alternate Channel (BAC):
The Banca Channel collected New Business Premium Income of INR 1,451.64 Crore for the nine months ended December 31st 2024 and for the corresponding nine months of last year it was INR 1,106.12 Crore thereby registering a growth of 31.24% on Year on Year basis. Further, the Alternate Channel collected New Business Premium of INR 552.31 Crore for the nine months ended December 31st 2024 as compared to INR 422.94 Crore for nine months ended December 31st, 2023 registering a growth of 30.59% on Year on Year basis. Therefore, for the nine months ended December 31st 2024, total New Business Premium collected by Banca and Alternate Channel was INR 2,003.95 Crore which was INR 1,529.06 Crore for the nine months ended December 31st 2023 registering a growth of 31.06% on a Year on Year basis. With this the share of Banca and Alternate Channel by New Business Premium has increased to 4.73% for the nine months ended December 31st 2024 as compared to 3.96% for similar period last year. Further, the Banca and Alternate Channel sold 3,47,766 policies for the nine months ended December 31st 2024 as against 4,36,006 policies for nine months ended December 31st 2023 registering decline of 20.24% on Year on Year basis.
Our Overall Expense Ratio:
For the nine months ended December 31st 2024, the overall expense ratio was 12.97% as compared to 15.28% for the first nine months of last year. Therefore, there is decrease of 231 basis points on Year on Year basis.
Persistency:
On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the quarter ended December 31st, 2024 stands at 76.66%, 71.67%, 67.10%, 63.39% and 61.84%, respectively, as compared to 78.00%, 71.92%, 67.28%, 64.92% and 62.40%, respectively upto the quarter ended December 31st 2023.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the quarter ended December 31st 2024 stands at 67.47%*, 60.10%, 53.84%, 51.17% and 49.22%, respectively, as compared to 67.22%, 58.59%, 54.80%, 52.01% and 50.23%, respectively, upto the quarter ended December 31st 2023.

We are committed in our ongoing efforts to keep improving persistency across all cohorts.

Operational efficiency and Digital Progress:

In our digital initiative through the Agent assisted ANANDA app, we have completed 9,72,504 policies through this App during the nine months ended December 31st 2024 as compared to 7,84,856 policies for the period ended December 31st 2023 thereby registering a growth of 23.91% on Year on Year basis. There was a growth of 27.36% in number of active agents in ANANDA app for nine months ended December 31st 2024.

* Erratum: to be read as "66.47%"

DIVE (Digital Innovation & Value Enhancement) and Jeevan Samarth Initiatives:

Our DIVE (Digital Innovation & Value Enhancement) and Jeevan Samarth initiatives, led by Boston Consulting Group and AT Kearney, respectively, are progressing well. These initiatives are aimed at driving digital transformation, enhancing customer experience and agency transformation. We are confident that these initiatives will have a significant impact on our business and help us to improve operations.

Claims:

On the individual claims front, during nine months ended December 31st 2024, we have processed 1,45,92,285 number of claims which includes 1,39,70,059 Maturity and Survival Benefit claims. On an amount basis during first nine months ended December 31st 2024, the total maturity claims were INR 1,47,739 Crore and the total death claims were INR 17,588 Crores. On a comparable basis for first nine months of last year ended December 31st 2023, the maturity claims were INR 1,30,222 Crore and death claims were INR 16,288 Crore. Therefore, the death claims are higher by 7.98 % and the maturity claims are higher by 13.45 % on a Year on Year basis.

New Marketing initiatives – Empowering Women through Bima Sakhi Yojana:

Bima Sakhi Yojana or Mahila Career Agent Scheme was launched by Hon'ble Prime Minister on 9th Dec 2024 which is a step towards Viksit Bharat through empowerment of women. LIC is proud to be associated in the nation's progress by including women as partners by providing them with opportunity of becoming Bima Sakhi and thus becoming self-reliant. The Bima Sakhi scheme has been received by the nation with great enthusiasm. Till date more than 1,25,000 women have been registered out of which more than 70,000 Bima Sakhis have been appointed.

Awards and Accolades:

The list of awards won during nine months ended Dec 31st 2024 is presented on Slide No. 61 of the Investor presentation which signify that LIC is a customer-centric and innovative organization that is committed to excellence in all aspects of its business. It also acknowledges LIC's outstanding performance in the life insurance industry, demonstrating its ability to deliver exceptional results and achieve its goals.

Before I close, I would like to list down significant achievements during the quarter:

1) PAT has registered a growth of 8.27% on a Year on Year basis to INR 29,138 Crore.
2) Our overall APE growth is 6.11% on a Year on Year basis. This represents strong underlying secular growth in both Individual and Group Business.
3) Our Non Par share of Individual APE business has further grown to 27.68% for nine months ended December 31st, 2024 as compared to 14.04% of the same period for previous year.
4) VNB has also increased by 9.08% on a Year on Year basis for first nine months of FY25.

5) VNB margin has shown a positive bias, with a 50 basis points increase to 17.1% for nine months ended December 31st, 2024.
6) AUM has increased by INR 5,11,280 Crore as on December 31st 2024 registering a growth of 10.29 % on a Year on Year basis.
7) While maintaining growth in all parameters we have kept a focus on costs and as you can see the Overall expense ratio is down by 231 basis points to 12.97% for nine

months ended December 31st, 2024.
8) Our agency is growing in numbers and now stands at 14.19 lakh as at end of December 31st, 2024 increasing by approximately 3.33% Year on Year.
Now, I would like to end by stating that:
“Our results demonstrate the resilience and adaptability of our organization, as we continue to navigate the evolving landscape of the life insurance industry. As we look ahead to the remainder of FY25, we are cautiously optimistic about our prospects. We expect the life insurance industry to continue growing, driven by increasing awareness and demand for insurance products. We are well-positioned to leverage this growth, wi

th our strong brand, extensive distribution network, and innovative products.”
So thank you, friends. Now we are open to questions.
Moderator: Thank you very much. Our first question comes from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.
Avinash Singh: Two questions. The first one is on margin. And here, I am looking how the margins were at first half vis-à-vis how they have gone to 9 months. Now between first half to 9 months, if I were to look, if at all the bond yields have softened may be by 10, 15 basis points, and you also had this new surrender value regulations implementation.
Now in this backdrop, we get the par margins, if I just try to take out Q3 has gone up from, say, 10% in first half to 13% for the quarter, taking the cumulative margin to 10.8%, so this 13% for par. Similarly on the non-par also, these are just marginal uptick.
Now this despite the bond is softening and surrender regulation implementation. So what had been the kind of underlying drivers? I mean, how did you have you kind of a change in a way you pay out the distribution commissions? Or you have dramatically changed the benefits in your products? What had changed that has kind of driven this margin improvement despite the bond yields going down on this implementation of new surrender value regulation? So that's question one.
And question number two is now on your non-par savings, particularly the non-par saving, not ULIP or not annuity, non-par saving, the regular non-par guaranteed saving product, now that is a reasonably big number even for your balance sheet of your size. Now your individual non-par APE is INR 3,000 to INR 3,100 crores for the 9 months, almost like up 120%.
Now can you please help us, how are you now hedging the -- your -- this guaranteed risk? Have you kind of started entering into FRA agreement or something else? Because now this number

has become pretty, pretty big. I mean until last year, these numbers were kind of manageable in the balance side -- balance sheet size of yours, but now this is becoming bigger and bigger. So have you already started kind of entering into FRA agreement and all? How are you hedging this kind of interest rate risk in this guarantee product? These are my 2 questions.
Dinesh Pant: Yes. Good evening. Dinesh Pant, here. To your first question on margin maintenance, see, there are 2, 3 things which are very critical here that post 1st October 2024 when we have to implement Product Regulations. As we all know, the surrender value methodology as well as the payouts have changed, and that would have had an impact on the viability of the product, of course, on the margins also.
So from that point of view, we did some critical changes in our products and since we mentioned about participating products. Besides the point of ensuring that we should be compliant to the regulation, the ultimate focus was the profitability of the product as well as the persistency of the products to be ensured going forward. So certain changes were done.
We had a revision in premium rates in some of the products, depending upon -- not all the products. Some of the products which are already having good margins, there, we did not change. But in many of other products, we had a revisit to the premium rate.
Second important change that we did was that products which were showing less worth, I would say, or reducing impact on the persistency, we revised their minimum ticket sizes because we clearly know that based on the ticket size, the experience of persistency changes. So that also changed so that the expected behaviour post surrender should not cause us a dent.
And then thirdly, the age bands at which we are going to provide these products was also relooked. So all these things ensured that the margins, despite of the interest rate to our RFR changing to other direction, are

protected and the experience of persistency, which comes out of the product because that is directly related to the ticket size and the premium also. Besides that the mode of payments also they controlled in which ways we were seeing that the persistency experience is not good. So all of that ensured that.

And -- but beyond that, what we did in the participating. As you would have seen, from around 14.04% or so to 27%-plus. This mix of business has also played a very important factor. It is not that the margin of every line of business or every product within the non-par ones would have increased. But it has been a combination of the product mix, means the greater proportion of the non-participating business as you know, the margins is in non-participating products are better. So both these things have all played a role in participating by the revisit to the design of the product. And in overall, when we moved from 16.6% to 17.1%, that has been because of the change in portion of the overall business. So that was the first part.

As regards the second part on the derivative, I am happy to share with you that all -- since we have been telling and sharing this information, that our policies arrangement as regard to the derivative readiness were in place. And this month, we have already started the journey of entering into FRA. And we expect to start this in a good manner within this financial year and definitely going forward.

So we are already onboarded to the derivative provisioning. And we also look forward to utilizing the new announcements, which have come in RBI policy today on the bond forward also. So definitely, we are going to utilize these opportunities, and we are ready and we have started on that journey. I hope that answers you.

Avinash Singh: Just a follow-up on the first part, that if I heard you correctly, because you have kind of pruned your portfolio to sort of -- in terms of ticket sizes in band and all to sort of have a better persistency experience, that means that you are saying that, I mean, your operating assumption in terms of persistency for the policies sold after 1st October is improved versus what it was earlier? I mean you are now assuming a better persistency. That's one.

The second, again, given that how the numbers are coming, I mean, of course, you are a market leader by a wide margin. But in individual side, you have been losing markets share. And if you were to -- or rather you have cut the policyholder benefit or revised premium rates upward, don't you see that will further kind of continue to affect your market share or growth in retail business?

Dinesh Pant: You rightly mentioned, actually, there are certain aspects which we have to definitely balance in order to ensure that the profitability is maintained. But the appeal to the product is also retained. And beyond that, the third element of distributors' interest. So that's another element, which I'd liked to add when I was answering the first part of it. The realignment of the commission rates was also done along with those changes.

Now the intent for these changes was definitely not to increase the margin, but to ensure that the margins are not hit as well as the experience. Now currently, when we have calculated this margin, what we have considered is that that's why it's not a huge jump. And another important point is that the premium rates have not been significantly changed. They are very range-bound. And as I said in my first response, not in all products. So wherever the correction was required, they're only for that.

So as of now, everybody would know that it's very difficult to predict what would be the experience of surrender. But what was very clear that the payouts will be higher even at the given rate of surrender or withdrawals happening. So what we are trying to -- we are trying to protect those aspects, realig

n the commission, realign premium rates. We are very conscious about this fact that we have to ensure that not only VNB margins are protected, but VNB as well as value for the customer is very paramount.

So going forward, if this premium rate -- since you mentioned our participating products because -- just because surrender value, provisions have increased does not mean customers will start surrendering more policies now. Only possibly, they may feel more safe. They may find more liquidity in these policies, and they may get more attracted towards this policy.

Should that be the case and should that happen, it will actually -- going forward, in a year or 2, we'll get to the actual behavior. And should it help that continuity of better persistency? Possibly. There is a scope for review into the bonus rate which will be given.

So our ultimate purpose is that this should be a win-win proposition in which neither the customer should lose out, neither the investors who are invested into the insurance company

should lose out. So it's a very -- very, very tight, but very critical journey that we have undertaken. In that process, we have tried to engage with our distributing -- distributors also so that there's a proper expectation.

That's why the alignment of the incentives to the distribution force has also been done so that the behavior is driven towards higher persistency, which is definitely higher persistency and continuity means better value for the customer as well as for the agency force because longer the policy survives, longer is the payout period for the commissions. So that is the overall strategy in this context.

Moderator: The next question comes from the line of Supratim Datta from Ambit.

Supratim Datta: My first question is -- so -- since the IPO, we have been talking about initiatives to improve persistency. And I know again, in this quarter, post the surrender charge regulations, we have made changes to our policies. But when I look at the 9-month data and when I look-- the persistency has come off or has declined as compared to what was there last year.

So just wanted to understand, despite these initiatives, why isn't it really getting reflected in the numbers? I understand that the surrender impact -- the changes that you have made will come in later. But over the last 2 years also, we have made several changes. Despite that, that does not flowing into an improvement on persistency. Just wanted to hear your thoughts on that.

Two, on the hedging mechanism, I understand that you have put in place a hedging mechanism from January onwards. But would that take into consideration -- or would that take care of the rate cut that happened today? Or will it have an adverse impact on the policy or -- the VNB margins of the non-par products, which has already been written? So if you could throw some color there, given I understand you did not have external hedging before this that's why I wanted some color on that. So those are my 2 questions.

Dinesh Pant: Yes. On the first part, on the persistency, you're right that there's a dip in the persistency as observed, except for the 25th month where there's still an improvement. But you would have seen that in the past quarter, there has been a definite improvement. And we have been very concious about it, and therefore, very quick revisit and modification products that happened. And then what we deducted that in some of the products where the lower ticket sizes were existed. Actually, there was -- the persistency experience was significantly different as compared to the overall portfolio, and there was some heavy business over there. That is a reason, in those products, in this recent revision, we have increased the ticket size to the level where it remains affordable, where it remains available to the customer, but the persistency experience can be in line with wh

at we are attempting.

As to the part -- the second part on hedging, you will appreciate that when we calculate VNB margins actually, the hedging does not play any significant role. It is basically on the sensitivities around VNB where the hedging comes into play. So going forward and hedging is -- actually, we cannot control the market rate. We have no options there.

So -- but the control on the profitability or the value of the product is not just based on hedging. Should we find that the level of available opportunities even for hedging in the market are not aligned to the pricing, then there's no option but to look into the pricing itself.

So it will be a combination of sustainability of the pricing assumption coming, and that's why the opportunities are available in the financial market or derivative market as it be, or otherwise, as a relook or come out with them, possibly other opportunities should be, looking towards such lines of businesses, greater progress during those times or downtime in interest rate scenarios where the sensitivity may not be high, for example, products like ULIPs or participating, where you can actually utilize more of equity exposure to be able to manage your discretionary benefit. So it is going to be definitely a dynamic situation, and that we should be working.

Supratim Datta: Got it. Sir, I just wanted to understand then what would be -- is there a target proportion that we would like to hedge? Or how are we approaching that? In all, we would look at it based on the rates available in the market based on that, we'll design our hedging strategy every month or every quarter?

Dinesh Pant: See, we are guided by the regulations in this regard. So our entire exposure is available as a cash flow. And the challenge in hedging strategies also because it is not only for -- though it is allowed for the current cash flow, but you have to do business to get return in the future also.

So the hedging strategy by itself cannot be the solution for everything. It will have to be continuous combination of what is available in the hedging. Again, if you foresee that the interest rates are going to go down, you'll have to continue to book the derivative whatever is available because it's not again your choice.

But then you have to, again, as I was mentioning earlier, look into whether that hedging solution is in sync with your pricing rate. Should it not be the case, the revisit to pricing or restructuring of products will be there. So it is going to be a combination of both those things, which we are going to be operating here.

Supratim Datta: Just one last question. There have been news articles on open architecture in agency. Just wanted your thoughts on that given agency accounts for around 98% of your new business premiums -- individual new business premiums. If open architecture is implemented in agency, then how does that change your current training regimes or how you recruit agents and develop them? If you could throw some light there, that would be very helpful.

Siddhartha Mohanty: We have earlier made our position very, very clear. Open architecture to LIC is not a good idea because to develop any captive distribution channel, it takes a lot of time, energy, cost, everything. So if you allow suddenly your captive agency channel to work for others.

So if you see overall growth of the industry will also be impacted because if one agent works for all other companies, so companies themselves, they may not be interested to recruit because recruitment and training it involves a lot of cost. So we have made our position very clear.

And even if it is implemented, we are ready because you see our agency profession is almost like a full-time job. Agents do not get only commission they get all other things like gratuity,

group insu

rance, then advances are there, they are entitled for loans for vehicle, loans for housing, so many benefits they are entitled. So if it comes, then all these things LIC will have to have a recalibrated approach to enter agency model as it works today.

Moderator: The next question comes from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav Jain: Congratulations to the team on being able to demonstrate a consistent shift towards high margin on products. Sir, few questions from my side. One is sir in -- today, the monthly numbers also came out. And there also we have seen some decline in APE. So what are the steps that we are taking to arrest this APE decline and get back on the APE -- individual APE growth trajectory again? That is my first question.

R. Sudhakar: This is Sudhakar, ED Marketing. The APE is a function of the product mix which is being sold. So after the product revisions which were done in October, it takes some time for the agents to understand the products, understand the differences of the benefits which have been added. So it's only a temporary kind of, I would say, in fact and already by now, we are back on track on that.

Dinesh Pant: And I would just like to add to that beyond see -- the press release that you have mentioned that we have got certain new products. We have added more products, almost 50 products, including riders by now, which have been there. And we have filed more products also, which are subject to consideration -- which are under consideration. So that's a continuous strategy to add to the product line so that more and more needs for the customers and the distribution and marketing force are met with.

So coupled with now better understanding about why these decisions have been taken better -- and ULIP supported with wider range of products, more products added now and more products to be added in this quarter and beyond, some of which are going to be very innovative products also. We expect that the trajectory of growth which was there earlier, and in fact, even better will come back soon -- very soon.

Gaurav Jain: Got it. Sir, just one more question from my side. I understand we give, sir, EV on a half yearly basis. But given equity markets have been volatile, will it be possible to give us some direction on how EV have moved on this December 24 quarter, sir?

K. R. Ashok: Actually, we have not been disclosing the Embedded Value on a quarterly basis. We have been doing it on a half yearly basis only. And we'll -- on the frequency, we will have a relook at it. But for the current quarter, we are not disclosing this.

Gaurav Jain: Got it, sir. It will be helpful if you consider giving it on a quarterly business going forward, sir, and you have said that you'll be looking at it, and that will be helpful. Congratulations once again.

Moderator: The next question comes from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just a few questions from my side. First is, did you mention on the persistency part and that in the new product regime, given that you have kind of changed some of the cohort selections in

terms of ticket size and age, and you expect the surrender incremental to do better? So I just wanted to understand when you're kind of calculating the margin number are you -- have you kind of changed any of the assumptions? Or are you building better assumption from this new product that have been launched since October? So that is my first question.

Second question is -- can I mention that you don't -- you're not giving out the Embedded Value number for December. But since we get the public disclosures with a lag, can you just mention the balance sheet data for the credit and debit in Fair Value Change Account? Is that possible? And third question is, when you look at the ticket size of your individual new business, across the board, whe

ther it's non-par, par, we have seen a significant jump compared to historical averages. So is this what you're referring to the kind of focus on higher-ticket cohorts? Those are my 3 questions.

Dinesh Pant: Yes. Definitely. See, the ticket size -- to the first part, which we're asking about whether we have factored in better persistency, not exactly. We are not testing anything, which is overpromising from the current level. Should we do it, we'll disclose it. But yes, we continue to keep revisiting our assumption based on the experience that -- and the trends which are available with us.

So currently, we have not factored in any better persistency expectation. As I mentioned earlier also, we will try to see that. But the impact of -- and also noting that the reference rate, the risk-free rates have gone down. So the VNB margins are -- despite of that, because they were on the lowering direction. So there is actually around 2.1% or so negative impact of that.

But the business mix, as I mentioned, added around 2.4%, which is a part of disclosure; and slight addition coming from operating assumptions, which is on count of mortality actually, yes, yes, and not based on the current assumption. Therefore, what we are thinking and confident about is that we -- with this better remodifications in this product and hoping that and believing that with this ticket size, the actual withdrawal rate should not be higher, but we would like to observe it over a period of time.

So currently, these margins are basically on account of revised premiums, which have been there, better ticket size which is there, only factoring to the extent that it will not give us worse experience than currently, not adding any better experience on that count, factoring in the risk-free rate downside. And -- but also, as I mentioned earlier, largely because of the ability to change the product mix. All this has been added together, and this is the outcome of it.

Dinesh Pant: I hope that answered.

Dipanjan Ghosh: Yes. And the question on the balance sheet data, if that's possible?

Sunil Agrawal: Fair Value Change Account for the policy holder as on 31st December in the balance sheet is INR 7,06,449 crores and shareholders is INR 1,387** crores.

Dipanjan Ghosh: Got it, sir. Sir, I can just squeeze in one small question, and this is not for the quarter, but more for medium term. We have seen the VNB being supported by margin expansion over the last maybe 12 to 18 months. Even when the APE has seen some sort of pain or kind of slower momentum -- sorry, have better momentum.

** Erratum: to be read as “-80.17 crores”

Even when APE has been kind of weaker, we have seen VNB margin expansion from, let's say, the IPO time having supported the VNB. Now you're already operating at a decent non-par. Maybe it goes up another 5%, 10%. So once you achieve a steady-state margin, post that, I think VNB group naturally becomes a function of the APE. And that has been kind of a little bit lower than the private industry for some time now.

So directionally, how should one think of medium-term growth for a company of your size and scale, and also keeping in mind the competitive pressure out there?

Dinesh Pant: I take your point, but our view is that from here going forward, there's a scope and there's definite, as we have mentioned also. We look forward to the business mix because even then the VNB margin is improving, there are certain aspects within the line of businesses on the segment. The way is possible and will be done. So based on that, we are looking forward to a consolidation and improvement in VNB margin. So definitely, going forward, it is going to be better than this. So there's an uptick in the VNB margin itself.

And I agree that VNB margin alone is not going to be sufficient for the directional change towards VNB. So that is the reason what we are trying

-- the consideration is that number of days should grow and the ticket size should grow. So that will lead to better APE. And there is sort of communication there with the distribution channel coupled with the improved VNB margins shall lead us to the VNB direction.

And what you mentioned is partially true. Over last many quarters, actually, we have shown significant APE growth. In fact, last quarter was almost -- September quarter of 24% or so. So our VNB journey, which has been very satisfying, continues on base of both the things VNB margins, not only on VNB margin, along with the focus on the APE. So both these continue to be the focus here.

Dipanjan Ghosh: Got it. Sir, any plans to recoup the group business? I mean there have been some sort of market

share moderation in 1 or 2 years?
Dinesh Pant: Growth -- we are actually very heavy on the funded-based business, but we have recently changed a lot of focus towards the risk portion OYTA scheme, which are there OYRGTA scheme. And we are trying to consolidate there, in fact, I think now about INR 3,000 crores of premium or so – INR 2,000 crores around the premium, is coming from and that's a significant thing.
And within group also and within funded also, with a significant portion of annuity also, which can be a good margin business. So within group, it gives good top line as well as -- if not in margin terms but in VNB terms, it's a good contributor. So we will continue to remain focused on group also.
Moderator: The next question comes from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: Sir, your non-par margin, if I see last year, it was 60 percentage. Today, it is 44.3 percentage. So just wanted to understand if hedging been incorporated incrementally because -- then what likely impact you will see on the margin because of hedging cost incrementally getting incorporated?
And second, is it fair to say that 60 percentage drop falling to -- 60% margin falling to 44% is predominantly because in non-par, ULIP contribution went up? Or at the product level, the margins have compressed? That's my first question, sir.
K. R. Ashok: As regards to the first question, actually, the hedging will not have the impact on margins, but it will have impact on the sensitivity. And any hedging effect will flow through to the IEV. The reason because the hedging is allowed only for the existing business and not for the business that is procured.
Coming to the second part on margins. Actually, if you look at the walk-on margins, there is sort of a balancing -- tight balancing that is happening. One is pushing the margin south due to the fall in the risk free rate, and that is more than sufficiently balanced by the business mix, greater movement towards non-par products, which has higher margins. So actually, going forward, we are focusing on the business mix which we feel is a driver for the margins.
Sanketh Godha: Sir, my question was more related to only non-par because non-par margin last year, we ended at 60%. Today, it is at 44.3%. Sir, just wanted to understand this 16% correction in the margin. Is it because of the higher ULIP contribution? Or is it because you made products more attractive to the consumers?
Dinesh Pant: You're right, the combination of both those things. One is ULIP, definitely, as you know, is not heavy-margin business as well as some of the annuity products there also the margin because of the -- our risk-free rates coming down has compressed, so largely because of these 2 things. And we have seen heavy growth and significant growth in non-par saving in the last year.
We have a decent growth this year also. So the combination of those things are largely because significant growth has happened in ULIP business. So that has brought down the margins to that extent, which has been more than compensated by actually growth in the non-par busin

ess itself.
So that's going to be a strategy. See, we will -- we can never focus on margin alone because marketability of the product is also going to be a very critical factor. So this rebalancing on -- because ultimate aim is to get the best outcome in the product of margin and the volume is going to be the consideration. So that is what we have been able to achieve and that will continue to be the strategy going forward in any competitive market.
Sanketh Godha: Got it, sir. Sir, second thing was that, is it fair to tell that to your agents focusing more on non-par has indirectly had a negative bearing on the par business? And that segment is seeing struggle to grow -- or are we struggling to grow rather while -- at the expense of non-par? So at what time you will see that a par business will plateau out and we will see incremental growth coming in?

Dinesh Pant: We cannot exactly say that because of non-par business only. The business impact happened because of many reasons, as we know, agents getting focused. And there has been like dip in the number of agency force also. That's one of the factors. But we cannot say because of non-par -- it does happen at times that when your agents are focused on particular line of business to the same clients at the same point of time, the other product may not be available. And they may go back in the next year and sell the par policies.
We are not pushing any agent to sell par or non-par. The corporation drive happens to be that

the product sales should always happen from the need point of view for the customer. But we realize that as long as we are producing par products only, and we felt that the bandwidth and the options for the customers have to be increased. So consciously, until this point of time, we have introduced non-par products only since IPO.
Going forward, we'll continue to -- we have tried to bring about a mix of both lines of businesses and offer more options to the customer. So yes, that's the point that there is a reduction in the par growth, but that could also happen because there -- earlier, the options were only within the par segment. Now those same customers have options within non-par. So they may -- they are favoring selection non-par products, which offer guarantees to them in this...
Sanketh Godha: Got it, sir. Sir, on par business, the higher profit sharing, which we'll see from the current year, is already incorporated in our VNB margin?
Dinesh Pant: Yes, yes.
Dinesh Pant: Yes, yes, yes. For the business which is being done now, that is already being incorporated.
Sanketh Godha: And at overall company level only because of higher profit sharing, how much delta bps we have seen in margin expansion because of higher profit sharing coming from par business?
Dinesh Pant: I don't think that's a very significant amount because largely it is coming. It is almost 1/3 or 30% of contribution is coming from the par business only. So largely, it is -- that will be a very small amount, not a very significant amount because whatever is coming only that 5% was -- 7.5% was already there. So it is a move from 7.5% to 10% in this particular year. But that...
Sanketh Godha: Got it. And lastly, sir, I need to give the breakup, if you can give individual annuity business. Just I wanted to understand the product feature, how much is deferred, how much is immediate and how much is regular say for us in annuity product segment as such?
Dinesh Pant: Currently, we are declining on a line of business-wise thing we are not declaring product-wise, because that is something we want to leave to us to decide as and when the requirement is there for the overall business point of view.
Sanketh Godha: But do we have a regular, say, deferred annuity plan?
Dinesh Pant: No. What is that?
Management: Deferred annuity plan...

Dinesh Pant: No. We have got a deferred annuity plan, which is up to 5 years, deferment is allowed. Earlier, we had this offering up to 15 years and 12 years, then in the revised the setup of the regulation, because surrender value factor, we had to revisit it. And we have got our product Jeevan Shanti, latest Jeevan Shanti where the deferment period up from 1 year, 2 year, 3 years up to 5 years is available besides our regular immediate annuity plan.
Sanketh Godha: Is it deferred single premium plan, right, sir?
Dinesh Pant: Yes, yes, yes. We have to have regular premium plan also prior to 1st October 2024. There are certain challenges -- in that there were challenges. So as of now, we have withdrawn that product Jeevan Dhara. Now we are relooking into invert form and with work modifications we can bring a similar structure because that has become very popular in a very short period of time. So we are working on that design also.
Moderator: Next question comes from Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: I had in my head the same aspect of essentially the cost of hedging. And what you mentioned is that it's kind of -- will go through the EV walk. So can you give any sense in terms of what kind of a quantum or what kind of impact would it have out there?
K.R. Ashok: So it is too early to give an impact. As I've already said, the impact will be visible only in the sensitivity numbers which we will be reporting. And firstly it will not directly impact the VNB margins and because any hedging effect will flow through into the IEV movement. So we have just started. So firstly, we'll be able to -- depending upon how the market moves, how we'll be able to – give an impact when we report the next quarter for annual report.
Nischint Chawathe: Sure. The other thing is on the individual non-par side, your growth was around high since level in the third quarter. We have been growing somewhere in triple digits still like the last quarter. So do you sort of say that this now kind of plateaued out and the gap between non-par and par, maybe as you said, you sort of -- you start pushing for par as well at some point of time, will gradually start reducing?
Dinesh Pant: Frankly, speaking in the last quarter of the last year, we have introduced a product our Jeevan Utsav took off very significantly. It contributed significantly. For a large portion of this quarter, in fact, quarter pertaining to this, we have been very busy in ensuring that we are able to seamlessly launch our products and coverages in -- that is a very challenging task for us. Time frames were there, within which we have to launch all those products.
Now that we have done with them, as I mentioned earlier also, we are focusing on coming up with more variety of the products which are compliant and which cater to different markets. So

-- going forward, I think we are looking forward to adding more products to the available basket. So that -- and in fact, some of them, as I mentioned, we are going to very lifestyle-synchronized products.

And as you know, saving product, even now, we have to -- it's not under use and file systems. Still it is under file and use. So we have filed certain design, and we are seeking for guidance

and approval. Once they come, I think it will add to the bandwidth of available products, and agents will get more opportunities to sell and cross-sell products to existing and new customers.

Nischint Chawathe: So fair to say that this probably grows at a much faster pace than the par business, but maybe the low-hanging fruit and the triple-digit growth is not something that one may think of. I think is that a fair reading?

Dinesh Pant: Is didn't get your question?

Nischint Chawathe: So the point I'm trying to say is that on the individual non-par side, is it fair to say that this probably grow at a much

faster pace than the par business? But the low-hanging fruit of low base and triple-digit growth is something which is probably behind us?

Dinesh Pant: No. No, it is never something like low-hanging fruits only because when we introduced the product it was not a low hanging fruit, a lot of effort has to happened for that thing. And we are still working on many innovative designs. And our -- as I mentioned, we are very occupied with handling what was available at that point of time.

We are again back to our -- what I should say the business for trying to innovate. And I'm very sure that we can launch more blockbuster products in the times to come. And the -- it may not -- definitely, the 100% growth may not be possible as you reach but still a very decent growth. I still feel while we can say the mix has changed, but we see a lot of opportunity to grow in non-par segment as well as par segment, and we'll continue to work towards that.

Nischint Chawathe: Sure. And just one final very broad question also. On the Insurance Act, what are your expectations actually from the government?

Dinesh Pant: I think what we expect from the government, we would like to share it with the government only and not the media as we say. And we are very sanguine and confident that the government is -- the government and the entire infrastructure is working towards ensuring insurance for all. And that is proper alignment there. We will -- as and when we get an opportunity, we communicate with them. And those things will be taken care of.

Moderator: The next question comes from Mohit Mangal from Centrum.

Mohit Mangal: So my first question is that in terms of the number of policies sold by BANCA and Alternate Channels have declined around 20% Y-o-Y. So what could be the reason for that?

Hemant Buch: This is Hemant Buch here. In fact, we have done well, and we continue to do well on the premium side. But up to quarter 2, in fact recently, flattish in terms of number of sales.

Particularly Q3, once the product line changed, the ticket grew, and it could sometimes for the participants to adjust to the new environment. So we have taken it before meeting in Q3. And the numbers have -- come down little sharply as you can see.

But towards end of quarter 3, there is an uptick for the month of December it was good. And I think the uptick continues thereafter as well. So hopefully, we should continue to do well in Q4 as well and close the year in fact on a positive note.

Particularly the number get under pressure from the MFI side with a lot of stress there in the MFI sector and participant institutional agencies on the micro side. There has been some sort of issues, kind of pressure sharp kind of a decline in the number of sales but lot of repair work has been done. And we are quite hopeful and confident that by the time we close the year, we should come up with a reasonable number and maybe even managing a splendid growth also if possible. But keeping fingers crossed right now.

Mohit Mangal: Understood, understood. Sir, one more thing was in terms of the BANCA. I mean we saw that the individual NBP source for the BANCA has grown around 30%, 31%. And we have good 90/95 bancassurance partners. So just wanted to know since a top 3 or top 5, do you have a dominant share? Or is it kind of evenly distributed among the bancassurance partnership?

Hemant Buch: 90/95 of course is ,in fact, number-wise that it looks quite big because there are multiple kind of more cooperative and regional rural bank also who figure into the list of participants. But if you look at the overall list of some major public sector banks and few private sector banks, these are the ones which are in fact dominant partners here.

Of course, top 3 are in the size of weightage, but at the same time, we are systematically expanding in to the footprint by involving in with other partn

ers as well. And it is likely to be a more holistic kind of an approach not only for the year but going forward as well.

Mohit Mangal: Understood. Sir, my last question is towards the commission ratio. I mean we have seen kind of a decline. And I just wanted to know, I mean, is it kind of sustainable? Or do you think that even commission ratio will come back to normal, considering that we are hoping for a higher growth kind of thing over the next few quarters? So how do you see these commission ratios, say, over the next 3 to 4 quarters?

Dinesh Pant: So one thing I would like to clarify that while we would like the commissions to be reasonable in the interest of the policy holder, we are not happy when the commission payouts are less. We -- it is only largely a function of the business mix. In a business mix because you would already know that a lot of single premium business is heavy in case of our business.

So there, commission rates are low, lower as compared to -- but if you're lower in the sense of percentages, but in the sense of volume, overall single premium, they are significantly high. And we will -- but the other interesting thing to be seen is possibly when commission rate would look lower but because we have now back-loaded those commission rates, so renewal commission rates going forward will be slightly higher than what we are seeing now.

So it will balance out. We do not want to underpay commissions. We want to pay a right sort of the commission. And so we are very happy to increase the commission payouts with the proportionate increase in business.

Moderator: Ladies and gentlemen, we would take that as a last question for today. I now hand the conference over to Mr. Mohanty for closing comments.

Siddhartha Mohanty: So thank you, friends, for your active participation and the engaging discussion. We appreciate your ongoing support and look forward to continuing to work together to drive growth and the success for all our stakeholders. Thank you. All the best.

Moderator: Thank you. On behalf of LIC, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jun 2025

R e f . N o . : L I C / S E / 2 0 2 5 - 2 6 / 3 4 Date: June 03, 2025

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai -400001
The Manager
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
Mumbai -400051
Scrip Code:
543526 Scri
p Code: LICI

Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) (oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analyst/Investors held on May 27, 2025.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/f.y-2024-255
Please take the above information on record and arrange for its dissemination.

Yours faithfully,

For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
FY'25 Earnings Conference Call"
May 27th, 2025

MANAGEMENT : MR. SIDDHARTHA MOHANTY – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – LIFE INSURANCE
CORPORATION OF INDIA
M R. M. JAGANNATH – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
M R. TABLESH PANDEY – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
MR. R. DORAISWAMY – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – APPOINTED ACTUARY AND EXECUTIVE
DIRECTOR ACTUARIAL – LIFE INSURANCE CORPORATION
OF INDIA
M R. K. R. ASHOK – EXECUTIVE DIRECTOR ACTUARIAL –
LIFE INSURANCE CORPORATION OF INDIA
M R. A.K. SRIVASTAVA -- PRODUCT ACTUARY AND
EXECUTIVE DIRECTOR ACTUARIAL – LIFE INSURANCE
CORPORATION OF INDIA

M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE AND CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. R. CHANDER -- EXECUTIVE DIRECTOR, INVESTMENT FRONT OFFICE – LIFE INSURANCE CORPORATION OF INDIA

M R. S.K. SRIVASTAVA -- EXECUTIVE DIRECTOR, INVESTMENT BACK OFFICE – LIFE INSURANCE CORPORATION OF INDIA
M R. R. SUDHAKAR – EXECUTIVE DIRECTOR, MARKETING / PRODUCT DEVELOPMENT AND CHIEF MARKETING OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH -- EXECUTIVE DIRECTOR B&AC – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHAGIRIDHAR -- EXECUTIVE DIRECTOR, PENSION AND GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M R. G.P. AGARWAL -- ADDITIONAL EXECUTIVE DIRECTOR, MARKETING / PRODUCT DEVELOPMENT – LIFE INSURANCE CORPORATION OF INDIA
M S. VANDANA SINHA -- EXECUTIVE DIRECTOR, CRM/C LAIMS/ANNUITIES – LIFE INSURANCE CORPORATION OF INDIA
M S. SHOBHA SULOCHANA -- EXECUTIVE DIRECTOR, CRM/P OLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ -- HEAD INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to the LIC's FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero key on your touchtone phone. Please note that this conference is being recorded.
We have senior management of LIC led by Mr. Siddharth Mohanty, CEO and MD on this call.
I now hand the conference over to Mr. Siddharth Mohanty, CEO and MD, LIC. Thank you, and over to you, Mr. Mohanty.
Siddhartha Mohanty: Good evening, everyone. I am Siddhartha Mohanty, Chief Executive Officer & Managing Director, LIC. I would like to welcome all of you to the results and performance update call of Life Insurance Corporation of India for the year ended March 31st 2025.

Our results declared today have been uploaded along with Press Release and the Investor Presentation on our website as well as the websites of both the exchanges - BSE and NSE.

Along with me, on this call, I have four Managing Directors, Mr. M. Jagannath, Mr Tablesh Pandey, Mr. Sat Pal Bhanoo and Mr. R Doraiswamy. Senior officials of the Corporation present on this call are Mr. Dinesh Pant, Appointed Actuary & Executive Director, Mr. K. R. Ashok, Executive Director & Shri A.K. Srivastava, Product Actuary & Executive Director from the Actuarial team, Mr. Sunil Agrawal, CFO from the Finance team, Mr. Ratnakar Patnaik, Executive Director (Investment-Front Office) & CIO, Mr. R. Chander, Executive Director (Investment – Front Office) and Mr. S.K. Srivastava, Executive Director (Investment – Back Office) from the Investment team. From the Marketing team, we have Mr. R. Sudhakar, Executive Director (Marketing /PD) & CMO, Mr. Hemant Buch, Executive Director (MBAC), Mr. K. Seshagiridhar, Executive Director (Pension & Group Schemes) and Mr. G.P. Agarwal, Additional Executive Director (Marketing/PD). Also, we have Ms. Vandana Sinha, Executive Director (CRM/Claims/Annuities), Ms. Shobha Sulochana, Executive Director (CRM/Policy Servicing) and Mr. Sanjay Bajaj, Head (Investor Relations) on this call.

I would like to begin by thanking you all for joining us on this investor call. We appreciate your interest in LIC's performance and value your ongoing support, especially for taking the time to be with us this evening.

Before I start, let me inform you that LIC has achieved GUINNESS WORLD RECORDS Title for the “MOST LIFE INSURANCE POLICIES SOLD IN 24 HOURS” by selling 5,88,107 policies across India on 20th January, 2025. Also, this feat was achieved by active participation of 4,52,839 agents on a single day on January 20th 2025.

Let me now discuss the key business, operational and financial highlights for the year ended March 31st 2025.

Pr

emium Income:

For the year ended March 31st, 2025 we have reported a Total Premium Income of INR

4,88,148 Crore as compared to total premium income of INR 4,75,070 Crore for the year ended March 31st 2024. The Individual New Business Premium Income for year ended March 31st, 2025 was INR 62,495 Crore which was INR 57,716 Crore for the corresponding year of last year thereby registering a growth of 8.28% on Year on Year basis. Before I proceed further, I would like to mention that the procurement of Individual New Business Premium of INR 62,495 Crore is the highest ever in the history of LIC.

Further, Renewal Premium Income (Individual business) for year ended March 31st, 2025 was INR 2,56,541 Crore as compared to INR 2,46,052 Crore for year ended March 31st, 2024. Therefore, for the year ended March 31st, 2025, our Total Individual Premium Income including renewals was INR 3,19,036 Crore as compared to INR 3,03,768 Crore for year ended March 31st, 2024 registering a growth of 5.03% on Year on Year basis.

The Group Business total premium income for year ended March 31st, 2025 was INR 1,69,112 Crore comprising of New Business Premium of INR 1,64,262 Crore. In comparison, for year ended March 31st, 2024 last year, the Group Business total premium income was INR 1,71,302 Crore and comprised of New Business Premium of INR 1,64,926 Crore. Therefore, for this year ending March 31st, 2025, the Total Group Premium has decreased by 1.28% as compared to similar period of previous year.

Market Share:

Our market share by First Year Premium Income for year ended March 31st, 2025 was 57.05% (as per IRDAI) as compared to 58.87% for the similar period ended March 31st, 2024.
Now, if we bifurcate this overall market share of 57.05% into segment wise share of individual and group business, we would have a market share of 37.46% in individual business and 71.19% in the group business for the year ended March 31st, 2025. On a comparable basis for the year ended March 31st, 2024, the respective market shares for Individual and Group business were 38.44% and 72.30%, respectively.

As you will observe, LIC continues to be market leader in both Individual and Group Business this year also.

Break Up of Business on APE basis:

Total Annualized Premium Equivalent (APE) for year ended March 31st, 2025 was INR 56,828 Crore which comprised of Individual APE of INR 38,218 Crore and Group APE of INR 18,610 Crore. Therefore, on APE basis, the individual business accounts for 67.25 % and Group business accounts for 32.75%. Further, of the Individual APE, the Par business accounts for INR 27,636 Crore and Non Par amounts to INR 10,581 Crore. Therefore, our Non Par share of Individual APE is 27.69% and Par share of Individual APE is 72.31% for year ended March 31st, 2025. As you may recall, for the year ended March 31st, 2024, our Non-Par share of total individual business, based on APE, stood at 18.32%. Since then, our

Non-Par APE has increased substantially from INR 7,041 Crore to INR 10,581 Crore. This marks a significant year-on-year growth of 50.28% in Non-Par APE within the Individual Business. As you will appreciate that we are growing our Non Par share at a very fast pace.

Profit After Tax:

The Profit after Tax (PAT) for the year ended March 31st, 2025 was INR 48,151 Crore as compared to INR 40,676 Crore for year ended March 31st 2024 registering a growth of 18.38% on Year on Year basis.

VNB and VNB Margins:

Net VNB was INR 10,011 Crore for the year ended March 31st, 2025 as compared to INR 9,583 Crore for the year ended March 31st, 2024 registering a growth of 4.47% on Year on Year basis. Before I explain VNB Margin, I must add here that for the first time we have crossed VNB of INR 10,000 Crore mark. Since we are the largest in insurance market it is

assumed that we are the only insurance company who has achieved this feat so far. Further, the net VNB margin was 17.6% for the year ended March 31st, 2025 as compared to 16.8% for the year ended March 31st 2024 showing improvement by 80 basis points on a Year on Year basis.

Solvency Ratio:
The Solvency Ratio as on March 31st, 2025 improved to 2.11 as against 1.98 on March 31st, 2024.

Indian Embedded Value (IEV):

The Indian Embedded Value (IEV) as on March 31st, 2025 has been determined as INR 7,76,876 Crore as compared to INR 7,27,344 Crore as on March 31st, 2024. Therefore, IEV has registered an increase of 6.81% on Year on Year basis. At this point of time, let me also explain to you that IEV has grown over the last three years at a CAGR of 12.8% from March 2022 to March 2025.

Assets Under Management (AUM):

Assets Under Management (AUM) as on March 31st, 2025 was INR 54,52,297 Crore as compared to INR 51,21,887 Crore as on March 31st 2024. Therefore, our AUM has registered a growth of 6.45% on Year on Year basis.

Product Mix and New Product launches:

Post the implementation of the IRDAI (Insurance Products) Regulations, 2024, effective from October 1st, 2024, we have launched a comprehensive suite of 51 products till March 31st, 2025, which include 33 individual products, 12 group products, 5 individual riders and 1 group rider.

No. of Policies Sold:

During the year ended March 31st, 2025, we sold 1,77,82,975 new policies as compared to 2,03,92,973 new policies in year ended March 31st 2024.

Agency Workforce:

As on March 31st, 2025, the total number of agents was 14,86,851 as compared to 14,14,743 as on March 31st 2024. We have made a net addition of more than 72,000 agents in the last one year. The market share by number of agents as on March 31st, 2025 stands at 47.61% as against 48.87% for March 31st 2024.

On number of policies sold basis, the agency force sold 1,73,58,723 policies during the year ended March 31st, 2025 as compared to 1,98,15,990 policies during the corresponding period of previous year. Further, approximately 98% of our policies in the year ended March 31st, 2025 were sold by our Agency force. Even on premium basis, approximately 94% of New Business Premium came from our Agency channel in the financial year ended March 31st, 2025.

Contribution by Bancassurance and Alternate Channel (BAC):

There is significant growth in New Business Premium Income from our Bancassurance and Alternate Channel (BAC). Bancassurance and Alternate Channel (including Micro Insurance) collected New Business Premium Income of INR 3,496.10 Crore for the year ended March 31st, 2025 which was INR 2,213.22 Crore for the year ended March 31st, 2024 registering a growth of 57.96% on a Year on Year basis. The New Business Premium Income collected by Banks was INR 2,576.74 Crore for the year ended March 31st, 2025 and for the corresponding period of last year it was INR 1,640.17 Crore thereby registering a growth of 57.10% on Year on Year basis. Further, the Alternate Channel collected New Business Premium of INR 919.36 Crore for the year ended March 31st, 2025 as compared to INR 573.05 Crore for year ended March 31st, 2024 registering a growth of 60.43% on Year on Year basis.

Our Bancassurance and Alternate Channel now account for 5.59% of Individual New Business Premium for the year ended March 31st, 2025, up from 3.84% for the year ended March 31st, 2024.

Our Overall Expense Ratio:

For the year ended March 31st, 2025, the overall expense ratio was 12.42% as compared to 15.57% for the same period last year. Therefore, there is a decrease of 315 basis points on Year on Year basis.

Persistency:

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the quarter ended March 31st,

2025 stands at 74.84%, 70.99%, 66.11%, 61.51% and 63.12%,
respectively, as compared to 77.66%, 71%, 65.47%, 66.31% and 60.88%, respectively upto the quarter ended March 31st 2024.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the quarter ended March 31st, 2025 stands at 64.12%, 59.32%,52.66%, 48.79% and 50.31%, respectively, as compared to 66.99%, 57.47%, 52.50%, 53.23% and 48.59%, respectively, upto the quarter ended March 31st 2024.

Operational efficiency and Digital Progress:

In our digital initiative through the Agent assisted ANANDA app, we have completed 14,74,208 policies through this App during the year ended March 31st, 2025 as compared to 11,58,805 policies for the period ended March 31st 2024 thereby registering a growth of 27.22% on Year on Year basis. There was a growth of 32.68% in number of active agents in ANANDA app for year ended March 31st, 2025.

DIVE (Digital Innovation & Value Enhancement) and Jeevan Samarth Initiatives:

Our DIVE (Digital Innovation & Value Enhancement) and Jeevan Samarth initiatives, led by Boston Consulting Group and AT Kearney, respectively, are on track. We are confident that our agents, customers and our employees will start seeing benefits as these initiatives get implemented on the ground.

Claims:

On the individual claims front, during year ended March 31st, 2025, we have processed 2,25,18,103 number of claims which includes 2,16,69,980 Maturity and Survival Benefit claims. On an amount basis during the year ended March 31st, 2025, the total maturity claims were INR 2,37,313 Crore and the total death claims were INR 24,420 Crores. On a comparable basis for the last year ended March 31st 2024, the maturity claims were INR 2,08,136 Crore and death claims were INR 22,625 Crore. Therefore, the death claims are higher by 7.93% and the maturity claims are higher by 14.02% on a Year on Year basis.

New Marketing initiatives – Empowering Women through Bima Sakhi Yojana:

During the last Call on February 7th, 2025, we had explained our path breaking initiative called Bima Sakhi. This stipendiary scheme was launched by Hon'ble Prime Minister on 9th Dec 2024 and it aims to empower women and make them self-reliant. With great happiness I would like to inform you that till March 31st, 2025, 1.49 lakh women have been appointed as Bima Sakhis who have sold around 4.71 lakh policies and procured New Business Premium of INR 604.57 crore. We believe through this initiative, in the days to come, we would have

developed a strong pillar to achieve the goal of "Insurance for all by 2047".

Before I close, I would like to list down significant achievements during the year:

1. Achieved highest ever Individual New Business Premium of INR 62,495 Crore in the history of LIC.
2. PAT has registered a growth of 18.38% on a Year on Year basis to INR 48,151 Crore.
3. Highest ever bonus to policyholders at INR 56,190.24 Crore.
4. Our Non Par share of Individual APE business has further grown to 27.69% for year ended March 31st, 2025 as compared to 18.32% for year ended March 31st, 2024.
5. Bancassurance and Alternate Channel registered a growth of 57.96% on a Year on Year basis to INR 3,496.10 Crore.
6. Crossed VNB of INR 10,000 Crore for the first time.
7. VNB has also increased by 4.47% on a Year on Year basis for year ended March 31st, 2025.
8. VNB margin has shown a positive bias, with an 80 basis points increase to 17.6% for the year ended March 31st, 2025.
9. AUM has increased by INR 3,30,410 Crore as on March 31st, 2025 registering a growth of 6.45% on a Year on Year basis.
10. IEV has increased by INR 49,532 Crore as on March 31st, 2025 registering a growth of 6.81% on a Year on Year basis.
11. While maintaining growth in all parameters we have kept focus on costs and you can see the Overall expense ratio is down by 315 basis points to 12.42% for year ended March 31st, 2025.
12. Our agency is growing in numbers and now stands at 14.87 lakh as at March 31st, 2025 increasing by approximately 5.10% Year on Year.

I would like to share that the Board has recommended a Final Dividend of Rs. 12 per share in its meeting held on 27th May, 2025, subject to shareholders approval.
Now, I would like to end by stating that:

"Our performance this year reflects our ability to adapt and thrive in a dynamic market and regulatory environment. As we look back on the past year, we are proud of our accomplishments and grateful for the trust you have placed in us.

As we move forward, we remain committed to delivering value to our stakeholders and creating a better future for our customers. We are confident that our strategic initiatives, digital transformation, and focus on innovation will continue to drive growth and profitability."
Thank you very much.
Moderator: The first question comes from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: First one was essentially on NBP or APE growth. We've seen some amount of weakness in the second half I believe, on a sequential basis, fourth quarter looks better than third. But if you could kind of just highlight a couple of measures or specific measures that you have taken because of which your growth is kind of slowly getting back on track.
M Jagannath: Yes. Jagannath this side, Managing Director. Yes, you said correctly, actually, because the biggest trend was in Q3 FY '25. When we -- when we had a big APE degrowth. And then that tapered down to 8.87% towards the Q4. And going forward, actually, the -- it is -- some amount of APE growth, degrowth is coming from the par segment where actually that regulations, product regulations necessitated some changes in the products, especially increase in ticket size, in fact, doubling the ticket size from some of our most popular products and all that.
So going forward, definitely, I mean, we see that it will get tapered off. While the negative in number of policy will take some time to taper off. Already, we are seeing green shoots as far as the APE growth is concerned.
Nischint Chawathe: But you're seeing the same number of agents moving up the ticket sizes? Or is it something that we just have to wait for this to kind of anniversarize?
M Jagannath: Yes. Actually, the power on the agent side is on 2 counts. One is the agency organization is growing. At the same time, we had this excellent initiative of Bima Sakhi that is also coming into the picture now, almost INR 604 crores last FY '25 they have contributed in quick time between 9th December and 31st March. So therefore, that also is seeing a very good traction.
So on both the Bima Sakhi, the women Mahila Career Agents and also the overall agents, definitely, we see that the more -- they will be contributing. And more than anything that accepting that minimum ticket size culture amongst the marketing force is something, I would say, significant one. In fact, in the opening remarks, our CEO & MD has spoken about the Guinness World Record also on a single day 5,88,000 policy. It was possible because of the good involvement of our agents, more than 4.5 lakh agents participated on that single day. And thereafter, we have seen a very good involvement from the field force.
Nischint Chawathe: Sure. Got it. The other one was on your VNB sensitivity. It seems to be slightly more sensitive to interest rate movements. Any specific reading or any specific reason why that would be the case?
K R Ashok: This is Ashok. Actually, if we look at the absolute amount to which the VNB is sensitized, it's 100 bps. And particularly when the RFR is low, it is a big proportion of the RFR and therefore, the sensitivity is more. So if this happen

s, then the RFR is low. And then when the RFR goes up, automatically, the sensitive is expected to reduce.
Dinesh Pant: I'm Dinesh, just to supplement this also, we need to appreciate one thing. The big driver for VNB business is non-participating business. The VNB margins in non-par business are higher and as we can appreciate that; non-par business is largely backed by fixed securities and the component of equity is less there. So it is bound to be more sensitive to the interest rate

movements. VNB is bound to be more sensitive to interest rate movements as compared to possibly participating business or general business.
Nischint Chawathe: Sure. And just one, on the segmental VNB margins, I'm not sure if you shared the margins this quarter, but if you could kind of highlight just some trends how the segmented margins would

have moved up or down.
Dinesh Pant: In overall context, you see we have tried to align our disclosures in line with what is being disclosed in the market. So that's a step that we have taken. But I can -- just as an indicator, I can indicate to you, that VNB margins in non-participating products are the highest, followed by participating and other type of businesses or business being there. But as an indicator, what we can indicate that in the individual business segment, the VNB margin, we are almost touching 21% or so.
So just 20.9% or so, which is a very significant improvement and the trajectory at which we can feel very happy about it. So that's the level of the growth that we have seen starting from somewhere 9.2% when we started this journey, then 15.2% was the level. Now individual segment, we have gone through the level of almost touching 21%.
But we appreciate that with the VNB margin between the different segments can keep on changing depending on various factors, depending on the business strategy of the Corporation. The interest rates that are available for investments in the market, profit margins being there, but largely VNB margin is very critically important to us, but more important to that, that is continuing the journey towards VNB growth.
So that is one of the another features that as Chairperson CEO & MD just explained, crossing 10,000 benchmark and we would like to continue to move that towards which can be achieved through perfect mix of VNB margin growth and APE growth, that will be our focus area in the current year.
Nischint Chawathe: So and one just last one before I go is on the persistency side, there was a decline on the 13th and the 49th month. So maybe if you could clarify that as well.
Dinesh Pant: What happens as far as persistency is concerned, some -- out of the 5 model points that we talked about like 13th month persistency, then we talk about 25th, 37th like that and 61st. Generally, in premiums, we can say policy, 3 counts, we are doing better. But we have to note that persistently when we talk about it is for the particular cohorts that represented.
For example, if when we're talking a 13th month persistency, the larger weightage is towards the policy which were done in the year, '23, '24. Now significant decisions have been taken focused towards improvement in persistency. For example, the ones that we just discussed about increasing ticket size, changing the premium, changing the commission structure aligned to persistency, all have been taken in the last year and the last 1.5 years or so.
So this would start to show their impact. And we do expect a significant improvement in persistency going forward as the outcomes of these decisions that we have taken in the last and last to 1 year come into play.

Moderator: We have a next question from the line of Avinash Singh from Emkay Global Financial Services Limited.
Avinash Singh: So two questions. The first one is, can you please explain w

hat is driving this staff kind of a
downtrend in employee wage expense in this quarter vis-a-vis last year same quarter? I mean what was the kind of a drag last year, this same quarter and this year, what is bringing it down because the wage expenses are pretty much down in your P&L.
And the second one is, if I look at the EV walk within operating variance, there is nearly INR 1000 crores to INR 1100-odd crores positive operating variance on account of others. So what is that other because this is beyond your mortality consistency and expenses? So what is that? And thirdly, if I can, just on persistency piece, what explains the 13-month kind of persistency. 49 month I can understand that your cohort COVID affected cohort but this 13-month persistence. So I mean, why is that? I mean, the drop in policy in higher what was retained last year vis-a-vis last to last year.
Sunil Agrawal: This is Sunil Agarwal, I'll answer the first question relating to the reduction in the wage salary cost. In the last year, there was a wage revision that happened. And accordingly, based on the wage revision, we had to make a provision for the pension and other retirement liabilities that happened in the last year, which is not repeated in the current year. Therefore, to that extent, the expenses in current year are lesser.
K. R. Ashok: Regarding the IEV movement, analysis of movement. The -- it is true that the others show in the variance of INR 1,111 crores. Actually, one has to look at it because the items which are shown as persistency, mortality, morbidity etc. These are not directly additive in the sense that in the cash flows, they are not linear, they are nonlinear.
So what happens is there -- there is always an element of -- a little bit of unexplained item in the total variance. And we have to look at the percentage of unexplained item, which is around 0.15% of the entire IEV and the entire -- 99.85% of the entire movement of IEV has been explained.

Dinesh Pant: See, as far as persistency is concerned, we already explained that. This persistency, typically what has happened? We have -- since IPO, we are very -- though it is a requirement on very regular basis, which is otherwise also, but since IPO we have been very objective about modification, design of products and we have taken a lot of steps like even some of the most selling products, which were there, we have done away with them or we have revisited their features. The outcome started to play as explaining '23, '24 gets a 13-month persistency is based on cohort of that point of time. So all these significant changes that we have done have come in this last year, last and a half year. So the outcome of that will be seen in the coming year as we start going to measure persistency for the decisions like increased ticket size and you know commission restructuring that all that will start to play.

In fact, for example, in nonparticipating business persistency is slightly better than the participating business. So those things will start to play as the business volumes business mix starts to make an impact on the outcomes.

Moderator: Our next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: I was looking at your VNB margin walk. So I just wanted to know what was the impact of economic assumptions that 2.8% negative. So that's my first question. My second question is in terms of the number of agents.

So I was looking at your number of agents added, which was like pretty impressive at 4,94,000 odd. But we also saw 4,22,000 agents being deleted during the year, and this number look like kind of increasing over the last 2 years. So what explains this kind of a deletion that higher kind of a number in the financial year '25. Yes, those are my two questions.

K. R. Ashok: Regarding the economic assumptions in the VNB walk, it's mainly due to the

fall of RFR over
the duration. We have observed that the RFR has fallen between 30 and 35 bps over the duration. And that is what has reflected in a negative 280 bps in the margin.

M. Jagannath: Agency, yes. I mean agency, there is -- while there is addition in agents, new agents are coming in. Of course, as you have rightly observed, agencies are also. So at the branch level, more closer monitoring is happening. In fact, a significant step that was taken was to rechristen our ABM (Sales) as ABM (Agency) so that there is higher, clearer and very crisp oversight of the entire gamut of the agency journey.

So therefore, we will start to see those better control over the termination of agency. Yes, some agency termination does happen. But an effective monitoring and control system is probably now in place.

Mohit Mangal: Okay. So are these agents basically not able to do 12 policies per year? Or what is the criteria for deletion?

M. Jagannath: There is different. I mean, the criteria is 6 lives than or 1 policy with 1 lakh premium like that, it is there. So yes, they come in. I mean, it's not -- actually, it is not easy to get onboarded. Because they have to go through a very rigorous for the kind of background that they have. They have to go through a rigorous process of IRDA, exam certification and all that.

But somewhere yes it is always -- people are also looking at some other opportunities. So they move away for something different and all that. So different -- there are many reasons why agents -- one, is of course, they are not showing adequate interest in getting the required number of whatever minimum business guarantee is required for them to continue.

Moderator: Our next question is from the line of Kushagra Goel from CLSA.

Kushagra Goel: Yes, sure. So most of the questions have been answered. Just two questions on my side. Can you give us some more color as to where do you see a non-par mix going in the medium term? And where do you see it stabilizing?

Dinesh Pant: See our non-par mix significantly, as we have seen grown from 18% to 27%. We want to continue to drive up that journey. But we also appreciate that what are the drivers of non-par

business, again, a mix of business coming from different type of policies, including saving plans, term plans, health policies and then ULIPS…annuities.

So there is a different mix. We are looking to growth of non-par business from two perspectives. One perspective as from the shareholder point of view can be seen is the driver for the higher profitability.

But as a company, with policyholders in mind, our focus on non-par business is also to ensure higher bandwidth of available options and product solutions, which are there for the customers.

So we'll continue to drive this strategy, depending upon what qualitative and solutions that we can provide because as we would appreciate non-par is all about guarantees being given to the policyholders. And at the time -- or certain times when the interest rates possibly, for example, are falling, or expected to fall, then this guarantee becomes very important.
But on the other side, they also become an issue of management from the insurance company. So we have to take a very calibrated approach that even when we drive and we offer these products for the customers as a solution, the risk associated with non-par business are also to be managed well, possibly through hedging strategies or perfect pricing for them.
And customer satisfaction about what is being offered to them. All those will continue. But yes, we see a lot of opportunity for growth in non-par segment. And we continue to move across this trend line for a long time to come.
Kushagra Goel: Okay. Got it. And just the second question is regarding the operating assumption change. So if you could give more color. So, it's both in the EV and the VNB walk, if you could jus

t explain
it.
Dinesh Pant: Assumption change is a very continuous process. Actually, the actual work is all about doing experience analysis and then determining whether these experience analysis how they are going -- further going to expect to pan out in the future. So all these elements of assumption changes, whether they are related to interest rate and as my colleague, Mr. Ashok was just explaining the impact coming from RFR changes vis-a-vis whatever best estimate or valuation rates you have considered.
Plus other parameters, for example, mortality, expenses, you would have seen that in the current year, there is a significant drop around 315 basis points in the interest rate -- sorry, in the expenses coming down to 12.42 and how do we see it going forward? We see it going forward that it is some sort of a regular or continuous phenomena in context with the Corporation because the number of employees continue to be reduced.
We are not any way saying that will trend for taking because we have to balance between optimum number of employees, the technological adoptions, what's best because expense reduction is not the goal of the company. The goal of the corporation is to optimize the expenses. So it is not necessarily that we are trying to achieve better bottomline through reduction in expenses only. What we are looking for, how best we can optimize our expenses.

So, all these assumptions get reflected at this point of time, we consider expenses are expected to be on the lower side only. So that has been factored, similarly persistency experience. You would have seen in the VNB walk also or the EV walk also, persistency has been negative, right, because of the lesser persistency experience. All these have been drivers.
Expense has been the driver for all these assumption changes and as well as withdrawals, for example, surrender value that somebody mentioned in this call a bit earlier. So how is the expected behaviour of withdrawal is going to pan out in future? So, we continuously to keep on revising and structuring there. And then when we feel that we have got a settled expectation with regard to the past experience flowing in the future.
Kushagra Goel: Okay. Got it. So -- just to clarify. So expenses has been the major time, but there are other things also moving parts which are impacting the overall operating assumption change.
Dinesh Pant: Yes, withdrawal, mortality, mortality has been very stable experience for us, but largely, it has been about the expenses, expense reduction and persistency, which have been seen in place.
Moderator: The next question is from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.
Gaurav Jain: First question is on hedging the non-par book. So if you can help us understand whether we have adequately entered into FRA agreements for the non-par book.
Siddhartha Mohanty: We have started in last March. This March, we have just started. In the current year also, we are going out at a greater pace –
Dinesh Pant: And we continue to focus on this and possibly as well when the opportunities are there, we will continue to focus for larger coverage through hedging of our non-par portfolio.
Gaurav Jain: And second question is, sir, just a suggestion. It's on IEV disclosure sir, if we can continue giving IEV and the IEV walk on a quarterly basis going forward as an industry best practice.
Dinesh Pant: As of now, we are doing it on September and a year-end basis. See, the point here is at times too much of information, for example, like IEV dependence on market MTM. Now we can give the picture in March. If I start looking at this picture in April, it can have significantly different things.
So, we have to start because these things are to be considered from a long-term perspective.
IEV is not something which is going to change on a quarter-to-qua

rter basis. So information
can always be given. But how valuable that is going to be to me, but we are open to the idea.
So we'll examine as of now, our policy has been.
Let us see how do we get it in a half year basis. And if really creates value in giving quarterly basis, also, we are open to that idea.
Moderator: The next question is from the line of Aditi Joshi from J P Morgan. Please go ahead.

Aditi Joshi: A couple of questions from my end. Firstly, if we look at the past 2 years or the last 8 quarters, it seems like the new business margins have flattened somewhere around 19% to 20% level.
So I just wanted to understand from you as what are your thoughts. And can we assume more further upside to this margin going forward?
And second question is related to the fourth quarter sales of non participating savings products or the product mix in general. It seems like in the fourth quarter, ULIP was quite high, but we saw some decline in the Non Par savings product. So just wanted to understand from your perspective, as in for the next year, how shall we think about the mix in general?
Dinesh Pant: The VNB margin, as I mentioned earlier also is something which cannot be looked in isolation.
In fact, one thing can be appreciated that this interest rate with the following interest rate scenario, possibly out of all the listed companies, it's only LIC, which has been showing continuously upward trend in the VNB margin.
I agree that we have a lot of road to travel there. Because there was still a significant proportion of participating business where the VNB margins are lower. So we'll continue to go that way. But VNB margins have not been falling.
It actually has been improving from quarter-to-quarter, as I was mentioning earlier, for the individual -- in fact, in this quarter, we have improved VNB margins in our participating business also because that's a function of the ticket size, the persistency of the business, the interest rate scenario that exists.
But let me clarify that VNB margin is important, but not the only criteria. Because for an insurance company or for any entity for that matter. The growth in business is also important, and we are in a competitive scenario. We cannot remain focused only in VNB margins.
Because we have to create business growth to ultimately give better VNB growth for the -- from the profitability point of view.
And that continuous requirement of continuously rebalancing the portfolio, looking into every product line as to whether it's delivering at times taking decisions of reducing VNB margins, for example, say, saving in our annuity business, in a competitive scenario or for the purpose of being able to provide affordable products to the customer.
So looking into various aspects, we -- that's the reason we felt that talking about specific lines every time they're not necessarily a great idea because as a dynamic organization, we would be required, and we do take continuously evolving steps or we have to be nimble footed. So we'll continue to raise in between different options that we are presented with.
Interest rate is something which is very uncertain. Nobody can easily predict that what's going to be interest rate next quarter or whether it will continue to be on southward journey or northwards. So, all those aspects will have to be considered. So we continue to take a holistic view on this line. But as CEO & MD said in the beginning itself, our focus is to move a journey, which is towards profitable growth and not compromising on some benchmarks that we have decided for.

Moderator: Our next question is from the line of Manas Agrawal from Sanford C. Bernstein.
Manas Agrawal: A couple of questions. First, on open architecture, do we, one, have any update? Second, if we don't have an update, if this goes throug

h, how do we quantify or expect the impact to play out
because you are the largest agency player. So that's one. Second is on the economic variance in the EV walk, year where rates have gone down. Can you help us understand why there is this not trivial negative number?
And third is I want to just understand the relevance of this Guinness record that we've talked twice about on the call, in a period where growth has not been great. So I want to understand how we should think about future APE growth. Those are the three questions.
Siddhartha Mohanty: See open architecture, our stand is very clear. This is not a good idea, open architecture because to develop a captive distribution channel, not only for insurance, but for any distribution channel, it takes a lot of time, energy, cost, everything. And suddenly, you tell

your distribution channel to sell for others. I think that is not good. However, we do not know this legislation what will come in the next amendment. And accordingly, we are ready. And we believe our agents will be with us because here, agency is not only agency, it is a full-time career. We provide gratuity, we provide other benefits, social security schemes are there for agents. So everything is there, and anything comes we believe our agents will be with us and we can face any challenge that comes on our way.

Second, Guiness record relevance, Guiness record relevance may not be financially but if you see our customer trust and our particular field force on 1 day, they could contribute 4,52,000 agent, more than 4,52,000 agents, they contributed more than 5 lakh policies on a single day that itself shows what LIC can do. And nearly INR 1,000 crores premium we collected on that day.

So that relevance may not be typical to analyst call, but this is part of our message to public at large and that will definitely help our business. So that's why that is the relevance. So far as the EV walk is concerned, you can explain.

KR Ashok: Yes. As regards to the -- in the negative investment variance, there are 2 parts to that. One is the RFR fall which is -- take about 50% of the fall. And the second is the MTM changes which have happened during the year. So these two totally contributed a negative variance of INR 30,000 crores.

Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just on this, on the banking channels and the bank channels, what is the kind of product mix and the profitability that we earn on the Banca channel and secondly, any thoughts on the attachment rate of riders on your products which can enhance your product level margins and basically bridge the gap between what you are earning versus the private players and in generally private players talk a lot about high attachment rate of riders. So where are we in that front?

R. Doraiswamy: In terms of bancassurance, portfolio mix, each bank has got their own niche kind of a focus. They have their own customers. Need analysis is being done by themselves and coordinating with us. We find that the growth has been extremely on non par, particularly in the area of annuities as well as in the area of unit linked.

So linked business has been the flavour of some banking partners, whereas some banking partners have been exclusively focusing on annuities as well, both of which have got a very good contribution on the profitability margin being non-par.

Dinesh Pant: See, as long as profitability is concerned, the Banca business does not have any significantly different profitability as compared. It largely depends on the lines of businesses which are being sold there. To your second part of the question, because in LIC, we are not giving any differential commission rates to the Banca channel.

Our reward system is all most aligned across different lines of businesses. As far as riders are concerned, riders, some o

f the riders have got good VNB margins to do that. Attachment rates is not very high, it's reasonable. It has been continuously improving. in fact, we saw in some of the lines, for example, at some point of time, In fact, the riders were contributing higher. So that's a strategy, yes. We are working around it. But then we also have to take cognizance of the limit up to which the riders can be attached, for example, some of the riders that coming under health are allowed…. 100% is allowed.

They look for example, accident earlier considered under health and now it has been considered outside health. So, all those things have to be considered. But yes, riders for the purpose and not only the improvement in VNB margin. But in order to also facilitate larger options to the customer is always important. It's for some of the riders for example, accident benefit rider, critical illness rider, they are very popular, premium waiver benefits.

So these riders are there. And we have -- we provide a lot of them. But we need to -- we are trying to increase the take-up rate in our policies on the riders.

Prayesh Jain: One more question. The sensitivity of interest rate that you mentioned on VNB would that be also due to the fact that you're not completely hedging your non-par book ?

K. R. Ashok: No. See, actually, it is the risk-free rates impact both the Par and Non Par. There is no difference because both are savings product and therefore, sensitivity of the interest rate movement.

Dinesh Pant: But the impact is higher on the non-par book because non-par -- see for the participating business, the equity backing ratio is higher where the interest rate sensitivity does not impact. But in the non participating business, the equity backing ratio is less and the largest backing is coming in order to ensure better asset liability management in the guaranteed products, which come under non-par, the higher exposure is on the fixed security side. So there, the interest rate

sensitivity, therefore, becomes more pronounced.
Moderator: Ladies and gentlemen, we will take 2 more questions. The first from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: Just 1 data-keeping question. If you can break the credit and debit fair value change account in your balance sheet between par and non par for the year?
Dinesh Pant: What is the -- what is the question?
Dipanjan Ghosh: If you can break the credit and debit fair value change account in the balance sheet between par non-par?
Dinesh Pant: I didn't get. Debit and credit mean? Fair value change is reflected as a consolidated entry in our balance sheet, not a line of business
Dipanjan Ghosh: if you can break that number between your par account and your non par account.
Dinesh Pant: Okay. Okay. Okay. So from my memory, I can recall almost around INR2,77,000 crores or so is the fair value gain in our par business and the balance will also non par business.
Moderator: We will now take our last question from the line of Harshal Mehta from Asian Market Securities.
Harshal Mehta: I just have one question. Given that we are expected to have a calibrated approach in non-par, keeping in mind the hedging policies. So is it fair to assume that focus will be more on the ULIP within non-par segment?
Dinesh Pant: See, again, you see as an insurance company, we need to appreciate that we have to strike the right balance between top line, bottom line. So ULIP is, typically, it's not necessarily depending the ticket size is a driver for top line, not necessarily the driver for the VNB margins. So -- and whereas for our experience, the annuity portfolio and largely the saving portfolio has been the driver for VNB margin.
So ULIP, we continue to provide -- again, for the sake of reputation, I would say, our product offerings are not coming in context of how they will add -- primarily h

ow they will add to profitability.
The focus is that now they will add value to their customers and satisfying their needs. Then on top of that, then how that pans out in profitable terms for the Corporation. So ULIP is something which in the current set up, many people easily relate to the popularization of mutual fund and all those things and being actively interested in the market may not be an easy option for many of the people. So ULIP has a lot of scope for that. So ULIP has grown significantly, almost 2% share to almost 6%. We have grown significantly in ULIP because it has been the demand from the side of the customers, and that has been the flavour of the market. But it's not that we are dependent upon ULIP only because ULIP will bring the challenge in terms of profitability and margins.
So, we have to strike the right balance between different things, and we'll continue to work towards ensuring a proper business mix. and the business mix will also change as per the demand of the customers, demand of the market and the market situation also.

Moderator: We will conclude our question-and-answer session here. I now hand the conference over to Mr. Mohanty for closing comments.
Siddhartha Mohanty: So thank you, everyone, for your enthusiastic participation and insightful contributions to our discussion today. We are grateful for your continued support and look forward to our ongoing collaboration, driving growth, success and value for all our stakeholders. Thank you once again. Thanks a lot.
Moderator: Thank you, on behalf of LIC that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2025

Ref. No.: LIC/SE/2025-26/66 Date: August 14, 2025

To
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BSE Limited,
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Listing Department,
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Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) of the SEBI (Listing Oblig ations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analyst/Investors held on August 07, 2025.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination. A copy of this intimation is also being made available on the we bsite of the Corporation at www.licindia.in .

Yours faithfully,
For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
Q1 FY'26 Earnings Conference Call"
August 07, 2025

MANAGEMENT : M R. R. DORAISWAMY -- CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
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MR. R. SUDHAKAR – EXECUTIVE DIRECTOR , MARKETING AND PRODUCT DEVELOPMENT – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH -- EXECUTIVE DIRECTOR MARKETING , BANCASSURANCE AND ALTERNATE CHANNELS – LIFE

INSURANCE CORPORATION OF INDIA
M R. K. SESHA GIRIDHAR – EXECUTIVE DIRECTOR , PENSION AND
GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M S. SHOBHA SULOCHANA – EXECUTIVE DIRECTOR , CRM,
POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M S. VANDANA SINHA – EXECUTIVE DIRECTOR , CRM, CLAIMS
AND ANNUITIES – LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE
INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good evening, and welcome to LIC's Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the li sten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone. Please note that t his conference is being recorded.
We have senior management of LIC led by Mr. Doraisw amy, CEO and MD on this call. I now hand the conference over to Mr. R. Doraiswamy, CEO and M D LIC. Thank you, and over to you, sir.
R. Doraiswamy: Good evening, everyone. I am R Doraiswamy, Chief Ex ecutive Officer & Managing Director, LIC.

First and foremost, I would like to welcome and ext end my gratitude to everyone who has joined us today to listen to the LIC team.

This is my first analyst call after assuming charge as CEO & MD of LIC on July 14th, 2025. I am eager to establish a regular dialogue with all of you ove r the next three years, fostering a deeper understanding of our organization's performance and progress.

In this call today we shall discuss the business an d financial performance for the quarter ending June 30th, 2025, thereby providing you with insights int o our current standing and future prospects.

Our results declared today have been uploaded along with Press Release and the Investor Presentation on our website as well as the websites of both the exchanges - BSE and NSE.

Along with me, on this call, I have three Managing Directors, Mr. Sat Pal Bhanoo, Mr Dinesh Pant and Mr. Ratnakar Patnaik. Senior officials of the Corporation present on this call are Mr. A.K. Srivastava, Appointed Actuary & Executive Director (Actuarial) from the Actuarial team, Mr. Sunil Agrawal, CFO from the Finance team, Mr. R. Chander, Executive Director (Investment – Front Office & CIO) and Mr. S.K. Srivastava, Executive Director (Investment – Back Office) from the Investment team. From the Marketing team we have Mr. R. Sudhak ar, Executive Director (Marketing /PD), Mr. Hemant Buch, Executive Director (MBAC) and Mr. K. S eshagiridhar, Executive Director (Pension & Group Schemes). Also, we have Ms. Shobha Sulochana, Executive Director (CRM/Policy Servicing), Ms. Vandana Sinha, Executive Director (CRM/Claims/A nnuities) and Mr. Sanjay Bajaj, Head (Investor Relations) on this call.

Let me now discuss the key business, operational an d financial highlights for the quarter ended June 30th, 2025.

Market Share:

Our market share by First Year Premium Income for t he quarter ended June 30th, 2025 was 63.51% as compared to 64.02% for the similar period ended Jun e 30th, 2024 as per IRDAI data. As you will recall, our market share for full year ended March 31st, 20 25 was 57.05%. Therefore, we are witnessing an increase in market share since beginning of this fi nancial year. LIC continues to lead the Indian lif e

insurance industry both in the Individual and Group Business segments.
Now, if we bifurcate this overall market share of 6 3.51% into segment wise share of individual and group business, we would have a market share of 38. 76% in individual business and 76.54% in the group business for the quarter ended June 30th, 202 5. On a comparable basis for the quarter ended June

30th, 2024, the respective market shares for Indivi dual and Group business were 39.27% and 76.59%, respectively.

Premium Income:

For the quarter ended June 30th, 2025 we have repor ted a Total Premium Income of Rs.1,19,200 Crore as compared to total premium income of Rs. 1,13,770 Crore for the quarter ended June 30th, 2024 registering a growth of 4.77% on Year on Year basis . The Individual New Business Premium Income for quarter

ended June 30th, 2025 was Rs.12,536 Cro re which was Rs.11,892 Crore for the corresponding period of last year thereby registeri ng a growth of 5.42% on Year on Year basis.

Further, Renewal Premium Income (Individual busines s) for quarter ended June 30th, 2025 was Rs. 58,938 Crore as compared to Rs.55,300 Crore for qua rter ended June 30th, 2024, thereby registering a growth of 6.58%. Therefore, for the quarter ended J une 30th, 2025, our Total Individual Premium Income including renewals was Rs. 71,474 Crore as c ompared to Rs.67,192 Crore for quarter ended June 30th, 2024 registering a growth of 6.37% on Ye ar on Year basis.
The Group Business total premium income for quarter ended June 30th, 2025 was Rs.47,726 Crore comprising of New Business Premium of Rs.46,907 Cro re. In comparison, for quarter ended June 30th, 2024 last year, the Group Business total premium in come was Rs. 46,578 Crore and comprised New Business Premium of Rs.45,570 Crore. Therefore, for this quarter ended June 30th, 2025, the Total Group Premium has increased by 2.46% as compared to similar period of previous year.

Break Up of Business on APE basis:

Total Annualized Premium Equivalent (APE) for quart er ended June 30th, 2025 was Rs.12,652 Crore which comprised Individual APE of Rs.7,061 Crore an d Group APE of Rs.5,590 Crore. Therefore, on APE basis, the individual business accounts for 55.81% and Group business accounts for 44.18%. Further, of the Individual APE, the Par business ac counts for Rs.4,919 Crore and Non Par amounts to Rs.2,142 Crore. Therefore, our Non Par share of Individual APE is 30.34% and Par share of Individual APE is 69.66% for quarter ended June 30t h, 2025. As you may recall, for the quarter ended June 30th, 2024, our Non-Par share of total individ ual business, based on APE, stood at 23.94%. Since then, our Non-Par APE has increased substantially f rom Rs.1,615 Crore to Rs.2,142 Crore. This marks a year-on-year growth of 32.63% in Non-Par APE with in the Individual Business indicating a rapid expansion of our Non Par share.

Profit After Tax:

The Profit after Tax (PAT) for the quarter ended Ju ne 30th, 2025 was Rs.10,986 Crore as compared to Rs.10,461 Crore for quarter ended June 30th, 2024 r egistering a growth of 5.02% on Year on Year basis.

VNB and VNB Margins:

The net VNB margin has improved by 150 basis points on a Year on Year basis from 13.9% for the quarter ended June 30th, 2024 to 15.4% for the quar ter ended June 30th, 2025. Further, the net VNB has registered a growth of 20.75% on Year on Year b asis from Rs.1,610 Crore for the quarter ended June 30th, 2024 to Rs.1,944 Crore for the quarter e nded June 30th, 2025.

Solvency Ratio:

The Solvency Ratio as on June 30th, 2025 improved t o 2.17 as against 1.99 on June 30th, 2024.

Assets Under Management (AUM):

Assets Under Management (AUM) has registered a grow th of 6.47% on Year on Year basis from Rs. 53,58,780.97 Crore as on June 30th, 2024 to Rs. 57, 05,341.44 Crore as on June 30th, 2025.

No. of Policies Sold :

During the quarter ended June 30th, 2025, we sold 3 0,39,709 new policies as compared to 35,65,519 new policies in quarter ended June 30th, 2024 regis tering a decrease of 14.75% on Year on Year basis. It is worth noting that in the period post October 1st, 2024, when the new Surrender Value regulations were introduced we have seen an increase in ticket size.

Agency Workforce:

As on June 30th, 2025, the total number of agents w as 14,86,222 as compared to 14,24,847 as on June 30th, 2024. We have made a net addition of more tha n 61,000 agents in the last one year registering growth of 4.31% on Year on Year basis. The market s hare by number of agents as on June 30th, 2025 stands at 47.11% as against 48.64% for June 30th, 2 024.

On number of policies sold basis, the agency force sold 29

,99,433 policies during the quarter ended
June 30th, 2025 as compared to 34,69,809 policies d uring the corresponding period of last year. Furthe r, 98.67 % of our policies in the quarter ended June 3 0th, 2025 were sold by our Agency force. Even on premium basis, 92.33% of New Business Premium came from our Agency channel in the financial quarter ended June 30th, 2025.

Contribution by Bancassurance and Alternate Channel s (BAC):

There is significant growth in New Business Premium Income from our Bancassurance and Alternate Channels (BAC). Bancassurance and Alternate Channel s (including Micro Insurance) collected New Business Premium Income of Rs. 861.92 Crore for the quarter ended June 30th, 2025 which was Rs.

434.81 Crore for the quarter ended June 30th, 2024 registering a growth of 98.23% on a Year on Year basis. The New Business Premium Income collected th rough Banks was Rs. 528.97 Crore for the quarter ended June 30th, 2025 and for the correspon ding period of last year it was Rs.307.73 Crore thereby registering a growth of 71.90% on Year on Y ear basis. Further, the Alternate Channel collected New Business Premium of Rs. 332.94 Crore for the qu arter ended June 30th, 2025 as compared to Rs. 127.08 Crore for quarter ended June 30th, 2024 regi stering a growth of 161.99% on Year on Year basis.

Our Bancassurance and Alternate Channels (including Micro Insurance) now account for 6.89% of Individual New Business Premium for the quarter end ed June 30th, 2025, up from 3.66% for the quarter ended June 30th, 2024.

Our Overall Expense Ratio:

For the quarter ended June 30th, 2025, the overall expense ratio was 10.47% as compared to 11.87% for the same period last year. Therefore, there is a decrease of 140 basis points on Year on Year basi s.

Persistency:

On premium basis, the persistency for 13th, 25th, 3 7th, 49th and 61st month upto the quarter ended June 30th, 2025 stands at 75.63%, 71.53%, 67.17%, 6 3.45% and 63.85%, respectively, as compared to 78.23%, 72.16%, 67.53%, 66.97% and 61.62%, respectively, upto the quarter ended June 30th, 2024.

On number of policies basis, the persistency for 13 th, 25th, 37th, 49th and 61st month, upto the quart er ended June 30th, 2025 stands at 64.35%, 60.15%, 54. 23%, 50.79% and 51.12%, respectively, as compared to 67.81%, 59.24%, 54.73%, 54.08% and 49.3 9%, respectively, upto the quarter ended June 30th, 2024.

Operational efficiency and Digital Progress:

In our digital initiative through the A gent assisted ANANDA app, we have completed
3,47,958 policies through this App during the quart er ended June 30th, 2025 as compared to 2,49,643 policies for the period ended June 30th, 2024 there by registering a growth of 39.38% on Year on Year basis.

DIVE (Digital Innovation & Value Enhancement) and J eevan Samarth Initiatives:

The DIVE project and Jeevan Samarth project, for wh ich we had appointed Boston Consulting Group and AT Kearney, respectively, are progressing as pl anned. Currently Sales App and Customer App are undergoing testing and launches in select geographi es. We intend to roll out these initiatives on a pa n India basis in near future.

Claims:

On the individual claims front, during quarter ende d June 30th, 2025, we have processed 41,68,209 number of claims which includes 39,70,156 Maturity and Survival Benefit claims. On an amount basis during the quarter ended June 30th, 2025, the total maturity claims were Rs.50,584 Crore and the total death claims were Rs.5,877 Crores. On a comparable basis for the quarter ended June 30th, 2024, the maturity claims were Rs. 41,954 Crore and death cla ims were Rs.5,467 Crore. Therefore, the death claims are higher by 7.50% and the maturity claims are higher by 20.57% on a Year on Y

ear basis.

On number of claims basis, the maturity claims have increased by 2.63% and death claims have increased by 6.10% on Year on Year basis.

New Marketing initiatives – Empowering Women throug h Bima Sakhi Yojana:

As of June 30th, 2025, a total of 1.99 lakh women h ave been designated as Bima Sakhis, successfully selling 3.26 lakh insurance policies and generating a New Business Premium of Rs.429.13 Crore. We anticipate that this program will become a crucial component in achieving the objective of 'Insurance for all by 2047'. Our objective is to appoint one B ima Sakhi in every Gram Panchayat and we are happy to inform that we have got Bima Sakhis recruited in 100% Gram Panchayats of the State of Kerala.

Before concluding, I would like to highlight the si gnificant achievements during the quarter:

1. Our Non Par share of Individual APE business has fu rther grown to 30.34% for quarter ended June 30th, 2025 as compared to 23.94% for quarter ended June 30th, 2024.
2. Bancassurance and Alternate Channels registered a g rowth of 98.23% on a Year on Year basis to Rs.861.92 Crore.
3. VNB has also increased by 20.75% on a Year on Year basis for quarter ended June 30th, 2025.
4. VNB margin has shown a positive bias with 150 basis points increase to 15.4% for the quarter ended June 30th, 2025.
5. AUM has increased by Rs.3,46,560.47 Crore as on Jun e 30th, 2025 registering a growth of 6.47% on a Year on Year basis.
6. Despite achieving growth across all metrics, we hav e successfully managed to optimize our costs, resulting in a decrease in the Overall expense rati o by 140 basis points to 10.47% for quarter ended June 30th, 2025.

“In conclusion, our results demonstrate our capacit y to navigate and succeed in an ever-changing business landscape. We appreciate the confidence ou r stakeholders have shown in us.

Moving ahead, we are dedicated to providing value t o our stakeholders and enhancing the experience for our customers. We are optimistic tha t our ongoing strategic efforts, technological advancements and innovative approach will sustain o ur growth trajectory and improve our financial performance.”

I now request the moderator of this call to open th e floor for the Question and Answer session.

Thank you very much,

Moderator: Thank you. Our first question comes from the line o f Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Thank you for the opportunity. Congrats to the new members on a good set of number s. Sir, first in terms of the growth in the individual business, I wanted to understand, I mean, the growth looks

largely coming up on the back of ULIP. And given th at ULIP is increasing and that is the only, I think , component where we have seen a sizable increase in mix on a year-on-year basis. Despite that, we are seeing a margin improvement.
So, I just wanted to understand how this is playing out. So vis-a-vis, say, a par product, how does th e margins in your ULIP product stack up? And has ther e been any movement in, say, individual product level margins over this period? Have you had seen h igher attachments, etc., if you could highlight tha t?
And also, sir, last quarter in the call, you had m entioned that your individual book margins were touching around 21%. So just wanted to understand h ow has it shaped up this quarter? So that's on the business side. On the distribution side, I wanted t o understand on our agency channel.
So, I think over the last 3, 4 quarters, we have s een some amount of volatility in growth, particular ly, I think post the surrender regulation change that has come, there has been a volatility. And if I were t o also look at productivity on a year-on-year basis, if I try to calculate based on the new business premium, I mean, I think there has been a minor red uction in productivity on the agency s

ide. Of cours e,
I don't have the numbers of active agents, but on a n overall basis.
So, I just wanted to understand how you are seeing this channel shape up. What are your efforts on th is? While -- I mean, the banca and alternate channels g rowth are fairly strong, but I think agency being t he larger piece needs to also move to drive overall gr owth. So I wanted to understand your strategy here.
So, these are my 2 questions.
Another last bookkeeping question. I wanted to und erstand like earlier, I think the RWRP numbers that used to come from IRDA, I mean, the monthly data, I think our overall -- our numbers were fairly -- a little bit divergent from that, but this time, it i s fairly close. So how should we read that in terms of future numbers? Is there a change in product design s or we are doing more high-frequency products that is leading to this change, if you could highli ght that? Yes, those will be my questions, sir.
A.K. Srivastava: Yes. Thank you. Good evening! I'm Ajay Kumar Srivas tava, Appointed Actuary and Executive Director, Actuarial. We have actually taken several steps to ensure that the margins actually go up in accordance with our business strategy. One of such the indicators is that individual non-par APE has grown by 32.63% Q-on-Q basis, taking non-par propor tion to 30.34%. Now this consists of those products which have high margins.
Apart from that, if you were -- as you mentioned, r ightly mentioned that last year, product regulation s had come up. And then we had to withdraw all the pr oducts and then we had to reintroduce with, you know, design changes and to ensure that it meets th e regulatory changes.
So, during product design, we have not only at tha t time, but we have been continuously working to expand and diversify our products based on the need s of the customers. So, of late, the customers' preferences have shifted to non-par guaranteed prod ucts compared to par products at that time. So it i s

more or less making it aligned with the needs of th e customers. And incidentally, these products also have higher margins.
And therefore, the focus at the time of the modifi cations in products was obviously non-par products. We have introduced several non-par products, which have -- which have seen actually good traction. We had Jeevan Utsav, which you are aware of. And th en in recent past, we have actually introduced a couple of more products, which is Jeevan Shree, whi ch is also getting a good traction.
So, we had intentionally shifted at that time the focus to high ticket size segments as part of produ ct and persistency strategy. And at that time, we had retained high-yield, high-margin products to ensure persistency and profitability. Now the persistency, which we are looking at, at this stage is of the y ear back cohort of new business. If you look at the ini tiatives which we have taken, the earliest 13th mon th persistency is likely to come up maybe a couple of months later, then we can discuss on those numbers.
So, in fact, the increase in the margin to that le vel is not a result of one such initiative, but a c ombination of several initiatives like this, and that is a ver y focused one in line with our business objectives.
R. Sudhakar: I'm R. Sudhakar, ED Marketing. I would take the que stion on the agency productivity part of it. Actually, we have increased the agency from the ear lier -- I mean, last year's quarter to current year 's first quarter by around 61,000, we are having 14,86 ,000 agents now. And the addition of Bima Sakhis of almost 2 lakh agents during the course of the ye ar, especially after December has also taken place.
Now if you look at the agency productivity, yes, in number of policies, the productivity might have come down. But at the same time, the average ticket size has gone up by 23% and the average sum assured have gone up by

15%. You might have noticed in October -- that quarter of October ending
December, the productivity had fallen down substant ially because of the introduction of the new plans at a sum assured, which is 2 lakhs instead of the e arlier Rs.1 lakh. And consistently, it has improved in the next quarter ended March and in the current qua rter also.
However, as compared to last year's first quarter, which had the sum assured minimum of 1 lakh

policies, we are still minus. But at the same time, the average ticket size as well as average sum ass ured increasing, we are confident that going forward, th e productivity of agents in numbers also will be improving.
Ratnakar Patnaik: Can I add, sir, this is R. Patnaik. Good evening! I would just like to supplement what Mr. Sudhakar told, we are having 2 more -- 3 more focus areas li ke training to all the existing agents. that we are going to go all out for training all our existing a gents in a phased manner. Second, focus will be on recruitment from the millennial segment because we are facing the issue of the millennial customers today. So we will be having a force of millennial a gents, and they will be shown a path agency as a career because we have seen in the past, high attri tion rates are there, but our focus will be recruit , retain, and put in resilience among the agency forc e.
Swarnabha Mukherjee: Right, sir. That's very helpful. Very clear. I just had a follow-up on the product mix part. I just wanted to understand, sir, that you alluded to the fact that non-par has increased and that is higher margin. But sir, non-par as you report has various categories, I was keen to understand because the mi x has increased in favor of ULIP under the non-par ca tegory rather than individual savings or protection . So I mean, so that's what my query was that how ULI P margins are and how it is impacting?

R. Sudhakar: In non-par, all the lines of business, savings, ann uity, protection and ULIP all are showing growth. Y es, ULIP is showing maximum growth, but the annuity is also in double digits. The rest of them are catching up. And the overall non-par growth is arou nd 20% -- 29%. On the par side, we are taking some steps in the current year so that we will also have more of agents looking at the par also as a produc t line of choice.
R. Doraiswamy: I'll add just one more point to that. Though ULIP s hows a good growth rate, it is on a low base. So th e growth in savings and annuity has been on a large b ase. So, the APE growth as well as the margin has not been impacted because of the high growth percen tage in ULIPs. That's one thing
Swarnabha Mukherjee: Understood, sir. Sir, if you could give the number for the individual book margin, I mean, a ballpark number, like you have given last quarter a nd the difference between the APE and the weighted premium that comes in IRDAI, if you could explain t hat.
A.K. Srivastava: So, the highest margin actually comes from the non- par, the savings products, followed by if you look at par business, par, if you look at this, though t he numbers might have come down, but the initiative s which we have taken in the past, like high increase in the ticket size, etc., the margin has increased in case of par products as well.
ULIP actually adds to the volume, and it also helps increasing the VNB numbers. So, the important thing is actually to look at the VNB numbers, which have actually gone up significantly by 20%, 21%. So, it's not only about the VNB margin, but the gro wth in VNB. So, we continuously focus on increase in VNB and the proportion of products that gives yo u the margin which we have actually planned for.
Moderator: Our next question comes from the line of Avinash Si ngh from Emkay Global. Please go ahead.
Avinash Singh: Good evening! Thank you for the opportunity. So, a couple of questions. The first one is my ques

tion
on solvency and your dividend paying policy. I mean , as we can kind of observe that since the time you have listed and you of course, you have this bifurc ation of account and the policy change on surplus transfer from non-par, the solvency now is inching up. I mean Y-o-Y solvency is up 18%. Now it is 217%.
And still, you have kind of a very sizable chunk of surplus sitting in the non-par book that is still kind of where MTM is not part of your solvency capital. So, on that, my message is that -- or question is t hat solvency is too strong, the profit generation remai ns strong. what stops you from increasing dividend meaningfully? I mean, nearly last year, your profit was Rs.48,000-odd crores, now even quarterly Rs.10,000 crores kind of profit generation, but we are kind of still not going ahead with dividend increase or step change. So that's the first questi on.
And second question is, I mean, now you have start ed your non-par share has increased and the scale is also meaningful. And if I recall correctly, last year, you took the call to enter into that FRA mar ket. So can you sort of provide some color into what is the total quantum of FRA derivatives that you have kind of entered agreement into? And what percentage kind of your exposure is hedged or unhedged? These are the 2 questions.
Sunil Agrawal: So as far as your question on dividend is concerned , you should have noticed that consistently, we hav e been increasing the dividend year-on-year. We start ed with the dividend of RS.1.5 immediately after the corporation got listed on 17th May 2022, and wh ich has gone up to Rs.12, which is proposed this

year and subject to the approval of the forthcoming AGM. So we are consistently improvising on

increasing the dividend on a sustainable basis, and we'll continue to do that in the near future as we ll.
As far as the money retention is concerned, we are keeping the money retained for the future growth aspects since we are also changing the product mix significantly on the non-par side, and we're keepin g a watch on the solvency margin as well. So the divi dend policy will be consistently sustainable increa se going forward in the years to come.

A.K. Srivastava: And as regards hedging, we started entering into co ntracts in January 2025. And I think we have starte d writing this hedging since March 2025, right? Now L IC is actually hedging strategy is governed by regulations and market conditions. The entire cash flow is available for hedging. But then that's not a complete solution. If you look at the pricing assum ptions, the hedging actually should align with that .
So, if it doesn't align with this, we may actually revisit the pricing strategy or even changing the structure of the product itself. So, the strategy i s dynamic and ongoing. So, it's not a fixed or some rigid numbers are not assigned to that. It's an ongoing d ynamic process. That's what we can say at this stag e.

Avinash Singh: Sir, a follow-up to first one. So, what would be yo ur comfortable range of solvency? Because I mean, we have seen the corporation listing in and around 160-odd percent solvency. Now we are at 218%. So, what sort of a comfortable range of solvency that y ou are comfortable with?
And is this kind of preserving the capital some way also linked to some uncertainty around solvency once we move to a risk-based solvency regime or wha t so these are my 2 linked questions that what is the comfortable range of solvency? And is this cons ervatism in terms of preserving capital linked to kind of uncertainty around risk-based solvency impl ementation?

Dinesh Pant: Financial soundness is reflected through solvency, and that remains very important, as you rightly mentioned, these numbers have to be seen in context of the frame in which we are seeing them. For example, corporation used to have a solvency of aro und 1

.55 to 1.6 post IPO, which naturally has now gone up to -- and for a long period, we consistentl y improved from there, and we are in the range of 1 .9 to around 200.
So typically, see, our requirement of solvency from the regulatory point is 1.5. Our target solvency i s 1.6. We are a DSII. So, we do want to have a strong er solvency. So, anything between 1.8 to 2 is the goal that we would like to achieve. But then we are also conscious of the situation that when the shif t happens towards RBC regime, these numbers would sta rt looking quite different. And that solvency because that exercise is still ongoing.
So, there are 2 issues to be considered here. One, that corporation is in growth path. We have a lot of ideas in mind, not only confined to the products, b ut also business lines and the opportunities that c ome. But we are also aware about the change in the regul atory solvency determination method to RBC, and there could be some challenges there.
So, we are awaiting because we are already enterin g almost the second phase of RBC testing. And once that is done, we'll take a call based on that thing . But anything around at that time, therefore, we w ould not like to constraint and bind us to say that we a re okay with 200% because in that situation, depend ing on what is the requirement of RBC, we'll have to re phrase it.

So actually, we believe that it's a very short-ter m phenomenon. From here to the changeover to RBC, it should happen within a short period of time. The n we'll be and because in RBC regime, the sensitivi ty to the nature of the portfolio will become quite im portant. And the method will change significantly.
Whatever aim is that, because solvency is a very i mportant criteria of financial soundness, we'll lik e to have definitely good cushion over the required leve ls so that financial soundness is achieved. But you r concern which you are talking about in terms of div idend, I would believe that you would appreciate that dividend is not the only way to reward the inv estors. right?
So, we have taken in fact, our dividend yields ar e one of the better ones amongst the peer companies . So there's no complaint on account of dividend. But we want again, another important thing in context of LIC is whatever we deliver, that should be susta inable. We do not want to create hopes and then go back from there.
So, we have taken conscious efforts as our CFO jus t mentioned about the proposed dividend level. We are definite that we will be able to sustain and im prove from there. But beyond that, we want to bring about value in the business and solvency, we want t o have we would like to be very well solvent in whichever solvency regime that we are working. Than k you.

Moderator: Our next question comes from the line of Aditi Josh i from JPMorgan. Please go ahead.

Aditi Joshi: Just one question on the margin work that you have provided. If you are able to just share what is causing the positive support in the margins from th e operating assumptions. So, is it the expenses tha t is causing the positive movement?
And second, on the negative economic assumption re setting, is it related to the yield side? If you're able to confirm that? And if so, are we going to take an y repricing measures going forward, which will sort of nullify that effect going forward? And the secon d question is for the full year 2026. Are you able to share any guidance of the margin profile as in, sha ll be based on a year-on-year increase in the margi ns

in FY '26 as compared to FY '25? So, these are my 2 questions.
A.K. Srivastava: So, if we the economic assumption, as you rightly p ut in is because of reduction in RFR rates to the extent of 50 to 75 basis points during this quarter . So that actually has caused the reduction to the extent of 2.3% in economic assumptions.
Regarding the operating assumptions

, the major driv er, of course, as you mentioned rightly, is expense optimization and long-term persistency, as you may have noticed, the 61 st month persistency has increased. So, the expense level has come down sign ificantly with expense ratio down to 10.5% from 11.87%. And coupled with that, the mortality experi ence remains stable.
So, all this, including and then if you also see t he business mix, as I had explained earlier, that b ecause of the several interventions and to higher ticket s ize, focus on higher ticket size and the persistenc y in the backloaded commission, etcetera, the impact is to the extent of 1.9%. That explains how the VNB margin has gone up from 13.9% to 15.4%.
Aditi Joshi: Okay. And any guidance for margins for this year, f ull year as compared to last year?

A.K. Srivastava: So, we are actually focusing on the non-par busines s as a part of our strategy. And as the proportion of non-par increases, you can expect the corresponding increase in non-par margin. The overall margin as well.
Aditi Joshi: Okay. Got it. So, in the non-par, you will include the ULIPs as well, right, unit linked?
A.K. Srivastava: So, unit-linked, definitely, as I mentioned, that h elps us to increase the top line, though it may be having a lesser margin. But then the growth in non-par sav ings products sufficiently takes care of that margi ns.
And overall, these products actually have an impact on increase in VNB. So, we need to also focus on VNB also very small. If the volume is higher, the m argin even if it is lower, adds to the VNB and ultimately aims at increasing the margin overall.
Moderator: Our next question comes from the line of Dipanjan G hosh from Citi. Please go ahead.
Dipanjan Ghosh: So just a few questions from my side. First, if you can give some color on the trajectory of the VNB margin in the group business? How has that shaped u p on a Y-o-Y basis? Second, obviously, there have been some discussion on the agency part, and you me ntioned that in terms of the sum assured and ticket size going up, while number of policies are still a little sluggish.
In terms of the activation rates, can you give some color of how the activation rate on the agency has been, let's say, from October onwards versus post p re-October? And the reason I'm asking this is because I think there was a point where you mention ed that attrition rates in agency have been a littl e high and you would kind of focus on acquiring more millennial sort of agents. And lastly, in terms of any reduction from the government in terms of overa ll shareholding, any timelines or any views on that?
Dinesh Pant: As far as VNB margin in the group business is conce rned, you are aware that that's not a very high VNB margin business. But within group business also , the margins vary across the nature of the products. We are on the lower side on the fund-base d business, but they are on the higher side in the assurance business, right?
So, we are trying to focus. But from the point of v iew, we are not seeing actually the situation only from the context of VNB margin. Let's be clear abou t it. The ultimate context is that VNB margin should improve, but the volume should also -- VNB m argin should not come in the way for the growth of the overall business and for providing the solut ions to the customers that are required for them.
But we realize that there is a huge potential with in group business to expand and increase in the seg ment of assurance side. So that is what we are trying to focus on. And good value is coming in terms of sti ll it's a very smaller much smaller size of the overal l portfolio, but that remains a part of focus for u s.
So, what is the intent is that group business shou ld continue to provide the support for the overall market share because we have to see that there's a value i n terms of for the customers a

nd there's a synergy between individual and group business. So, it's not to be seen something in a stand-alone basis, but i t should add to the value in terms of VNB overall.
So, and almost 30% plus share is coming in terms o f VNB overall VNB from that business. So that is the intent for the group business. And the larger f ocus is happening on the assurance side of it becau se we are anyways very strong in the superannuation bu siness side of group business.

R. Sudhakar: Okay. On the activation side, as already mentioned by me earlier, we have added around 61,000 agents as compared to last year. The percentage of agents active are slightly higher in the current year as

compared to the earlier year, which means that more agents are active in the current year as compared to the earlier. The only issue is that since the su m assured has been increased, there is a slight dec rease in the number of policies sold by each agent. So, I think that gives you the correct picture.
Moderator: Dipanjan, does that answer your question?
Dipanjan Ghosh: No. And the third question in terms of any timeline s for the government stake?
R. Doraiswamy: See, the government has been clarifying time to tim e as to what they are planning to do. They have already taken a timeline of 2027 for bringing down their stake to 90%. And recently, the government has also announced that they'll be going ahead with some offloading in some tranches. Beyond that, we also do not have any direct visibility of what the government is going to do. But the government has been making announcements, and I think this is some thing which can be better answered by the Government of India rather than by the LIC manageme nt.
Moderator: Our next question comes from the line of Punit Bala ni from Macquarie Capital.
Punit Balani: Just 2 aspects. So, on the group front, I don't kn ow if you added was, are we seeing more growth -- strong growth in group protection products like thi s, which is driving higher margins apart from the cost of -- apart from the decline in cost ratios?
And second thing, I don't know if you mentioned wh at is the individual VNB margins? You had highlighted it last quarter around if you could hig hlight it again this quarter. Sorry if I missed it earlier.
Dinesh Pant: Individual last quarter* was around 21%. It would b e slightly better than that** in this quarter. So around 3% to 4% improvement would have happened the re around 23% - 24%*** would be the individual business side of it. In Group Business, as we are talking about, there may be some factors. For example, the longevity improving even in the ad ministration scheme would add to the VNB margin improving there.
Then similarly, as you mentioned rightly, so the la rger focus on the production side of business, as I mentioned earlier, is also a contributor to that th ing. However, there are certain areas in any line o f business-like annuities where there could be in the interest rate falling situation, there could be ne gative pressure.
So, it's the overall balance of the entire portfoli o, which comes about for competitive reasons also a nd for meeting the expectation of the customers also a t times, we have to bear with because these RFRs also can be fluctuating from time to time. Interest rates can be fluctuating from time to time. So, as we mentioned about in group, the focus is through impr ovement in the and enhancement in the mix towards the production side.
* Q4FY25

** ‘that’ to be read as quarter ending June, 2024

*** Inadvertently mentioned as 23% - 24% instead of 18% - 19%.

Moderator: Our next question comes from the line of Shobhit Sh arma from HDFC Securities Limited.
Shobhit Sharma: Sir, my first question is on the ULIP segment. I th ink we have grown very significantly on that sid

e. So
can you help us understand what is helping driving growth in that segment? And what is the contributio n of the monthly mode in that business segment? And s econdly, what kind of ULIP mix are we targeting as a mix of the individual business?
It would be like 20%, 25% or we are comfortable wit h 13 to 15-odd percentage. And on the ULIP business side, what kind of lapsation assumptions a re we building in, especially for the 61st month persistency? So that's the first part of it. And th en on the cost ratio, if I look at your cost ratio, it has improved materially. So how should we think about i t going forward as well?
Dinesh Pant: In ULIP side, you see, again, we'd like to repeat t hat. Our larger focus is that what is the need for the customers, where the flavor lies for them. It is no t that as a corporation, our endeavor is to be able to offer every type of product to the customers and le t them select what is best for them. So, it is driv en by the demand rather than and we our job is to supp ly the products, which cater to the need.
You would appreciate that in the Indian context; th ere's a lot of participation in the market. So ther efore, ULIPs have become very important. in context of -- though we all realize that margins in ULIPs are not the best ones, but that cannot be the only reason f or us to be offering our products. We have to balan ce it with the people who are buying non-par saving pr oducts.
So ULIP, we are comfortable because as Mr. Doraisw amy also earlier mentioned, from the level where we are, there is a room and as of if you see even t oday, I think 10%, 15% with the overall market shar e, which used to be less than 1% or 2% sometime back. So, in the market, you will also see that shift of the companies and the participants will keep on hap pening.
At one point of time, somebody is strong in one se gment, so other person will choose to some other things. So, these shifts will keep on happening as long as customers have the need. And we will try to ,

therefore, in ULIP segment also come out with innov ations and innovative products so that, for example, in the last year, we came out with index-l inked type of products. For the type of customers who would want to see their returns in line with th e indexes.
There are other products which are more discretion ary, not necessarily following the tracking to the index. So there also and in fact, like we are also endeavoring to introduce this concept in the group side of it, which is not currently there. So, we'll try to see that ULIP remains important. ULIP would cont inue to remain because Indian market offers opportunitie s for people to invest in the market.
So ULIP will remain flavor. But as we mentioned, w e'll continue to provide work on the pension side of it because there's a lot of opportunity in futur e. 20% of the population will be by 2050 will be se nior citizens who are young people today. So, we have to facilitate annuity products also. We also have to facilitate guaranteed products in non-par savings, plus we will refocus on our participating segment again there also. It's not that we are not focused on it, but it had quite saturated for some point of time. Now we endeavor to pick up on that also. So that i s our driving thing. We would not like to say that we want to control that ULIP should be 30% or 40% or 2 0% sort of thing. As of now, we see a lot of opportunity and growth. And there is a lot of oppor tunity for cross-selling and upselling even when, f or example, you're selling ULIP products.

So, our strategy is to supply products which are c ustomer-centric, which are easy for distributors to understand and appreciate and market and which over all as a basket create value for the corporation, not necessarily individually segment-wise. I hope t hat answers.
Shobhit Sharma: Yes. Sir, what would be the monthly

mode contributi on in the ULIP segment?
Dinesh Pant: See, largely, the monthly mode, I can tell you abou t not necessarily in ULIP only, around 15% to 16% is the monthly mode, which is the case. And now so that would be generally the 10% to 15% would be the monthly mode. But then it will again keep on ch anging from month to month.
The preference could be there could be many people who are willing for single premium products also because we have got single premium options also. So monthly mode can keep on varying from month to month. And the significant portion is coming fro m single premium variant of ULIPs also, significant .
Shobhit Sharma: Okay, sir. And sir, what kind of lapsation assumpti ons are we building into the ULIP segment and specifically the 61st month assumptions?
Dinesh Pant: Lapsation assumptions is again something we will no t like to specify the number, but it is based on th e experience analysis that we undertake. And we are v ery prudent about it based on 2 or 3 years of experience data that we analyze, then we try to see the trends of the recent time, put equal weightage and credibility factors are applied. And then lapsa tion assumptions are built into it. So we'll not li ke to talk about specific numbers here, which is because it is reflective of the actual experience and the expected experience for the future.
Shobhit Sharma: Okay, sir. And lastly, sir, on the expenses side.
Dinesh Pant: What exactly on the expenses side, would you like t o know?
Shobhit Sharma: So, employee cost, specifically, it has come down s ignificantly over the last 1 or 2 years if you look at it.
Dinesh Pant: It has come down for various reasons. And that was a thought-out understanding when we did our business projections also. It has come down because of one reason that significant number of employees have been retiring from year-to-year in the corpora tion. We want to balance our overall workforce and technology to be cost optimizing and still continue to deliver.
So significant amount of savings is coming from the re, employee-related savings because that actually constitutes almost 70%, 80% of the expense for the corporation. On top of that, at times, it gets impa cted also because of the change in mix of the business. For example, the larger -- you would have seen LIC has done very well in the single premium segment as compared to even industry. So there, naturally, the expenses are less.
So, all of those factors have helped us in reduce expenses. And after having seen that trend to have settled and sustainable for future. Therefore, you would have seen that we have reviewed our expense assumptions, which has resulted into better outcome s in terms of the margin. But this is not something surprising to us.

It is very clear. You would have seen quarter-to-q uarter from almost at one point of time around 2 ye ars back, 15% plus. Now if you have come down to 10% an d possibly one of the best in -- out of all the listed players, that's what we are seeing today. So that's a very conscious effort.
But we'll continue to watch this area because, aga in, expense reduction is not the only goal for the

corporation. It is all about expense optimization. We are open to increasing expenses also as if it is required because ultimate goal is to bring about th e growth in business and being able to provide services which meet the expectation of our customer s. So, we are working towards not necessarily reduction in expenses, but optimization of expenses .

Moderator: Our next question comes from the line of Raghvesh f rom JM Financial.

Raghvesh: Congratulations on a very strong set of results. Si r, a couple of questions. First, you mentioned 23% to 24% margins on the individual business. So back cal culating the group business margins comes to somewhere around 5%, which when we used to disclose it used to be s

omewhere around 10%. So, I mean, what has actually caused the shift in the VNB margins for the group business?

Dinesh Pant: No, no, it has not reduced. The business has not re duced.

A.K. Srivastava: So, it has not come down. Let me so we are not actu ally looking at the numbers. Numbers we have given is at the corporation level. But the group VN B margin is definitely not in a single digit. It is -- the proportion is in the double digits. But then we do not want to actually see on those numbers.

Dinesh Pant: See, almost in all lines of businesses*, actually, VNB margin has stabilized or improved. So, in fact, interestingly, even in our participating line of bu siness also, it has improved. But the earlier quest ion was on individual business. So -- but individual bu siness overall is just around almost -- it's evenly space, almost around 30% business is group business by APE and other side of business, almost 30%, another 30%, 32% is non-par and then 30%**. So almo st everywhere, there is a slight improvement or stable experience in the VNB margin, but more prono unced improvement has come in the individual non-par segment.

Raghvesh: Okay. Okay. And on the -- would you like to mention about some growth targets which the corporation is looking at, given that last year, we had weak gr owth once the surrender norms came in, in the secon d half. So, what kind of growth in terms of the top l ine we are targeting for this year and on a sustain able basis from the next year?

R. Doraiswamy: Actually, second half of last year saw the market u ndergoing a change because of the change in the master circular brought in by the regulator. We are looking at a decent growth in terms of absolute volume as well as in terms of APE terms in the curr ent year. And I'm sure when it comes to the second half of the year, the growth will substantially imp rove. We do not want to give a clear number, but we would like to keep improving, keep consolidating th e growth on both on APE terms as well as on absolute volume terms.

* ‘business’ to be read as Non linked individual busi ness

** ‘30%’ repeat word deleted.

Moderator: We'll take the last 2 questions. The next question comes from the line of Sucrit D. Patil from Eyesigh t Fintrade Private Limited.

Sucrit Patil: I would like to ask a specific question to Mr. Dor aiswamy. Is Mr. Doraiswamy there online?

R. Doraiswamy: Yes, sir. I will answer, yes.

Sucrit Patil: So first of all, I would like to congratulate you o n your appointment as the CEO and Managing Director of the biggest insurer of India, LIC. And my questi on is a bit of a nonfinancial background question. So, my question is, as LIC continues to digitize it s distribution and policy serving platforms, how ar e you planning to use the how you are planning to use AI for the underwriting and behavioral analytics or embed insurance models to deepen customer engage ment and improve risk selection for FY '30. I would like to hear your thoughts on this.

And how could this possibly shape LIC's competitiv e edge in the evolving insurance landscape? I wanted your specific thoughts on this as the new MD CEO, what is your vision on this?

R. Doraiswamy: Thank you. Thank you for your greetings and the que stion directly to me. We have already been stating that the Life Insurance Corporation of India would like to completely undergo a digital transformation , and we have already engaged BCG to guide and help u s in implementing a digital transformation drive of the corporation.

A lot of work has already happened. We are now prep aring the platform on which our customer engagement applications as well as our intermediary engagement applications will work. We are also engaging very reputed partners into building up a d ata lake and a very, very robust data analytics platform on top of that data lake.

So, these are at very advan

ced stages of implement ation. And maybe in the next 5 to 6 months, we should start rolling out most of the initiatives th at we are planning to do. On the one side, yes, the complete digital engagement of the customer from po licy onboarding, customer onboarding till claim settlement and any kind of service requirement will be available on digital. That is one thing which w e are using.

As you said, integration of AI as well as ML into our decision-making process, starting from underwriting and risk assessment is a part of the t ransformation that we are looking at. We are engagi ng even other fintech partners in various other ecosys tem players in the system so that we have a seamles s integration, not only with the IT systems of the in termediaries, the web aggregators and others as wel l as people who would like to directly deal with the LIC and get the products sold as well as serviced.
Looking forward, you are talking about 2030, even earlier than that, we would like to be extremely competitive on the digital front and nowhere behind anybody in terms of digital service offerings.
Certainly, we'll be one among the top in terms of d igital engagement in the years to come, sir. That's what my vision will be.
Sucrit Patil: I wish you best of luck for your tenure as the new LIC boss.
Moderator: Our next question comes from Niraj Kumar, an invest or.

Niraj Kumar: Congratulations for a good set of numbers. Am I aud ible?
R. Doraiswamy: Yes, you're audible.
Niraj Kumar: Yes, most of the question was answered. But only th ing is about the health insurance also, like we wer e hearing that you are entering into health insurance . So, what's the update on that, the first thing? A nd secondly, as you said that means you are worrying a bout the investor like us also. So obviously, eithe r it's a price increase or the dividend and all.
You know that one other company, the peer company i s getting the like valuation of 80, 90p. I'm not saying the comparing, but your company is getting 1 1. So, either you are working something for the investor like doing something dividend policy like 60% I will pay or 50% I will pay. So at least the valuation will have a decent value. It can't be 8x SBI Life or HDFC Life more than you. You are the best company. So please answer on that.
R. Doraiswamy: On the first, sir, the health insurance foray, we h ave been talking about the various options availabl e in front of us. We have been evaluating the options of taking a stake in a stand-alone health insurance company as one of the options available. In the mea ntime, there has been a lot of changes in the environment. Particularly, we are expecting some ch anges to the statute as well as the regulatory environment.
So, we are also waiting for the kind of changes tha t is expected to be rolled out in the near future. And in the meantime, we are also exploring the possibil ity of all the options available. Right now, we can not be directly into health insurance as a player. We c an only look at it as an investor. Yes, that is one of the options we are currently exploring.
But we are in view of the changes that are taking place in the recent past, we are now enhancing our options. And so, it is currently we cannot say that we are immediately going to go in for a foray into health insurance market as of now. It's a kind of w e are waiting to see what is the what are the chang es that are brought in the regulatory environment.
On the other side, actually, we have been working towards enhancing the valuation of the company by focusing on, one, business growth; two, enhancing t he distribution strength of the corporation; and three, in terms of getting big VNB margin numbers.
So, we strongly feel that when we are delivering o n the performance on the core business that we are doing, the markets will consider them and go in for a bette

r valuation. We are certainly eagerly waiti ng like for this to happen, and we'll be consciously w orking towards improving our valuation so that investors' interests are well taken care of.
Moderator: Ladies and gentlemen, as there are no further quest ions from the participants, I now hand the conferen ce over to Mr. Doraiswamy for closing comments.
R. Doraiswamy: Thank you. We appreciate your active engagement and valuable input during today's discussion. Your ongoing support is invaluable to us, and we eagerly anticipate continuing our partnership to foster growth, achieve success and create value for all th e stakeholders involved. Once again, I thank you fo r your participation. Best regards.

Moderator: Thank you. On behalf of LIC, which concludes this c onference. Thank you for joining us. You may now disconnect your lines.
Management: Thank you.

Call: Nov 2025

Ref. No.: LIC/SE/2025-26/104 Date: November 13, 2025

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai -400001
The Manager
Listing Department,
National Stock Exchange of India Ltd.,
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Mumbai -400051
Scrip Code:
543526 Scri
p Code: LICI

Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) of the SEBI (Listing Oblig ations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analysts/Investors held on Novem ber 06, 2025.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination. A copy of this intimation is also being made available on the we bsite of the Corporation at www.licindia.in .

Yours faithfully,
For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
H1 FY26 Earnings Conference Call"
November 06, 2025

MANAGEMENT : MR. R. DORAISWAMY – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. SAT PAL BHANOO – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
MR. RATNAKAR PATNAIK – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. AJAY KUMAR SRIVASTAVA – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL – LIFE INSURANCE CORPORATION OF INDIA
M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – LIFE INSURANCE CORPORATION OF INDIA
MR. GOVIND AGARWAL – EXECUTIVE DIRECTOR, MARKETING , PRODUCT DEVELOPMENT – LIFE INSURANCE CORPORATION OF INDIA
M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR, PENSION AND GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH – EXECUTIVE DIRECTOR MARKETING , BANCASSURANCE AND ALTERNATE CHANNELS – LIFE INSURANCE CORPORATION OF INDIA

MR. R. CHANDER – EXECUTIVE DIRECTOR, INVESTMENT
FRONT OFFICE AND CHIEF INVESTMENT OFFICER – LIFE
INSURANCE CORPORATION OF INDIA
M R. SANJAY KUMAR SRIVASTAVA – EXECUTIVE
DIRECTOR, INVESTMENT BACK OFFICE, INVESTMENT TEAM
– LIFE INSURANCE CORPORATION OF INDIA

M S. VANDANA SINHA – EXECUTIVE DIRECTOR, CRM,
CLAIMS AND ANNUITIES – LIFE INSURANCE CORPORATION
OF INDIA
M R. SANJAY BAJAJ – HEAD INVESTOR RELATIONS – LIFE
INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to LIC's H1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
We have senior management of LIC, led by Mr. R. Doraiswamy, CEO and MD on this call. I now hand the conference over to Mr. R. Doraiswamy, CEO and MD, LIC. Thank you, and over to you, sir.
R. Doraiswamy: Thank you. Good evening, everyone. I'm Doraiswamy, Chief Executive Officer and Managing Director, LIC. I would like to welcome all of you to the half yearly results call of the financial year 2025-'26. Our results declared today have been uploaded along with the Press Release and the Investor Presentation on our website as well as the websites of both the exchanges, BSE and NSE.
Along with me on this call, I have 3 Managing Directors, Shri Sat Pal Bhanoo, Shri Dinesh Pant and Shri Ratnakar Patnaik. Senior officials of the corporation present on this call are Shri Ajay Kumar Shrivastava, Appointed Actuary and Executive Director, Actuarial from the Actuarial team; Shri Sunil Agrawal, CFO from the Finance team; Shri R. Chander, Executive Director, Investment Front Office and Chief Investment Officer; Shri Sanjay Kumar Shrivastava, Executive Director, Investment Back Office from the Investment team.
From the marketing team, we have Shri Govind Agarwal, Executive Director, Marketing, Product Development; Mr. Hemant Buch, Executive Director in charge of Marketing Bancassurance and Alternate Channel; Shri K. Seshagiridhar, Executive Director Pension and Group Schemes. Also, we have Ms. Vandana Sinha, Executive Director, Customer Relation Management, Claims and Annuities; and Shri Sanjay Bajaj, Head, Investor Relations, on this call.
Let me take you through the key business, operational and financial highlights for the half year ended 30th September 2025. Our market share by first year premium income for the 6 months ending 30th September 2025 is 59.41% as compared to 61.07% for the similar period ended 30th September 2024. We continue to maintain our leadership in both Individual as well as Group business within the Indian life insurance industry.
Now, if you bifurcate this overall market share of 59.41% into segment-wise share of individual and group business, we would have a market share of 37.21% in the individual business and 72.74% in the group business for the 6 months ending September 30th 2025.

On a comparable basis, for the 6 months ending September 30th 2024, the respective market share for individual and group business were 39.79% and 74.77%, respectively. For the 6 months ended 30th September 2025, we have reported a total premium income of Rs 2,45,680 crores as compared to a total premium income of Rs 2,33,671 crores for the 6 months ended 30th September 2024, registering a growth of 5.14% on a year-on-year basis.
The individual new business premium income for 6 months ended September 30, '25, was Rs 28,491 crores. And for the corresponding period last year, it was Rs 29,538 crores, thereby registering a drop of 3.54% on a year-on-year basis. Renewal premium income of individual business for 6 months ended September 30th was Rs 1,22,224 crores as compared to Rs 1,15,158 crores for the same period ended 30th September 2024.
Therefore, for 6 months ended September 30, 2025, our total indivi

dual premium income,
including renewals was Rs 1,50,715 crores as compared to Rs 1,44,696 crores for 6 months ended 30th September 2024, registering a growth of 4.16% on a year-on-year basis.
The group business total premium income for 6 months ended 30th September 2025 was Rs 94,965 crores, comprising new business premium of Rs 92,586 crores. In comparison, for 6 months ended 30th September 2024 last year, the group business total premium income was Rs 88,975 crores and comprised new business premium of Rs 86,056 crores. Therefore, for the 6 months ending 30th September 2025, the total group premium has increased by 6.73% as compared to similar period of previous year.
The total annualized premium equivalent for 6 months ended September 30th 2025, is Rs 29,034 crores, which is comprised of individual APE of Rs 17,170 crores and group APE of Rs 11,864 crores. Therefore, on an APE basis, the individual business accounts for 59.14% and the group business accounts for 40.86%. Further, of the individual APE, the participating business accounts for Rs 10,936 crores and non-par amounts to Rs 6,234 crores. Therefore, our non-par share of individual APE is 36.31% and par is 63.69% for the 6 months ended 30th September 2025.
As you may recall, for 6 months ended 30th September 2024, our Non Par share of total individual business based on APE stood at 26.31%. Since then, our Non Par APE has increased from Rs 4,778 crores to Rs 6,234 crores, reflecting an increase of 30.47% on a year-on-year basis.
During multiple queries post our June 2025 quarter results, regarding the upper limit, where non-par share may peak, we had suggested that we have enough wind behind our sails and the momentum has been built in favour of non-par product mix change. The individual non-par APE share mix at 36.31% is a testimony to the momentum we mentioned earlier.
The Profit After Tax for the 6 months ended 30th September 2025 was Rs 21,040 crores as compared to Rs 18,082 crores for the 6 months ended September 30th 2024, thereby registering a growth of 16.36% on a year-on-year basis.
The net VNB has registered a growth of 12.3% on a year-on-year basis to Rs 5,111 crores for the 6 months ended September 30th 2025, from Rs 4,551 crores for the 6 months ended

September 30, 2024. Further, the net VNB margin has improved by 140 basis points on a year-on-year basis to 17.6% for the 6 months ended 30th September 2025 from 16.2% for the 6 months ended September 30th 2024.
The solvency ratio as on September 30th 2025, improved to 2.13 as against 1.98 on September 30th 2024. The Indian Embedded Value as on September 30th 2025, has been determined at Rs 8,13,230 crores as compared to Rs 8,21,716 crores as on September 30th 2024. Therefore, the IEV has registered a decrease of 1.03% on a year-on-year basis. However, you will recall that the IEV was Rs 7,76,876 crores as on March 31st 2025. Therefore, the IEV has improved by 4.68% between 31st March 2025 and September 30th 2025.
The Assets Under Management as on September 30th 2025, was Rs 57,22,896 crores as compared to Rs 55,39,516 crores as on September 30th 2024. Therefore, our AUM has registered a growth of 3.31% on a year-on-year basis.
During the first 6 months of period of FY 2026, we have launched 2 new non-par products on July 4th 2025, namely LIC's Nav Jeevan Shree and LIC's Nav Jeevan Shree Single Premium. During the July '25 to September '25 quarter, we introduced 2 new riders also. As on September 30th 2025, we had a comprehensive suite of 55 products, excluding Pradhan Mantri Jeevan Jyoti Bima Yojana, available for new business, including 35 individual products, 12 group products, 7 individual riders and 1 group rider.
Post the GST exemption announced in September 2025, LIC has launched 2 new Non Par products on October 15th 2025. These products are called LIC's Jan Suraksha

and LIC's Bima
Lakshmi. Therefore, as on date, we offer a total of 57 products, which include 37 individual products, 12 group products, 7 individual riders and 1 group rider.
During the 6 months ended September 30, 2025, we sold 72,60,573 new policies as compared to 91,70,420 new policies in 6 months ended September 30, 2024. As on September 30, 2025, the total number of agents was 14,85,325 as compared to 14,39,658 as on September 30, 2024. The market share by number of agents as on 30th September 2025, stands at 45.86% as against 47.56% on September 30, 2024.
On the number of policies sold basis, the agency force sold 71,44,242 policies during the 6 months ended September 30th 2025, as compared to 89,21,078 policies during the corresponding period last year. Further, 98.4% of our policies in the 6 months ended September 30th 2025, were sold by our agents. When seen on premium basis, 92.13% of our new business premium came from our agency channel in the first 6 months of the current financial year.

There is a strong growth in new business premium income from our Bancassurance and Alternate Channels. Bancassurance and Alternate Channels collected a new business premium income of Rs 2,024.10 crores for the 6 months ended September 30th 2025, as compared to Rs 1,207.54 crores for the 6 months ended September 30th 2024, thus registering a growth of 67.62% on a year-on-year basis. The new business premium income collected through banks was Rs 1,265.88 crores for the 6 months ended 30th September 2025. And for the corresponding period of last year, it was Rs 854.23 crores, thereby registering a growth of 48.19% on a year-

on-year basis. Further, the Alternate Channel collected new business premium income of Rs 758.22 crores for the 6 months ended September 30th 2025, as compared to Rs 353.31 crores for the 6 months ended September 30th 2024, registering a growth of 114.60% on a year-on-year basis.

Our Bancassurance and Alternate Channels now account for 7.12% of the individual new business premium for the 6 months ended September 30, 2025, up from 4.1% for the 6 months ended September 30, 2024. For the 6 months ended September 30, 2025, the overall expense ratio was 11.28% as compared to 12.74% for the first 6 months of last year. You will observe that there is a decrease of 146 basis points on a year-on-year basis.

Persistency:

On premium basis, the persistency for the 13th, 25th, 37th, 49th and 61st month up to 6 months ended 30th September 2025 stands at 75.29%, 71.37%, 67.70%, 63.70% and 63.81%, respectively, as compared to 77.62%, 72.24%, 67.24%, 66.33% and 61.46%, respectively, up to the 6 months ended 30th September 2024.

On a number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month up to the 6 months ended 30th September 2025 stands at 63.36%, 60.23%, 55.18%, 50.67% and 51.50%, respectively, as compared to 67.23%, 59.73%, 54.06%, 53.84% and 48.92%, respectively, up to the 6 months ended September 30, 2024.

The performance on persistency metric has been a mixed bag with an improvement in the 37th and 61st month cohorts on premium basis and improvement in 25th, 37th and 61st month on a number of policy basis.

In our digital initiative through the agent-assisted Ananda app, we have completed 8,78,470 policies through this app during 6 months ended September 30, 2025, as compared to 7,23,281 policies for the 6 months ended September 30, 2024, thereby registering a growth of 21.46% on a year-on-year basis. There is a growth of 40.07% in number of active agents in Ananda app for the 6 months ended September 30, 2025.

The digital innovation value enhancement project and the Jeevan Samarth initiatives are progressing as planned and are in various stages of implementation. In the last earnings call, I had informed you that cu

stomer super app and Sales Saathi app were undergoing testing and
launches in select geographies, and it will be rolled out on a pan-India basis soon. I'm happy to inform you that both the apps have been made live in the month of August-September 2025.

Claims:

On the individual claims front, during the 6 months ended September 30, 2025, we have processed 96,44,280 number of claims, which includes 92,34,314 maturity and survival benefit claims. On an amount basis, during the first 6 months ended September 30, 2025, the total maturity claims were Rs 1,07,587 crores, and the total death claims were Rs 12,049 crores.

On a comparable basis for the first 6 months ended September 30th 2024, the maturity claims were Rs 94,531 crores and death claims were Rs 11,645 crores. Therefore, the maturity claims are higher by 13.81%, and the death claims are higher by 3.47% on a year-on-year basis.

As of September 30th 2025, a total of 2.57 lakh women have been designated as Bima Sakhis, successfully selling 8.54 lakh insurance policies and garnering a new business premium income of Rs 1,096 crores in 6-month period ended September 30, 2025. Our objective is to appoint at least one Bima Sakhi in every gram panchayat, and we would like to inform that out of 2,47,876 gram panchayats, we have covered 44% gram panchayats by recruiting Bima Sakhis in 1,08,748 gram panchayats up to September 30th 2025.

Before concluding, I would like to reiterate significant highlights of our performance during the first 6 months of FY 2025-26:-

Our Non Par share of Individual APE business has further grown to 36.31% for H1 FY26 as

compared to 26.31% for the same period of the previous year.
The Profit After Tax has grown by 16.36% to Rs 21,040 crores on a year-on-year basis.
Bancassurance and Alternate Channels registered a growth of 67.62% on a year-on-year basis to Rs 2,024.10 crores.
VNB has increased by 12.3% on a year-on-year basis for the first 6 months of the FY'26.
VNB margin has shown a positive bias with a 140 basis points increase to 17.6% for H1 FY26.
AUM has increased to Rs 57.23 lac crores, registering a growth of 3.31% on a year-on-year basis.
While maintaining growth in multiple parameters, we have kept a focus on costs. And as you can see, the overall expense ratio is down by 146 basis points to 11.28% in H1 FY26.
Now, I would like to share our view on the most significant development for the Indian life insurance industry, which is the exemption of Goods and Services Tax on the life insurance products by the Government of India. We believe this move is customer-friendly and will provide a major boost to the further penetration due to better affordability and therefore, expand the size of the life insurance industry in India. We are already witnessing strong tailwinds due to these steps taken by the government and believe that the full impact will be seen in the coming quarters.
At LIC, we are committed to passing on all intended benefits to the customer. We are confident that we'll be able to accelerate our efforts towards "Insurance for All by 2047" with such customer-friendly initiatives. We sincerely thank our stakeholders for their consistent support and faith in our strategy and its implementation.
I now request the moderator of this call to open the floor for question-and-answer session. Thank you very much.

Moderator: Our first question comes from the line of MW Kim from J P Morgan.
MW Kim: Thank you so much for the opportunity and Congratulations on the strong results. I have 2 questions. So firstly, I noticed that the ULIP is becoming an increasingly important part of the new life phase. So

looking ahead, should we expect the share of the ULIP to grow meaningfully from current level, similar to the private players?
And another question is about the solvency capital. The company has a very strong solvency ratio of 213% as of September '25. I would like to understand the company's solvency ratio under the Risk based Capital regime. I ask because the company's liability reserve structure differs somewhat from the private peers.
And I have observed that overall, the adjusted net worth movement within the EV appears relatively substantial. Additionally, while the company is a major asset manager in India, the current solvency capital framework does not fully reflect this equity-related effect. So this is 2 questions from me.
R. Doraiswamy: Thanks for the greetings, Kim. As you told, ULIP is slowly becoming more prominent in the entire insurance -- life insurance industry in India, and LIC has also been catching up in the sale of ULIPs. And it has recorded the highest growth among the various baskets of life insurance in the last quarter and the first half of the year. We are recording more than 100% growth on ULIPs as on date. On the solvency margin part, I would request my Appointed Actuary to give the full details.
Ajay Srivastava: Good evening. I'm Ajay Kumar Srivastava, Appointed Actuary and ED Actuarial. Now, the question is about RBC comparison of solvency margin in RBC regime and the current regime. We have actually submitted QIS1 and QIS2 to IRDAI. While we have submitted the results, we are still in discussion with them on several issues, and we are constantly engaged with them. Now, the ultimate solvency ratio based on the final QIS regime will depend upon the outcome of those things, which we are discussing with the regulator. So at this stage, I think the numbers are quite dynamic and susceptible to change. So for the time being, we'll not be able to comment anything on what is the impact on that unless things are finalized by IRDAI.
M W Kim: That was very clear. Thank you.
Moderator: Our next question comes from the line of Harshal Mehta from AM Securities.
Harshal Mehta: Congrats on a good set of numbers. So a couple of questions. First is on the NOP. So if you can just explain like NOP, we have seen a very sharp drop, both on a totality and as well as in terms of bank and alternate channels. So what are our steps to improve the NOP going ahead? That was first.
Secondly, EV has been broadly flat on a Y-o-Y basis, but within ANW and VF, there is a lot of discrepancy in terms of growth and one is degrowth. So if you can explain why there is such a sharp variation between both of them, that will be helpful.

And lastly, in terms of margins, so we have seen a very sharp increase in margins for the first half and as well as Q2. So when we see the product mix, we've seen a very sharp increase in non-par, and that is led by ULIP. So is it fair to assume your ULIP margins are higher than the company level? So those are my 3 questions.

R. Doraiswamy: First, I will take the NOP question. Actually, you remember on 1st of October 2024, the new Master Circular came into effect. And to get aligned with the Master Circular conditions, we had to completely modify almost all the products that were available on sale as on 30th September.

So as a part of becoming compliant with the circular, we had to raise the minimum sum assured under the most popular products on the savings category of LIC. That resulted in a sharp fall in the number of policies sold, particularly in the ticket sizes between Rs 1 lakh and Rs 1,99,999. So that resulted in a degrowth in the number of policies sold in the last second half of the year, and that continued in the first half because the comparison was with the earlier regime.

Also, because the planned withdrawals were announced, the Se

ptember month of 2024 saw a big surge in the number of policies sold to catch up before the old policies went out of sales. So we are comparing on a large base, first point. Second, on September 5, Government of India came up with the reforms to the GST structure in India. And the GST exemption for life insurance business was announced with effect from 22nd September. So between these 2 dates, there were -- there was almost a complete stop of purchase of policies on the individual side, and people were looking forward to getting the exemption from GST.

So the business during that almost 15-day window suffered a major fall. And that could not get compensated in the last 8 days of the current September month. So that was the main -- that was the reason for the number of policy degrowth in the first half of the current year. However, from 1st October, the scenario has completely changed, and we are having a very good traction and showing a substantial growth in the number of policies sold.

And we are very confident by the end of the current financial year, we will be able to completely catch up and show a good performance on the number of policies as well. On the EV part and margins, I would request Appointed Actuary to give a clarity on that.

Ajay Srivastava: So we have a basket of products to cater to the need of the policyholders. And you would appreciate that all these products based on whether they are in Par or Non Par, Savings, Term, they have different margins. And what is important for us is to also look for the VNB being contributed by each of these segments. So the growth in ULIP actually contributes to the VNB, which is equally important for us because that is what is the preference of customers. So that -- those products are actually chosen by them.

So what we actually look for is not one particular metric like VNB margin, but we concentrate on the products, which actually meet the needs of the customers and keep on modifying them based on their change in their needs. So that ultimately results in some number based on VNB or VNB margin. But the fact remains that it may not be completely fair to just talk about the

VNB margin of one particular line of business, which may be less or more, but the contribution for each line of business is for VNB, which is important for the corporation.

R. Doraiswamy: EV, he talked about too...

Dinesh Pant: See, as far as the EV, Embedded Value, you mentioned about, you would appreciate there are different components of embedded value coming from core business as well as fair value change as well as ANW. And while we are not talking about individual specific numbers, and we are not discussing, but there is an improvement, a significant improvement in our core business contribution.

We all appreciate that between the comparable periods, the markets have actually been tepid, so -- and a significant portion comes from the fair value change also. What is appreciable is that just with notwithstanding all those things, from March to September numbers, the Embedded Value has significantly improved, largely backed by the improvement in the core business component of the Corporation. So that is one thing.

And margin increase, as we talked about, ULIP is one part of our overall strategy. And within the overall product mix, the contribution to the new business has largely come as was earlier mentioned about because of better proportion of non-par business, which is not only about ULIP, but also saving products, where the new business VNB margins have significantly improved. And also VNB margins are helped by the improved RFR rates during this period. So that is also

largely because of the better contribution coming from the product mix from the saving line of business, including from ULIP also.
But as you will appreciate, the larger contribution -- ULIP is not the signif

icant driver for VNB
margin. It is a good driver for one in the context, as was said earlier, a satisfaction that customer needs, market needs it. And it is aligned to the customer needs for the overall APE growth also. But the other lines of businesses give better margins. So it is a proper mix and balance of different products within this segment, which has contributed to overall increase in VNB margin and also improved the Embedded Value as compared to the margins.
Harshal Mehta: Thank you and all the best.
Moderator: Our next question comes from the line of Prayesh Jain from Motilal Oswal Financial Services.
Prayesh Jain: Just on the previous participant's question, your adjusted net worth from H1 FY25 to H1 FY26 has jumped while your value of in-force business has gone down. What explains this different movement in both the elements?
Ajay Srivastava: Largely, as has already been explained, the variation is mostly coming because of that MTM contribution. If you look at the core business, as has already been explained, the contribution from the core business has already gone up. So if you look at this, adjusted net worth has gone up, but value of in-force business, that has some constituents in which other constituents, they contribute almost similarly to that, which is flat. But MTM, there is some impact, is actually slightly marginally disturbed.

Dinesh Pant: Actually, present value of the future profits and VF as compared to March has only improved. It has not gone down. The present -- the VF portion as compared to March has improved in September. But MTMs have been flattish.
Prayesh Jain: Okay. MTM is the main factor contributing to both the elements.
Ajay Srivastava: Yes. Yes.
Dinesh Pant: And with the surplus transference to the shareholder portion, the adjusted net worth has always been going upwards.
Prayesh Jain: Got it. Second question is on persistency. I see that there is some drop in persistency on the near periods. What explains that?
R. Doraiswamy: As I told you, we had a large quantum of low ticket size policies. See we cater to all the segments of the society, and we cover the entire geographical spread of the country. So we experienced a lower persistency at small ticket size policies, particularly because of the variation in seasonal income of people who take policies under this. So this will be the reason for the drop in persistency, both in number of policies as well. But you will find that in terms of premium, our persistency is better than the persistency in terms of number of policies. This has been the case always.
But with the improvement in the minimum ticket size or the minimum sum assured and the average ticket size going up, we are very hopeful -- we are very confident that the persistency going forward will improve and much -- it will be much better in the days to come. The higher ticket size policy sale or the change in minimum sum assured happened on 1st October and the effect of which will be seen only in the months to come because they will be completing the 13th month only from the next month onwards.
Dinesh Pant: And just as a corollary to what was being discussed earlier, while the markets have -- the fair value change portion has -- as on September '25 remains even below September '24 as well as March '25. But for the period from March to September, that fall has been more than made good by the improvement in the present value of future profits.
So that has resulted into the VIF from March to become positive in September '25, even as it is below September '24 level because the difference -- the fall as compared to September '25 is very sharp, which has been -- which has improved from March and then now it's better than that. So the position -- that's the reason that the embedded value -- overall embedded value has improved as compared to M

arch because the core business has more than compensated for the loss in the fair value changes.
Prayesh Jain: Okay. Sir, the third question is on the GST input tax credit not being available. So how are you kind of -- what is the kind of impact that you would expect on Embedded Value as well as VNB margins in the time to come? And any impact that you've already absorbed in the EV and VNB? And third will be on how are you kind of going to offset, whether you're passing on the impact to the agents? Or how are you going about this?

Ajay Srivastava: So the numbers which have been actually provided, the different metrics, VNB margin, embedded value, solvency ratio, etc. they all have been considered after GST impact, the effect of ITC. So the numbers have already taken account of GST reforms. But going forward, what we look for is the increase in the volume of business, and also, the operational efficiency, we have been looking into that because the ITC actually is one of the expense items, and we are looking together with the cost optimization.
And you would see that as a result of that, expense ratio has actually come down from 12.7% to 11.3%. This is in addition to the proactive measures we have taken in the last year when the product regulation had come up, where we have retained actually the profitable products, the margins and the backloaded, the commission, etc. which improves the persistency. So all these measures actually have resulted into the numbers which have been provided to you today.
As you were asking particularly about the embedded value, the embedded value numbers, we have already disclosed. That was in LODR 0.5%, and the impact of that is within that. And going forward, the numbers will depend upon the -- VNB margin, etcetera, will depend upon the mix and volume, which is going to come up. So that effect we can see at the time of the embedded value in the month of March, and then we can look into the walk.
Dinesh Pant: Just in order to supplement that thing, as is already stated in the statement of CEO also, see, we are looking this GST, which is an individual line of businesses in order to see as an opportunity for the growth. And what we want is that, in line with the policy changes which have happened, that the policyholder should benefit out of it, the distributor should benefit out of it and insurance company should benefit out of the higher production and working towards higher market insurance penetration levels.
So the entire effort of the corporation, as we already come out and disclosed also, is at this point of time take this opportunity for growth of the business. And that growth of the business by improvement in per policy expenses or other ways, should lead into the control of the expenses so that it becomes a win-win proposition for insurer as well as the customers without much any impact on the distribution.
But as an insurance company, we continue to analyze our experiences and continue to take decisions based on the outcomes that emerge. At this point of time, we are confident that this should lead and that those type of outcomes are already started to be seen, in which the business growth, which is the prime focus area for us as an insurance company -- as a lead insurance company. So we are working towards that goal only.
Prayesh Jain: Sir, any number you want to quantify with respect to if there are no -- without any adjustments or without any changes to operational efficiencies, what could be the impact on the VNB margin for us in case you're not passing on the GST, input tax credit also as well
Dinesh Pant: I don't think it is fair for us to just see one side of it from an expense point of view because, see, when the expenses naturally will get impacted, but on the other side, the GST waiver should lead to growth. And that growth in business shall also impact the

expenses on a favorable way.

So it will not be actually correct to see just one side of the picture and not take the overall scenario out of it.
So as was already explained by Appointed Actuary, at this point of time, the impact is well, well within what we have gone on disclosures in terms of the impact on the embedded value, much below that thing. And we are sanguine that with more efforts and more propagation of this benefit to the customers, the growth in business and the quality of the business should lead into insignificant or actually cutting down any impact, so that would ..
Moderator: Our next question comes from the line of Sanketh Godha from Avendus Spark.
Sanketh Godha: Thank you for the opportunity. Sir, my -- probably my question again is on a little similar lines. So given only 8 days of the business had a GST negative impact and second half full will be with GST negative impact. So are you confident to deliver same, at least similar VNB margin, that is 17.6%, what you have reported for the first half? Or you believe even if the volumes come, will there be some bit of berating to the margin compared to what we have delivered today. That's one thing. Maybe if you answer that question, then I have 2 other questions.
Dinesh Pant: Sanketh, you would have observed that the trend of our VNB margin has always been upward from Q1, Q2, Q3 to Q4 onwards, right? And actually, it's very heartening that not standing -- despite of all these things, because on the strength of the better product mix and all those things, we have been able to deliver VNB margin, which was actually in the Q4 of the last year. So rest assured, Corporation does everything, which it is confident about, and we are committed to

create value for our shareholders as well as policyholders. So we are quite confident that this trajectory in the medium to long term should continue. in line with our original...

Sanketh Godha: Sir, given we have an improving trajectory every quarter passing by, so is it fair to say that still you will end up FY '26 with a margin better than what you reported in 1H? Is that a fair assessment to make?

Dinesh Pant: That is always our intention. Nobody can predict the future, but it can be better than this also. But we all know -- this -- for example, this policy change came to us as a surprise. It was not something which was on cards. And the government has been very very kind to take this step in order to give the -- fillip to the growth of this industry. So at the end of it, it depends on the execution.

We are very confident that whatever we have set as goals for us, we have been achieving and overachieving on them. So we see no reason that there should be anything unless there is some force majeure or something like that, anything else should happen. We are very confident about this onward trajectory to continue.

Sanketh Godha: Okay. Understood, sir. Sir, the second question is, honestly, your non-par largely led by ULIP, you answered that question. But just wanted to understand that making the simple assessment straight yes or no that the ULIP margins are better than the company average. That's largely the reason why the margins improved?

Or your Group did very well, and maybe if that was driven by Group annuity, and that was the trigger which led to the margin improvement because without the product mix, looks a little -- ULIP in general is perceived to be a low-margin product compared to par. So just wanted to understand, it's largely ULIP led or more led by Group?

Dinesh Pant: Sanketh, on that, it is not only just line of businesses which decides the overall margin. Within every line of businesses also, we keep on taking steps to realign the margins as well as the benefit of the policy. For example, say annuities, which used to give very high margins, where margins came down, then the steps have been taken, even to align VNB margins within that. So it is not we are seeing just ULIP versus the line of businesses. Every line of business has got a different purpose.

As we mentioned earlier also, the primary focus for us as an insurer is to be able to provide -- it's just not that because VNB margins are less in ULIP, so we all know that ULIP do not deliver great on margins. Saving products at times will deliver better than them on the margins, right? So -- but then the product offering is not just based on margins only. It is also, in fact, more for what customers need. So the art lies in -- art or science, whatever you want to call it, lies in how to balance the product mix in a manner so that customer needs are satisfied and other stakeholders' interests are also well protected.

So ULIP, there was a time we were being questioned, being laggard on ULIP, and now, we have taken good growth in ULIP. So -- and because customers are choosing to buy ULIPs. So that will continue to be a focus. But we continue to create value through -- we offer -- you will see ULIP may be significant, but savings has got a significant portion in overall mix. So that creates good VNB margins for us. So we'll continue to work on a balance of product mix and continue to take decisions within the line of businesses also to strike the right balance of VNB and the growth.

Sanketh Godha: Okay, sir. Understood. But sir, just at product level, given you are saying that we're focusing on higher sum assured and maybe the yield curve also became favorable for the sector. So at the product level also, are we experiencing in general a better margin profile compared to last year? And that can be a potential reason also to continue to drive the margins?

Dinesh Pant: Yes, definitely, if our margins are improved, then definitely some of the products would be able to deliver better margin than before. And also because -- you see, margin is not product based. Again, within the product itself, when the ticket size improve, margin is likely to improve, right? And you would have observed that last year, we took that decision in certain line of businesses the minimum ticket size has improved.

So the entire purpose of that is that to improve the quality of business margins as well as persistency of those businesses, which will be -- which will come to be seen from coming year onwards. So that product mix, the ticket size and as you rightly mentioned about, the impact of RFR also has got a role to play in that from time to time.

Sanketh Godha: Okay. Sir, are you quantifying? Typically, you used to quantify. Are you quantifying the group margin and individual business margin separately in that 17.6%?

Dinesh Pant: I don't think we are giving it by that category.
Sanketh Godha: Okay. Okay. No, you used to disclose previously. So just trying my luck again. Okay. Lastly, sir, you said the EV impact due to GST is 0.5 percentage, right, sir? Is that impact as stated?
Dinesh Pant: No, no, we never said 0.5. We disclosed in the public disclosures that we do not estimate it to be more than 0.5% of that. What we are confirming is as per the current valuation, when we have done for the embedded value, it is much less than that.
Sanketh Godha: Understood. And lastly, sir, in EV of Rs 8.13 lac crores, how much is fair value change?
Dinesh Pant: Again, I think component-wise, we are not disclosing. Are we disclosing?
Dinesh Pant: Component-wise, we are not disclosing.
Sanketh Godha: But is it fair to say it is 50% of the total EV, closer to that number?
Dinesh Pant: I don't think we disclose it that way. We have to -- embedded value in totality. I would see no reason why we should want to see it from different components because even if fair value change has come, it is coming out of

the business only. So we are
Moderator: Our next question comes from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.
Madhukar Ladha: Thank you for taking my question. See, most of my questions have been answered. But just again, on the GST impact, I wanted to understand, one, on the next 6 months, which is the second half of the year, what would be sort of the margin impact because of ITC not being available?
We can make some assumption in terms of the product mix remaining constant. So some sense of there would be helpful, or -- so that's one. Or even in this current 17.6%, you had the GST impact for the last sort of 10 days, right? So what is the impact in the VNB margin of that also, if you could give that number?
And third, what are we doing in terms of reducing this? Are we changing commission payout structures or reducing commissions? Because that would again be a pretty large component of the ITC also. So yes, if you could help me with these 3 questions.
Ajay Srivastava: As we have already discussed, in next 6 months, the mix and business is very difficult to guess at this stage because within that particular product as have already been informed that the ticket size, if it goes up, the margins could be different. If a particular line of business, if more business is there, then the contribution towards margin will be more or less.
So standing at this stage, assessing all those because ITC is only one of the components of the entire things which actually impact the margins. So we need to actually look at the entirety how the margins are going to move going forward at the end of the year. But once we go at the end of the year, as I said, we can actually look at the impact on the Embedded Value when we actually also present the embedded value walk.

Madhukar Ladha: So okay. But historically, at least we could say, right, that if, let's say, ITC was not available in the first half of this year, then what would the impact be on the margins?
Dinesh Pant: See, one thing we need to note that -- what was made out on 8 days issue of ITC, that was a financial presentation point of view. From an actuarial exercise, once the information gets to -- gets known to us, it is already factored in our assumptions, rest assured. When we are doing VNB analysis, even for the business which has been done, we are aware that this is not available for the future period. So that is recalculated.
It's not that it is on a stagnant basis that only for 8 days new business, it is taken care of. So that is the type of confidence that we are trying to give you is that all those assessments have been already factored. This is what Appointed Actuary already was mentioning, have already been factored.
Now beyond this, it's not that we are not -- we have a lot of experience that what type of business is going to happen in future years, what is our focus area. We expect that's what we -- that's the basis which we only explained to you that we are sanguine that this trajectory, we expect to continue for the future period also.
R Doraiswamy: To supplement, Mr. Ladha, actually, margin improvement is possible with so many other changes as well. We are looking at, one, the increase in top line of business because of the reduction in -- the exemption from GST itself, that is one. Two, the product mix cannot remain constant because we'll be coming up with new products as well and the product focus also will change.
So our focus will be on increasing the top line substantially in the second half, one, to take care of the impact of the input tax credit not being there, plus also improving the profitability by focusing on improved ticket size as well as contribution from product line also.
So we are certainly not looking at anything passing on the commission or changing the

commission structure right now, but we

'll be looking at increasing the ticket size and the
contribution from the existing business as well as the products to be launched in the days to come.
Madhukar Ladha: Understood, sir. Sir, and again, it will be very helpful if you can give the mark-to-market impact in the EV. So of the total EV, how much is mark-to-market, if you could give that number for the first half and for FY '25, that is also helpful? I mean, yes.
Dinesh Pant: We'll give that -- we'll work it out because we have not been disclosing this thing. So I think you can work it out from our financials, if that's the case. But we have not been disclosing. So we're not -- we'll not be disclosing. Yes. But the sensitivities we are disclosing, so possibly, you can look into the sensitivity numbers on -- sensitivity impact of fall and rise in equity is being disclosed in our IEV. So you can -- we'll see whether we can share this information because as of now, we have not been sharing this thing. But the sensitivities are very much aware, they are in the public domain. So I think that can -- and rest from there, you can pick it up.
Moderator: Our next question comes from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: Thanks for the opportunity. My first question is with respect to agency channel. Sir, I was looking at your agents as on 1st April and 30th September, it is kind of very flattish. So are we becoming more aggressive with respect to agents in terms of deletion from the company?
Govind Agarwal: This is Govind Agarwal, ED, Marketing. Yes. Currently, we have 14,85,000 agents. And last year, it was 14,39,000. So there is a net increase. And you will also see that this agencyship, it's quite volatile in the market because people take agency and they take time to stabilize. So that flattishness is always there. There is no steep jump.
Even if we go for heavy recruitment, then again, it will have an impact after 12 months. So -- but we are focusing on stabilizing our agents and better productivity rather than low-quality recruitment. So that is how you see there's a big growth in this number as compared to last year September 2024.
Mohit Mangal: Okay. And we do expect around, what, 6 policies per agent, right, on an annual basis?
Govind Agarwal: See, there are certain guidelines for continuation of agency like 6 policy, 12% premium basis also. So on an average, this may be -- may not be in line with the industry because only number of policy cannot be a parameter alone. So we have...
Ratnakar Patnaik: I would like to supplement. Last year, the average productivity per agent was around 12 policies. So we are trying to improve the productivity, retain the agents, train them so that they are having a good career with us. So average productivity, we are trying to increase by virtue of training and motivating them.
Mohit Mangal: All right. That is helpful. My second question is towards the individual NBP. So we have seen a 67% increase in individual NBP, driven by bancassurance and alternate channels. So just wanted to confirm, IDBI Bank is again the major driver for this growth?
Hemant Buch: Good evening. This is Hemant Buch, Executive Director, Bancassurance. While IDBI continues to be the leader, but the considerable growth has come both from Axis as well as IDFC First.
And as also in fact made available earlier, we are, in fact, forging new tie-ups, and that keeps on continue delivering value for us. So one of the things of value creation has been in fact in form of forging a tie-up with AU Small Finance Bank. So this will continue. Yes.
Mohit Mangal: Understood. That is helpful. My last question, sir, in terms of annuity, again, I understand it's a small base, but we have seen a decline. So do we have any particular strategy for growth in the annuity business?
R Doraiswamy: We will be focusing on increasing a

nnuity business as well. Yes, in between, it has taken a
reduction in terms of volumes, but we expect it to come back. The focus was on ULIPs also, as we were not doing well in ULIPs. So now, we have shown a substantial increase in the number of policies sold under ULIPs as a basket. We will also be focusing on annuities as well as savings, both we'll be looking at.
Mohit Mangal: Okay. So would we be launching newer products or maybe favorable IRRs? I mean, what would be our strategy in that?

R Doraiswamy: For annuity markets, you don't have to launch any new products. The products -- it needs to have a focus on that aspect. I'm sure it will happen, but there will be new products coming in different

baskets, yes.
Moderator: Ladies and gentlemen, we are moving forward to the last question from Dipanjan Ghosh from Citigroup. Please go ahead.
Dipanjan Ghosh: Hi, Good evening Sir. So just a few questions from my side. First, in terms of your balance sheet, annually, we get the breakup of your fair value change between Par and Non Par. Obviously, first half, we don't get the overall balance sheet. So if you can just break it up. If I recall correctly, your -- from your par segment, the fair value change was around RS3.9 trillion in -- as of March. So if you can just break that up.
My second question is on your VNB margin walk. If I see for the first quarter on a rolling basis, you had a 1.9% positive operating assumption change. And as of first half, it's a minus 1.1%. So would it be fair to assume a majority of this change between 1Q to 1H on a rolling basis is actually the impact of GST not being there? Or is there any other component also?
My third question is more on the accounting part. If I recall correctly, since your listing, you made one accounting change, whereby any mark-to-market change on your ASM is being routed through the net worth. This is pertaining to some of the questions asked from your previous participants also in terms of the EV between fair value and non-fair value.
Is there a possibility or something that you're considering of some of the excess fair value on the equity side on the non-par book or the ASM part, if that can be parked within the net worth or can be routed through the net worth? I mean, is there any possibility of any accounting charge? Is it even feasible out there?
And the last question is on the growth part. Obviously, you have done a good job in terms of business mix alignment. Just wanted to understand at what stage would you feel that the mix is stabilizing and probably focusing on market share stabilization kind of picks up in your priority or taking order out there?
Dinesh Pant: Yes. As of now, as per our accounting policy, the realized portion through -- accounting through profit and loss account is only transferred to the shareholder fund. Currently, we do not have any thought process that on accounting basis, unrealized portion could be transferred or would be transferred. That's not something.
We need to follow, and we'll continue to follow, the best accounting practices that be the case here because that can lead -- if unrealized portion can be considered, it can lead to -- and market is subject to volatility. So that's not the step at this point of time in any consideration for us just to inflate the number. That's not the goal. What was the second question?
R Doraiswamy: Fair value change, Par, Non Par...
He just wants a breakup of fair value change between the Par and Non Par, which we don't disclose.

Dinesh Pant: See, we are again not giving the breakup between par and non-par fair value change. But one thing has to be considered that it's not -- the fair value change does not come about only through the equity. It also gets impacted from -- on the debt portion based on

the interest rate changes.
So currently, we are not giving that type of breakup for par, and line of business-wise breakup is not being given.
R Doraiswamy: VNB margin walk.
Ajay Srivastava: Yes. So the VNB margin walk, which has been provided in the presentation is that because of the business mix, the change is 3.4% positive contribution. Because of RFR change, the impact is negative 1.1% and 0.9% negative is on account of operating assumptions. That includes the impact of GST. So the margin has moved from 16.2% to 17.6% because of this component.
Dipanjan Ghosh: Correct. And the last question on the growth part.
R Doraiswamy: Growth ?
Dipanjan Ghosh: The last question was more on -- you've done a good job in terms of your VNB or product mix realignment. But at a certain stage, would you kind of focus a little bit more on market share stabilization over business mix realignment? I mean, is that a thought that you're considering?
R. Doraiswamy: Yes. Actually, we are not taking a target business mix component, as I keep -- I mentioned last time also. There is a traction. There is an improvement in our APE – Non Par APE that has grown from 26.31% to 36.31% over a period of 1 year. We expect some more improvement to happen just because the momentum that has been built up in this direction over a period of last 3 years. Though we are not targeting for any particular mix proportion, we expect some kind of an improvement on the basis of the momentum that has already been up in place.
Now, there is a possibility that we can even start showing a growth on all the parameters, all the buckets, including par, non-par savings, ULIPs as well as annuities. So we will be looking at all the 3. There are different segments. As things go, in Q3, we'll see a fair amount of improvement in savings component, thanks to the focus on MDRT and other focus as well. It is likely to

happen. We are not targeting a particular mix. That's for sure. We expect it to grow -- improve a bit more further and stabilize that way.
Again, though our focus will be exclusively on top line growth, not necessarily keeping in mind the market share, we would like the entire pie to grow and LIC to show a good growth, if possible, better than the industry growth. If that happens, naturally, our market share will stabilize and improve. Otherwise, also, we have a target on growth rather than looking at the market share per se directly.
Dipanjan Ghosh: Thank you and all the best.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Doraiswamy for closing comments. Thank you, and over to you, sir.

R. Doraiswamy: Thank you. First and foremost, I would like to thank for sparing your time to join the call late in the evening today. As we wrap up our discussion for the first half of FY '26, I would like to express my gratitude to each of you for your ongoing trust, partnership and involvement with LIC.
Your insightful queries reflect an in-depth understanding of our business and strategy. I hope we have addressed your queries to your satisfaction. In case you would need to engage more with us, please reach out to us through our Investor Relations team. Thank you very much and good night.
Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of LIC, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ref. No.: LIC/SE/2025-26/140 Date: February 12, 2026

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai -400001
The Manager
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
Mumbai -400051
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p Code: LICI

Dear Sir/Madam,
Sub: Transcript of Earnings Conference Call with the Analyst/In vestors
Pursuant to Regulations 30 and 46(2) of the SEBI (Listing Oblig ations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Conference Call of Life Insurance Corporation of India ("the Corporation") with Analysts/Investors held on Febru ary 05, 2026.
The said transcript is also available on the website of the Cor poration and can be accessed from the link: https://licindia.in/web/guest/call-transcript-of-analysts-/-inv estors-meet .
Please take the above information on record and arrange for its dissemination. A copy of this intimation is also being made available on the we bsite of the Corporation at www.licindia.in .

Yours faithfully,
For Life Insurance Corporation of India

(Anshul Kumar Singh) Company Secretary & Compliance Officer
Encl.: a/a

"Life Insurance Corporation of India
9MFY26 Earnings Conference Call"
February 05, 2026

MANAGEMENT : MR. R. DORAISWAMY -- CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. DINESH PANT – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. R. CHANDER – MANAGING DIRECTOR – LIFE INSURANCE CORPORATION OF INDIA
M R. A.K. SRIVASTAVA – APPOINTED ACTUARY & EXECUTIVE DIRECTOR, ACTUARIAL – LIFE INSURANCE CORPORATION OF INDIA
M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. ARINDAM DASGUPTA – EXECUTIVE DIRECTOR, (INVESTMENT - FRONT OFFICE) & CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. G.P. AGARWAL – EXECUTIVE DIRECTOR,

MARKETING /PRODUCT DEVELOPMENT – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH – EXECUTIVE DIRECTOR, MARKETING - BANCASSURANCE & ALTERNATE CHANNELS – LIFE INSURANCE CORPORATION OF INDIA

M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR, PENSION AND GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M S. SHOBHA SULOCHANA – EXECUTIVE DIRECTOR, CRM/ POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M S. VANDANA SINHA – EXECUTIVE DIRECTOR, CRM/ CLAIMS– LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD, INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good day, and welcome to the LIC's 9 Months FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
We have with us the senior management of LIC, led by Mr. R. Doraiswamy, CEO and MD on this call. I now hand the conference over to Mr. R. Doraiswamy. Thank you, and over to you, Sir.
R. Doraiswamy: Good evening, everyone. I am R Doraiswamy, Chief Executive Officer & Managing Director, LIC. I would like to welcome all of you to the results and performance update call for the nine months period ended December 31st ,2025.

Our results declared today have been uploaded along with Press Release and the Investor Presentation on our website as well as the websites of both the exchanges - BSE and NSE.

Along with me, on this call, I have three Managing Directors, Mr. Dinesh Pant, Mr. Ratnakar Patnaik and Mr. R. Chander. Senior officials of the Corporation present on this call are Mr. A.K. Srivastava, Appointed Actuary & Executive Director (Actuarial) from the Actuarial team, Mr. Sunil Agrawal, CFO from the Finance team, Mr. Arindam Dasgupta, Executive Director (Investment – Front Office & CIO) from the Investment team. From the Marketing team we have

Mr. G.P. Agarwal, Executive Director (Marketing /PD), Mr. Hemant Buch, Executive Director (MBAC) and Mr. K. Seshagiridhar, Executive Director (Pension & Group Schemes). Also, we have Ms. Shobha Sulochana, Executive Director (CRM/Policy Servicing), Ms. Vandana Sinha, Executive Director (CRM/Claims) and Mr. Sanjay Bajaj, Head (Investor Relations) on this call.

Let me now mention the key business, operational and financial highlights for the nine months ended December 31st, 2025.

Market Share:

Our market share by First Year Premium Income for nine months ending December 31st, 2025 is 57.07% (as per IRDAI) as compared to 57.42% for the similar period ended December 31st, 2024. We continue to maintain our leadership in the Indian life insurance market, across both individual and group business segments.

Now, if we bifurcate this overall market share of 57.07% into segment wise share of individual and group business, we would have a market share of 35.84% in Individual business and 71.36% in the group business for the nine months ending December 31st, 2025. On a comparable basis for the nine months ending December 31st, 2024, the respective market shares for Individual and Group business were 37.21% and 71.70%, respectively.

Premium Income:

For the nine months ended December 31st, 2025 we have reported a Total Premium Income

of Rs. 3,71,293 Crore as compared to total premium income of Rs. 3,40,563 Crore for the nine months ending December 31st, 2024 registering a growth of 9.02% on Year on Year basis. The Individual New Business Premium Income for nine months ended December 31st, 2025 was Rs.44,941 Crore as compared to Rs. 42,441 Crore for similar period ended December 31st, 2024 thereby registering an increase of 5.89% on Year on Year basis

.

Renewal Premium Income (Individual business) for nine months ended December 31st, 2025 was Rs. 1,91,050 Crore as compared to Rs. 1,78,975 Crore for nine months ended December 31st, 2024 registering a growth of 6.75% on Year on Year basis. Therefore, for the nine months ended December 31st, 2025, our Total Individual Premium Income including renewals was Rs. 2,35,991 Crore as compared to Rs.2,21,416 Crore for nine months ended December 31st, 2024 registering a growth of 6.58 % on Year on Year basis.

The Group Business total premium income for nine months ended December 31st, 2025 was Rs. 1,35,302 Crore comprising New Business Premium of Rs. 1,32,611 Crore. In comparison, for nine months ended December 31st, 2024 last year, the Group Business total premium income was Rs.1,19,147 Crore and comprised New Business Premium of Rs.1,15,576 Crore. Therefore, for the nine months ending December 31st, 2025, the Total Group Premium has increased by 13.56% as compared to similar period of previous year.

Break up of business on APE basis:

Total Annualized Premium Equivalent (APE) for nine months ended December 31st, 2025 is Rs. 44,007 Crore which comprise Individual APE of Rs. 27,552 Crore and Group APE of Rs. 16,455 Crore. Therefore, on APE basis, the individual business accounts for 62.61% and Group business accounts for 37.39%. Further, of the Individual APE, the Par business accounts for Rs. 17,507 Crore and Non Par amounts to Rs. 10,045 Crore. Therefore, our Non Par share of Individual APE is 36.46% and Par is 63.54% for nine months ended December 31st, 2025. As you may recall, for the nine months ended December 31st, 2024, our Non-Par share of total individual business, based on APE, stood at 27.68%. Since then, our Non-Par APE has increased from Rs. 6,813 Crore to Rs. 10,045 Crore reflecting an increase of 47.44% on Year on Year basis. We are consolidating our rapid gains in Non Par share of Individual APE. Sequentially, we are consolidating this year at approximately 36% plus levels.

Profit After Tax:

The Profit after Tax (PAT) for the nine months ended December 31st, 2025 was Rs. 33,998 Crore as compared to Rs. 29,138 Crore for nine months ended December 31st, 2024 registering a growth of 16.68% on Year on Year basis.

VNB and VNB Margins:

The net VNB has registered a growth of 27.96% on Year on Year basis to Rs.8,288 Crore for the nine months ended December 31st, 2025 from Rs.6,477 Crore for the nine months ended

December 31st, 2024.

Further, the net VNB margin has improved by 170 basis points on a Year on Year basis to 18.8% for the nine months ended December 31st, 2025 from 17.1% for the nine months ended December 31st, 2024.

Solvency Ratio:

The Solvency Ratio as on December 31st, 2025 improved to 2.19 as against 2.02 on December 31st, 2024.

Assets Under Management (AUM):

Assets Under Management (AUM) as on December 31st, 2025 was Rs. 59,16,680 Crore as compared to Rs. 54,77,651 Crore as on December 31st, 2024. Therefore, our AUM has registered a growth of 8.01% on year on year basis.

Product Mix and New Product launches:

As on December 31st, 2025, we had a comprehensive suite of 59 products (excluding Pradhan Mantri Jeevan Jyoti Bima Yojana) available for New Business, including 39 Individual Products, 12 Group Products, 7 Individual Riders and 1 Group Rider.

Here I would like to add that, currently, we have 57 products. Since in January 2026, one new product has been launched, namely LIC's Jeevan Utsav Single Premium, and three products have been withdrawn, namely LIC's New Endowment Plus, LIC's Bima Ratna & LIC's Jeevan Azad. Hence, we are dynamically managing our product portfolio. Therefore, as of date, we offer a total of 57 products (excluding Pradhan Mantri Jeevan Jyoti Bima Yojana) which comprise 37 individual products, 12 Group Produc

ts, 7 Individual Riders and 1 Group Rider.

No. of Policies Sold:

During the nine months ended December 31st, 2025, we sold 1,16,63,856 new policies as compared to 1,17,10,505 new policies in nine months ended December 31st, 2024.

Agency Workforce:

As on December 31st, 2025, the total number of agents was 14,72,370 as compared to 14,19,480 as on December 31st, 2024. The market share by number of agents as on December 31st, 2025 stands at 45.32% as against 47.40% for December 31st, 2024.

On number of policies sold basis, the agency force sold 1,14,54,396 policies during the nine months ended December 31st, 2025 as compared to 1,13,56,466 policies during the

corresponding period last year. Further, 98.20% of our policies in the nine months ended December 31st, 2025 were sold by our Agency force. When seen on premium basis, 91.72% of New Business Premium came from our Agency channel in the first nine months of current financial year.

Contribution by Banca and Alternate Channels (BAC):

There is a significant upward trend in New Business Premium Income from our Bancassurance and Alternate Channels (BAC). Bancassurance and Alternate Channels collected New Business Premium Income of Rs. 3,341.37 Crore for the nine months ended December 31st, 2025 as compared to Rs. 2,003.95 Crore for the nine months ended December 31st, 2024, registering a growth of 66.74% on a Year on Year basis. The New Business Premium Income collected through Banks was Rs. 2,035.62 Crore for the nine months ended December 31st, 2025 and for the corresponding period of last year it was Rs. 1,451.64 Crore thereby registering a growth of 40.23% on Year on Year basis. Further, the Alternate Channels collected New Business Premium of Rs. 1,305.75 Crore for the nine months ended December 31st, 2025 as compared to Rs.552.31 Crore for nine months ended December 31st, 2024 registering a growth of 136.42% on Year on Year basis.

Our Bancassurance and Alternate Channels now account for 7.45% of Individual New Business Premium for the nine months ended December 31st, 2025, which is significantly higher than 4.73% for the nine months ended December 31st, 2024.

Our Overall Expense Ratio:

For the nine months ended December 31st, 2025, the overall expense ratio was 11.65% as compared to 12.97% for the first nine months of last year. Therefore, there is a decrease of 132 basis points in our Overall Expense Ratio on Year on Year basis.

Persistency:

On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month upto the nine months ended December 31st, 2025 stands at 75.75%, 70.76%, 67.37%, 63.77% and 61.09%, respectively, as compared to 76.66%,71.67%, 67.10%, 63.39% and 61.84%, respectively upto the nine months ended December 31st, 2024.

On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month, upto the nine months ended December 31st, 2025 stands at 64.28%, 59.82%, 55.70%, 50.63% and 49.06%, respectively, as compared to 66.47%, 60.10%, 53.84%, 51.17% and 49.22%, respectively, upto the nine months ended December 31st, 2024.

While acknowledging that certain cohorts have not shown any significant improvement, we assure you that we are taking multiple steps to achieve better persistency ratios.

Operational efficiency and Digital Progress:

In our digital initiative through the Agent assisted ANANDA app, we have completed 14,53,124 policies through this App during the nine months ended December 31st, 2025 as compared to 9,72,504 policies for the nine months ended December 31st, 2024 thereby registering a growth of 49.42% on Year on Year basis. There is a growth of 41.50% in number of active agents in ANANDA app for nine months ended December 31st, 2025.

DIVE (Digital Innovation & Value En

hancement) Initiative:

The DIVE project is being rolled out in phases both for distributors and customers. Many features and facilities have been activated, and many more will be launched this calendar year. I am sure that all of you will experience a much more digital-savvy interface in how LIC connects with you.

Claims:

On the individual claims front, during nine months ended December 31st, 2025, we have processed 1,54,11,320 number of claims which includes 1,47,99,971 maturity and Survival

Benefit claims. On an amount basis during first nine months ended December 31st, 2025, the total maturity claims were Rs. 1,68,613 Crore and the total death claims were Rs. 18,156 Crores. On a comparable basis for first nine months ended December 31st, 2024, the maturity claims were Rs. 1,47,739 Crore and death claims were Rs. 17,588 Crore. Therefore, the maturity claims are higher by 14.13% and the death claims are higher by 3.23% on a Year on Year basis.

Marketing initiative update on Bima Sakhi Yojana:

As of December 31st, 2025, a total of 2.97 lakh women have been designated as Bima Sakhis, successfully selling 14.3 lakh insurance policies and generating a New Business Premium Income of Rs. 1,873 Crore in nine month period ended December 31st, 2025. Our objective is to appoint at least one Bima Sakhi in every Gram Panchayat and we would like to inform that out of 2,44,876 Gram Panchayats we have covered 52% Gram Panchayats by recruiting Bima Sakhis in 1,27,417 Gram Panchayats up to December 31st, 2025.

Before concluding, I would like to reiterate significant highlights of our performance during the first nine months of FY 2025-26:

1) Our Non Par share of Individual APE business has further grown to 36.46% for 9MFY26 as compared to 27.68% for the same period for previous year.
2) Profit after tax (PAT) has grown by 16.68% to Rs. 33,998 Crore on a Year on Year basis.
3) Bancassurance and Alternate Channels registered a growth of 66.74% on a Year on Year basis to Rs. 3,341.37 Crore.

4) VNB has increased by 27.96% on a Year on Year basis for first nine months of FY26.
5) VNB margin has increased by 170 basis points to 18.8% for 9MFY26.
6) AUM has increased to Rs.59.17 Lac Crore registering a growth of 8.01% on a Year on Year basis.
7) While maintaining growth in multiple parameters we have kept a focus on costs and as you can see the Overall expense ratio is down by 132 basis points to 11.65% in 9MFY26.

Now, I would like to conclude by saying that LIC is well on its way to deliver all our commitments whether on product mix, channel mix, profitability, cost effectiveness and newer products. We are doing all this while ensuring that we continue to maintain our image of trust and credibility in the minds of buyers of life insurance in India.

We think that ongoing use of digital marketing and a mobile-first approach will help achieve the national aim of "Insurance for all by 2047".

We are thankful to all our stakeholders for their faith in our strategy and its rollout.

I now handover to the call moderator to start the Question and Answer session.

Thank you very much,

Moderator: The first question is from Alka J.R, who is an Individual Investor. Please go ahead.

Alka J.R: Does the company currently have any plans for ongoing discussions regarding acquisition or entry into health insurance segment?

R. Doraiswamy: We are a strategic investor, and we are a major investor in many companies and sectors. We have been evaluating. We have been looking at opportunities for enhancing our investment opportunities. And as a part of it, we are looking for enhancing our stake in a health insurance company.

We are evaluating various options available in the market, but we don't have any particular deadline or any such immediate date by which we are looking at doing that. We'll be open to having a stake if a very good opportunity makes itself viable.

Moderator: Thank you. The next question is from Madhukar from JP Morgan. Please go ahead.

Madhukar: Sir, when I look at your VNB walk, there's a pretty significant change between 9M and first half of FY '26, the VNB walk that you've explained there. So, the economic assumptions have sort of significantly improved from the first half. And -- so can you explain that? And I'm guessing this impact of operating assumption is mainly related to the GST-related issue. So, can you help sort of simplify both the numbers?

What is -- what are the economic assumptions which are resulting in such a sharp increase in the margin? Also, when we look at the product mix, there is a very big jump in non-par savings products. So can you sort of give some sort of indication of what the underlying margins are in non-par savings for you and also for the group segment. Earlier, you used to give gross sort of VNB margins, but you've stopped disclosing that. So that will be helpful?

R. Doraiswamy: I would like my Appointed Actuary to explain.

Ajay Srivastava: I am Ajay Kumar Srivastava, Appointed Actuary and Executive Director, Actuarial. Your first question is about the yield curve, why the economic assumptions and the results have gone up.

So, the favourable yield curve of Q3 of around 83 basis points -- 80 basis points, particularly of higher durations, that has impacted and contributed to an increase of 1.9%.

So, it's because of the higher favourable yield curve. And your second question was that the operating impact on the VNB margin. So that has impacted 2.8%, but this includes the GST impact, the impact of persistency and alignment of expenses in group business to reflect the current experience.

All these things put together have actually contributed to this decrease in VNB margin by 2.8%.

As regards the business mix -- as regards business mix, the business mix, if you look at in entirety, it has increased from 18% to 23% if we consider the entire business, including group.

And the impact of this is the 48% contribution to the VNB margin*, which indicates the contribution of non-par business and the increase of it on the VNB margin*. And the group, you asked the impact of that. So, for the group, marginally, the proportion has gone up from 35% to 37%. And 37% of this proportion contributes to about 24% of the VNB margin*.

So, I think this while we have given the consolidated numbers on VNB margin for the corporation as a whole, this proportion of the business and the contribution to the VNB margin may give you a good indication of why the VNB margin has increased from 17.1% to 18.8% Y-on-Y basis.

Madhukar: Got it, sir. Sir, and just a follow-up question. Do you hedge -- do you run a hedge non-par product portfolio or is it just that this quarter, you did not revise the IRRs upwards, which has sort of resulted in a higher margin in non-par?

Arindam Dasgupta: I'm just responding to it. I am CIO here. To speak, we are very active in the interest rate derivative space currently, and we are regularly doing forward rate agreements (FRA) at regular interval and we try to hedge our position to the maximum.

Madhukar: Got it, sir. Congratulations on a very good set of numbers and all the best.

Moderator: Thank you. The next question is from Sukrit Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sukrit Patil: My first question to Mr. Doraiswamy is as LIC moves through this stage, how do you balance between growing the business, keeping operations efficient and protecting the profits? And when the situation changes, like competition, cost or customer trends, what helps you decide which of these should be the main focus? That's my first question. I'll ask my second question after this?

* ‘VNB margin’ to be read as “VNB’

R. Doraiswamy: Thank you. The focus is on managing a continuous sustained profitable growth. Our focus will be to continuously to improve the new business performance and top line growth, so that the impact of expenses that happen like the input tax credit of GST or whatever it is, gets subsumed into the overall efficiency of the corporation.

On the expenses part, yes, we are continuously focusing on the rationalization by of course, partly because our senior working team is also having facing a lot of retirements, and we are replacing them by younger people by recruiting at various levels. So, the we are able to attain a cost rationalization in this also as well as the other expenses by going digital by saving our operational expenses at various levels.

So, there's a continuous activity of improving our operational efficiency at the ground level while also focusing on increasing the contribution from the various channels. We are also focusing on improving the contribution of bancassurance and alternate channels, which, in our case, also comes up with a bit more cost efficiency as well as we are also looking at enhancing our digital footprint.

So, all this will continue to be focused, and we'll like to take on the competition or whatever it is based on our continued focus on keeping our agency productivity increase as well as contribution from other channels by improving the top line growth and while continuously working on the rationalization of expenses.

Sukrit Patil: My second question to Mr. Agarwal is, again, along the similar lines, when early signs such as receivables, investment flows or costs begin to change, what guides your response towards this? How do you decide the next step so that you stay ahead of pressure or capture the upside before it shows up on the balance sheet? I want to understand how you approach this particular thing?
Sunil Agrawal: It all depends on the cash flows that are available from time to time and depending on our ALM position because we know the maturities and the outgoes that are planned and more or less the expense trend is also known in advance. So accordingly, we plan our investment strategy and deploy the funds in the market.
Moderator: Thank you. Next question is from Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.
Gaurav Jain: Sir, first of all, congratulations on great set of numbers.
Moderator: Gaurav, I'm sorry to interrupt, but we can barely hear you. Could you please speak a little louder?
Gaurav Jain: Any better now?
R. Doraiswamy: Okay. Go ahead. I'm able to hear you.
Gaurav Jain: So first of all, sir, congratulations on a great set of numbers. Sir, if we can see that for the 9 months, we have reported a PAT growth of 17%, which is now at RS.34,000 crores around. And sir, in spite of reporting such strong growth, our solvency is, sir, continuously improving. So, quarter-on-quarter, it has also improved?

And now we are at 219% solvency, which should be comfortable again. Sir, my question is on dividend pay-out that what we are seeing is the pay-out ratio is on the lower side. So, if you can help us understand how is the Board and Corporation really thinking on dividend pay-out, that will be very helpful, sir?
R. Doraiswamy: Thank you for your question. Actually, this is a call that Board will have to take from time to time. And if you see for the last 3 years, we have been improving or increasing our dividend paid. We started at Rs.4, then we moved to Rs.10 and then we have moved to Rs.12. We are expecting it to be better in the current year also, but it's not a call that I can take individually. So, when we declare the results of the full financial year, we may be our Board will be taking a call so that our growth in the dividend pay-out is also sustainable. As of now, we have built up quite a good amount of reserves, so we can -- w

e are comfortable in that area. So, after the final results are declared, perhaps we'll be able to take a call.
Moderator: The next question is from Dipanjan Ghosh from Citi.
Dipanjan Ghosh: Just a few questions from my side. First, if I look at the ticket size of your non-par savings business and par business, there seems to be a little bit of trajectory change compared to what we were seeing for the past few quarters in both the segments. So just wanted to get some colour on the sub products within this segment? And has there been any shift across the quarter out there? My second question is on the banca and alternate channel. Would it be possible for you to kind of segregate it between core bancassurance and other channels and also the sort of product mix across some of these channels, how are you seeing that evolving?
And the third question is taking cues from the previous participant's question in terms of your dividend pay-out policy. I just wanted to understand now you're sitting with almost a net worth of RS.1.5 trillion plus, your solvency is also quite comfortable. It seems that you might have done some rounds of exercise on IFRS calculations also. So, is there some visibility on, let's say, even 2, 3 years out, what can be a steady state dividend pay-out ratio for a company of your vintage? Those are my three questions?
R. Doraiswamy: G.P. Agarwal on the ticket size of?
Govind Prasad Agarwal: Yes. Our ticket size of India is always is improving because of this annuity plus we are having a growth, similarly in ULIPs also, non-par savings.
Ajay Srivastava: Actually, if we look at on the basis of individual APE, then in that case, you will find that -- because that takes care of the mode of payments. So therefore, average individual APE, if you look at as compared to December 2024, it has gone up from Rs.28,034 to Rs.31,882 in case of single one, single premium. And in case of non-single, it has gone up from Rs.20,542 to Rs.23,051.
So, it has increased significantly. And with this interventions, which we had done last time last year while reviewing the products after this product regulations had come up, you would be aware that in some products, not on all, we had increased the minimum sum assured. So, we expect that going forward, we'll be having a higher ticket size on the basis of APE going forward.

Hemant Buch: Coming to Banca per se, we -- I think CEO sir detailed it out during his address that both Banca core as well as the Alternate, they have been in fact contributing significantly in terms of overall volume. Banks continue to grow at almost around 40% for period ending 31st of December. And alternate, of course, has been showing a healthier growth of around 136% in terms of comparative data over corresponding period of last year. And putting it in numbers, banks contributed around Rs.2,035 crores as at December '25, while Rs.1,305 crores came from alternates.

We look forward to continue with the same set of healthy numbers and quite confident of maintaining the same growth rates for the year as well. So hopefully, we should be closing Q4 also on a strong note. And as far as the product mix within banca is concerned, in fact, banca continues to lead in terms of non-par contribution. And currently, in fact, banca has almost around 90% to 10% kind of weightage between non-par/par.

Sunil Agrawal: As regards to your last question on dividend, if you look back at the dividend history, we started off with Rs.1.5 per share, and we've increased it 8x over a period of last 3, 4 years. And sir already mentioned, we'll be sustaining so we are ensuring that the dividend is sustainable in coming days.

And also, as you rightly pointed out, there are variety of things happening on the IFRS front as well. So, we are yet to complete the assessment because many things are at the draft stage as of now. So as and when they are notified and they are imposed, so we'll look at the impact and thereafter come back with a concrete dividend policy. But as far as the sustainability is concerned, we'll ensure that it is sustainable whatever dividends are paid...

Dipanjan Ghosh: Got it. Sir, just one small follow-up question. I mean, in terms of the government's shareholding in LIC, also, there are some stipulated timelines. Any colour that you can share on this aspect? That's all from my side?

R. Doraiswamy: See, on that, the government -- or the regulatory position now is that the holding of the government will be reduced by 10%. That is, it will come down to 90% within a period of 5 years from the date of IPO, which is by 2027, we should be able to come down to that. And the government and LIC together, we are working towards making it happen. Maybe you'll be hearing about the further tranche of shares being offered in the next few months to come.

Dipanjan Ghosh: Got it, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Aishwarya Mittal from Priaish Finbridge. Please go ahead.

Aishwarya Mittal: My question about the performance of the company. Being an investor, my concern is that from the last 4 years, I'm carrying the negative carry from your listed price. So, when I can just look at the positivity, see, dividend is all this is fine. But when I carry the capital depreciation, negative carry, then why should I keep your share in my portfolio?

And the second thing, now the Page number 7 and 11 of your presentation slides, there is a lot of negativity. There is a market share is loss. Your bancassurance policy is reduced by 44%. So

why this four and five negativity is there in the particular performance because you are losing your market share versus in other companies?

R. Doraiswamy: See, we are looking at all the steps that are being that we can be taking to ensure that the price will see an uptick at the earliest. We are working on that continuously. We should be we are hoping that this will be happening at the nearest possible time. On the other side, yes, the market share that are lost when the market as a number of players expand, the market share of the biggest player is likely to be reduced because any new player coming in and taking up even a small volume of business means it will be The overall pie will grow, but the share will get split. We are looking at continuously growing on a sustainable basis. That is what we are looking at. So, we'll be looking at a growth rate commensurate with the industry or in such a way that we propel the growth of the industry as a whole. That's what we are looking at. So, when the number of players keep increasing now with the new -- latest Insurance Act of 100% FDI, there may be more players entering the market.

As more and more players enter, the market gets divided among the participants. So, market share loss by itself is not a major issue, but what we are looking at is a growth and that too at a sustainable level is something that we are looking at. On the bancassurance side, I don't know whether you are looking at the number of policies side.

Yes, we had a good contribution from a major alternate channel partner with us, who has been facing some issue with their operation in the area where they are focusing. So, they could not repeat. They did a good volume of number of policies last year, but they are all of a small ticket size on the individual side.

They are they were having some problem during the current year. I think they are overcoming that problem and soon they'll be coming back to their earlier form of activity, and I'm sure we'll be recapturing on that. Though there has been a fall in the contribution on number of policies by the Bancassurance the Alternate Channel partner, we have been able to show a substantial increase in the premi

um side from the bancassurance as well as alternate channel.
Bankers have shown a growth of more than 40%, whereas the alternate channels have shown a growth of more than 126% in terms of premium. Our focus has been on garnering more premium through this channel and improving that share. And if you have noticed, over a corresponding period of on a year-to-year basis, we have almost increased from 4.7% to 7.23% as a share from bancassurance. And that focus will continue to be there. We'll be improving the contribution from this channel as the days to come.
Moderator: The next question is from Nischint Chawathe from Kotak Securities.
Nischint Chawathe: Just going back to the first question, which is the impact of operating assumptions. You mentioned that this 2.8% includes persistency, expenses and GST. Is it possible for you to give us some colour in terms of how this breaks up?
Ajay Srivastava: In fact, if we go through the calculations, all these factors which I spoke about, that is persistency, expenses, GST as part of expenses, they all interact. And there are various other factors which get into the determination of the VNB margin. So, therefore, what we have shown

is the overall impact of that. Because of that interaction and all those things, these numbers keep on changing within those parameters which I had mentioned. So that's the reason we have shown it together as 2.8%.
Nischint Chawathe: Because GST is a, so to say, one-off event, which can probably be neutralized over time. And hence, if we kind of set that aside, we were just curious to understand as to how the ongoing business is moving. So, if you could give any colour on that, that would be useful.
R. Doraiswamy: GST, I don't know whether you can take it as a one-off event because as of now, it stands by the council. So, it will you can take it as around 40%* of the 2.8% or whatever it is, maybe it will be through the GST, ITC not being available. But as we go forward, we are looking at getting it subsumed by the rationalization of expenses. So, we are that's why we are not splitting it. We are trying to do two things.
One, thanks to the increase in affordability by the customer not having been required to pay GST, we are seeing an uptick in both the ticket size as well as the amount that we are looking at. So, we are looking at the top line growth while maintaining a rationalization of expenses. So overall expenses gets reduced so that the impact of GST can be suitably accommodated within that.
Nischint Chawathe: And why would you have higher than estimated expenses? Because I mean, I thought on the expenses line, we should be positive, right, given the volume tailwind that we have seen?
R. Doraiswamy: No, yes, that's what. We are looking at a reduction in the overall expenses ratio as well as the management expenses have been going down.
Sunil Agrawal: So, if you're talking about the quarter-on-quarter comparison versus as you rightly observed that it's a onetime GST impact that was accounted for in quarter 4 quarter 3. Therefore, comparatively, it is higher as compared to your previous quarter.
Nischint Chawathe: No, no, sorry. What I was trying to say is that, see, GST see, if I look at the minus 2.8%, clearly, you mentioned GST was sort of 40% contributor to it. And then I would believe the balance 60% is negative on persistency and negative on expenses. I understand the persistency part, but why would you have a negative why would you carry a negative operating variance on expenses when your volume growth is so strong?
Ajay Srivastava: The, the mention was not in all lines of business as the overall expenses, as has been discussed, has come down. But in some lines of business, depending upon the experience, that has been factored in. So, the impact of those lines of business where it has been set to the current experience, the impact is

only on -- not on the entire business.
Moderator: Thank you. The next question is from Shobhit Sharma from HDFC Securities.

* ‘40%’ to be read as ‘45%’

Shobhit Sharma: Sir, my first question is on the growth side. So, if I look at par business. During the quarter, it

seems we have grown significantly higher than what we have done in the first six months. So, if
you can shed some light on that, have you made any product intervention? Or is this primarily
because of the base effect we had?
Secondly, on the persistency, like it has dropped across most of the cohorts. So, if you can shed
some light on which product segments, we are experiencing lower than the company average
persistency levels? And is there anything to read from the monthly mode of ULIP persistency?
So, these are two questions from my side.
Ajay Srivastava: Our experience on persistency is that the low ticket size of policies have poorer persistency. And
the low -- the frequency of payment, if it is higher, that is also having an adverse impact on the
persistency. Now some of these things we have addressed in the last year, as I say, the minimum
ticket size has gone up. And the impact of that is expected when we start looking at the 13th
month persistency, which is yet to unfold.
So, for the time being, we are talking about the persistency, which is coming down is pertaining
to those businesses which were done prior to the intervention which we made last year. So, once
we get this unfolding of the impact of the interventions, we had taken last year, we would be
able to see the impact of that increase in the persistency.
Shobhit Sharma: Okay, sir. And what about the growth on the par business side, which we have seen during the
quarter?
Ajay Srivastava: So, the par business also, as we mentioned, slightly this VNB margin also has gone up on that,
particularly because on an APE basis, if you look at the average ticket size in par business has
gone up. So that average ticket size going up is again a result of what I mentioned due to the
intervention of some of the products where the minimum ticket size were increased. So going
forward, once the ticket size increases, I mean, that will be having impact on the margins in the
par business as well.
R. Doraiswamy: I would also like to add that the geographical spread and the segment-wise spread that LIC has
compared to other insurance companies in terms of business also adds to the persistency issues.
People who are from -- not from the affluent sections of the society, they take a policy, but for
us, they may not be able to pay on time. But as and when their seasonal income improves, they
come back and pay the arrears and bring the policies in force.
So, we continuously work on reviving the existing policies for which premiums are not paid in
time, which would have affected our persistency by getting them back as a revival or
reinstatement, that also helps. So, we address the lack of persistency, particularly in terms of
13th month and earlier month by going on a campaign mode in terms of revival of lapsed policies
also. That's also contributing to our improvement in profitability over a period of time.
Shobhit Sharma: So, sir, is it right to assume that we are experiencing a negative persistency variance as compared
to what we have actually built in?

Ajay Srivastava: Persistency and other experience items continuously get reviewed periodically. And it is not one
such factor which gets into the purpose of the VNB margins, etc, but whole lots of things. So,
persistency is one such thing. So, when the persistency goes down, if that gets factored in, that
will be having impact on the margins as well.
Dinesh Pant: See, one point, one we can, point we can note here is that, yes, in the as it is a point in which
these assumption change

s are negative, the persistency has gone down. But we need to
appreciate one thing that LIC as an organization is not exactly same to the other organizations.
We have a role to play for ensuring insurance for all, right?
So, in that context, it is a very important decision. See, LIC can take a decision to improve the
ticket size significantly. Naturally, it will lead to higher persistency. But then affordability of
insurance and being responsible for ensuring that everybody is covered is also very paramount
because the customer base is something which is USP for LIC.
Even when persistency is an issue, but the large base of the insurance coverage that is being
provided by is being done with the corporation. A lot of steps have been taken in this context, if
you would recall that, many products have been withdrawn, many products have been modified.
But as has been mentioned by Mr. Srivastava just now that it is a very key area of focus for us
and the steps that they were taken because you will see last year, we revised the ticket size of
the policies from minimum Rs.1 lakh to Rs.2 lakh.
And that had an impact that the business volumes in terms of policies went down significantly.
So now we have to ensure that coverage also continues. So now in this context, the steps that
were taken last year because the manner of determination of persistency that you observe it for
1-year entire period and then there is a method in which it is done, that will unfold in the next
year.
So, and what you're talking about persistency in terms of 63%, 64% or 65% or so is in terms of

policies. In terms of premium, actually, our persistency is much better, 75% or so. So, we are confident that as this -- and another important factor which needs to be noted is that the ticket size between participating, nonparticipating is significantly different, while the average is around Rs.20,000. So, the ticket size for the nonparticipating is larger. So, the persistency in that segment is there.

And another important point in context of LIC, which has to be noted is that LIC has a big book size of single premium policies, which actually does not come into the regulatory method of calculation of 13-month persistency because fully paid-up policies and single premium policies are not a part of that calculation. So, if a realistic assessment is done, including based on inclusion of single premium policies also in paid-up policies, LIC's persistency will look much better and higher as compared to that thing.

So, what is being seen in persistency currently being seen is in context of the methodology, which is prescribed, which exclude paid-up and single premium policies. But as we mentioned earlier, while we remain focused and it's a total endeavour for the corporation that we have to

work towards persistency because, yes, as you rightly mentioned, reduction in persistency impacts the profitability, long-term profitability.

But we have to rebalance that we continue to provide products which are for the masses as well as which are for the classes so that while we continue to create value for the shareholders, we also need keep on creating options and solutions, product solutions for all classes of customers. So that is something which is very important and core to our business activity.

Shobhit Sharma: Sir, just a small follow-up on this. If you can give some if you can shed some light on the alternate channels. So, what kind of product mix they are into? Are they much more heavier on to the ULIP side as compared to the par segment? And what's the persistency on those channels? And lastly, final question is on the distribution cost.

So there have been a lot of concerns around the distribution cost in terms of the pay-outs which we are which the company makes to the distributors. So, what do you think? If the deferral of the commission gets into the p

icture, would it be would be a help the industry to resolve the persistency related issues and bring on the distributor pay-outs?

Hemant Buch: Alternate channel product mix remains in fact more or less non-par centric with more centric annuity and ULIPs contributing healthy volumes. It is not only impact driven by ULIPs. Annuity also contributed significantly in terms of contributions coming in from alternate channels, including banks. And so far as the commission structure or the...

R. Doraiswamy: Alternate Channel, good amount of not only alternate channel, banks have also been contributing substantially on a single premium component. So, their persistency are the highest. We can safely take it as very big. Even for the one organization which was contributing heavily in the last year, which they could not repeat this year, they were all of a very high persistency of close to around 90% to 92% is what we were experiencing.

When it comes to the distribution costs, you will appreciate that LIC has been different from the rest of the industry. We have been managing and maintaining our distribution costs at a much lower level than the rest of the industry. And whatever the talks that are being made now is in respect of the higher distribution cost that was seen in the other companies.

We are currently we have been consistently maintaining and we are adhering to the regulatory restrictions, which were there in 2013 and 2016, though subsequently, those regulations are removed, we have been keeping it at an optimal level. As and when the regulator takes a call and in case if there is a modification that is going to be prescribed, we'll be fully compliant and ensuring that it happens.

LIC has always been having a good amount of commission being paid or rather proportion of commission that is being paid out of the total that we are spending towards the renewal premium. And so that has been one area where we have been able to do much better in terms of persistency of 61st month and thereafter, which is not being measured or disclosed.

Moderator: The next question is from Madhukar from JPMorgan.

Madhukar: Thank you for taking my follow-up. Sir, just on the breakup of the operating expense assumption change. So how much of that is because of GST? Can you sort of just quantify that number? And second, the mark-to-market fluctuation for 31st December ending, that we can get from PDs, right? Would that like the policyholders account that number would be the fair number,

right number to look at?
Ajay Srivastava: As I said, the components within that, they interact with each other. And at any point of time, that number may be different when the mix actually differs. So therefore, quantifying this specific one component may be a little -- information may be taken in a different manner. And therefore, any information which is going to be different on the basis of the GST based on the mix, we have taken all the components together and have given a single number, which is 2.8%. So that includes GST expense, which we have been taking as the part of expenses and absorbed accordingly.
Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Doraiswamy for closing comments.
R. Doraiswamy: First of all, I would like to thank all of you for taking the time to attend our late evening conference call today. As we conclude our review for the nine month performance of FY '26, I want to convey my appreciation to everyone for your continued confidence, collaboration and engagement with LIC.
Your thoughtful questions provide a deep insight into our operations and strategic direction. I trust we have resolved all your concerns satisfactorily. If you require any further assistance or wish to continue the dialogue, please contact our Investor Relations team. Thank you, and have a good night.
Moderator

: Thank you very much. On behalf of LIC, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2026

Ref. No.: LIC/SE/2026-27/43 Date: May 28, 2026

To
The Manager
Listing Department,
BSE Limited,
Phiroze Jeejeebhoy Tower,
Dalal Street,
Mumbai-400001
The Manager
Listing Department,
National Stock Exchange of India Ltd.,
Exchange Plaza, 5th Floor, Plot C/1,
G Block, Bandra Kurla Complex,
Mumbai-400051

Scrip Code: 543526
Scrip Code: NSE – LICI

Dear Sir/Madam,

Sub: Transcript of Earning Conference Call with the Analyst/Investors

Pursuant to Regulation 30 and 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earning Conference Call of Life Insurance Corporation of India ("the Corporation") with Analysts/Investors held on May 21, 2026.

The said transcript is also available on the website of the Corporation and can be accessed from the link: https://www.licindia.in/f.y.-2025-263

Please take the above information on record and arrange for dissemination. A copy of this intimation is also being made available on the website of the Corporation at www.licindia.in .

Yours faithfully,

For Life Insurance Corporation of India

(Anshul Kumar Singh)
Company Secretary & Compliance Officer

Encl.: a/a

"Life Insurance Corporation of India
FY'26 Earnings Conference Call"
May 21, 2026

MANAGEMENT : MR. R. DORAISWAMY – CHIEF EXECUTIVE OFFICER AND
MANAGING DIRECTOR – LIFE INSURANCE CORPORATION
OF INDIA
M R. DINESH PANT – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
M R. RATNAKAR PATNAIK – MANAGING DIRECTOR – LIFE
INSURANCE CORPORATION OF INDIA
M R. R. CHANDER – MANAGING DIRECTOR – LIFE

INSURANCE CORPORATION OF INDIA
M R. A.K. SRIVASTAVA – APPOINTED ACTUARY AND EXECUTIVE DIRECTOR, ACTUARIAL – LIFE INSURANCE CORPORATION OF INDIA
M R. SUNIL AGRAWAL – CHIEF FINANCIAL OFFICER –LIFE INSURANCE CORPORATION OF INDIA
M R. ARINDAM DASGUPTA – EXECUTIVE DIRECTOR, (INVESTMENT - FRONT OFFICE) AND CHIEF INVESTMENT OFFICER – LIFE INSURANCE CORPORATION OF INDIA
M R. UTHUP JOSEPH – EXECUTIVE DIRECTOR, MARKETING /PRODUCT DEVELOPMENT – LIFE INSURANCE CORPORATION OF INDIA
M R. HEMANT BUCH – EXECUTIVE DIRECTOR, MARKETING - BANCASSURANCE AND ALTERNATE CHANNELS – LIFE INSURANCE CORPORATION OF INDIA

M R. K. SESHAGIRIDHAR – EXECUTIVE DIRECTOR, PENSION AND GROUP SCHEMES – LIFE INSURANCE CORPORATION OF INDIA
M S. SHOBHA SULOCHANA – EXECUTIVE DIRECTOR, CRM/ POLICY SERVICING – LIFE INSURANCE CORPORATION OF INDIA
M S. VANDANA SINHA – EXECUTIVE DIRECTOR CRM CLAIMS– LIFE INSURANCE CORPORATION OF INDIA
M R. SANJAY BAJAJ – HEAD, INVESTOR RELATIONS – LIFE INSURANCE CORPORATION OF INDIA

Moderator: Ladies and gentlemen, good evening, and welcome to the LIC's FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
We have senior management of LIC led by Mr. R Doraiswamy, CEO and MD on this call. I now hand the conference over to Mr. R Doraiswamy, CEO and MD, LIC. Thank you. And over to you, Mr. Doraiswamy.
R Doraiswamy: Good evening, everyone. I'm Doraiswamy, Chief Executive Officer and Managing Director, LIC. I would like to welcome all of you to the results and performance update for the year ended March 31, 2026. I also extend my gratitude to you for joining this call in the later hours of the

evening today. Our results declared today have been uploaded along with the press release and the investor presentation on our website as well as the website of both the exchanges BSE and NSE.
Along with me on this call, I have the Managing Directors, Shri. Dinesh Pant, Shri. Ratnakar Patnaik, Shr. Chander, Senior officials of the corporation present on this call are Shri. AK Shrivastava Appointed Actuary and Executive Director Actuarial from the Actuarial team. Shri Sunil Agrawal, CFO from the Finance team, Shri. Arindam Das Gupta Executive Director, Investment Front Office and CIO from the Investment team.
From the marketing team, we have Mr. Uthup Joseph, Executive Director Marketing Product Development, Mr. Hemant Buch Executive Director Marketing-Bancassurance and Alternate Channels, Mr. K. Seshagiridhar Executive Director Pension and Group Schemes.
Also, we have Ms. Shobha Sulochana Executive Director, CRM Policy Servicing; Ms. Vandana Sinha, Executive Director CRM Claims and Shri. Sanjay Bajaj, Head Investor Relations on this call. I would now like to present the key business operational and financial performance highlights for fiscal year ended March 31st, 2026.
Market share. Our market share by first premium income by first year premium income for the year ending 31st March 2026, is 56.6% as per IRDAI as compared to 57.05% for a similar period ended 31st March 2025. Therefore, we continue to maintain our leadership in the Indian insurance market across both individuals and group business segment.
Now if we break down this overall insurance market share of 56.66% into segment-wise shares of the individual and group business, we would have a market share of 36.6% in individual business and 70.11% in the group business for the year ending 31st March, 2026. On a comparable basis, for the year ending 31st March, 2025, the respective market share for individual and group business were 37.46% and 71.19% respectively.
Premium income.
For the year ended 31st March 2026, we have reported a total premium income of 5,35,984 crore rupees as compared to total premium income of 4,88,148 crore rupees, for year ending 31

March, 2025, registering a growth of 9.8% on a year-on-year basis. The individual new business premium income for the year ended 31st March, 2026, was 67,676 crore rupees as compared to 62,495 crore rupees f

or the similar period ended 31st March, 2025, thereby registering an increase of 8.29% on a year-on-year basis.
Renewal premium income of individual business for the year ended 31 March, 2026, was 2,71,699 crore rupees as compared to 2,56,541 crore rupees, for the year ended March 31st, 2025, registering a growth of 5.91% on a year-on-year basis. Therefore, for the year ended 31 March, 2026, our total individual premium income, including renewals was 3,39,375 crore rupees as compared to 3,19,036 crore rupees for the previous year, registering a growth of 6.37% on a year-on-year basis.
The group business total premium income for the year ended 31st March, 2026, was 1,96,609 crore rupees, comprising new business premium of 1,92,912 crore rupees. In comparison, for the year ended 31 March 2025 the group business total premium income was 1,69,112 crore rupees comprised new business premium income of 1,64,262 crore rupees. Therefore, for the year ending 31st March, 2026, the total group premium has increased by 16.26% as compared to previous year ending 31 March, '25.
Break up of business on an APE basis
The total annualized premium equivalent (APE) for the year ended 31st March 2026, is 66,961 crore rupees, which comprised individual APE of 43,335 crore rupees and group APE of 23,626 crore rupees. Therefore, on an APE basis, the individual business accounts for 64.7% and group business accounts 35.28%.
Further, the individual APE, the par business accounts for 28,121 crore rupees and non-par amounts to 15,214 crore rupees. Therefore, our non-par share of individual APE is 35.11% and par is 64.89% for year ended 31st March 2026.
As you may recall, for year ended 31 March 2025, our non-par share of total individual business based on APE stood at 27.69%. Since then, our non-par APE has increased from 10,581 crore rupees to 15,214 crore rupees, reflecting an increase of 43.78% on a year-on-year basis.
At this point, I'd like to take you back to our 9-month results for the period ended 31st December 2025 when a comparable non-par APE share within individual business was 36.46%. We had mentioned then that our effort would be to consolidate our non-par gains for some time and the full year numbers, visible now are a testimony of that consolidation.
Profit after tax. The PAT for the year ended 31st March 2026 was 57,419 crore rupees as compared to 48,151 crore rupees for the last year, registering a growth of 19.25% on a year-on-

year basis.
VNB and VNB margins. That net VNB has registered a growth of 41.63% on a year-on-year basis to 14,179 crore rupees for the year ended 31st March, 2026, from 10,011 crore rupees for the previous year.

We are quite happy with the rapid gains in VNB growth given that it was only last year that we became the first Life Insurance company in India, to cross the 10,000 crore rupees mark in VNB. Further, net VNB margin has improved by 360 basis points on a year-on-year basis to 21.2% for the year ended 31 March, 2026 from 17.6% for the previous year.
The solvency ratio as on 31st March 2026 improved to 2.35 as against 2.11 on March 31st 2025.
Indian embedded value
The Indian embedded value as on 31st March 2026 has been determined as 7,89,185 crore rupees as compared to 7,76,876 crore rupees as on 31st March 2025. Therefore, the IEV has registered an increase of 1.58% on a year-on-year basis.
The assets under management as on 31st March 2026 was 57,29,396 crore rupees as compared to 54,52,297 crore rupees as on 31st March 2025. Therefore, our AUM has registered a growth of 5.08% on a year-on-year basis.
Product mix and new product launches. As on 31st March 2026, we had a comprehensive suite of 58 products excluding the Pradhan Mantri Jeevan Jyoti Bima Yojana available for new business including 36 exclusive individual products, 13 exclusive group products and one common product which

is eligible for group as well as individual business. In addition, we have
seven individual riders and one group rider.
Post 31st March 2026, we have withdrawn one product namely LIC's Nav Jeevan Shree Single Premium.
The number of policies sold during the year ended 31st March 2026, we sold 1,84,41,175 new policies as compared to 1,77,82,975 new policies in the previous year, registering a growth of 3.7% on a year-on-year basis.
Agency workforce as on 31st March 2026 the total number of individual agents was 14,57,045 as compared to 14,86,851 as on 31st March 2025. The market share by number of agents as on 31st March 2026 stands at 44.25% as against 47.61% for March 31st 2025.
On number of policies sold basis, the agency force sold 1,81,49,650 policies during the year ended 31st March 2026 as compared to 1,73,58,723 policies during the corresponding period of last year. Further, 98.42% of our policies in the year ended March 31st 2026 were sold by our agency force. When seen on premium basis, 91.75% of the new business premium came from our agency channel in the financial year ending of 2025-26.
Contribution by Banca and Alternate Channels
Our Banca and Alternate Channels growth has been a continuous story of increasing volumes and larger inter se market share within our channel mix. Bancassurance and Alternate Channels collected a new business premium income of 5,076 crore rupees for the year ended 31st March 2026 as compared to 3,496.10 crore rupees for the previous year, registering a growth of 45.19% on a year-on-year basis.

The new business premium income collected through Banks was 3,151.33 crore rupees for the year ended 31st March 2026 and for the corresponding period last year it was 2,576.74 crore rupees thereby registering a growth of 22.30% on a year-on-year basis.
Further, the Alternate Channels collected new business premium of 1,924.74 crore rupees for the year ended 31st March, 2026 as compared to 919.36 crore rupees for the year ended 31st March 2025, registering a growth of another 109.36% on a year-on-year basis.
The share of individual new business premium from our Bancassurance and Alternate Channels has risen significantly to 7.51% in FY '26, marking a notable improvement over the 5.59% achieved in FY '25.
Before I move on to other areas, I would like to say that for long, since our listing we have quietly harboured an ambition to cross a level of 5,000 crore rupees through Bancassurance and Alternate Channels and this financial year we achieved the same and we are very happy about it.
Our overall expense ratio
For the year ended 31st March 2026, the overall expense ratio was 11.91%, as compared to

12.42% for the last year. Therefore, there is a decrease of 51 basis points in our overall expense ratio on a year-on-year basis.
Persistency
On premium basis, the persistency for 13th, 25th, 37th, 49th and 61st month up to 31st March 2026 stands at 74.64%, 68.98%, 66.94%, 63.03% and 59.31% respectively, as compared to 74.84%, 70.99%, 66.11%, 61.51% and 63.12% respectively, up to the year ended 31st March 2025.
On number of policies basis, the persistency for 13th, 25th, 37th, 49th and 61st month up to the year ended 31st March 2026 stands at 64.87%, 57.65%, 55.29%, 49.78% and 46.88% respectively, as compared to 64.12%, 59.32%, 52.66%, 48.79% and 50.31% respectively, up to the previous year ended 31st March 2025.
Our persistency metrics reflect continued strength with improvement on a premium basis in the 37th and 49th month and enhanced performance on a policy basis across the 13th, 37th and 49th month. We are also focusing our energies on improvement across certain cohorts where we have seen a drop.
Operational efficiency and digital progress, in our digital initiative, through the agent assisted ANANDA app, we have completed 23,00,983 policies, during the year ended 31st March

2026
as compared to 14,74,208 policies on the year ended 31st March 2025, thereby registering a growth of 56.08% on a year-on-year basis. There is a growth of 29.56% in the number of active agents in ANANDA app for the year ended 31st March 2026.

The Digital Innovation and Value Enhancement Initiative (DIVE)
The DIVE project is being rolled out in phases both for customers and distributors. Many features and facilities have been activated and many more will be launched in a phased manner. We have launched the new LIC customer app titled MyLIC and the mobile app for the sales intermediaries titled LIC Super Sales Saathi. On 15th April 2026, MyLIC is a next-generation mobile application, built to redefine the experience of how policyholders will manage their life insurance portfolio.
Super Sales Saathi app is a next-generation mobile application, for LIC's marketing personnel. We hope, the people logged into this call and those who will be hearing this recording later will be able to experience first-hand our digital transformation and please do share your feedback with us on mail or even through our investor relations team who is continuously engaged with you.
Claims
On individual claims front, during the year ended 31st March 2026, we have processed 2,49,56,342 number of claims which includes 2,41,25,943 maturity and survival benefit claims. On an amount basis, during the year ended 31st March 2026, the total maturity claims were 2,79,951 crore rupees and the total death claims were 24,885 crore rupees.
On a comparable basis, for the financial year ended March 31st 2025, the maturity claims were 2,37,313 crore rupees and death claims were 24,420 crore rupees. Therefore, the maturity claims are higher by 17.97% and the death claims are higher by 1.91% on a year-on-year basis.
The marketing initiative update on, Bima Sakhi Yojana
As of 31st March 2026, a total of 3,45,000 women have been designated as Bima Sakhi's, successfully selling 21.94 lakh insurance policies and generating a new business premium income of 2,848 crore rupees in the year ended 31st March 2026.
Our objective is to appoint at least one Bima Sakhi in every Gram Panchayat and we would like to inform that out of 2,44,876 Panchayats, we have covered 59% Gram Panchayats by recruiting Bima Sakhis in 1,43,924 Gram Panchayats up to 31st March 2026.
Before concluding, I would like to reiterate significant highlights of our performance.
Our non-par share of individual APE business has now consistently settled at about 35% sequentially over the last three results performance updates.
Our profit after-tax has grown by 19.25% to 57,419 crore of rupees on a year-on-year basis. This is the highest PAT in our history.
Bancassurance and Alternate Channels registered a growth of 45.19% on a year-on-year basis to 5,076.07 crore or rupees. This is the first time we have crossed 5,000 crore rupees premium in B&AC channels.

VNB has increased by 41.63% on a year-on-year basis for FY '26. This is our highest VNB till now.
VNB margin has increased by 360 basis points to 21.2% for FY '26. This is our highest VNB margin till now.
IEV has increased by 12,309 crore rupees to 7,89,185 crore rupees as on 31st March 2026, registering a growth of 1.58% on a year-on-year basis.
While maintaining growth in multiple parameters, we have kept a focus on costs and as you can see the overall expense ratio is down by 51 basis points to 11.91% in FY26. This is the lowest overall expense ratio for us till now since listing.
I would like to share that the Board of Directors has recommended a final dividend of INR10 per equity share of INR10 each equivalent to INR20 per equity share, pre-bonus issue basis, for the financial year 2025-26 subject to approval of shareholders in the 5th Annual General Meet

ing
of the Corporation.
When we now look back at our 4-year journey post-listing in May 2022, we feel happy that we have delivered more than what was told to the shareholders at the time of listing, as our 3-5-year ambitions with regard to product mix, channel mix and margins.
We are now very confident that having achieved significant directional changes, we are now on a path of superior growth with sharper focus on enhanced performance parameters. We extend our sincere gratitude to all our stakeholders for their complete support and faith in us and we executed the defined strategy.
With that, I now hand over to the moderator, to open the floor for question-and-answer session. Thank you very much.
Moderator: Thank you. We will now begin with the question-and-answer session. Anyone who wishes to ask a question may press star and then 1 on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and then 2. Participants are requested to use handsets while asking a question.
Ladies and gentlemen, we will wait for a moment while the question queue assembles. Your first question comes from the line of Swarnab Mukherjee with 360 ONE Capital. Please go ahead.
Swarnab Mukherjee: Hi sir, thank you for the opportunity and congrats on a good set of numbers. Three questions from my side. First of all, on the individual savings business on the non-par side, so there was a very strong show this quarter.
I just wanted to understand that this significant growth that has come through this quarter vis-à-vis say what we saw in 3Q also and vis-à-vis say fourth quarter last year. What products would have lead to this growth? And how much of this we can think to continue in the similar momentum going ahead in FY '27? That is the first question.

Second is, in terms of the operating assumption changes that you have mentioned in EV and VNB walk. If you could give some color on that, what are the changes that you are seeing as well as in the VNB walk, the economic assumption changes, if you could highlight what is playing out there in this particular quarter because I think in nine months so that number was – if I remember correctly, was a negative number? So if you could highlight that. And lastly, sir, if you could give some colour on how of this margin that has been reported in the fourth quarter, what would be the trend for the individual business, how the margin would be?
R. Doraiswamy: Mr. Uthup Joseph, Executive Director Marketing, will take the first question. Other two…
Uthup Joseph: Thank you. As far as the savings products are concerned, the question which you have asked is which product has contributed maximum towards this growth. Actually, we have shown a growth of almost 48.40% as far as the savings bucket is concerned. The product which has contributed best is Jeevan Utsav, which has given us a very good percentage as far as the savings bucket is concerned.
And this product is having a good ticket size also, which has actually helped us in ensuring that this savings product is actually bringing a lot of premium to us. Then as far as the savings product is concerned, on the par side, Jeevan Labh also has performed very well, which has contributed to almost 40 percentage of the premium as far as that segment is concerned. So these two products, I can say, that they have done the best performance as far as savings is concerned.
R. Doraiswamy: Our Appointed Actuary, Shri. Ajay Srivastava, will take the EV VNB walk and margins.
A.K. Srivastava: So first, about the VNB walk. As at 31st, March 2025, the VNB margin was 17.6%. Now, as we have already spoken about the mix of business and a very strong growth in the non-par business as compared to par, see, the growth is on all lines of business except for the annuity, but then there is a strong growth in non-par segment, and therefo

re the proportion of non-par business to
the total business has gone up.
So this business mix which has gone up has contributed to 3% to the VNB margin. Then the RFR throughout the year if you see, it is ranging, it's range-bound and then in some months it has gone up to 0.84 – 84 basis points or so. So this RFR has contributed to 3.4%. And with regard to this operating assumptions as you asked, this is mainly because some lines of business, the expense has been realigned based on experience.
And in a few lines of business, the persistency also has been aligned. So the combined effect of the persistency and expense in some line of business adjustments based on the experience along with the GST impact, which has been taken as part of the policy expenses, the contribution is negative 2.8%. So this explains the movement of VNB from 17.6% to 21.2% as of 31st, March 2026. Does that answer…
Swarnab Mukherjee: Yes, sir
A.K. Srivastava: Thank you.

Swarnab Mukherjee: So if you could also explain the same for EV walk? In terms of the operating assumption changes and the variances.
A.K. Srivastava: Yes. So if you look at the starting – this thing as at March 2025, the figures were 776, 876. So unwind is contributing to the extent of 74, 748. The operating assumption changes I explained, that has also impact on the VNB and also has the impact on the embedded value to the extent of 1663 negative in case of contribution to the embedded value.
And the operating experience variance whatever we had assumed and because of the positive outcomes in each of the parameters, the EV, that operative, EVOP has contributed to the extent of INR92,639 crores.
Now this economic assumption changes and investment variance, one thing is what has contributed is RFR change. Then another important thing is that there's a fall in MTM in equity to the extent of 53,698 and that debt to the extent of 46,853. So the total, if you look at, and the dividend paid that is also taken out from this, so if you add and do all these things plus and minus, it reaches the figure as at 31st, March 2026. Hope that answer?
Swarnab Mukherjee: Right sir. So sir, just one quick follow-up. In terms of persistency, like if I look at the persistency data that you have provided, we see that there is an improvement in terms of premium basis slight improvement, while in term – also, improvement in terms of number of policies basis, but while in terms of premium basis there is a minor drop.
So just wanted to understand, I think last year you had highlighted that the strategy was to reduce lower ticket size products. So how is this playing out, despite you having, now vis-à-vis last year a larger, maybe a average ticket size and how does that reflecting in that positive persistency variance number in the EV walk?
R. Doraiswamy: If you look at it, the focus has been to increase the ticket size. At the same time, we are also looking at increasing the overall number of sales because we are also focusing on contributing towards the vision of Insurance for All by 2047.
The effect of increased ticket size over the persistency will only be seen in the years to come.
The minimum sum assured has been increased in 2024, October, as part of our alignment to the new Master Circular, which has released, and the effect of that will be seen over a period of time.
We are sure that the persistency will improve across cohorts. What happens, some year the product mix difference and the kind of policies sold during COVID and other things have also resulted in a five-year, that is 61st month persistency being lower, but we will be looking at increasing it across all the cohorts in the days to come. Certainly, the increase in ticket size is going to help us in achieving this.
Swarnab Mukherjee: Okay, sir. Understood. Just if you could address the last question on some color on the individ

ual
business margin profile?

A.K. Srivastava: So we have given you a total VNB margin, which is gone up as compared to March 2025. If you look at in different components, if you look at the par individual business, which is about 42% of the APE, is contributing to the extent of 28% of VNB margin – 28% of VNB. Now if you look at that non-par business, individual non-par business contribution to the VNB, 22.7% is the proportion of APE, which is contributing to the extent of 53% of VNB. Similarly for, so that was for group and that was for individual business and the remaining comes from the group.

Swarnab Mukherjee: Right sir, this is for the full year?
A.K. Srivastava: Yes, this is for the full year.
Swarnab Mukherjee: Okay. Got it, sir. Very helpful. Thank you so much sir and all the best for FY ‘27.
R. Doraiswamy: Thank you.
Moderator: Thank you. Your next question comes from the line of Nishchint Chawathe with Kotak Institutional Equities. Please go ahead.

Nishchint Chawathe: I just wanted a clarification. What you mentioned is that par business is contributing to around 28% of VNB, individual non-par is 53%, and group is 19%. Is my understanding right?
A.K. Srivastava: That’s correct. Yes.
Moderator: Sorry to interrupt. Nishchint, sir, your voice is breaking up in between. Your line is not clear.
Nishchint Chawathe: Better now?
Moderator: Yes. Yes. Please go ahead, sir.
Nishchint Chawathe: Yes, is it better now? Hello?
R. Doraiswamy: Yes, yes, Nishchint. Go ahead.
Moderator: Yes, sir. This is better.
Nishchint Chawathe: Yes, yes So I'm just saying that of the economic assumption change and variance of 72,000 crore of rupees, I think you just shared a breakup between equity and debt. Can you just repeat the number?
A.K. Srivastava: Equity is 53,698 and debt is 46,853.
Nishchint Chawathe: Okay. Okay. As a percentage. Got it. Now just a couple of things. You know, if I look at the P&L statement, your credit/debit fair value change is almost like INR1.5 lakh crores decline. Now I will just curious, I mean, your equity market book has not corrected or not gone down as much. I think even, you know the equity benchmark indices have also not come off so much. So why is the, you know, the debit fair value change so high?

Sunil Agrawal: There are two components to it. One is the realization of the fair value change, which happened during the year, and plus, some portion and definitely is related to the market position as of 31st March, 2026 as compared to 31st March, 2025.
Nishchint Chawathe: But equity market, I mean, if I look at the benchmark in NITFY 500, etc, were almost flat, right, there would not be almost like INR1.5 lakh crores decline. You have equity investment book of INR15 lakh crores. So it's a fairly sharp decline.
Arindam Dasgupta: Just to add here, there was a lot of volatility at the end of the financial year. Especially, in the past month, that is, the month of March. In March, there was -- value went down. But again in the month of April, we have recouped almost 80% of these values. That has happened.
Nishchint Chawathe: Got it. Got it. The other thing, you know, on this accounting policy change, where you said that accounting of debt investment, if this is now going to be the amortization of discount versus the capital gains policy that has booked earlier. So you mentioned a number of around 11,000-odd crores. Now is this the net impact? Or is this the -- is this the discounting or the gross component?
Sunil Agrawal: This is a gross component. Like as we would have accounted this year-on-year, this much amount would have been recognized. So we are -- this is a one-time correction that has happened for the past investments that were made in the past. So it is a gross impact.
Nishchint Chawathe: S

orry, this won’t be one time, right? This is amortized. So this includes the duration of the book will be...
Sunil Agrawal: Based on whenever those securities were bought, from that point of time if I would have recognized the amortization regularly, this would have been the impact of the overall investments that I hold as of 31st of March, 2026.
Nishchint Chawathe: That's right. So what is the duration of your bond book?
Arindam Dasgupta: In what form are you asking this?
Nishchint Chawathe: No, I'm just saying that I mean the way I would look at it is that this 11,000 crore of rupees into the duration of the bond book, kind of, reflects the unrealized gains that you are sitting on the bond portfolio. Is that a fair reading?
Sunil Agrawal: No, I don't think so. The entire bond book will not be on an amortization basis completely. It may not be acquired on a discount basis.
Arindam Dasgupta: Duration of 12 years to 13 years, maybe the duration.
Nishchint Chawathe: Okay. Sure. And just curious, if the policy was not changed, what would be the net impact on the surplus or PBT?
Sunil Agrawal: The majority of the portion is going into the participating -- because the majority of the securities are held in the participating line of business. So out of this 11,000 crore of rupees, roughly about 9,000 odd crores is the impact in the participating, which does not impact the PAT at all, directly.

Nishchint Chawathe: Okay. But I think the notes to accounts say that this is essentially the non-part -- the non-linked part of the book.
R. Doraiswamy: Non-linked.
A.K. Srivastava: Non-linked.
Nishchint Chawathe: Non-linked. Okay. It includes part as well. Okay, okay, got it. So it doesn't really impact the P&L. Sure. And I think just lastly, if I can squeeze, you know, your dividend policy, you have increased the payout, you know, which is a good thing. I'm just curious, how should we think about the payout ratio going forward?
R. Doraiswamy: See the payout ratio will depend on how the regulatory changes also happen. So we have to be a bit cautious in releasing it because the -- there are some expected regulatory changes particularly in respect of the risk-based capital being planned to be introduced. We are not sure when it is going to be introduced, so we need to build some reserves so that we remain at a comfortable level of solvency throughout. That is one thing which we have to keep in mind. So we have now released what we think, what our board felt is the rightful amount to be to be released immediately as a matter of our paying back to the shareholders before that we have done that bonus issue. So bonus issue followed by an increased dividend is what we have done this year. We expect it to be sustained in the future also, that also has been kept in mind before the board decided the amount of dividend to be declared.
Nishchint Chawathe: Got it. You mean the payout ratio, right? Good, should be sustained.
R. Doraiswamy: Yes.
Nishchint Chawathe: Got it, got it. Thank you very much. Those were my questions and all the best.
R. Doraiswamy: Thank you.
Moderator: Thank you. Your next question comes from the line of Madhukar from JP Morgan. Please go ahead.
Madhukar: Hi, good evening. Congratulations on a good set of numbers.
Madhukar: Most of my questions have been answered. Sir, this, just I -- the line was a little unclear. This change in operating assumptions, most of your operating assumptions are actually yielding positive variances. So what is this, apart from GST, what is contributing to negative changes over here?
A.K. Srivastava: Sorry, operating experience variance is on three counts, that is persistency, mortality, and expenses.
Madhukar: Yes, right. But I then why is your operating assumption change negative? Apart from GST, GST would be one negative, then...

A.K. Srivastava: Yes, only GST. If it is GST and some lines of business as I said, the expenses have been adjusted to the current years' experience. The persistency for some lines of business where it has come down there, I think that adjustment for that particular line of business because the lapsation has gone up, so that has been accounted for in that variance.
Madhukar: The another question I had is, your persistency positive variance s quite large now is there any onetime element in it one any particular – you know policy type which is contributing to this? Because on premium basis there is some, sort of, negative persistency that we observed right in the disclosures?
A.K. Srivastava: So as we had discussions earlier as well in 2024, we had -- the ticket size we have increased for most of the policies. Now there -- the full experience is here to unfold. So we need to see where -- how going forward that unfolds. Before that, it has to be a line of business wise. We need to see where the persistency of the lapsation has come down. And though overall, it has gone up for some lines of business, the impact has come down.
Madhukar: Understood, sir. That's it from my side.
Moderator: Thank you. Your next question comes from the line of Avinash Singh from Emkay Global.
Avinash Singh: Hi. Good evening. Thanks for the opportunity and great set of numbers. My question again is around capital and dividend policy. So if we look in terms of the current solvency regime 235% now, we have solvency ratio that I would say the strongest in the sector. And of course, it has been rising.
Now when it comes to dividend, of course, your dividend payout ratio is at a different level. However, I mean given this kind of a capital glut and solvency accumulation, and we would expect it to be even higher. But you are -- you seem to be a bit or reasonably more cautious around risk based capital whereas if we see some of your -- I mean, the private sector peers, they

have kind of a hopes of risk-based solvency leading to some sort of releasing capital or you can say that less capital strain. Now what sort of -- what is the reason behind your cautiousness? So what is driving that, okay, you are fearing that there could be kind of increased capital requirement once you transition to risk-based solvency? I mean, what is this apprehension about capital?

Dinesh Pant: See actually, it is not because of any fear. Every insurance company has to decide and when we declare results as has been the practice as we have been trying to show that whatever we are, you know, demonstrating should lead to further improvements going forward. And our investors as well as policyholders should not be for a shock. Now, you would appreciate that when we go for the risk-based capital, LIC because of large book size of it with participating policies and our exposure to equity is significantly higher as compared to the competing company.

Now on one side, that leads to improved returns to the policy holders that's why we are seeing something like 8.9% to be the -- as compared to the previous year, something around 8.5% or so. On the other side, when the risk-based capital assessments are done, -- as of now, it is only been a quick exercise, so I will not get into details of that. But the point here is sensitivity to the volatility in equities is a significant factor for -- which will impact the risk-based capital.

So as of now, I have not firmed up what is ultimate protocol, which will be formulated. But based on that thing, there is an area where we have to be concerned. We are in continuous discussion, and we have submitted our points of it. We are, as a prudent and responsible insurance company, already 2.35 is the situation which we are showing, and which will continue to be like that. We will like to f

irst understand fully how this RBC is going to pan out?

What is the implication of that thing so that when we have any shift in dividend policy, in fact, already LIC has started with the dividend declaration of 3 rupees, moved on to 10 rupees, 6 rupees or 4 rupees, then to 12 rupees, and now 12 rupees to 20 rupees on pre-bonus issue, which is a significant improvement coming on top of bonus.

We do not want to create expectations which cannot be sustainable for future, as a responsible organization, we would like how the RBC pans out. As I explained to you, because of the exposure into equity, the ultimate numbers which will be taken, factors which will be taken for determining sensitivity, because risk-based capital is going to be dependent upon the factors which are applied to different parameters.

There we will be able -- and also, we also want to ensure that we have to continuously grow. Actually, if you deep dive into the outcomes, you would see the lines of business which are most profitable to us. In fact, some of the products which are most profitable to us non-par, as is expected in the initial stages, consume capital.

So, while we want to be prudent on the high solvency side, we also want to grow. The growth aspirations are there, and we would like this capital to be consumed for the growth purposes also. So, already LIC is delivering on shifting of business profile as well as consolidating on solvency and being aware about the likely possible scenarios in the risk-based capital.

We are walking a journey in which we continue to walk a growth trajectory and maximize and utilize our capital, and we should not run out of capital for any reasons. As a responsible institution we have, while catered to the expectation, we want to be very sure about how the risk-based capital scenario comes out and then take a sort of finality to the dividend policy will emerge only after that.

Avinash Singh: Yes. Thanks. One follow-up -- sorry, another question. Regarding your margins. GST came as sort of a post one-off this year. Now that has consumed 2% of margin. If I remove that, the margin side is 23%. Now, next year, when I see the two benefits that you have derived this year, product mix changes and also the economic assumption changes probably in terms of movement in terms of shape and absolute level, would probably not be there.

Also you will have to respond to this rising yields by offering probably higher IRR. Nevertheless, in a kind of a stable product mix and these economic assumptions, is it fair to assume that, okay, the margins will be looking more towards 23% next year?

Dinesh Pant: I think we would not like to get into it. The beauty of a diversified product like what LIC is having, where some people tend to discount our group business, but that's also gaining the markets and the parameters in the scenarios and the factors continue to change. Something which is going to be a contributor this year can become a challenge for the next three years.

We have to work upon in the direction, and if you could see the margins in the last quarter was significantly higher than for the overall year. But we would like to see -- this is the beauty of the balanced portfolio. For example, we have got large annuity book size, we have got ULIP, we have got non-par business, we have got group business.
What we expect and what is our strategies and the market, whether it's insurance market or investment market, will continue to change and evolve and different thing, for example, nobody perhaps was expecting interest rates to go up, right. But then the RFR contributed. Similarly, at times, RFR may not contribute, but then that will lead to the market valuations going up.
What is our strategies to be able to anticipate the market, to be able to rebalance the portfolio and keep on working on the long-term strategies. The goal has

been to cross 20, which we have
achieved. Nobody can say this will be our for sure, but that is the direction in which, and as we have been saying from beginning, margin is very important.
But for LIC, ultimately it is the VNB growth which is the most important because that's the most balanced version of the business growth and the VNB margin growth. We do not want to be going overboard on VNB margins, because the customers are also very critical and the profitability is very important, but the customer base has to grow.
So our ultimate strategy, as you mentioned rightly, yes, we expect margins to further improve, but that all depends upon various factors, and that will have to be seen over a period of time.
This is what we have been mentioning, that soon there will be a time where our margins and the margins for the market will converge, and that's clearly the direction in which we are seeing things pan out.
Avinash Singh: Thank you for that.
Dinesh Pant: Thank you.
Moderator: Your next question comes from the line of Dipanjan Ghosh with Citi. Please go ahead.
Dipanjan Ghosh: Hi. Good evening, everyone. First, few questions from my side. Firstly, if I look at your EV walk, this is almost the second out of fourth year where you have been sustainably reporting a positive other variance, which is X of persistency expense and mortality. I just wanted to get some color on what exactly gets factored in this line item and how should really one think of it going ahead.
My second question is on the persistency side. Now, what you're seeing persistency trends. On a premium basis, we are seeing some softness on the 13th and the 25th month. You have also strengthened your assumptions on persistency, but on the flip side, we are also seeing positive releases from the back book in the EV walk.
Now, it would be great if you can kind of bifurcate this performance and persistency across the three major product classes, which is on the individual side, par, non-par, and linked business, both on the back book and on the strengthening that you have done and on the yearly performance that we're seeing on a YOY basis.

The third question was on the P&L, and two questions rather on this part. One is if you can give some color on why the operating expenses were high in the fourth quarter and also in terms of benefit pay-outs. Was there any lump sum group related pay-out in the fourth quarter?
R. Doraiswamy: I'll take the last question first. There is no lump sum group pay-out that happened in the last quarter or anything like that. We had some assured benefit individual policies which were sold in big numbers 25 years back, which policies are maturing now. One cohort of policy is called Jeevan Shree. We expect the number of policies that mature in the last year also, we already mentioned in the last year also.
In 2025, 2026 and 2027 are expected to be significantly high. All those are with a high sum assured also. High ticket size sold in those years. There is a good amount of maturity claims that are going to happen, that happened in the last quarter as well as will continue to happen till January of 2027. We are well planned and working towards that.
So that is one reason why the outgo on the number of policies and particularly the benefit pay-outs are more on the last quarter. On the EV and VNB margin, I would like to ask my appointed actuary, shareholder appointed actuary to answer.
A.K.Srivastava: If I correctly understand the question that was on persistency. The persistency
Dipanjan Ghosh: Operating variance.
A.K.Srivastava: Operating variance on persistency, which has given a big positive of 3,509. I think that's the question on that. You want further bifurcation? Is that the question?
Dipanjan Ghosh: So basically, I'm trying to understand that, if I break up the persistency variance and also the strengthening

that you have done in the assumption changes on persistency across the three
major product cohorts, which is par, non-par and linked. If I were to look at it like sum of parts
of the three products and how have each of the product segments behaved?
A.K.Srivastava: In fact, as I mentioned earlier, in group line of business, because there is some persistency, which
has in -- for some line of business, it had come down. So there that persistency assumption was
strengthened. And simultaneously in that area, whatever was assumed on account of persistency,
the actual experience was a little different from that.
So for group line of business, therefore, it was strengthened. For par business, as I said, 13 month
persistency has improved. So that persistency assumption per se has not changed. And that has
contributed to a positive of 2,463.
Dinesh Pant: Actually, just to clarify on that these resumptions are set every year. And then it is largely drawn
from the previous year experiences, right? You would appreciate that for our non-participating
business, which has come into picture for a very short period of time, we have to largely draw
upon the experience of the past.
And good thing is with the changes which have happened in the previous few years, when the
assumption have set, it is expected that we have to first actually believe that it is going to change.

The results in largely coming from par is for all these changes which have happened in the last,
you know, since October 2024 or so.
Ticket size has improved. The nature of business has improved, not across the entire portfolio,
but for particular policies which are, you know, which are beneficial to us. Because of that, the
large contribution has come -- actually, in almost all lines of business, it has been positive
contribution has come on to that number 3,509, largely coming from participating and group
business, and small amount coming from non-participating business also, because a chunk of
business is there, large business.
Dipanjan Ghosh: Got it. If I can just -- if you can take the question on the other variances, which have been
reporting a positive number for some time now?
A.K.Srivastava: On which operational variance you…?
Dipanjan Ghosh: In the operating variance, you divided it into 4 buckets, right, persistency, mortality, expense
and others.
A.K.Srivastava: Yes. So expenses -- as I have explained that has contributed positively as the experience is better
than what was assumed. The persistency also has contributed as we see that. Mortality is almost
flat. So there's no big variance on account of mortality and morbidity. So these are the 3 areas
on which this has been divided. So persistency is INR3,509 as we said. The expense also it is a
positive. But on -- while I say this, the GST impact, this is a net of GST impact. GST impact has
contributed negative to that extent.
Dinesh Pant: And if you're talking about the bracket of the others, there is not much difference as compared
to the last year. That is coming for some of cost of residual, non-residual risk and the frictional
cost of capital and slight model changes are reserve differences which are there. So it's about,
you know, slight changes compared to the last year is there. So largely, as Appointed Actuary
just explained, coming from the persistency and the expenses also. So these are the main
contributors to this.
Dipanjan Ghosh: Got it. Thank you and all the best.
R. Doraiswamy: Thank you.
Moderator: Thank you. The next question comes from the line of Mohit Mangal from Centrum. Please go
ahead.
Mohit Mangal: Good evening and thanks for the opportunity. Congratulations for the strong figures. So, I have
got 3 questions. First is, I wanted to know if there is any evidence for the IRR in the non-par
category over the last 12 months. And if I look at financial year '27, do you think t

here will be
peak an increase in the offering rates? That’s question number one. Question number two, I was
looking at your agency account…
Dinesh Pant: The voice is not coming clear. It's not audible.
Mohit Mangal: Is this better, sir?

Dinesh Pant: Now it is better, yes.
Mohit Mangal: Yes. So my first question was on non-par pricing. So I just wanted to know, have we done any
revisions to the IRR over the last 12 months? And secondly, if I look at financial year '27, do
you intend to increase any offering rate in the non-par category?

My second question was in terms of the agency count. So I was looking at your agency count at the end of financial year '25, we were about 1.48 million. And now we are at about 1.45 million at the end of March 2026. So, there have been kind of a reduction, and obviously, our market share has also kind of come down in terms of number of agents. So how should we see that going forward?

And lastly, in terms of the number of policies sold, so if I look at individual policies sold, they have gone up by 4%. But if I look at the policies sold by bancassurance and alternate channels has declined by a very strong 36%. So, just wanted to know the reason for that?

Dinesh Pant: On the first question of the IRRs you just mentioned about, the IRR is a factor which depends upon the available investment opportunity, not necessarily from a year-to-year basis, but for the duration for which the products are priced, as well as for the competitive reasons. And then there has to be a balance between what IRRs can be given in the products in a competitive scenario, ensuring that the policyholders reasonable expectations and competitive scenario both are met. Plus, as we have been asking in the previous question, ensuring that the margins are not compromised. So we'll continue to watch and see whether there is a possibility of -- also added to it the hedging possibilities, particularly in the non-participating portfolio, how much of the risk can be hedged, because as of now, these hedging instruments are not available for very long duration. So, all these constraints and opportunities have to be balanced.

And that is the reason depending on the investment opportunities possibly, suppose the investment goes up in a particular year, does not mean that it is going to be insured for 15, 20 years of the life of the policy. So we have to take a very conscious call, particularly in case of the non-par products where everything is guaranteed. And as the VNB margins go upwards, they can move in the different direction if proper calls are not taken. So that is an important area.

And definitely, we believe that giving best value to the customer is the starting point for the business growth and for the purpose of sustainability of an insurance company. So wherever we believe, whether these are the annuity products and we have been giving one of the most competitive returns, if you could see in our non-participating products. That's why a major uptick. This is the outcome of the appropriate pricing and value to the customer that has been the focus for us, and we'll continue to work on that direction.

Uthup Joseph: As far as the agency growth is concerned, you have rightly pointed out that there is a small reduction in the number of agents to the tune of around 30,000 coming to around a negative variation of 2 percentage. But let me tell you that over so many years, if you look at even the increase or decrease as far as our net agency addition or deletion is concerned, it is in these type of numbers only, and it has not -- it has never affected us as far as the business is concerned.

Basically, the current year, we'll be looking at better recruitment as well as we'll be having a lot of initiatives to ensure that the quality of the agent is going up and the productivity is going up.

So the total focus will be on that to ensure that this is taken care of. And also, we'll be taking care of new recruitment as well as ensuring that the existing agents are served. That is what.

Ratnakar Patnaik: Just 2 more things I would like to add. Training will be our focus for the new agents as well as existing agents. Second will be young generation, new agents. Younger age group agents are going to rope in in more numbers, so that they are with us for quite some time, and they will address the requirements of the millennials.

Hemant Buch: Coming to reduction in number of sales through bancassurance, primarily it is not bank driven or alternate channel driven performance decline. It is mainly attributed to one geographical issue where one of our corporate agency, and particularly a microfinance institution was not able to concentrate that heavily and that has impacted. I think in the earlier quarters also the same phenomena was observed, and it was articulated.

But having said that, yes, no doubt the number has come down in terms of -- slightly in terms of bank, but it's a conscious decision, because some login base kind of concept that have been done because that was affecting the persistency part, and it was a conscious decision to do away from that kind of initiative by our partners and concentrate more on better and bigger ticket size so that going forward, we don't affect the persistency part of it through our bancassurance vertical.

So largely, the decline is attributed from the micro side. And overall bancca universe in terms of bank as well as the alternate channel more or less remains in fact, intact. And now gradually, the shift has started in terms of picking up a number of sales. If you observe only for the quarter, that is Q4 alone, leaving aside the pain of earlier three quarters, Q4 has, in fact, given us nearly almost a 10% growth in terms of number of sales also and now the healthy trend is going to continue from here on.

Mohit Mangal: Right. This is very helpful. Thanks, and wish you all the best.

R. Doraiswamy: Thank you.

Dinesh Pant: Thank you.
Moderator: Thank you. Ladies and gentlemen, we have time for just two more questioners. Our next question comes from the line of Supratim Datta with Jefferies. Please go ahead.
Supratim Datta: Hi, sir, thanks a lot for taking my questions. My two questions are, one, on the VNB margin, you indicated that you expect VNB margins to continue to expand. Just wanted to understand what would be the building blocks there, given you are saying that the non-par mix should now consolidate here? And if the yield curve does not steepen further, then economic benefit that you got this year may not recur. Then how do you see the margin expansion from here playing out? So if you could help me understand this a bit better, it will be helpful.
And my second question is we are moving towards IFRS, you indicated on the call about risk-based capital framework as well. On the IFRS, if you could help us understand how would the

move from IGAAP to IFRS result in the -- how should we look at the VIF translating into the CSM in force? If you could give us some color on how to think about that, that would be helpful. Thank you.
R. Doraiswamy: Before I ask Appointed Actuary to give you more details, the focus would be on increasing the ticket size, the product mix that we are selling, though the mix may not increase too much, we would like it to consolidate or whatever it is. Two aspects, one, the ticket size of the policies going up; and two, improvement in persistency are the ones which may be -- which should be the drivers for margin expansion further. Appointed Actuary can throw further light on.
Appointed Actuary: Yes. With regard to implementation of Ind AS, a certain exercise we have already carried out a couple of re

ports, we have already submitted it to the regulator. We are further working on these things, but there are many works which have to go on before we can have a view on how the margins are going to be moving going forward.
Supratim Datta: Okay. Fair. Thank you.
Moderator: Thank you. The next question comes from Shobhit Sharma from HDFC Securities Limited. Please go ahead.
Shobhit Sharma: Yes, hi, sir. Thanks for the opportunity and congrats on a great set of numbers. Sir, I have only one question, which is on your product mix. So if I look at the par business, which was not growing in the first half of the year or last year second half, has that business has picked up the momentum.
And if I look at the non-par guaranteed business, that is now contributing to close to a low teens kind of a business mix. And HP, if I look at that is in high teens. So if you can give us some color around what kind of product mix are we aspiring for? Should we see more gradual shift towards the non-par guaranteed piece of business rather than the ULIP business, which we have seen historically? So yes, this is my question.
R. Doraiswamy: To straightaway answer, it's a bit difficult, but there is a impact of the flare in the market as well. When the markets give a good opportunity for people to invest and there is a good amount of interest that is being shown, ULIPs also get a good amount of welcome and so ULIPs also show a growth.
We would naturally like to increase our contribution from guaranteed business, both in terms of non-par savings as well as protection as well as tap the market in full in terms of annuity business that is possible. So it has to be a growth in all the engines, but only thing is ensuring that the margins are kept in mind when we look at increases.
When we have to fulfill our responsibility towards ensuring insurance for all by 2047 or expanding the coverage as well as penetration in the market, we need to have a focus on the bottom of pyramid as well. So that is one reason why we have a good number of policies sold on the micro insurance as well as on small summer shoots also to cater to the needs of every segment of the society.

They in turn result sometimes in lesser persistency rates as well as in terms of margins getting affected. But when we are focusing on a mix, which will have a good number of policies with high ticket sales on the non-par savings and protection, we expect the margins to be taken well care of. Anything else you would like to add.
Dinesh Pant: Starting and the important point for the corporation is not focus on margins only. As we have been mentioning, our primary responsibility is to ensure that we provide the products and solutions which cater to the needs of the customers. And while margin became an important

criteria, but we had the situation in which our entire book was participating business. And participating business from a margin point of low-margin business.

But then we were leaving out a big segment of society which wanted guaranteed products. And eventually, in this situation, this guaranteed products offered us an opportunity to increase and go towards a segment where the market needed it for their needs, and this helped us improve the margins. In between you have seen the journey will be certain non-participating products because the interest rates coming down had a challenge on the margins also.

So margin, we I'm not saying that we are focusing only on increasing margins. We actually reached 21%. This journey possibly can be very gradual and slow from here because we have seen even for the industry, the margins have been around between 20s to maximum 30s for a very short period of time. So we have reached the right level.

What we want, as we mentioned earlier also, not only focusing on margin, but being the insurer of a responsible insurer and with a focus on insu

rance for all. So sometimes this becomes challenging. Margin can be improved by offering very few policies of high ticket size only, but then we have responsibility to ensure this insurance for all by 2047 and contribute towards a larger cost. So therefore, this will have to ensure that we offer products, variety of products, and train our agents and the marketing forces.

In fact, what the question that you asked about the agency coming down is also because of the focus on the quality of the agency force and the productivity to be the focus. So all this balancing will continue to happen. We are at a very good level, 20% having crossed, VNB having seen a 40% plus growth.

Now here onwards, the changes will be dynamic, depending on the market situation, but almost -- we are not looking for any major significant changes from here, but largely looking to consolidate from this position, so that the VNB growth should happen so either it should come through improved margins or either it should come through improved business growth. We are happy with either situation as long as the VNB growth can continue to be achieved.

Shobhit Sharma: Got it sir. Sir just a small follow-up, so this is related to current situation which we are in. So last two months, we have seen market being very choppy. So how -- have you seen the ULIP demand or we have seen the non-par demand, guaranteed product demand being sustaining?

R.Doraiswamy: It is too early to comment. Perhaps the effect of the crisis has not completely been, has percolated. But as of now, what we are seeing in the month of April, our performance has been

good. It has been in tune with what we are doing in the previous financial year and it has been better than that as well.

Till now, we are finding that our trajectory in terms of growth in volume has been there. It spans across all, both participating as well as non-participating. We are seeing a good growth in terms of both the number of sales as well as the premium that is being accumulated. Particularly, the April figures have been a testimony to that.

Shobhit Sharma: Okay, sir. Thank you, and wish you all the best.

R Doraiswamy: Thank you very much sir.

Moderator: Thank you. Ladies and gentlemen, this concludes our question-and-answer session. I would now like to hand the conference over to Mr. Doraiswamy, for closing comments.

R Doraiswamy: Thank you. To begin with, I sincerely thank you for joining us this evening for LIC's performance review for the financial year 2026. Thanks for your continued faith and trust in us. Your very focused and sharp questions on a continuous basis, keeps us on our toes and we are able to dynamically adjust our business strategies, to achieve better outcomes on all parameters.

I do hope, we have addressed all your concerns today. Should you require any further clarification or wish to continue this dialogue, our Investor Relations team remains at your disposal. Thank you once again, for your time and engagement, wishing you a very good evening. Thank you.

Moderator: Thank you, on behalf of LIC that concludes this conference. Thank you everyone for joining us. And you may now disconnect your lines.